



Annual Operating Budget

July 1, 2012 - June 30, 2013

CITY OF CADILLAC, MICHIGAN



ELECTED OFFICIALS

William S. Barnett, Mayor
At Large

Shari Spoelman, Councilmember
First Ward

Antoinette Schippers, Councilmember
Second Ward

Art Stevens, Mayor Pro-Tem
Third Ward

Douglas Mellema, Councilmember
Fourth Ward

CITY ADMINISTRATION

City Manager	<i>Marcus A. Peccia</i>
Community Dev. Director	<i>Jerry Adams</i>
Director of Finance	<i>Owen Roberts</i>
Director of Public Utilities	<i>Jeff Dietlin</i>
Director of Public Works and Engineering	<i>Bruce DeWitt</i>
City Clerk	<i>Chris Benson</i>
City Treasurer	<i>Keri Lanning</i>
City Attorney	<i>Foster Swift Collins & Smith PC</i>



Office of the Mayor
200 N. Lake Street
Cadillac, MI 49601
(231) 775-0181

May 21, 2012

Dear Citizens of Cadillac:

I am pleased to submit to you the annual operating budget for the City of Cadillac for the fiscal year beginning July 1, 2012 and ending June 30, 2013. This budget represents the culmination of many hours of work beginning over four months ago. Our thorough budget process has included several opportunities for members of the Cadillac community to provide input into the direction of the budget and I am confident that this document represents a very realistic and achievable plan for the upcoming fiscal year.



The FY2013 budget plans nearly \$16.3 million in spending across the whole organization. This is mostly unchanged because of the impact that the state and national economic recession continues to have on our community. Local property values continue their decline and the State of Michigan has further threatened local units of government by taking away more and more funds in the form of statutory state shared revenue. This situation has made it very difficult for our great City to maintain the core services that our residents and businesses expect.

I want to express my appreciation to the great employees of the City of Cadillac for the shared sacrifices they continue to make in order to insure that our City remains fiscally strong and poised for sustainability and resiliency for many years. Most full-time City employees have not received a cost-of-living pay increase for several years, while at the same time they are contributing more to help offset the rising costs of important benefits like medical insurance. Their willingness to partner with the City Council in making the kinds of tough decisions and sacrifices necessary to move Cadillac forward into the future is inspiring and makes me proud to represent such a fine group of people.

Thank you for taking the time to review this extensive budget document. There are two areas that I want to highlight for you that should help make the document easier to navigate and understand. First, the **Budget Reader's Guide** found just after this letter provides a simple yet valuable overview of the finances of the organization and the document itself. Secondly, our City Manager presents his **Transmittal Letter** starting on page 1 of this document. In it he details the challenges facing the City of Cadillac as well as some additional information on the plans incorporated into the current budget.

I am very proud of the effort that has gone into the development of this budget. I am honored to serve once again this year as your Mayor and look forward to interacting with you as we all partner together to make this City a community of continuing success.

Sincerely,

A handwritten signature in black ink, appearing to read "W. Barnett".

William S. Barnett
Mayor

Glimpses of ...

... Cadillac



CITY OF
CADILLAC
MICHIGAN



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Reader's Guide



2012-2013 BUDGET READER'S GUIDE

Welcome to the City of Cadillac's Annual Operating Budget for the fiscal year beginning July 1, 2012 through June 30, 2013. Thank you for taking the time to learn about the appropriation of resources within the City of Cadillac. We trust that the time you invest in familiarizing yourself with this information will be time well spent. We are committed to accountability in the way that we conduct the business of serving the City of Cadillac, including its citizens, businesses, and industries. Hopefully this brief "Budget Reader's Guide" will help you understand this robust document as well as introduce you to the process that has led to its production.

Financial Structure

The financial structure of a municipality consists of various "funds", which operate just like separate businesses within the City and have their own set of balanced books. The main fund of the City of Cadillac is the General Fund. The General Fund is where you will find information on the resources devoted to providing the types of services that you would generally expect from a city - things like police, fire, general administrative services, tax collections, community planning and zoning, and parks maintenance are all core governmental services that are appropriated through the General Fund. An entire tabbed section of this document is devoted to the General Fund.



Keeping City parks beautiful is a core service provided by the General Fund.

Within the section called "Major Funds" you will find many of the other core services provided by the City of Cadillac that are not part of the General Fund. The activities related to street maintenance, including right-of-ways, are found in these funds. This is also where you will find information related to the costs of winter maintenance – activities like snow plowing and snow hauling. This is an important activity in Cadillac, as we are nestled in the heart of Northern Michigan and can find ourselves knee-deep in snow at any given moment during the winter months.

Also in the "Major Funds" section are activities related to the provision of utilities services, specifically water delivery and wastewater treatment. The Water and Sewer Fund combines these two activities into one fund, yet tracks the costs and revenues separately so that the true cost of each service is shown separately. This activity-based approach enhances the ability of City staff to analyze the costs of the activities separately and collectively, depending upon the type of analysis being done.

The "Non-Major Funds" section contains the budget detail for the rest of the funds that are within the City's financial structure. Activities such as the operation of the City cemetery, community development services, and others are found in this section, along with the details of the various debt service requirements of the City. Information technology is another area that the City commits substantial resources to in order to enhance efficiency and employee productivity, and these activities are tracked separately in this section. The City's costs for employee health insurance are found in a fund within this section as well.

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The Process

A lot of effort has gone into developing a systematic process that will take a wide variety of information into consideration as funding and appropriation decisions are made. In fact, this has become a year-round activity at the City of Cadillac. There are basically four parts to the process:

Council Mission and Vision – The City Council recently established a Mission and Vision Statement. This was the result of a couple of months of review and input from Council Members and staff. These statements essentially established the priorities and communicated the Council's vision for Cadillac. The departmental staff of the City of Cadillac utilizes these statements when evaluating annual priorities and establishes goals and objectives that will be implemented into City operations to assist the Council in carrying out their mission and vision. Periodic review of these statements will help assure Council that their priorities play an important role in the direction of the City.

Capital Improvement Program – In early fall, work begins on a 5-year capital improvement program. This program lays out projects with a cost greater than \$7,500 and a useful life of more than one year. Any project that meets these criteria needs to flow through this program, with very few exceptions. Funding sources are identified through this process, but the actual appropriation of resources does not yet take place. This type of long-term capital planning has been of great benefit as funding has continued to be challenged on many fronts. There are opportunities for public input at this point, and the City Council officially adopts this 5-year program.



Construction activities are a big part of the long-term capital planning process.

Annual Operating Budget – The annual operating budget is required by Cadillac's City Charter to appropriate all resources that will flow through the City, matching expenditures with various sources of revenues. The results of the first two planning processes – the Council Mission and Vision, and Capital Improvement Program – help guide many of the appropriation decisions made at the budget level. Additionally, the first year of the Capital Improvement Program is integrated into the budget as the Capital Budget. There are times that previously identified funding sources are no longer available, and when this happens these projects must be postponed or eliminated during the budget process. However, the City has historically been very successful at funding projects that have been planned for as part of the program. The budgeting process begins in mid-December and involves input from personnel in every department within the City. The process culminates in the document that you now hold in your hand which must be adopted by Council before the end of May each year.

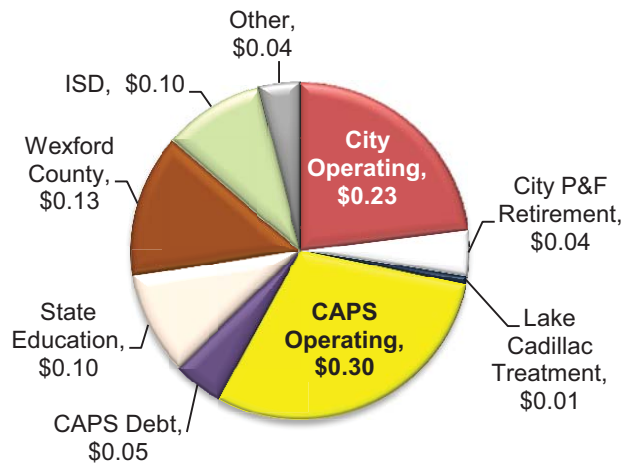
Annual Independent Audit – Each year, the City retains an independent auditing firm to review the financial reports of the City and express an opinion on whether or not they fairly and adequately report the financial activities of the City. The results of this process are a vital part of the planning and budgeting process, as actual results are analyzed and compared with what was budgeted and appropriated. Any variances are closely analyzed and necessary adjustments are made in subsequent planning efforts.

As you can see, the City takes its responsibility for handling financial resources very seriously and is firmly committed to openness and accountability in the planning, budgeting, and subsequent financial reporting activities that take place throughout each fiscal year. There are at least six different opportunities throughout the year for the public to have input on strategic directions that the City will take. This input is both welcomed and encouraged.

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City Property Tax Bill

While all taxes levied on property within the City are typically collected by the City of Cadillac, only a small portion of the payment actually remains at the City. In fact, only about \$0.28 of every \$1 in taxes paid on non-principal residence properties stays at the City, as the chart to the right shows. Most of the taxes are simply collected on behalf of other local taxing authorities. If the property has a principal residence exemption, about \$0.39 of every \$1 in taxes paid on a City tax bill is for City activities.



Elected Officials

Elected officials play a significant role in the operations of the City. They have the final adoptive authority in each process detailed in this guide. They set strategic plans into place and guide many of the decisions made in regards to the appropriation of resources. The following introductory biographies are offered so that you can familiarize yourself with the names and faces of the officials that have been elected to guide and direct City staff in the delivery of services.



Mayor William S. Barnett

Councilmember from City at Large
Population of City: 10,355
Occupation: Attorney
Term Expires: December 31, 2013
Annual Salary: \$4,200



Mayor Pro-Tem Art Stevens

Councilmember from Ward 3
Population of Ward: 2,631
Occupation: Financial Advisor
Term Expires: December 31, 2015
Annual Salary: \$2,900



Councilmember Douglas Mellema

Councilmember from Ward 4
Population of Ward: 2,480
Occupation: Manufacturing
Term Expires: December 31, 2013
Annual Salary: \$2,900

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Elected Officials (Continued)



Councilmember Antoinette Schippers

Councilmember from Ward 2
Population of Ward: 2,561
Occupation: Teacher
Term Expires: December 31, 2013
Annual Salary: \$2,900



Councilmember Shari Spoelman

Councilmember from Ward 1
Population of ward: 2,683
Occupation: MSU Extension Director
Term Expires: December 31, 2015
Annual Salary: \$2,900

A map of the four city voting wards is shown here as well. If you are wondering who your elected representative to City Council is, the map should help you answer that question. These elected officials welcome public comments and input and will do their best to be available to answer your questions. The Council meets on the first and third Monday of each month at 7:00 PM in the council chambers at the City municipal complex. There is time set aside at each meeting for public comment. Agendas and minutes of these meetings can also be found on the City's website.



Thank you again for taking the time to look through this document. As part of our commitment to the readers and users of this information, we are always available to answer questions you may have about the information presented to you. Please feel free to contact our Financial Services Department at (231) 775-0181 if you have any questions. Additionally, this document in its entirety will be available on our website at www.cadillac-mi.net. We have tried to make the document easy to follow and read, and have offered many pictures, graphs, and textual descriptions of most of our activities to help you understand the scope of services that we are committed to providing with unmatched excellence.

Sincerely,

Marcus A. Peccia
City Manager

Owen E. Roberts
Director of Finance

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City Manager's Office
200 N. Lake Street
Cadillac, MI 49601
(231) 775-0181

MEMORANDUM

To: Honorable Mayor William S. Barnett and City Council
From: Marcus A. Peccia, City Manager
Subject: Transmittal of 2012-2013 Annual Operating Budget
Date: April 1, 2012

INTRODUCTION

On behalf of the entire City of Cadillac staff, I am pleased to present to you the proposed FY2013 (July 1, 2012 – June 30, 2013) Annual Operating Budget that includes proposed expenditures totaling \$16,291,100.

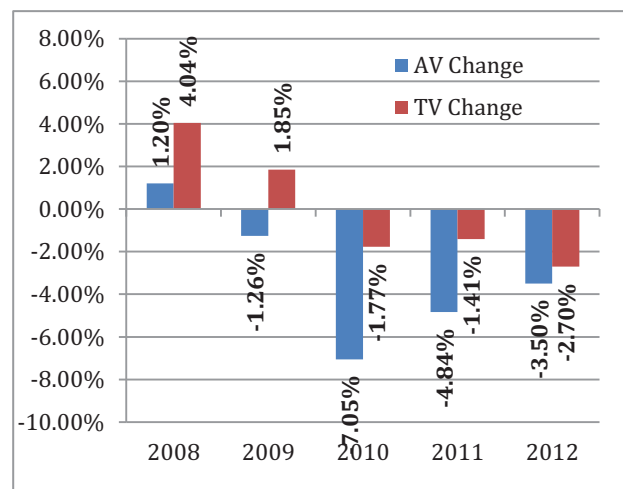
The proposed FY2013 budget is balanced, with all operating and capital expenditures analyzed and covered by current revenues and available fund balance in accordance with the City's fiscal reserve policy. The overall City budget for all funds and activities will decrease about 2.5% compared to the FY2012 budget. The following is a general overview of the City's outlook and status of the City's General Fund.

OUTLOOK

The City of Cadillac is "hanging tough" in this ever-challenging economic environment, and even though revenues overall have continued to decline - specifically property values as shown in the chart below - the City has continued to provide excellent public services.

According to Owen Roberts, Director of Finance, over the last 5-years the City:

- Lost 16% of assessed value (AV), which equates to almost \$100,000,000 true cash value
- Lost \$10,409,742 in taxable value (TV) – represents nearly \$150,000 in operating revenue
- Residential assessed values have dropped 25%, and lost over 10% of taxable value



As stated in the past by Jerry Adams, Director of Community Development, "Cadillac is a microcosm of a large City given the diversity of sectors and uses that we have." Our City is

comprised of a variety of residential neighborhoods, business/commercial sectors, industrial parks, recreational facilities, and is the seat of government in Wexford County. The City is consequently responsible for layers of infrastructure ranging from a lake, to trails, lighting, streets and sidewalks, water and sewer, and parks, as well as responsible for many services including planning and zoning, utilities, police and fire, and public works.

Given our composition, and those many layers of infrastructure that Cadillac is required to provide and maintain, the City is truly much different than the outlying areas that do not have the same amount of, or any similar infrastructure that Cadillac does, nor the population to support. Cadillac is the regional urban center, and services a population much greater than our residential population of 10,355.

As the chart to the right indicates, approximately 70% of jobs located within Wexford County are actually located within the City of Cadillac, and most important and interesting to note, the City's daytime population increases by nearly 61%, from its base residential population, outnumbering the County's total population by approximately 4%! Therefore, the strain on resources and the impact to the City's infrastructure needs to be evaluated not only in relationship to its official population of 10,355, but also in comparison to the true population it services on a daily basis.

Factor	Cadillac	Wexford County (Excluding Cadillac)
Population	10,355 (32%)	22,380 (68%)
Population Density	1,523 people/sq. mi.	40 people/sq. mi.
Job Location	11,421 (69%)	5,111 (31%)
Daytime Population	17,013	16,397

One year ago I continued my reflection on the great economic crisis that was being reported about our State and the subsequent impact on our community. Today, although we are still locally in somewhat of an economic decline, state-wide Michigan has been able to create new jobs and lower its unemployment level to just under 9%, perhaps through the implementation of new financial strategies to incentivize business to invest or reinvest in its technologies, facilities, and workforce development.

To accommodate these new strategies however, the State must find or create new revenues to support their programs. Over the last 18 months or so the source of the revenues to fund the State's initiatives has been primarily via the restructuring of the State's revenue sharing program that is now administered through the Economic Vitality Incentive Program, and through the complete revamping of the Michigan Business Tax, thereby creating over \$4 billion of tax cuts to industry.

On the horizon, the State is currently debating how to generate additional tax cuts to industry totaling over \$1 billion, and is looking at the feasibility of eliminating the industrial personal property tax in order to create that funding source as further relief to industry.

While conceptually the State believes that further business and industrial tax relief will result in the creation of new jobs and business in the State, the elimination of the personal property tax, which is preliminarily being discussed as a phase-in program over a decade, would result in the loss of approximately 10% to 12% of the City's General Fund revenue if not replaced in full by another source. Note, the State is advising that the replacement of industrial property tax revenues to local governments will happen, but there is no communication or belief at this time that the replacement will come from a dedicated source or at the same level. The chart below shows the City's total Real Property, Personal Property, and its respective percent of our total General Fund revenues.

	Taxable Value	% of Total	Tax Levy
Total Real Property	\$212,141,641	77.50%	\$2,898,784
Total Personal Property	61,571,900	22.50%	783,923
Total Taxable Value	\$273,713,541	100.00%	\$3,682,707

In spite of the current economic climate and the aforementioned revenue challenges that Cadillac is presented with, some created by the lowering of our taxable values and some created by the State, our City is still looking and planning towards the future, and have initiated various programs and strategies that will assist our community in the long-term. With a focus towards long-term stabilization, a couple of recent analyses regarding public safety and our local and regional market have been completed.

Plante & Moran conducted a public safety analysis and reported recommendations to an ad-hoc public safety team about how the City could implement a new organizational structure with two chiefs, or reinvent a structure with a single public safety director.

With respect to the market study, the City received a report completed by the Chesapeake Group that analyzed the City and region and provided some recommendations as to the needs of the area and what type of business and services the City should try to attract or retain for long-term stability.



The City is also in the process of bringing stakeholders from community organizations together to work alongside staff in developing a Complete Streets Plan. Similar to a comprehensive or master plan, this planning document may be accepted and adopted via resolution or ordinance, and includes concepts and plans for connecting inter-modal transportation routes throughout the City. When implemented, this plan could be a tool that assists in economic development.

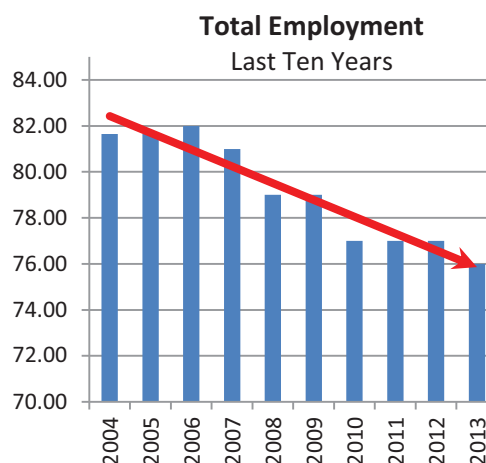
Further, in an effort towards developing long-term stability and enhancing our community, work is currently underway to create the City's first corridor improvement authority. Comparable to a downtown development authority, a tax increment financing district would be established to collect the appreciable tax increment on property within the established corridor district, and those funds would then be used solely to improve the district by any number of ways that may include new or improved lighting, facades, and landscaping.

RESPONSE TO ECONOMIC CHALLENGES

Because of the declines in revenue over the last several years, the City has been forced to make some difficult decisions regarding the structure of the organization. With yet another year of taxable value loss, these discussions continue to take place as the staff – in partnership with the City Council – works to build an organizational structure that will be sustainable.

The following highlights actions that have been taken to reduce the overall cost structure of the organization:

- **Eliminate Activities:** As of July 1, 2010 the City no longer has a Building Inspection department. All inspection and permit activities were turned over to the Wexford County Building Department. This resulted in the elimination of one full-time position.
- **Consolidate Positions:** Over the last several years, several key positions opened up due to staff retirements or resignations. Each time an opening occurred, the position was reevaluated and in several cases, duties were shifted and existing staff was utilized to perform the key duties and the positions were either left unfilled or were restructured to save costs. These include:
 - **Assistant City Manager** – This department-head level position was unfilled when the former Assistant resigned in 2010. Since that time, a community development analyst position was created and filled at a 30% cost reduction.
 - **Clerk/Treasurer** – This consolidated position was split into two positions that were assumed by two existing employees and the former position was not filled.
 - **Public Works Director** – This department-head level position was replaced by an analyst-level position at a 30% cost reduction. The management duties were consolidated into another department head position.
- **Defer Major Capital Replacement/Upgrade Projects:** Prioritization of limited capital dollars has been an important and necessary analysis. The replacement of several major pieces of equipment has been deferred, including the current budget's purchase of a street sweeper (\$198,000) and wheel loader (\$125,000). This is not a sustainable budgetary decision, however, because the City's equipment fleet continues to age and require additional maintenance funds to keep the equipment operational.



Additionally, the availability of funding for major street reconstruction projects is declining as well. Several street projects have been delayed in the prior budgets. The need for these important projects does not go away when the projects are delayed, but future funding needs must be addressed in the form of grants, issuance of bonds, or other funding sources so that the City can continue to maintain a quality road infrastructure system.

MAJOR GOVERNMENTAL FUNDS

General Fund

The General Fund is presented as a balanced budget, with proposed expenditures of \$6,807,000, a decrease of 4.8% over the FY2012 adopted budget. For the third consecutive year, property tax revenues will decline. Overall, the taxable value within the City is expected to drop by approximately 3%, which represents a loss of about \$7 million in value. From a revenue perspective, this loss in taxable value will result in a decline in property taxes of close to \$100,000 depending on the final tax roll. Losses in state shared revenue have been a significant contributor to the overall revenue decline as well. As a result of that reduction, the City is forced to rely more and more on our own-source revenue – like property taxes – to sustain service delivery. With a full-time workforce that equals its lowest level in many years, further revenue restrictions and reductions will inevitably lead to reduced services.

The rate charged to residents for solid waste removal services decreased 15.2% in FY2012 from \$14.58 per month to \$12.37 per month, due mostly to the reduction in tipping fees at the Wexford County landfill after it was sold to a private company in late 2011. Based on the recent increase in fuel prices, this rate is expected to increase somewhat beginning July 1, 2012. The rate adjustment is a reflection of various inflationary indexes that are built into the removal contract with the City's hauler, Republic Services.



A continuing negative impact on the budget is the direct result of decreased state funding, in the form of Act 51 funds coming to the City for major and local street maintenance. Due to the rising costs of maintenance, and reductions in actual revenues from the State, the General Fund's contribution to the Local Street Fund to fund street maintenance and construction remains high at \$425,000 for FY2013. This is a serious situation that demands attention at the local level from a budgetary impact perspective and at the state level as we must engage our legislators in an effort to explore and advocate for ways to restore funding to needed levels.

Overall, converging economic and legislative factors have presented budgetary challenges for over the last several budgetary cycles at levels not seen for many years and the situation continues to worsen. Never has it been more critical to fully analyze and understand the costs of providing governmental services and to ensure that these core and critical services are being delivered in the most efficient and cost effective manner possible. Prioritization of services will be an important activity in upcoming months as the prospect of having to eliminate some of the lower priority services becomes an unfortunate reality.

The Major Street Fund is focused on the high traffic volume streets. This activity is funded primarily from revenues generated by the State of Michigan Gas and Weight Tax, which have continued to decline, even as the costs of street maintenance continue to rise. The Major Street Fund also accounts for the work that the City provides to the State on a contractual basis to maintain the state trunk line system that runs through the city. The City is fully reimbursed for the costs of maintaining the major trunk lines in the City.

The Local Street Fund is a street system focused on the less traveled streets, predominately the residential street system. This fund receives a small amount of money from the State of Michigan Gas and Weight Tax, while the majority of funding is received from the General Fund or other funds. Each local resident will contribute \$57 this year to maintain this infrastructure, which is down from \$58 per resident in FY2012. The current budget plans for one construction project totaling \$132,500. Reserves on hand from prior years will be used to fund portions of the construction.

FY2013 Street Construction	
Project	Cost
Plett Road/13 th Street Intersection (Major)*	\$60,000
Cedar Street (Local)	50,000
Evert Street (Local)	100,000
Hersey Street (Local)	140,000
Lynn Street (Local)	132,500
Total	\$482,500

MAJOR PROPRIETARY FUNDS

The Water and Sewer Fund as well as the Building Authority Operating Fund are accounted for and operated in this type of fund. They operate in the same manner as a private business. The method of budgeting and accounting for these funds is on an accrual basis.

The Water and Sewer Fund is planning to freeze rates at the same level as the current fiscal year. This is the first time in many years that rates were not increased. Growth in usage combined with cost controls in the system enabled the system to maintain rates for this year. In addition, Phase I of the well field project is anticipated to cost nearly \$1 million less than projected which is also reflected in the rate freeze for this year. Because another phase is required to complete the relocation of the City's municipal well system, future rates will need to be analyzed to ensure that sufficient revenues are being raised to cover project costs and related debt service requirements. In addition to completing Phase I and beginning Phase II of the well field relocation project, over \$600,000 of funds on hand will be committed through this budget for system upgrades related to street infrastructure and equipment replacement projects.



A State of Michigan Department of Environmental Quality District Office is located in the downtown Cadillac area. The Building Authority Operating Fund is designed to record the operation of this facility, as the city owns the facility and leases it to the State.

NON-MAJOR SPECIAL REVENUE FUNDS

The Cemetery Fund has undergone significant changes over the last couple of years. City management must further develop a strategy for continuing to maintain the facility and improve infrastructure, while keeping rates down. This will be an ongoing challenge. The Cemetery Board has worked hard at improving the financial stability of this fund and as a result increased the rates in 2011. The cemetery is a beautiful showpiece at the entry to the City from the south.

A survey was taken of surrounding communities which illustrates that our rates are very competitive.

Returns from interest on a UDAG grant to build the Hampton Inn are housed in the Cadillac Development Fund along with funds from Community Development Block Grants. Interest from these monies will be accumulated and used at the City Council's discretion for commercial development projects within the City.

The City Council is committed to keeping the downtown a viable and vibrant shopping area. The H.L. Green Operating Fund represents a prime example of these efforts. The City purchased a downtown commercial building, remodeled it and has since sold it on a land contract. As of March 31, 2012, the outstanding principle on the land contract was just over \$17,000 and the contract will be paid in full in January 2013. This fund accounts for the collection of the principal and interest.

On February 22, 2011, City voters approved a new millage to fund the treatment of Lake Cadillac against Eurasian water milfoil and other invasive aquatic species. This enables the levy of 0.50 mills that will be restricted for costs incurred to treat the lake. It is expected to raise about \$120,000 annually and was approved for three years. The Lake Treatment Fund will account for the revenues received from the millage and the treatment costs incurred.

NON-MAJOR DEBT SERVICE FUNDS

These funds are used to account for the retirement of various bond issues. Funds have been appropriated for six separate debt obligations at various stages of retirement. The statutory debt ceiling is 10% of the taxable value and the city remains well below this level. By remaining below the debt ceiling, the city maintains flexibility in its consideration of future projects which may require the issuance of debt. Each fund has included a five year pro forma income statement to catch a glimpse of the future. The per capita debt for FY2013 is \$1,151 (including revenue bonds) and 8.8% of the principal will be retired during the fiscal year.

NON-MAJOR PERMANENT FUNDS

The Capital Projects Fund is the result of the sale of the power generating plant. The assets are to be held as an endowment. Earnings on these assets have been used to help fund infrastructure projects. As of FY2013, over \$140,000 in contributions had been made using earnings on these endowment funds to assist in funding capital projects within the City. No contributions are planned for the current year, though several grant applications have been submitted and these funds could be used to contribute towards the City's local match so that the grant projects can be undertaken.



The final fund in this category is the Cemetery Perpetual Care Fund. This fund is an endowment, which uses interest earnings on perpetual care assets to assist financing of the Cemetery Operating Fund.

NON-MAJOR CAPITAL PROJECTS FUNDS

This group of funds consists of two funds, the Industrial Park Fund and the Special Assessment Capital Projects Fund.

The State of Michigan has placed the designation of Certified Business Park upon a portion of our industrial park area. This certification is an advantage in recruitment in the industrial sector.

The Industrial Park Fund has sold most of the remaining portions of land in the Harry VanderJagt Park and purchased another forty acres for an expansion project several years ago. The expanded area is known as the James E. Potvin Industrial Park. Several lots have been sold in this park with construction of two new facilities completed. Additionally, the City was the first community in the State of Michigan to establish a Brownfield Redevelopment Authority, which has allowed for the capture of taxes to be reinvested in abandoned and contaminated areas throughout the community. By returning these properties to occupancy, we will help to maintain the viability of our community.

The Special Assessment Capital Projects Fund is where much of the activity for this budget's construction projects is funded. Projects for the current fiscal year are highlighted by the reconstruction of Cedar Street, Ewart Street, and Hersey Street. The utilities infrastructure lying beneath the surface of these streets will be replaced as well. Fund balance on hand that is restricted for use on capital projects will be used to fund the construction.

NON-MAJOR PROPRIETARY FUNDS

Enterprise Funds

A major revenue source of the Auto Parking Fund is the parking special assessment, which expired at the end of FY2011. Reserve funds were used to fund parking lot maintenance in FY2012, but a new assessment is being developed to ensure that funds are available for long-term maintenance on the lots. This assessment allows the fund to continue to meet its operating obligations of providing parking in the business district for the customers of the merchants. The parking assessment is set at a level which covers the essential services of the fund, but does not generate sufficient revenue to consider additional construction projects. Efforts will begin to renew the assessment, as well as to explore other options for funding the downtown parking system.

Internal Service Funds

This group of funds furnishes services to other funds within the City. There are four such funds and the three largest are described as follows:

The Stores and Garage Fund is used to rent equipment to the various operating departments within the City. Internal rental rates need to be high enough to cover the purchase of new equipment and cover oversight and administration of the street maintenance system. Equipment rental represents 94% of revenue to this fund. There are over 80 pieces of equipment in this fund.



The Information Technology Fund accounts for the information technology (IT) operations across all departments and activities of the City. Through this investment, the City continues to leverage improvements in technology to enhance efficiency and productivity wherever possible. Oversight of all IT activities was contracted out in 2007, which continues to serve the city well and has led to improved service delivery. The initial four-year agreement with Terrapin Networks expired in January 2011, which will necessitate further study to determine the most optimal structure of this department moving forward.

The Self-Insurance Fund provides funding for the City's health care needs. Because of proactive employee health management and positive claims experience over the last several years, FY2013 begins with a solid balance of reserves. Claims that reach \$5,000 per family per year are covered by a reinsurance policy purchased by the City. The overall goal is to provide quality health care for City employees and their dependents while at the same time keeping costs under control. This fund also maintains a small, self-funded life insurance policy for retirees. For FY2013, most of the City's annual required contribution for other post-employment benefits (OPEB) will also be appropriated from this fund.

PENSION TRUST FUNDS

The City operates one pension trust fund entitled the Police and Fire Retirement System, which is funded by a millage approved by the citizens in 1977. The millage required for FY2013 is 2.6 mills, unchanged from FY2012. A local board of directors appointed by the City Council is responsible for the administration of this system. A small increase in the City's taxable value, coupled with the change in funds management to MERS ISP enabled a reduction in the millage rate in FY2009. In 1977, assets of \$100,000 were available and as of June 30, 2010, these funds have grown to nearly \$8 million. The City contributes 30.93% as a percentage of payroll for police and fire to fund the liabilities of the system.

The other retirement system offered by the City is a state-wide system entitled the Michigan Municipal Employees Retirement System (MERS). This covers all full-time City employees except for police and fire personnel. Actuarial estimates place the average cost of this system at 7.5% of annual salaries. Annual required contributions to this system increased by about \$30,000 city-wide this year, further exacerbating the financial challenges facing the City. The City is paying a smaller percentage of its obligation as determined by MERS due to the fund being well invested. The system is fully funded according to the most recent actuarial valuation.

COMPONENT UNITS

This group of funds consists of legally separate organizations for which the city is financially responsible and is divided into Major and Non-Major Component Units.

Major Component Unit

The Local Development Finance Authority Fund was established to record costs associated with the ground water cleanup process in the industrial park. Special assessments from benefited properties will cover the cost of operation of the facility and these costs will be accounted for in the operating fund. The special assessment was renewed for an additional five years in 2007, and planning for the renewal of this assessment is currently underway.

Non-Major Component Units

The Local Development Finance Authority Utility Fund accounts for the costs associated with a well, which is the major water supply providing the power plant with water as required under the development agreement that governs the project as a whole.

The Downtown Development Authority Capital Projects Fund accounts for the revenue that is captured as a result of a tax increment financing plan, which allows for the capture of tax dollars from increased value of the downtown area. This fund is separated to cover the various construction and improvement projects identified by the DDA board. Providing a strong commitment to the downtown area continues to be a major goal of the City and this is reflected through reinvestment in the downtown as illustrated through this tax plan.

The Cadillac Brownfield Redevelopment Authority was established in 1996 and was the first in the State of Michigan. It is designed to redevelop previously environmentally contaminated sites. This is an economic tool used to reinvest in local communities and avoid urban sprawl.

CONCLUSION

I would like to thank the City Council for its incredible support in working with staff to finalize a budget during these extremely difficult times. Through input from a variety of sources, we are hopeful that this budget document identifies those services most needed and desired in the community. The efforts committed to the development of the budget document by all parties, staff and council alike, are greatly appreciated and I believe this document fairly and accurately reflects revenues and expenditures for FY2013. It is a budget which, especially when one considers the challenges presented to us by state and federal mandates, does an excellent job of continuing to serve the needs of our community. Extremely tough decisions have been made with regard to the prioritization of city services and the level of City staffing, but not before they were carefully researched and analyzed. The end result should be a utilization of scarce resources in the most efficient manner.

It is with great pride that I mention the awards received by the City of Cadillac again this year. These awards are something we can be proud of and are clear indications of the strong teamwork and commitment to excellence exhibited by the City Council and staff.

- ◆ **Tree City Award** goes to only those communities which meet strict standards for forestry management. Receiving this award for the twenty-ninth year in a row clearly illustrates our commitment to this most important natural resource.
- ◆ The **Award for Distinguished Budget Presentation** has been presented to the City of Cadillac for twenty-seven consecutive years by the Government Finance Officers Association of the United States and Canada. This award is for one year and covers the budget beginning July 1, 2011. In order to receive this award, a governmental unit must publish a budget that meets program criteria as a policy document, as an operational guide, as a financial plan and as a communications device. We believe our current budget continues to conform to this high standard and we are submitting this year's document to be considered for another award.

- ♦ The Government Finance Officers Association of the United States and Canada presented the City of Cadillac with a **Certificate of Achievement for Excellence in Financial Reporting**. This award has been received twenty-six years in a row, reflecting our sincere effort to provide accurate and complete financial data.

This budget is prepared and formulated in accordance with State of Michigan guidelines and the City of Cadillac charter requirements. It also conforms to generally accepted accounting principles. There are four columns in the financial details of each fund: one contains audited figures from the most recently completed fiscal year; the next reflects unaudited anticipated activity for the current fiscal year; the third column is the current approved budget; and the final column is the proposed budget. These four columns, along with the fund balance descriptions are required by P. A. 621, the State of Michigan Budgeting and Accounting Act. Following this transmittal letter, the specific calculations of tax limitations that Michigan voters have approved and which are required of every municipality are shown. The budget document is available for public inspection at the City Clerk's office or on the City's website at www.cadillac-mi.net.

With the receipt of this proposed budget for the 2012-2013 fiscal year, the City Council begins its responsibility of examining the administration's proposals and its eventual approval of the document, which will establish the direction of all municipal services and programs. The City Charter requires that the Council adopt the final budget and set the tax levy authorization by the last council meeting in May. This budget will take effect on July 1, 2012 and run through June 30, 2013.

FINAL THOUGHTS

Our City continues to work in developing stronger relationships and communications with many local and regional civic groups and agencies, such as the surrounding townships and municipalities, the Cadillac Area Visitor's Bureau, West Cadillac Resort District, Downtown Development Authority, and Chamber of Commerce. This area-wide cooperation and collaboration is at an all new level of importance given the continued pressures of our current economic climate.

Our City will continue to explore new ways to do the best that we can with what we have, since we are definitely beyond the point of doing more with less, and we will also continue to aggressively seek outside funding for capital and other special projects. We must also identify and evaluate new opportunities to collaborate and partner with other organizations where appropriate, and in looking towards the future and in accordance with new State requirements, have developed a consolidation/service sharing report that lists current service areas that are already consolidated or shared, and potential areas for future analysis.

Cadillac's future is definitely bright! Our City is closer to resolving sewer service issues with surrounding agencies than ever before. A major new development is looming depending upon the final determination of an annexation debate with the State Boundary Commission, that pending future Council consideration could result in the largest economic development opportunity the City has seen in generations.

In closing, I must acknowledge the tremendous efforts of our staff, and thank them for their genuine love and dedication for our City. Given this difficult economic time we have all sacrificed and contributed to directly benefit the City and aid in keeping the City's level of service stable. I must also recognize and acknowledge the tremendous efforts of my executive and managerial staff, but wish to specifically highlight Owen Roberts and Carol Pacella from the Financial Services Department, for their investment of countless hours in the preparation of our budget document that I am pleased to present for your consideration.

Respectfully submitted,

A handwritten signature in black ink, appearing to read 'Marc A. Peccia', written over a light gray rectangular background.

Marcus A. Peccia
City Manager

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Council Mission and Vision



Council Mission & Vision Statement

Mission Statement

It is the mission of the City of Cadillac to be a well-managed, environmentally conscious and fiscally responsible appealing community in northwest Michigan. We will encourage and advocate for an environment for living and working that is founded upon a strong community spirit of trust, broad-based citizen involvement, and dignity and respect for all regardless of ethnic, social, or economic backgrounds.

Vision Statements

The City preserves and enhances its character and quality of life, and will be responsive to the changing needs of the residents and environment in a fiscally responsible manner.

The City will be an outstanding example of a well-managed, planned community which protects and enhances its historical heritage, architecturally significant buildings, residential neighborhoods, natural resources, open spaces and recreational areas. The City fosters well-planned business and commercial districts, encompassing a variety of industrial, manufacturing, retail and service establishments.

A strong commitment will be made to public health and safety, the maintenance of our infrastructure, and the conservation of our open spaces and natural resources, and where and when applicable, environmentally "green" practices will be utilized. Community services are distinguished by a strong commitment to quality, efficiency and outstanding public facilities, supported by reasonable property tax rates and/or fees.

The City will be known for its promotion of dignity, respect, and cooperation among residents regardless of ethnic, social, or economic backgrounds, as well as will be known for its promotion of cooperation among businesses, community agencies, and other units of government.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Departmental Goals

DEPARTMENTAL GOALS AND OBJECTIVES

City of Cadillac Departmental Structure

The City of Cadillac is organized under seven (7) main departments. A department director is assigned to each department. Departments are structured as follows:

<u>Department</u>	<u>Department Director Title</u>
• Office of the City Manager	City Manager (Marcus Peccia)
• Financial Services Department	Director of Finance (Owen Roberts)
• Department of Public Works and Engineering	Director of Public Works and Engineering (Bruce DeWitt)
• Community Development Department	Community Development Director (Jerry Adams)
• Police Department	Police Captain (<i>Acting</i>) (Matt Wohlfeill)
• Fire Department	Fire Captain (<i>Acting</i>) (Randy Norman)
• Utilities Department	Director of Utilities (Jeff Dietlin)

Except for the General Fund, all of the other funds within the City's fund structure are overseen by one of the primary department directors listed above. Throughout the budget document, each fund other than the General Fund will notate which department director is responsible for oversight of the fund.

It is important that each department of the City partners with the City Council to help carry out the mission of the Council. Departmental goals and objectives are presented below. It is also important to measure the outcomes of each department to ensure the progress of each department towards accomplishing this mission. Within each department below is a reference to other sections of this document where various performance measures can be found.

As the Chief Administrative Officer of the City of Cadillac, the City Manager has overall responsibility for the management of all City services and departments. As part of carrying out this responsibility, the City Manager requires each individual department to submit the following goals and objectives to outline how the respective departments will assist and partner with the City Council to achieve the mission and objectives contained in the Council Mission and Vision Concepts.

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Department:	Financial Services Department
Director:	Owen Roberts
Performance Measures:	Pages 60, 61, 62, 63, 64, 181, 189

Departmental Goals and Objectives:

To assist the City Council in achieving its mission, the **Financial Services Department** will:

1. Promote **fiscal responsibility** by advocating for and practicing prudent, conservative fiscal practices and decision-making. Identified tasks to help achieve this objective are:
 - a. Minimize personnel legacy costs.
 - b. Measure and fully fund annual pension and other post-employment benefits liabilities.
 - c. Maintain General Fund undesignated fund balance of at least 15% of total annual General Fund expenditures.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Departmental Goals

2. Foster a **community spirit of trust** by providing open and easy access to financial information and results. Identified tasks to help achieve this objective are:
 - a. Interim quarterly financial reports available on the City's website by the end of the month following each quarter.
 - b. Property tax information available on the City's website.
 - c. Annual Operating Budget, Comprehensive Annual Financial Report, and 5-Year Capital Improvement Program available on the City's website.
3. Promote a **community spirit of trust** by commitment to providing comprehensive and accurate financial information. Identified tasks to help achieve this objective are:
 - a. Obtain Certificate of Achievement for Excellence in Financial Reporting from the Government Finance Officers Association (GFOA).
 - b. Obtain Distinguished Budget Presentation Award from the GFOA.
 - c. Obtain unqualified ("clean") audit opinion.
4. Demonstrate a **strong commitment to quality and efficiency** in the delivery of **community services** by utilizing technology to streamline communications and internal business processes. Identified tasks to help achieve this objective are:
 - a. Evaluate and invest in new and/or upgraded technologies to take advantage of new efficiencies.
 - b. Continue to meet schedule of hardware replacement to ensure optimal efficiency and minimize down time.
 - c. Develop new communication tools and utilize existing tools to enhance delivery of important information to local residents and businesses.



Department: Department of Public Works and Engineering
Director: Bruce DeWitt
Performance Measures: Pages 66, 67, 78, 79, 81, 83, 89, 97, 175

Departmental Goals and Objectives:

To assist the City Council in achieving its mission, the **Public Works Department** will:

1. Enhance Cadillac as an **appealing community** by protecting our **natural resources, open spaces and recreational areas** throughout the City's parks, rights-of-way, open spaces and Maple Hill Cemetery. Identified tasks to help achieve this objective are:
 - a. Plant 100 trees annually in City right-of-way and public spaces.
 - b. Continue forestry practices that have helped the City maintain the designation of Tree City USA for twenty-eight consecutive years.
 - c. Adequately staff seasonal crews to facilitate optimal maintenance of parks and cemetery.
2. Promote **fiscal responsibility** by seeking ways to help offset costs of parks maintenance and forestry activities and to provide funding for additional activities. Identified tasks to help achieve this objective are:
 - a. Actively seek forestry grants to assist in the cost of purchasing trees.
 - b. Utilize competitive bidding process to ensure lowest acquisition costs for goods and services.
 - c. Seek opportunities to utilize volunteer help where appropriate.
 - d. Utilize Wexford County trustee help to reduce manpower costs.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Departmental Goals

3. Promote a **community spirit of trust** by responding to citizen comments and concerns in a timely fashion. Identified tasks to help achieve this objective are:
 - a. Develop a system to track citizen requests and complaints in order to measure response times and satisfactory resolutions.
 - b. Provide online submission venue for citizen concerns, comments and complaints.
4. Support our **strong commitment to monitoring the City's infrastructure** by continually evaluating and updating the infrastructure needs within the City. Identified tasks to help achieve this objective are:
 - a. Annually rank the condition of City streets.
 - b. Review and rank utility infrastructure needs below the streets.
 - c. Review and update Capital Improvement Program projects.
 - d. Design, bid and inspect all street and utility construction projects.
 - e. Update the Geographic Information System (GIS) with new utility information.
5. Enhance the City as a **highly appealing and desirable community** through maintenance practices that shall include:
 - a. Inspect and repair sidewalks thereby ensuring a safe walking environment for the public.
 - b. Continue the sign replacement program as well as maintaining the existing system of signs throughout the City.
 - c. Monitor and order repairs to all City lighting including streets, parks and the downtown business district.
 - d. Continue with the seasonal employment of a downtown maintenance worker who is responsible for sweeping sidewalks and side street parking spaces as well as resetting brick pavers and litter collection.
 - e. Optimize ice and snow control activities on State trunk lines, major and local streets and residential sidewalks.

Department: Community Development Department

Director: Jerry Adams

Performance Measures: Pages 84, 85, 139

Departmental Goals and Objectives:

To assist the City Council in achieving its mission, the **Community Development Department** will:

1. Promote a **well-managed and fiscally responsible community** by maintaining current information on the growth and development trends of the city and regional area. Supply this information to the City Council, City staff and others so as to allow these parties to make informed decisions founded on current data relevant to the issues at hand. Identified tasks for achieving this objective include:
 - a. Complete the Cadillac Area Market Study providing in-depth detail on market gaps in the commercial and industrial sectors.
 - b. Prepare an annual report detailing the growth in residential, commercial and industrial development.
 - c. Prepare a comprehensive user analysis of the city's recreational facilities to determine areas of need for purposes of funding.
2. Promote **fiscal responsibility** by carefully identifying, examining and pursuing local, state, and federal funding programs as a means of leveraging local dollars as well as providing for facilities and services potentially unavailable without the benefit of supplementary resources. Identified tasks for achieving this objective include:
 - a. Maintain an internal "grant alert program" informing city staff of potential local, state and federal grant funding programs.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Departmental Goals

- b. Pursue recreational grant funds through the Wexford County Recreational Millage Program.
 - c. Provide staff support to the Diggins Hill Committee as they solicit donations for the development of the Diggins Hill Community Park.
- 3. Enhance the City as a **highly appealing and desirable community** by fostering the growth and development of new facilities and services. Identified tasks for achieving this objective include:
 - a. In concert with the Arts Council, investigate the potential for opening an Art Gallery in Downtown Cadillac providing a location in which local artists may display and market their crafts.
 - b. Prepare a site design plan depicting an extension of the White Pine Trail into or near Downtown Cadillac.
- 4. Foster a **community spirit of trust** by instituting and participating in programs designed to inform and educate the public on community development matters. Identified tasks for achieving this objective include:
 - a. Expand the number of people identified as “friends” of the City’s Facebook website page. Concurrently, increase use of the website for displaying information on public programs, facilities and services.
 - b. As a representative of the city, serve as a guest speaker at meetings or events of local organizations addressing community development programs and services.
 - c. Using the public television station available to the city, produce a story (or live event) on the Lake Cadillac Invasive Species Management Program.
- 5. Promote the **City’s environmental well-being** by instituting programs designed to protect the City’s natural resources. Identified tasks for achieving this objective include:
 - a. Prepare an informational brochure encouraging people to follow best practices pursuant to preventing the spread of invasive aquatic species. Locally, distribute the brochure at sporting goods and bait shops, Mitchell State Park, Carl T. Johnson Hunting and Fishing Center and other relevant locations.
 - b. Institute a rotating series of educational displays/posters for placement in the Lake Cadillac kiosks dealing with the protection of the city’s natural resources.



Department: Police Department
Director: Captain Matt Wohlfeill (*Acting*)
Performance Measures: Pages 68, 69, 70, 71, 72, 73, 77

Departmental Goals and Objectives:

To assist the City Council in achieving its mission, the **Police Department** will:

- 1. Foster a **community spirit of trust and broad-based citizen involvement** by continuing to work with the community to reduce crime and increase the feeling of community safety. Identified tasks to help achieve this objective are:
 - a. Promote additional Neighborhood Watch groups to help identify and prevent criminal activity.
 - b. Involve Cadillac Community Policing Officer with local civic groups and community organizations.
- 2. Enhance the City as a **highly appealing and desirable community** by placing a high emphasis on traffic safety. Identified tasks to help achieve this objective are:
 - a. Perform traffic surveys to identify problem areas.
 - b. Utilize target enforcement zones to reduce speeds in residential zones and the downtown business district.
 - c. Focus on the increasing problem of operating under the influence of drugs by providing the necessary training and equipment to help officers recognize and combat this dangerous situation.

CITY OF CADILLAC, MICHIGAN
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Departmental Goals

3. Enhance the City as a **highly appealing and desirable community** by decreasing criminal activity such as larcenies, property damage, and breaking and entering. Identified tasks to help achieve this objective are:
 - a. Deploy additional personnel in targeted neighborhood districts.
 - b. Utilize the media and neighborhood groups to raise community awareness of current problems in order to promote early detection and reporting of suspicious activity.
4. Promote the City's **environmental well-being** by purchasing products and equipment for the department whenever possible that are environmentally friendly, safe, economical and that support local business when appropriate. Evaluate other operational opportunities to reduce emissions. Identified tasks to help achieve this objective are:
 - a. Evaluate environmental impact of equipment acquisitions and departmental activities.
 - b. Utilize Summer Patrol Officers on foot and on bikes to reduce fuel usage and emissions.
5. Promote a **well-managed and fiscally responsible community** by continuing current efforts and seeking out additional opportunities for co-operative mutual aid agreements with area public safety agencies. Identified tasks to help achieve this objective are:
 - a. Identify opportunities for joint in-house training utilizing local departmental instructors.
 - b. Promote sharing of specialized equipment with other local agencies to eliminate duplication in the acquisition of costly equipment.
 - c. Promote ongoing effort of joint specialty teams.
 - d. Utilize joint resources, training, personnel and specialty teams to collectively and effectively handle major incidents in our area.

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Department: Fire Department
Director: Captain Randy Norman (*Acting*)
Performance Measures: Pages 74, 75, 76, 77

Departmental Goals and Objectives:

To assist the City Council in achieving its mission, the **Fire Department** will:

1. Demonstrate a **strong commitment to public health and safety** by protecting local residents, businesses, and industries through fast, effective and efficient fire protection and emergency medical care. Identified tasks to help achieve this objective are:
 - a. Provide adequate training for all personnel.
 - b. Maintain safe, efficient, and updated fleet of safety and firefighting apparatus.
 - c. Minimize emergency response times.
2. Promote a **fiscally responsible community** by continuing partnerships with local agencies to provide efficient firefighting and emergency medical services. Identified tasks to help achieve this objective are:
 - a. Continue partnerships with Northflight and Clam Lake Township.
 - b. Continue and enhance mutual aid agreements with other local departments.
 - c. Develop county-wide training partnerships.
 - d. Enhance county-wide purchasing partnerships.
3. Promote a **strong community spirit of trust** and **broad-based citizen involvement** through community fire prevention and safety education, especially to "at-risk" groups like the very young and elderly. Identified tasks to help achieve this objective are:
 - a. Increase educational programs within local school systems.
 - b. Increase educational programs within local senior housing facilities.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Departmental Goals

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Department: Utilities Department

Director: Jeff Dietlin

Performance Measures: Pages 105, 106, 108, 111, 114, 117, 120, 121, 122, 123, 124, 125, 126

Departmental Goals and Objectives:

To assist the City Council in achieving its mission, the **Utilities Department** will:

1. Promote *fiscal responsibility* by advocating for and practicing prudent decision-making. Identified tasks to help achieve this objective are:
 - a. Evaluate staff to maximize potential workloads.
 - b. Evaluate equipment needs and develop a comprehensive preventative maintenance program to extend useful life of all equipment.
2. Foster a *community spirit of trust* by providing open and easy access to information and results. Identified tasks to help achieve this objective are:
 - a. Encourage local residents and groups to tour departmental facilities.
 - b. Provide annual results of water quality tests on the City website.

Water Resources Division

1. Promote *fiscal responsibility* by advocating for and practicing prudent decision-making. Identified tasks to help achieve this objective are:
 - a. Evaluate opportunities for new revenue such as accepting additional hauled waste.
 - b. Maintain a well-run digester to ensure the production of alternate fuel sources to offset costs of natural gas usage.
2. Promote an *environmentally conscious attitude* by advocating for and practicing environmentally prudent decision-making. Identified tasks to help achieve this objective are:
 - a. Maintain a well-run digester to ensure the production of alternate fuel sources to reduce natural gas usage.
 - b. Evaluate green component of future purchases.
 - c. Maintain discharge levels below required NPDES permit levels.
 - d. Maintain an active Industrial Monitoring Program to limit amount of industrial waste that is discharged into the waste water treatment system.

Water Distribution and Collection Division

1. Promote *fiscal responsibility* by advocating for and practicing prudent financial decision-making. Identified tasks to help achieve this objective are:
 - a. Evaluate opportunities for new revenue such as selling bulk water.
 - b. Maintain a well-run meter program with less than 1% mis-reads per month.
2. Promote *environmentally conscious attitude* by advocating for and practicing prudent environmental decision-making. Identified tasks to help achieve this objective are:
 - a. Clean at least 20,000 feet of sewers a year.
 - b. Achieve total coliform tests results of zero for the year.
 - c. Flush all fire hydrants within the City two times per year.
 - d. Continue preventative maintenance program for all fire hydrants in the City.
 - e. Evaluate green alternatives for new well field infrastructure.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Departmental Goals

Laboratory Division

1. Promote *fiscal responsibility* by advocating for and practicing prudent financial decision-making. Identified tasks to help achieve this objective are:
 - a. Evaluate opportunities for new revenue such as expanding customer base for laboratory services.
 - b. Increase number of tests that laboratory and staff are certified to perform.
 - c. Perform over 32,000 total tests annually.
 - d. Bill over \$45,000 for contract laboratory services to non-City of Cadillac accounts.
 - e. Provide a chemical hygiene course yearly to prevent accidental chemical exposure.
 - f. Maintain an MSDS record for chemical spill response.
2. Promote *environmentally conscious attitude* by advocating for and practicing prudent environmental decision-making. Identified tasks to help achieve this objective are:
 - a. Provide a place where total coliform measurements may be performed.
 - b. Maintain an updated and accurate record of chemicals at the Wastewater plant.
 - c. Give tours and classroom instruction for the schools around Cadillac.



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Tax Limitations

City of Cadillac - Truth-In-Assessing Calculations

The State of Michigan enacted Public Act 213 of 1981 on December 31, 1981 (MCL 211.43). This law provides for a reduction of the authorized millage rate if the City's Taxable Value based on assessed values for all classes exceeds its taxable value based on state equalized values for all classes. Property taxes levied should not exceed that which would have been levied based on the City's taxable value. The calculations for the Truth-In-Assessing reveal that the City is assessing equal to the State Equalization Taxable Valuation.

2012 Assessed Taxable Value	\$247,489,470		
2012 State Equalized Taxable Value	\$247,489,470		
Difference	<u>\$0</u>		
	<u>\$247,489,470</u>	equals	1.0000
	\$247,489,470		

City of Cadillac - Truth-In-Taxation Calculations

Effective February 9, 1982, the State of Michigan approved Public Act 5 of 1982, generally known as the Truth-In-Taxation. Briefly this law states that the ensuing fiscal year tax revenues, less additions, cannot exceed the concluding fiscal year tax revenue. If it does, then the ensuing fiscal year millage is rolled back so that the tax revenues generated will be the same as the concluding fiscal year. The figures are provided by the Wexford County Equalization Office. Based on this definition, the calculation would be as follows:

Base Tax Rate = Previous Year x		$\frac{2011 \text{ Total Taxable Value Minus } 2012 \text{ Losses Taxable Value}}{2012 \text{ Total Taxable Value Minus } 2012 \text{ Additions Taxable Value}}$			
Millage Rate					
13.9473	x	\$263,675,009	minus	\$3,971,135	
		\$247,489,470	minus	\$6,555,998	
13.9473	x	\$259,703,874			
		\$240,933,472			
13.9473	x	1.0779 (Base Tax Rate Factor)	=	15.0339	
15 mills is the base tax rate and charter maximum					
\$259,703,874	x	13.9473	\$3,622,167.84		
\$240,933,472	x	15.0339	\$3,622,167.84		
\$259,703,874	x	13.9473	\$3,622,167.84		
\$240,933,472	x	13.9473	<u>\$3,360,371.41</u>		
Net			<u><u>-\$261,796.43</u></u>		

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Tax Limitations

City of Cadillac - Headlee Amendment Calculations

In 1978, the voters of Michigan approved the Constitutional Amendment referred to as the Headlee Amendment. The resulting change in the Constitution and its implementing statutes is a formula that limits the maximum tax rates that may be levied by local governments. These limitations do not apply to pension and debt service levy authorizations.

The current 2012 taxable value is \$247,489,470, of which \$6,555,998 represents new value. After subtracting the net amount of new value, the Constitutional formula will further affect the City's millage rates only if last year's total taxable valuation is increased by an amount greater than the consumer price index (CPI), which for this fiscal year is 2.7%. The CPI is established by the State of Michigan. Based upon current estimates, the tax limitation formula will result in an adjustment of the tax rates for FY2013 as shown below:

2011 Taxable Value	\$263,675,009	
Less: Losses	<u>\$3,971,135</u>	
Net		\$259,703,874
Times the Consumer Price Index		<u>1.027</u>
Ceiling		\$266,715,879
2011 Taxable Value	\$247,489,470	
Less - Additions	<u>\$6,555,998</u>	
2011 Adjusted Value		<u>\$240,933,472</u>
Millage Reduction Factor (MRF)	Ceiling divided by adjusted value	1.1070
Current Millage Rate		<u>13.9473</u>
New Millage Rate as a result of the Headlee Amendment Rollback		<u><u>13.9473</u></u>

The Headlee Millage Rollback is not a factor this year.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
FY2013 General Appropriations Act



ORDINANCE NO. 2012-06

**ORDINANCE ADOPTING GENERAL APPROPRIATIONS ACT
FOR FISCAL YEAR 2013**

THE CITY OF CADILLAC ORDAINS:

Section 1, Title.

This Ordinance shall be known as the City of Cadillac General Appropriations Act For Fiscal Year 2013.

Section 2, Public Hearing on the Budget.

Pursuant to MCL 141.412 and Section 10.3 of the City Charter, notice of a public hearing on the proposed budget was published in a newspaper of general circulation on April 4, 2012, and a public hearing on the proposed budget was held on April 16, 2012.

Section 3, Expenditures.

The City hereby appropriates the expenditures for the fiscal year commencing July 1, 2012 and ending June 30, 2013 on a departmental and activity total basis as follows:

General Fund

Legislative	42,800
Office of the City Manager	232,800
Election Services	20,000
Financial Services	223,000
Assessing Services	143,000
Legal Services	141,500
City Clerk/Treasurer Department	271,300
Engineering Services	184,500
City Complex	285,000
Police Department	1,990,900
Code Enforcement	30,200
Fire Department	1,309,400
Public Works	873,600
Culture and Recreation	291,500
Economic Development and Assistance	146,000
Intergovernmental	101,500
Other	<u>520,000</u>

Total Expenditures	\$6,807,000
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CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
FY2013 General Appropriations Act

Section 4, Estimated Revenues.

The City estimates that revenues for the fiscal year commencing July 1, 2012 and ending June 30, 2013 will be as follows:

General Fund	
Taxes	4,389,000
Licenses & Permits	1,200
Intergovernmental	1,103,000
Charges for Services	904,500
Fines & Forfeits	30,000
Miscellaneous	52,500
Interest and Rents	61,500
Other Financing Sources	<u>265,300</u>
Total Revenues	\$6,807,000

Section 5, Budgets.

The City hereby approves budgets for the fiscal year commencing July 1, 2012 and ending June 30, 2013 for the following funds in the amounts set forth below:

	<u>Revenues</u>	<u>Expenses</u>
Governmental Funds		
Major Street Fund	645,000	645,000
Local Street Fund	737,600	737,600
Cemetery Operating Fund	136,200	133,400
Naval Reserve Center Fund	24,200	24,200
Cadillac Development Fund	51,900	51,900
Lake Treatment Fund	119,500	119,500
H.L. Green Operating Fund	17,900	500
2000 Special Assessment Debt Retirement	12,300	12,300
2002 Special Assessment Debt Retirement	12,100	12,100
2004 General Obligation Capital Improvement Bond	88,700	88,700
1997 Building Authority Debt Retirement	31,800	31,800
2000 Michigan Transportation Debt Retirement	35,800	35,800
Industrial Park Fund	39,000	24,100
Special Assessment Capital Projects Fund	291,500	291,500
Cemetery Perpetual Care Fund	28,000	11,100
Capital Projects Fund	20,000	500
 Proprietary Funds		
Auto Parking Fund	67,900	67,900
 Water & Sewer Fund	3,866,000	3,816,600
Capital		1,158,500
Debt Service		781,050

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
FY2013 General Appropriations Act

	<u>Revenues</u>	<u>Expenses</u>
Building Authority Operating Fund	197,400	111,500
Capital		45,000
Debt Service		125,000
Central Stores & Municipal Garage Fund	561,000	555,700
Capital		41,100
Debt Service		50,000
Information Technology Fund	240,100	237,400
Capital		150,000
Self-Insurance Fund	1,205,500	1,205,500
Employee Safety Fund	11,800	11,800
 Pension Trust Fund		
Police & Fire Retirement System	787,000	646,300
 Component Units		
Downtown Development Authority Operating Fund	38,200	36,900
Downtown Development Authority Capital Projects Fund	105,500	60,500
Local Development Finance Authority Operating Fund	333,100	333,100
Local Development Finance Authority Capital Projects Fund	130,000	100,500
Local Development Finance Authority Utility Fund	22,500	14,900
Brownfield Redevelopment Authority Operating Fund	30,500	30,500

Section 6, Millage Levies.

(a) The City will levy a tax of 13.9473 mills for the period of July 1, 2012 through June 30, 2013, on all real and personal taxable property in the City, according to the valuation of the same. This tax is levied for the purpose of defraying the general expense and liability of the City and is levied pursuant to Section 20.6, Article 20 of the City Charter. The maximum authorized levy according to the City Charter is 15.00 mills.

(b) The City further levies a tax of 2.60 mills for the period of July 1, 2012 through June 30, 2013, on all real and personal taxable property in the City, according to the valuation of the same. This tax is levied for the purpose of defraying the cost of supporting the retirement plan for personnel of the police and fire departments of the City pursuant to the provisions of Public Act 345 of 1937, as amended, as approved by a vote of the citizens of the City on November 8, 1977.

(c) The City further levies a tax of 0.50 mills for the period of July 1, 2012 through June 30, 2013, on all real and personal taxable property in the City, according to the valuation of the same. This tax is levied for the purpose of defraying the cost of treating milfoil and other invasive aquatic plant and animal species on Lake Cadillac, as approved by a vote of the citizens of the City on February 22, 2011.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
FY2013 General Appropriations Act

(d) The City further levies a tax of 1.9548 mills for the period of July 1, 2012 through June 30, 2013, on all real and personal taxable property in the City, according to the valuation of the same in a district known as the Downtown Development District. This tax is levied for the purpose of defraying the cost of the Downtown Development Authority.

Section 7, Adoption of Budget by Reference.

The general fund budget of the City is hereby adopted by reference, with revenues and activity expenditures as indicated in Sections 5 and 6 of this Act.

Section 8, Transfer Within Appropriation Centers.

The City Manager is hereby authorized to make budgetary transfers within the appropriation centers established throughout this budget. All transfers between appropriations may be made only by further resolution of the City Council pursuant to Section 10.5 of the City Charter and Section 19(2) of the provisions of the Michigan Uniform Accounting and Budget Act.

Section 9, Appropriations by Resolution.

The City Council may, by resolution, make additional appropriations during the 2013 Fiscal Year for unanticipated expenditures required of the City, but such expenditures shall not exceed the amount by which actual and anticipated revenues of the fiscal year are exceeding the revenues as estimated in the budget unless the appropriations are necessary to relieve an emergency endangering the public health, peace or safety.

Section 10, Effective Date.

This Ordinance shall take effect on July 1, 2012.

Approved this 21st day of May, 2012.

Christine L. Benson, Clerk

William S. Barnett, Mayor

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Charts & Graphs

Funds Formation

The financial structure of the City consists of various funds, which operate just like separate businesses within the organization and have their own set of balanced books. Budgets are adopted separately for each of these types of funds. Funds are differentiated between major and non-major funds. Major funds represent the significant activities of the City and basically include any fund where revenues or expenditures, excluding other financing sources and uses, constitute more than 10% of the revenues or expenditures of the appropriated budget. The breakdown of the City's fund structure is as follows:

Major Governmental Funds

Governmental fund financial statements focus on near-term inflows and outflows of spendable resources. The budgeting and accounting for Governmental Funds are recorded on a modified accrual basis. The main operating fund for the City of Cadillac, the General Fund is a major fund of the City and is used to account for the resources devoted to funding services traditionally associated with local government. It has some limited interaction with a majority of the other funds. The Major Street Fund and Local Street Fund, the City's two major Special Revenue funds, are used to account for the activity of the streets designated by the State of Michigan and to record construction and maintenance of these City streets.

Major Proprietary Funds

This type of fund accounts for the acquisition, operation and maintenance of government facilities and services which are entirely self-supported by user charges. The City of Cadillac incorporates both Enterprise Funds and Internal Service Funds into its processes. The major funds of this type include the Water and Sewer Fund, which provides water and sewer utility services to the City's 3,500 water and sewer customers, as well as the Cadillac Building Authority Operating Fund, which was formed to account for the rental of the Michigan DEQ building. Proprietary funds are budgeted and accounted for on a full accrual basis.

Non-major Special Revenue Funds

This type of fund is used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for specific purposes. Funds include: Cemetery Operating Fund, H.L. Green Operating Fund, Naval Reserve Center Fund, Cadillac Development Fund, and the Lake Treatment Fund. These funds are budgeted and accounted for on a modified accrual basis.

Non-major Debt Service Funds

This type of fund is used to account for the accumulation of resources for, and the repayment of general long-term debt, interest and related costs. These funds are budgeted and accounted for on a modified accrual basis. Funds include: 1997 Special Assessment Debt Retirement Fund, 2000 Special Assessment Debt Retirement Fund, 2002 Special Assessment Debt Retirement Fund, 2004 General Obligation Capital Improvement Debt Retirement, 1997 Building Authority Debt Retirement Fund, and 2000 Michigan Transportation Fund Debt Retirement Fund.

Non-major Capital Projects Funds

This type of fund is used to account for financial resources to be used for the acquisition or construction of capital facilities. Funds include: Industrial Park Fund and the Special Assessments Capital Projects Fund. These funds are budgeted and accounted for on a modified accrual basis.

Non-major Permanent Funds

This type of fund is used to report resources that are legally restricted to the extent that only earnings, not principal, may be used for purposes that support the City's programs. The City administers the Cemetery Perpetual Care Fund and the Capital Projects Trust Fund, which are both budgeted and accounted for on a modified accrual basis.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Charts & Graphs

Non-major Proprietary Funds

This type of fund accounts for the acquisition, operation and maintenance of government facilities and services which are entirely self-supported by user charges. The Auto Parking System Fund is the City's only nonmajor proprietary fund, and is budgeted and accounted for on a full accrual basis.

Internal Service Funds

Internal Service Funds account for services and/or commodities furnished by a designated program to other programs within the City. Funds include: Central Stores and Municipal Garage Fund, Information Technology Fund, Self-Insurance Fund and Safety Fund. These funds are budgeted and accounted for using a full accrual basis.

Pension Trust Funds

Pension Trust Funds account for assets of the Police and Fire Retirement System, which is a pension plan held in trust for members and beneficiaries.

Component Units

Component units are legally separate organizations for which the City is financially accountable. A component unit can be another organization for which the nature and significance of its relationship is such that exclusion would cause the City's financial statements to be misleading or incomplete. Organizations presented in this budget document that represent component units of the City are as follows:

Major Component Units

The Local Development Finance Authority Operating Fund was established to operate the groundwater cleanup in the industrial park, and is budgeted and accounted for on a modified accrual basis.

Non-major Component Units

Non-major component units are the Downtown Development Authority Fund, Downtown Development Authority Capital Projects Fund, Local Development Finance Authority Utilities Fund, Local Development Finance Authority Capital Projects Fund, and the Brownfield Redevelopment Authority Fund. The Local Development Finance Authority Utilities Fund is budgeted and accounted for on a full accrual basis, while all other non-major component units are budgeted and accounted for on a modified accrual basis.

The City's comprehensive annual financial report contains several funds for which no funds are appropriated and therefore not included in this document. These funds include debt service funds that have been eliminated due to the debt being paid off, or other funds for which the fund's purpose has been accomplished making further budgeting unnecessary.

CITY OF CADILLAC, MICHIGAN

2012-2013 ANNUAL OPERATING BUDGET

Charts & Graphs

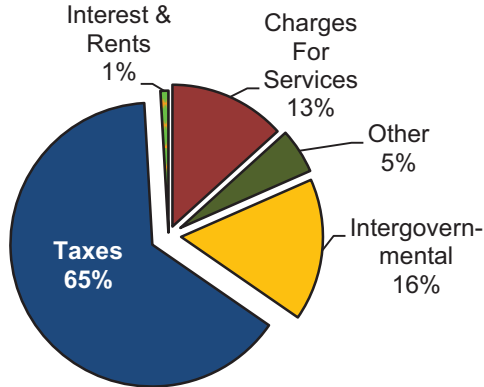
General Fund Highlights

As its name implies, the General Fund is the main operating fund of the City of Cadillac. This fund is where the property taxes levied on real and personal property within the City are recorded. Many of the typical services provided by a local unit of government – including property tax collections, general administration, police and fire services, culture and recreation, and economic development administration are found in the General Fund.

Revenue

The principal source of revenue for the General Fund is **Property Taxes**. Overall, the City will experience the loss of about 3% for the current fiscal year, on top of a 1.6% decline experienced in FY2012. Also accounted for in the General Fund are **Intergovernmental Revenues**, which principally consists of revenue shared from the State of Michigan, mostly from the generation of sales taxes. This source of revenue has also experienced significant declines in the last several years. **Charges for Services** are generated by solid waste collection charges, and administrative charges generated from other City-wide funds and activities.

General Fund Revenues by Type
FY2013



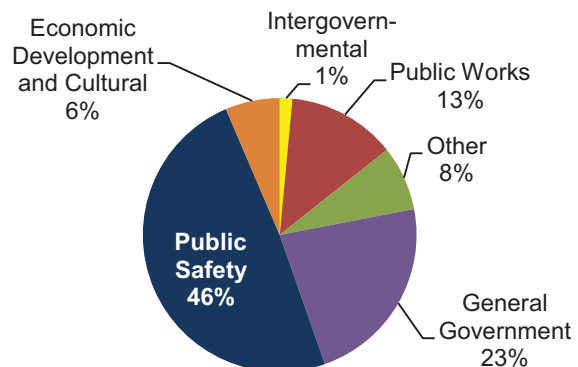
Source	Amount
Charges For Services	\$904,500
Other	349,000
Intergovernmental	1,103,000
Taxes	4,389,000
Interest & Rents	61,500
Total	\$6,807,000

Expenditures

General Fund expenditures decreased 2.5% for FY2013. This decrease is further detailed in the General Fund budget section. Other Financing expenditures include amounts transferred to other funds, the majority of which is the amount that is contributed to the Local Street Fund, which is \$425,000 and the Cemetery Operating Fund, which is \$75,000 for FY2013.

General Fund Expenditures by Activity
FY2013

Activity	Amount
Intergovernmental	\$101,500
Public Works	873,600
Other	520,000
General Government	1,543,900
Public Safety	3,330,500
Economic Development and Cultural	437,500
Total	\$6,807,000



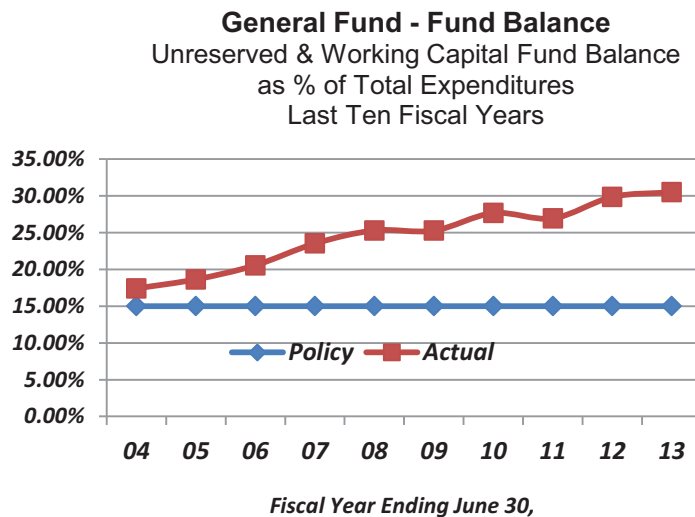
CITY OF CADILLAC, MICHIGAN

2012-2013 ANNUAL OPERATING BUDGET

Charts & Graphs

Fund Balance

The General Fund seeks to maintain unreserved fund balance of at least 15% of total fund expenditures. This helps to insure that the City will have the cash on hand to cover any significant unforeseen expenditures and will be able to maintain sufficient cash flow to cover all expenditures in times of slower revenue collections. This eliminates the need for short-term borrowing to fund operations.



As seen in the chart to the left, this policy goal has been met for the last ten years. A portion of the unreserved fund balance has been designated for the working capital reserve, while an additional designation has been made to set aside funds for accrued sick and vacation leave that has been earned but unused by full-time City staff. For FY2013 the City is expected to use about \$265,300 in reserve to balance the budget. This utilization will not cause the overall unreserved fund balance to fall below the policy benchmark of 15% of total General Fund expenditures. In fact, unreserved fund balance will stay above 25% of total expenditures.

Retirement and Other Post-Employment Benefit (OPEB) Liabilities

The City of Cadillac has three components of post-retirement benefits that are available to City employees. The appointed board of the **Act 345 Police and Fire Retirement System** administers the retirement benefits for all sworn police officers and fire fighters. The required contributions to this system are calculated annually by an actuary and are funded through a special millage. Virtually all full-time employees of the City who are not sworn police officers or fire fighters are a member of the **Municipal Employees Retirement System of Michigan (MERS)**, an agent multiple-employer system that administers the benefits and manages the assets of the system. Finally, many current full-time employees are eligible for certain **other post-employment benefits (OPEB)** including life insurance and medical insurance until age 65. Details of these three systems are presented below.

Status: ■ = Negative ■ = Watch ■ = Positive

Act 345 Police & Fire Retirement System

	Valuation Date				Status
	6/30/2008	6/30/2009	6/30/2010	6/30/2011	
Actuarially Accrued Liabilities	\$9,936,669	\$9,985,089	\$10,326,784	\$10,852,937	■
Actuarial Value of Assets	7,080,392	6,549,608	7,188,395	7,989,372	■
Unfunded Liabilities	\$2,856,277	\$3,435,481	\$3,138,389	\$2,863,565	■
% Funded	71%	66%	70%	74%	■
Average Pension	\$18,298	\$18,298	\$18,298	\$19,137	■
Annual Pension Costs	\$558,831	\$567,170	\$504,692	\$504,692	■
% of Annual Costs Contributed	100%	100%	100%	100%	■

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Charts & Graphs

Municipal Employees Retirement System

	Valuation Date				Status
	12/31/2007	12/31/2008	12/31/2009	12/31/2010	
Actuarially Accrued Liabilities	\$9,110,089	\$9,662,420	\$9,756,969	\$9,911,006	
Actuarial Value of Assets	9,811,375	9,852,998	9,831,879	9,974,058	
Unfunded Liabilities	(\$701,286)	(\$190,578)	(\$74,910)	(\$63,052)	
% Funded	108%	102%	101%	101%	
Average Pension	\$10,023	\$10,841	\$11,037	\$11,188	
Annual Pension Costs	\$94,522	\$84,146	\$90,623	\$120,325	
% of Annual Costs Contributed	100%	100%	100%	100%	

Other Post-Employment Benefits (OPEB)

	Valuation Date		Status
	12/31/2006	01/01/2010	
Actuarially Accrued Liabilities	\$5,059,343	\$3,453,575	
Actuarial Value of Assets	504,955	1,674,400	
Unfunded Liabilities	\$4,554,388	\$1,779,175	
% Funded	10%	52%	
Annual Costs		\$475,203	
% of Annual Costs Contributed		92%	

Cost saving measures have been an ongoing effort for several years, especially geared toward reducing OPEB liabilities. As of July 1, 2009 no new hires in any City employment group are eligible for retiree medical care coverage. Small life insurance policies are still available to eligible retirees.

Total Unfunded Retirement and Other Post-Employment Benefit Liabilities

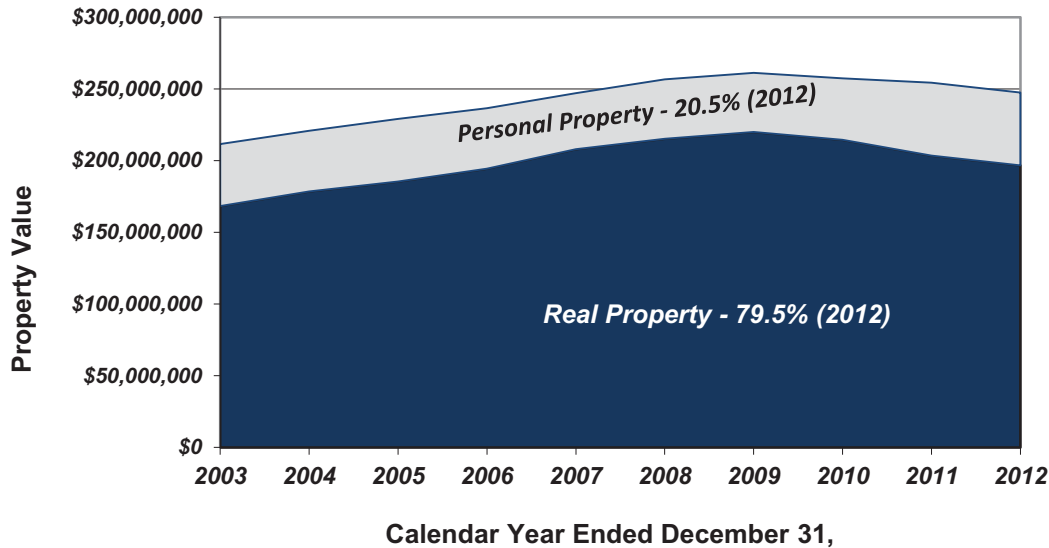
Though unfunded liabilities exist, the City continues to budget sufficiently to make 100% of the annual required contributions for each system. Taken as a whole, total unfunded liabilities for the three systems are:

System	Unfunded Liability (Prior Valuation)	Unfunded Liability (Current Valuation)	% Funded	Status
Act 345 Police & Fire Retirement System	\$3,138,389	\$2,863,565	74%	
Municipal Employees Retirement System	(74,910)	(63,052)	101%	
Other Post-Employment Benefits	1,779,175	1,779,175	52%	
Total Unfunded Liabilities	\$4,842,654	\$4,579,688		

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Charts & Graphs

Taxable Value of Property

After many years of slow but steady growth, the taxable value of property located within the City of Cadillac has been dropping for the last several years. It is expected that after the 1.2% drop in 2012, the value will lose an additional 4% for FY2013. Overall, historical taxable value trends are presented below.



Tax Levy Year	Ad Valorem		Total Taxable Value	L.D.F.A. (1)	D.D.A. (2)
	Real	Personal			
2003	168,351,258	43,240,100	\$211,591,358	14,584,496	15,532,836
2004	178,542,129	42,307,800	\$220,849,929	13,876,588	16,082,462
2005	185,450,903	43,661,600	\$229,112,503	1,602,365	15,677,423
2006	194,425,780	40,780,000	\$235,205,780	1,807,048	15,871,650
2007	207,618,135	40,257,800	\$247,875,935	2,196,027	15,348,803
2008	216,182,622	41,724,100	\$257,906,722	2,469,322	15,781,546
2009	221,461,643	41,225,600	\$262,687,243	2,576,226	15,884,335
2010	215,150,891	42,875,150	\$258,026,041	2,577,482	15,132,051
2011	203,535,076	50,840,200	\$254,375,276	2,356,704	15,361,710
2012	196,705,080	50,791,900	\$247,496,980	2,440,332	15,609,301

(1) Base value for LDFA is \$551,400. Taxes captured for FY2013 anticipated to be \$26,346 from the operating millage levy, and \$4,911 from Police and Fire Retirement millage levy. The LDFA also captures \$5,279,725 in value from Industrial Facilities Tax Exemption certificates. This generates an additional capture of City taxes of \$36,819 from the operating levy, and \$6,864 from the Police and Fire Retirement levy.

(2) Base value for DDA is \$11,654,550. Taxes captured for FY2013 anticipated to be \$55,158 from the operating millage levy, and \$10,282 from the Police and Fire Retirement millage levy.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Charts & Graphs

Residential Taxable Values

Residential class parcels comprise 80% of the total parcels within the City of Cadillac. These parcels make up about 50% of the total taxable value of property within the City. Over the last five years, residential class parcels have experienced the following changes:

	2008	2009	2010	2011	2012	5-Year Change
Residential Class	<i>(Projected)</i>					
Assessed Value (AV)	\$175,907,783	\$175,056,172	\$155,262,100	\$137,661,800	\$131,431,300	(\$44,476,483)
Change	0.98%	-0.48%	-11.31%	-11.34%	-4.53%	-25.28%
Taxable Value (TV)	\$137,864,992	\$142,305,980	\$136,835,782	\$128,185,312	\$123,405,028	(\$14,459,964)
Change	4.63%	3.22%	-3.84%	-6.32%	-3.73%	-10.49%
Gap	\$38,042,791	\$32,750,192	\$18,426,318	\$9,476,488	\$8,026,272	
Gap as % of TV	27.59%	23.01%	13.47%	7.39%	6.50%	
TV/AV	78.37%	81.29%	88.13%	93.12%	93.89%	

Average Residential Taxable Value

The dramatic drop in residential values has also reduced the tax burden for the average homeowner. For the last ten years, the average taxable value of a home and the City taxes levied against it has trended as follows:

Tax Year	Average Home Taxable Value	City Millage	Average Tax Bill
2003	\$33,541	15.55	\$521.56
2004	\$29,161	15.75	\$459.29
2005	\$30,259	15.75	\$476.58
2006	\$35,333	16.65	\$588.30
2007	\$36,775	16.75	\$615.98
2008	\$38,317	16.55	\$634.15
2009	\$39,728	16.55	\$657.50
2010	\$38,244	16.55	\$632.93
2011	\$35,746	17.05	\$609.47
2012	\$34,394	17.05	\$586.41



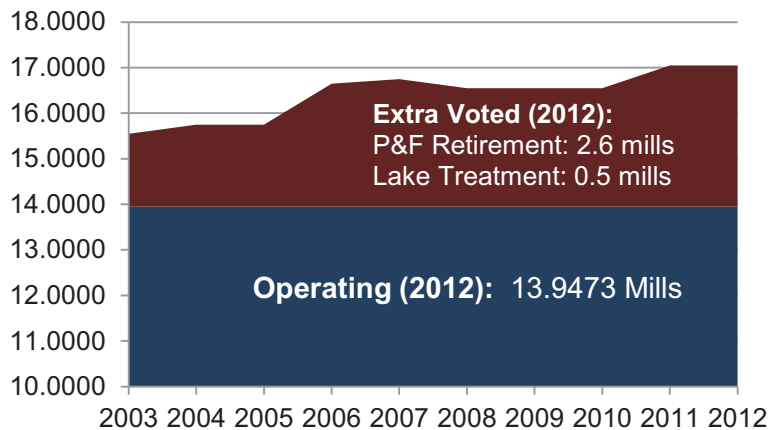
CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Charts & Graphs

Local Property Tax Rates

City of Cadillac Tax Rates

Last Ten Years

(1 mill = \$1 per \$1,000 in taxable value)



The operating millage for the City of Cadillac has been unchanged for many years. The added voted millage for the police and fire retirement system has fluctuated between 1.4 and 2.8 mills and is now levied at 2.6 mills. This rate may fluctuate based on the annual required contribution to the Police and Fire Retirement System as calculated each year by the system's actuary. In February 2011 the Cadillac voters approved an additional millage of 0.5 mills that will be dedicated for treatment of Eurasian water milfoil and other invasive aquatic species on Lake Cadillac.

Total Property Taxes
Last Ten Years

	City Taxes			Overlapping Tax Rates							
Tax					Cadillac- Wexford	Council	Cadillac-	Cadillac			Direct and
Levy	Extra	Total		Wexford	Transit	On	Wexford	Area	Wexford	State	Overlapping
Year	General	Voted (1)	City	County (2)	Authority	Aging	Library	Schools (3)	ISD	Tax	Tax Rate
2002	13.9473	1.4000	15.3473	8.1680	0.4000	0.9950	0.6500	21.3760	6.0388	6.0000	58.9751
2003	13.9473	1.6000	15.5473	8.1040	0.3910	0.9872	0.6838	21.3005	6.0003	5.0000	58.0141
2004	13.9473	1.8000	15.7473	8.0890	0.3960	0.9942	0.6825	21.4506	5.9853	6.0000	59.3449
2005	13.9473	1.8000	15.7473	8.0665	0.3948	0.9913	0.6805	21.4505	5.9614	6.0000	59.2923
2006	13.9473	2.7000	16.6473	8.0797	0.6000	0.9976	0.6785	20.5505	5.9419	6.0000	59.4955
2007	13.9473	2.8000	16.7473	8.0797	0.6000	0.9976	0.6785	20.9000	5.9419	6.0000	59.9450
2008	13.9473	2.6000	16.5473	8.2797	0.6000	0.9976	0.7500	20.9000	5.9419	6.0000	60.0165
2009	13.9473	2.6000	16.5473	8.2797	0.6000	1.0000	0.7500	20.9000	5.9419	6.0000	60.0189
2010	13.9473	2.6000	16.5473	8.2297	0.6000	1.0000	0.7500	20.9000	5.9419	6.0000	59.9689
2011	13.9473	3.1000	17.0473	8.2297	0.6000	1.0000	0.7500	20.9000	5.9419	6.0000	60.4689

(1) Extra voted millage for City Taxes includes 2.6 mills for Act 345 Police and Fire Retirement, and 0.5 mills for Lake Cadillac Treatment.

(2) Wexford County rate includes allocated mills of 6.7797, 0.25 mills for Recreation, 0.95 mills for Road Patrol, and 0.25 mills for Animal Control.

(3) Cadillac Area Public Schools rate includes 18 mills for operating and 2.9 mills for debt service.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Charts & Graphs

Millage Rate Benchmarks

Property Tax Benchmark Communities	Total Millage	General Operating	Police & Fire	Other
Big Rapids	15.2729	10.2000	2.8073	2.0676
Sault Saint Marie	21.5393	16.8139	3.3922	1.3332
Mt. Pleasant	15.7500	12.4880	0.9120	2.3500
Manistee	18.4457	16.9457	0.0000	1.5000
Alpena	17.3316	16.2316	0.0000	1.1000
Cadillac	17.0473	13.9473	2.6000	0.5000

The information in the chart above illustrates that the City of Cadillac compares favorably with other similar communities in northern Michigan.

Total Tax Burden

The information presented below shows the total tax burden of property owners within the City of Cadillac for several classes of properties. Properties with a principal residence exemption (PRE) are exempt from school operating taxes. Properties within the Downtown Development Authority are subject to an additional millage of 1.9872 mills to fund downtown development activities.

		Property Type and Total Taxes at average taxable value of \$50,000					
Taxing Unit	Millage Rate	Principal Residence		Non-Principal Residence		DDA	
City of Cadillac		Millage	Taxes	Millage	Taxes	Millage	Taxes
City Operating	13.9473	13.9473	\$697.37	13.9473	\$697.37	13.9473	\$697.37
Police & Fire Retirement	2.6000	2.6000	130.00	2.6000	130.00	2.6000	130.00
Lake Cadillac Treatment	0.5000	0.5000	25.00	0.5000	25.00	0.5000	25.00
Downtown Development Authority	1.9872	N/A	0.00	N/A	0.00	1.9872	99.36
Wexford County							
Allocated	6.7797	6.7797	338.99	6.7797	338.99	6.7797	338.99
Recreation	0.2500	0.2500	12.50	0.2500	12.50	0.2500	12.50
Animal Control	0.2500	0.2500	12.50	0.2500	12.50	0.2500	12.50
Road Patrol	0.9500	0.9500	47.50	0.9500	47.50	0.9500	47.50
Cadillac-Wexford Transit Authority	0.6000	0.6000	30.00	0.6000	30.00	0.6000	30.00
Cadillac-Wexford Public Library	0.7500	0.7500	37.50	0.7500	37.50	0.7500	37.50
Council on Aging	1.0000	1.0000	50.00	1.0000	50.00	1.0000	50.00
Cadillac Area Public Schools							
Operating	18.0000	Exempt	0.00	18.0000	900.00	18.0000	900.00
Debt	2.9000	2.9000	145.00	2.9000	145.00	2.9000	145.00
State Education Tax	6.0000	6.0000	300.00	6.0000	300.00	6.0000	300.00
Wexford-Missaukee Intermediate School District	5.9419	5.9419	297.10	5.9419	297.10	5.9419	297.10
Total	62.4561	42.4689	\$2,123.46	60.4689	\$3,023.46	62.4561	\$3,122.82

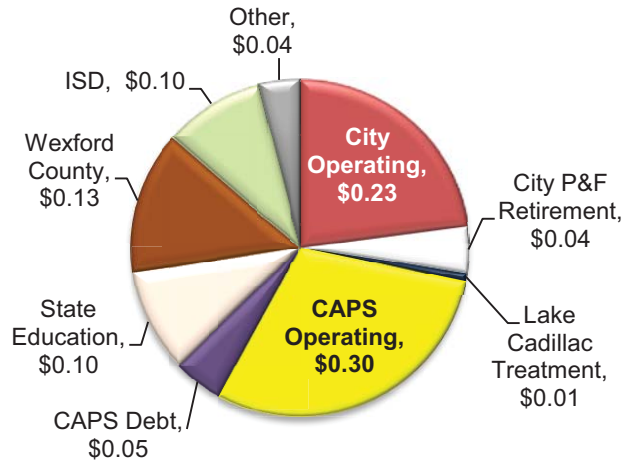
CITY OF CADILLAC, MICHIGAN

2012-2013 ANNUAL OPERATING BUDGET

Charts & Graphs

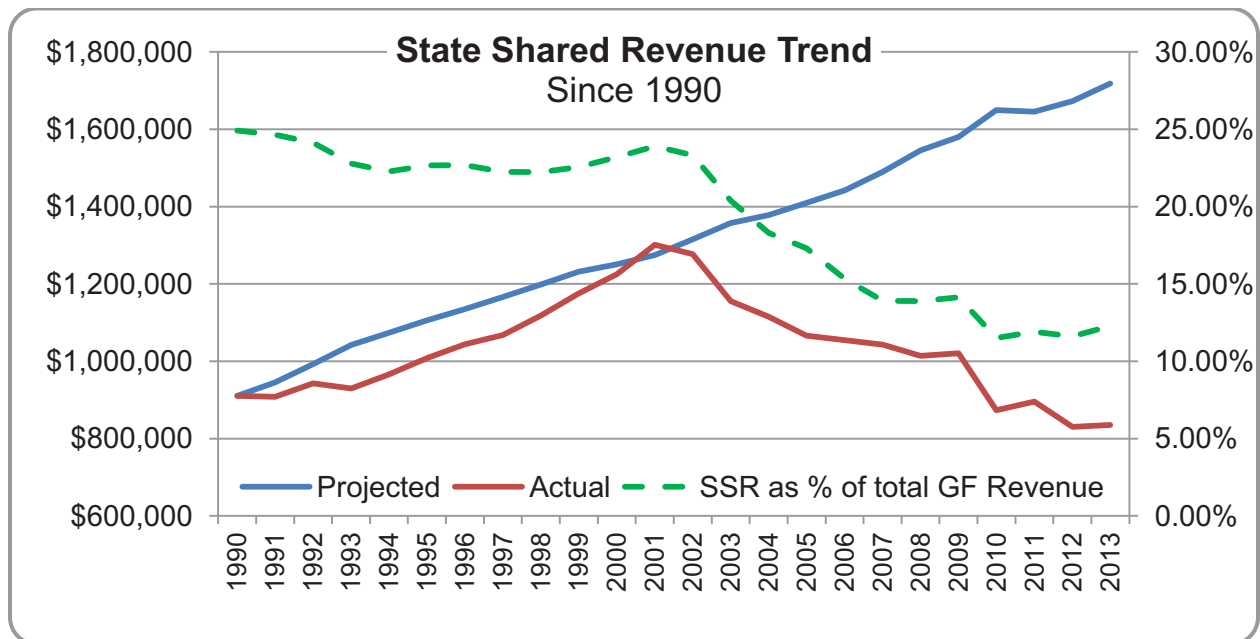
Tax Allocation

When a property owner within the City of Cadillac pays their annual tax bills, a common misperception is that the entire amount collected stays at the City. In reality, only about \$0.28 of every \$1 in taxes paid is for the City. The other portion is collected on behalf of the other taxing jurisdictions and is then paid to the jurisdiction within a couple weeks of collection, as governed by state law. The actual allocation of an average tax bill on a non-principal residence within the City of Cadillac is illustrated in the chart to the right. If the property were a principal residence, about \$0.39 of every \$1 in taxes remains at the City.



State Shared Revenue

Another significant revenue source at the City of Cadillac is State Shared Revenue. This revenue has been on the decline for several years. The 'Budget Summaries' section of this document gives greater detail on the specific characteristics of this important source of revenue and the current projections and sentiment about what will happen to it in the upcoming years. The chart below shows several things. First, the blue line on the chart shows the actual revenue received in 1990 and projects annual increases based on the Consumer Price Index. Essentially, this is the trend line that this revenue "should have followed". The red line shows what actually happened since 1990 and reflects a trend that has been difficult for the City to absorb financially. Finally, the dashed green line illustrates (on the right axis of the chart) the percentage of total General Fund revenue provided by these funds.



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Charts & Graphs

Principal Taxpayers

CITY OF CADILLAC, MICHIGAN
PRINCIPAL PROPERTY TAX PAYERS
CURRENT YEAR AND NINE YEARS AGO

Taxpayer	2011			2002		
	Taxable Value	Rank	Percentage of Total City Taxable Value ^a	Taxable Value	Rank	Percentage of Total City Taxable Value ^b
Cadillac Renewable Energy ^c	\$12,971,767	1	5.05%	\$17,607,997	2	7.57%
Cadillac Casting ^d	10,760,600	2	4.19%	18,381,188	1	7.91%
Paulstra CRC Corporation	6,423,506	3	2.50%	3,182,706	10	1.37%
Consumers Energy	6,117,949	4	2.38%			
Rexair, Inc.	5,074,061	5	1.97%	7,111,981	4	3.06%
AAR Cadillac Manufacturing	5,009,448	6	1.95%	4,026,660	7	1.73%
Avon Automotive	4,481,800	7	1.74%			
FIAMM Technologies, Inc.	4,110,884	8	1.60%	6,124,054	5	2.63%
925 Frisbie Street LLC ^e	3,703,662	9	1.44%	3,781,187	8	1.63%
Borgwarner Inc.	3,443,000	10	1.34%			
Avon Rubber & Plastics				9,021,527	3	3.88%
Michigan Rubber				4,898,039	6	2.11%
Transpro Group, Inc.				3,443,851	9	1.48%
Totals	<u>62,096,677</u>		<u>24.16%</u>	<u>77,579,190</u>		<u>33.37%</u>

Source: City of Cadillac Treasurer's Office

^a Based on total taxable value of \$256,981,971.

^b Based on total taxable value of \$232,466,710.

^c Formerly Beaver MI Associates LTD Partnership.

^d Formerly CMI Cast Parts.

^e Formerly Four Winns Boats, LLC.

The chart above indicates that the City of Cadillac is less reliant on the top ten taxpayers within the City than ten years ago.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Charts & Graphs

Employment Statistics

Full-Time Equivalent Employees by Activity

Last Ten Years

<u>Department</u>	<u>2004</u>	<u>2005</u>	<u>2006</u>	<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>
<u>General Government</u>										
City Manager	1.50	1.50	1.50	1.50	1.50	1.50	1.50	1.50	1.50	2.20
Assistant City Manager	1.00	0.90	0.90	0.90	0.90	0.90	0.80	0.98	1.22	0.00
Financial Services	2.20	1.94	1.94	1.94	1.94	1.94	2.25	2.25	2.25	2.25
Clerk/Treasurer	4.00	4.00	4.00	4.00	4.00	4.00	4.00	4.00	3.88	3.80
Assessor	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
City Hall	1.70	1.30	1.30	1.30	1.30	1.10	1.28	1.28	1.33	1.00
City Engineer	2.41	2.41	2.41	2.41	2.41	2.41	2.41	2.51	1.79	1.80
<u>Public Safety</u>										
Police	17.15	18.41	18.41	18.41	17.41	17.06	16.41	16.91	16.91	17.36
Fire	11.50	11.50	11.50	11.50	11.50	11.85	11.85	11.85	11.85	11.50
Code Enforcement								0.40	0.50	0.50
Building Inspector	1.28	1.38	1.38	1.38	1.38	1.38	1.38	0.88	0.00	0.00
Planning/Zoning	1.21	1.21	1.21	1.21	1.21	1.21	1.21	1.21	1.21	1.55
<u>Other</u>										
Public Works	14.17	14.22	14.22	14.22	14.22	14.22	14.03	13.03	13.03	12.10
Data Processing	1.20	1.26	1.06	1.06	1.06	0.06	0.00	0.30	0.30	0.30
Auto Parking	0.35	0.35	0.09	0.09	0.09	0.09	0.09	0.09	0.09	0.09
Water/Sewer	21.20	21.20	21.00	21.00	20.00	20.00	20.00	19.00	19.87	20.00
Community Dev.	0.30	0.40	0.40	0.40	0.40	0.40	0.40	0.40	0.40	0.65
Cemetery	0.68	0.68	0.68	0.68	0.68	0.92	0.92	0.92	0.90	0.90
Total FTE	81.80	82.00	82.00	81.00	79.00	79.00	77.00	77.00	77.00	76.00

Employment Analysis

As the above chart illustrates, FTE levels have declined by three employees since FY2009. Lack of funding has forced further reductions in staff over the last several years. This was primarily accomplished through attrition and consolidation of duties. An allocation analysis was undertaken recently, and some re-allocations were made in an effort to maintain service levels as much as possible with reduced full-time staff. This accounts for the minor changes seen in the chart.

Employment Benchmarks

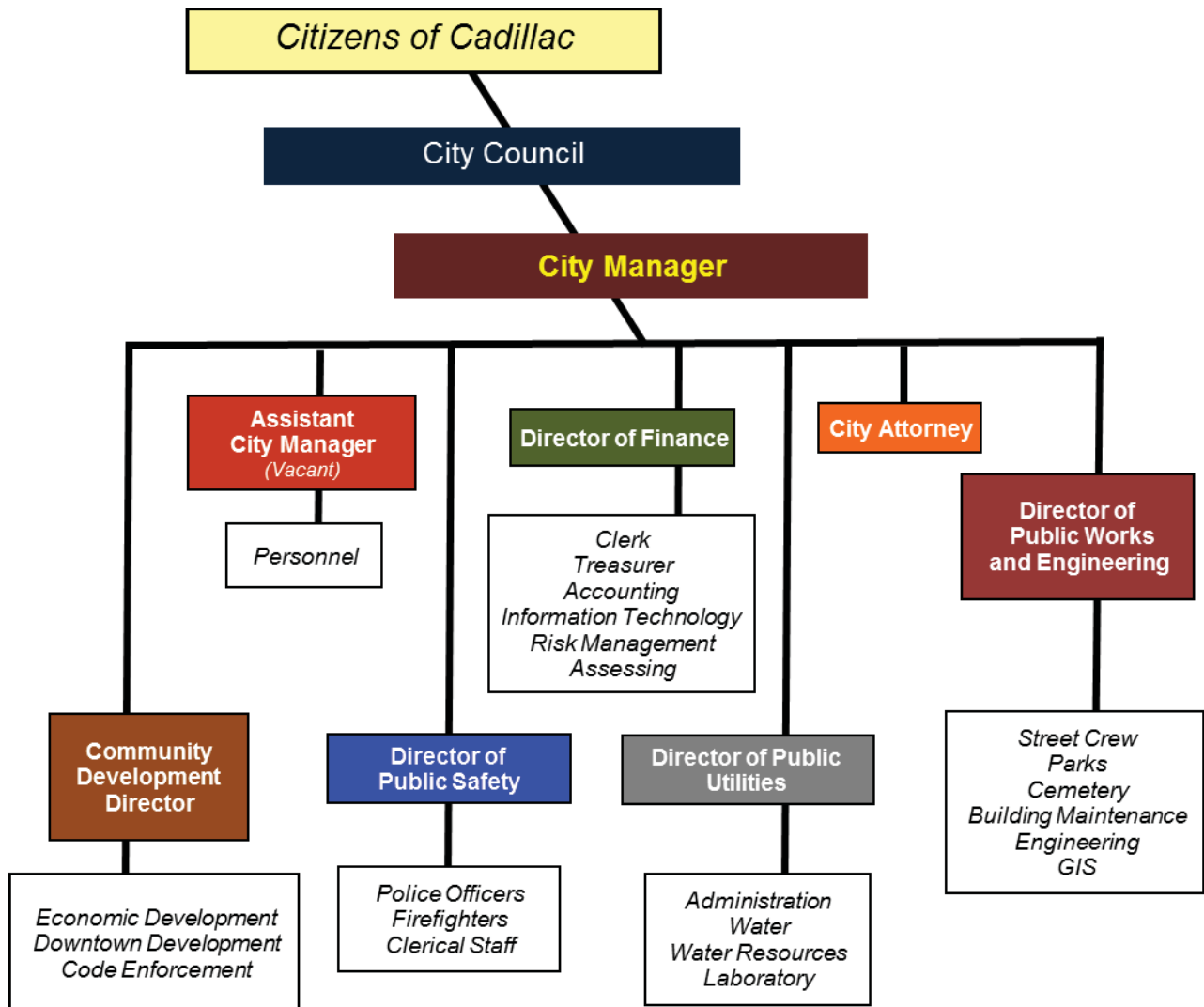
Comparable Communities	Population	FTE	Ratio	FTE per 1000 residents
Big Rapids	10,849	81	1:134	7.47
Alpena	11,304	74	1:153	6.55
Traverse City	14,532	158	1:92	10.87
Manistee	6,586	57	1:116	8.65
Sault St. Marie	16,542	125	1:132	7.56
Cadillac	10,355	76	1:136	7.33

Cadillac has 1 FTE per 134 residents. This comparison has many inherent variables, but in general a higher ratio indicates greater efficiency in service delivery. City employment peaked in 1993 at 91 FTE. Current employment level represents a 15% decline since the 1993 peak.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Charts & Graphs

City of Cadillac Chart of Organization

As of July 1, 2012

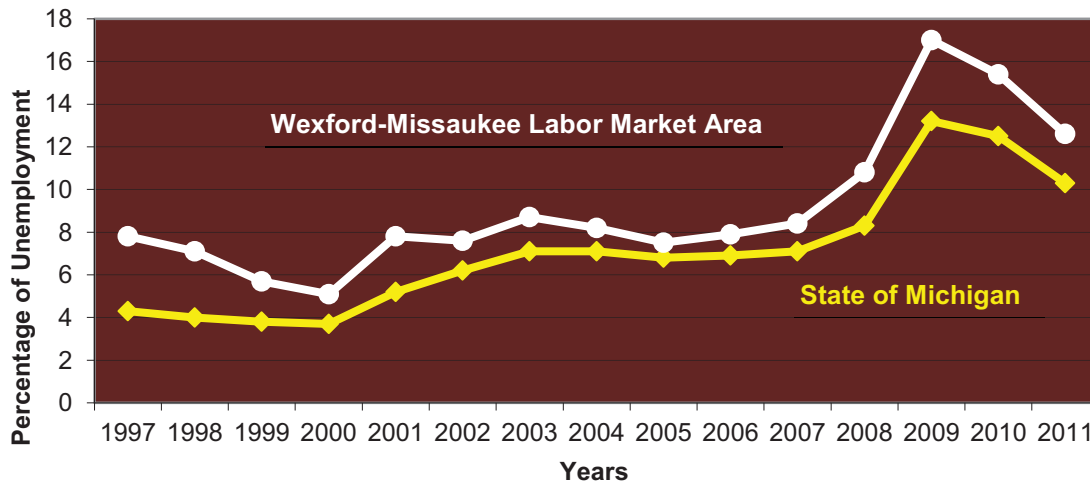


CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Charts & Graphs

Other Demographic Data

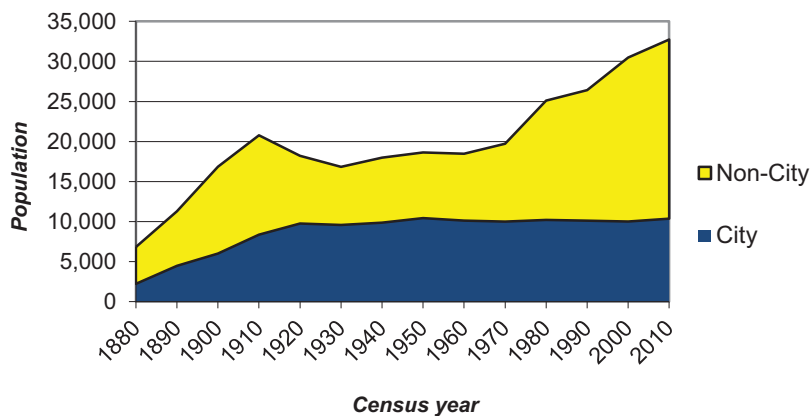
Yearly Average Unemployment Statistics

Local Labor Market Area (Wexford-Missaukee) and State of Michigan
Last Fifteen Years



Total Population

Wexford County and City of Cadillac
Since 1880



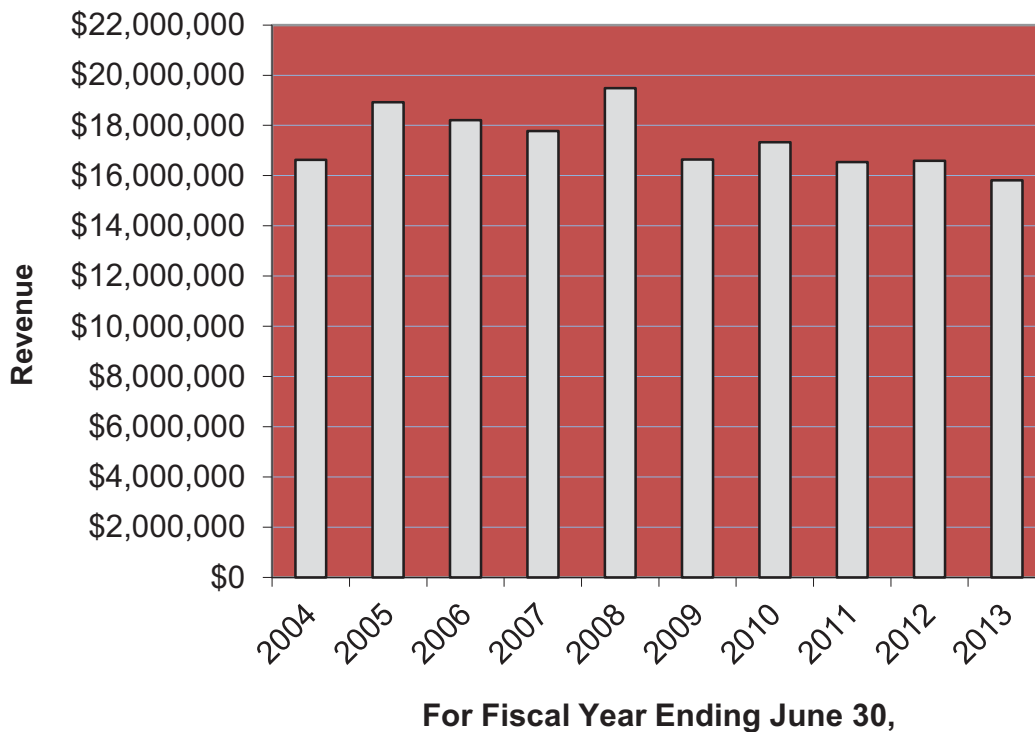
The most recent 2010 census numbers were recently released. The result for the City of Cadillac was an increase of 355 residents, or 3.6% increase since the prior census.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Budget Summaries

2012-2013 Budget Summary

The Budget Summary section, as its name implies, is designed to give the reader a big-picture overview of the City of Cadillac's budget as a whole. The section offers this summary not only graphically with the chart below, by the numbers in the following charts, and then textually in the last two pages of the section, where some discussion is given regarding the City's most significant sources of revenue.

City of Cadillac
Total Revenue and Other Sources
Last Ten Fiscal Years



The growth in total City revenues will vary based on grants, tax increases, service charges, and other adjustments to the revenue stream.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Budget Summaries

	Major Governmental Funds			Major Proprietary Funds		
	General Fund	Major Street Fund	Local Street Fund	Water and Sewer Fund	Building Authority Operating Fund	Nonmajor Governmental Funds (2)
<i>(All numbers in thousands)</i>						
Revenues and Other Sources:						
Taxes	\$4,389					\$119
Licenses and Permits	1					
Intergovernmental	1,103	\$633	\$190			
Charges For Services	905			\$3,804		59
Fines and Forfeits	30					
Miscellaneous	53			2		
Other Financing Sources						35
Local Funds			440			210
Rental					196	7
Principal Payment						74
Interest Income - Loan						23
Interest Income	61			60	2	63
Total	\$6,542	\$633	\$630	\$3,866	\$198	\$590
Expenditures:						
General Government	\$1,544					
Public Safety	3,331					
Public Works	874					
Culture and Recreation	291					
Economic Development	146					\$36
Intergovernmental	101					
Other Financing Uses	520					
Audit						
Operating		551	463	2,572	49	305
Capital Outlay						
Transfer to Debt		34	106			10
Construction		60	140			290
Principal			26			163
Interest			2	320	23	33
Non-Operating				925	40	
Total	\$6,807	\$645	\$737	\$3,817	\$112	\$837
Excess (Deficiency) of Revenues over Expenditures (1)	(\$265)	(\$12)	(\$107)	\$49	\$86	(\$247)
Fund Balances - Beginning	\$2,394	\$115	\$186	\$15,357	\$847	\$3,630
Ending	\$2,129	\$103	\$79	\$15,406	\$933	\$3,383

(1) Per State mandate, any deficiencies will be offset by the use of prior year's earnings. Budget staff has determined that sufficient prior year's earnings are available to offset each deficiency.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Budget Summaries

				COMPARISON		
				FY2013	FY2012	FY2011
				Totals	Budget	Actual
				Totals	Totals	Totals
<i>(All numbers in thousands)</i>						
Revenues and Other Sources:	Nonmajor Proprietary Funds (3)	Pension Trust Fund	Component Units			
Taxes			\$504	\$5,012	\$5,127	5,204
Licenses and Permits	\$2			3	2	2
Intergovernmental	250			2,176	2,341	2,408
Charges For Services	27		20	4,815	4,904	4,898
Fines and Forfeits	2			32	31	40
Miscellaneous	3		5	63	286	315
Other Financing Sources	1,031		3	1,069	1,212	3
Local Funds	19	\$670		1,339	1,393	2,904
Rental	531			734	708	721
Principal Payment	45			119	141	102
Interest Income - Loan				23	30	0
Interest Income	32	152	39	409	419	1,612
Total	\$1,942	\$822	\$571	\$15,794	\$16,594	\$18,209
Expenditures:						
General Government				\$1,544	\$1,550	1,496
Public Safety				3,331	3,301	3,700
Public Works				874	982	849
Culture and Recreation				291	229	378
Economic Development				182	186	176
Intergovernmental				101	352	325
Other Financing Uses				520	585	617
Audit				0	0	0
Operating	1,872	681	426	6,919	6,862	6,562
Capital Outlay			100	100	100	0
Transfer to Debt				150	271	248
Construction				490	418	226
Principal			45	234	283	288
Interest	15		5	398	415	431
Non-Operating	192			1,157	1,177	1,154
Total	\$2,079	\$681	\$576	\$16,291	\$16,711	\$16,450
Excess (Deficiency) of Revenues over Expenditures (1)	(\$137)	\$141	(\$5)	(\$497)	(\$117)	\$1,759
Fund Balances - Beginning	\$2,646	\$7,829	\$3,191	\$36,195	\$34,275	33,847
Ending	\$2,509	\$7,970	\$3,186	\$35,698	\$34,158	\$35,606

(1) Per State mandate, any deficiencies will be offset by the use of prior year's earnings. Budget staff has determined that sufficient prior year's earnings are available to offset each deficiency.

(2) Includes Nonmajor Debt Service, Special Revenue, Capital Projects, and Permanent Funds.

(3) Includes Nonmajor Enterprise Funds and Internal Service Funds

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Budget Summaries

Analysis of Principal Revenue Sources

The City of Cadillac has a number of revenue sources, summarized as follows:

<u>Revenue</u>	<u>Amount (Budget)</u>	<u>% of Total</u>
Taxes	\$5,012	31.70%
Interest Income	\$409	2.59%
Intergovernmental Revenues	\$2,176	13.76%
Charges for Services	\$4,830	30.55%
Principal Repayment & Interest Income - Loans	\$142	0.90%
Local Funds	\$1,339	8.47%
Other	\$1,901	12.02%
Total	\$15,809	100.00%

Property Taxes

The major source of revenue for FY2013 is once again property taxes levied on property owned within the City. Authorized tax levies in the form of millages (one mill equals \$1 in taxes for each \$1,000 in value) levied against the taxable value of a property make up the bulk of these revenues. The City contracts with Wexford County for assessing services provided by the Wexford County Equalization Department. The assessor determines the taxable value of properties which is then used to calculate the tax levy due each year.

There are now three components of property taxes levied by the City of Cadillac on each taxable property within the City. These three millages, along with the 5-year trend of the authorized millage rate, are:

Millage	Fiscal Year Ending June 30,				
	2009	2010	2011	2012	2013
City Operating	13.9473	13.9473	13.9473	13.9473	13.9473
Police and Fire Retirement	2.6000	2.6000	2.6000	2.6000	2.6000
Lake Cadillac Treatment	N/A	N/A	N/A	0.5000	0.5000
Total City Millage Rate	16.5473	16.5473	16.5473	17.0473	17.0473

Authorization to levy the City's operating millage rests in the City Charter. The charter authorizes a maximum levy of 15 mills. Due to the Headlee Amendment, this millage has been rolled back to the current level and can only be increased back to the charter maximum levy by a vote of the City electors.

The Police and Fire Retirement millage was established when the City electors approved the adoption of an Act 345 Retirement System for sworn officers of the police and fire departments in November 1977. This millage rate is determined by comparing the City's taxable value to the annual required contribution to the pension determined by the annual actuarial valuation. The millage is set at a rate that will provide sufficient revenue to cover the required contribution.

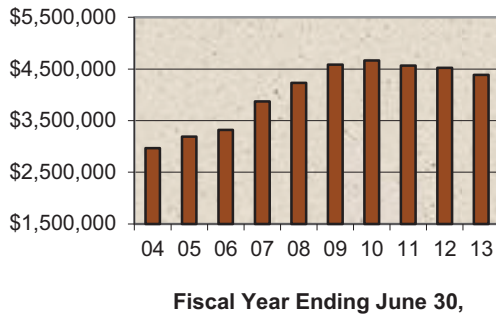
The Lake Cadillac Treatment millage was approved by City voters in February 2011 and will provide funding necessary to treat milfoil and other invasive aquatic plant and animal species on Lake Cadillac. The millage rate was determined through an estimation of the required treatment costs and was approved for three (3) years.

CITY OF CADILLAC, MICHIGAN

2012-2013 ANNUAL OPERATING BUDGET

Budget Summaries

Current Property Taxes
Last Ten Fiscal Years



Property Tax Outlook

The Great Recession has had a significant impact on the property values within the City of Cadillac. After years of modest but steady growth in property values, the total taxable value within the City of Cadillac have reversed this trend for three consecutive years. For FY2013, the value is expected to drop an additional 3%, meaning the City will lose over \$100,000 in property tax revenue. For the most part, this is simply a factor of the local, national and state economy. This difficult trend was expected to level off by the end of 2011, but it will take years for the values to recover even a significant portion of the loss that has been experienced in the last couple years. The chart to the left illustrates the downward trend in total property tax revenue for the last three years. Overall, this has meant a decrease of nearly \$300,000 in property tax-related revenue for the General Fund in just three years.

Tax Captures

There are three authorities within the City of Cadillac that have the ability to capture a portion of each component of property taxes for use within each authority's specific district. The tax captures are based on the right of each authority to utilize tax increment financing for approved funding uses within the districts. For FY2013, these entities, along with the amounts of City taxes they will capture, are:

Authority	City Operating	Police and Fire Retirement	Lake Cadillac Treatment	Total Capture
Downtown Development Authority (DDA)	\$55,158	\$10,282	\$1,977	\$67,417
Local Development Finance Authority (LDFA)	\$63,164	\$11,775	\$2,264	\$77,203
Brownfield Redevelopment Authority	\$4,653	\$867	\$167	\$5,687
Total Capture	\$122,975	\$22,924	\$4,408	\$150,307

Additionally, properties that are located within the DDA district pay an additional 1.9872 mills which provides funds for activities that target development within the DDA area.

Intergovernmental Revenues

The primary component of intergovernmental revenues is state shared revenue. These revenues are passed down from the State of Michigan according to formulas that annually pass certain revenues received by the State down to local units of government. These revenues are primarily comprised of the retail sales tax that is collected by the State. These revenues provide funding for critical General Fund services like Police and Fire protection and Parks and Recreation. Grant revenues from various state and federal sources are included in this category as well.

State Shared Revenue Outlook

These revenues have experienced serious declines for the last 10-12 years. In fact, projections for FY2013 indicate that the City will receive less this year than what was received over twenty years ago. This has caused the City to rely to a greater and greater degree on revenues that are derived from local sources – principally property taxes.

State shared revenue is broken into two categories – constitutional and statutory. The constitutional portion has been projected to increase about 2% for FY2013 based on the State's projection of upcoming sales tax collections. This is expected to provide about \$10,000 in additional revenue for the fiscal year. Constitutional revenue sharing represents about 81% of total state shared revenue.

CITY OF CADILLAC, MICHIGAN

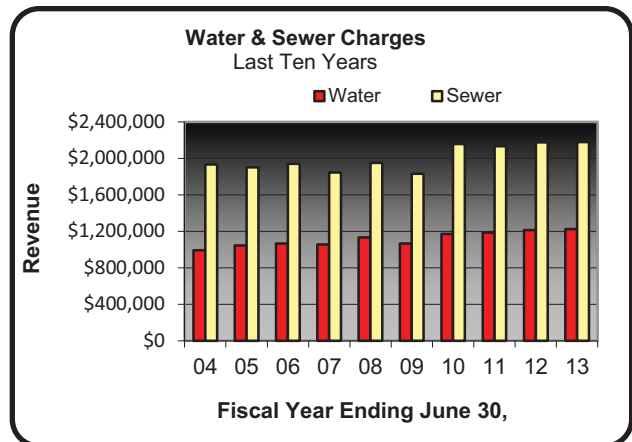
2012-2013 ANNUAL OPERATING BUDGET

Budget Summaries

The other portion of state revenue sharing is the statutory portion, which is subject to annual appropriations by the State of Michigan, and which has been under significant attack for a number of years. In fact, Michigan governor Rick Snyder recently proposed the elimination of statutory revenue sharing beginning in 2012, thereby cutting \$300 million in revenue to over 500 units of government in the state. As a partial replacement, he proposed that \$200 million be appropriated as an incentive-based revenue source for local units of government that adopt or continue best fiscal management practices and aggressively pursue employee cost-reducing measures. For FY2013 this portion of revenue for the City increased slightly based on estimates from the State of Michigan and confidence that management practices followed for years at the City of Cadillac will allow the City to meet many of the incentives for “winning” at least part of this amount back. This revenue increased about \$40,000 for the year.

Charges for Services

Charges for Services represent a significant revenue source for the City. These revenues are primarily derived from user charges within the City’s Water and Sewer systems. Rates within the systems are reviewed each year and are set at a level that will provide adequate funding to meet the City’s debt covenants and provide for the maintenance and operational costs of the systems. With a slight increase in usage, rate increases are the only way to provide additional revenue to cover ever-increasing costs of providing water and water treatment to City utility customers. Total user charges generated for the each of the last ten years is presented in the chart to the right.



In the General Fund, the contract for Solid Waste removal is accounted for. To provide funding for this contract, each residential property with less than four (4) living units within the City is charged a user fee. The user fee is based on a competitively bid contract with a waste hauler, with just a slight markup that remains at the City to cover the costs of billing and administering the contract.

User Charges Outlook

User charges for the Water and Sewer systems are proposed to be frozen for FY2013. This is primarily due to the fact that the City is spending about \$1 million less on Phase I of the well field relocation project than what was initially projected. Overall, the City will be investing about \$6 million over the next few years in the relocation of the entire system of municipal wells that provide the water for the system. Funding for this project will come in the form of low-interest loans through the State of Michigan’s Drinking Water Revolving Fund (DWRP) which will help minimize the cost of funds to about 2.5%. Because of the investment in the system, additional funds will be needed in the form of increased user rates over the next several years. With the increased industrial activity that has recently been seen in Cadillac, a small amount of additional usage should help as well. However, various conservation activities and processes undertaken by local industries will restrict the increase in usage.

Other Revenue

Other Revenue for the City of Cadillac includes a variety of miscellaneous sources. Included in this category are items such as Fines and Forfeits, Licenses and Permits, and Other Financing Sources. Other Financing Sources include administrative charges that come into the General Fund from other City funds and activities, as well as contributions from various funds and activities into the City’s Self Insurance Fund to cover the costs of annual medical and life insurance benefits.

Overall, the national, state and local economies have negatively impacted each and every source of City revenue. This has made it very challenging to continue to provide the same level of services that local residents and businesses have received for many years.

For additional discussion on revenues and the impact of revenue loss on City operations, please see the City Manager’s transmittal letter found in the Introductory section of this document.

CITY OF CADILLAC, MICHIGAN

2012-2013 ANNUAL OPERATING BUDGET

General Fund

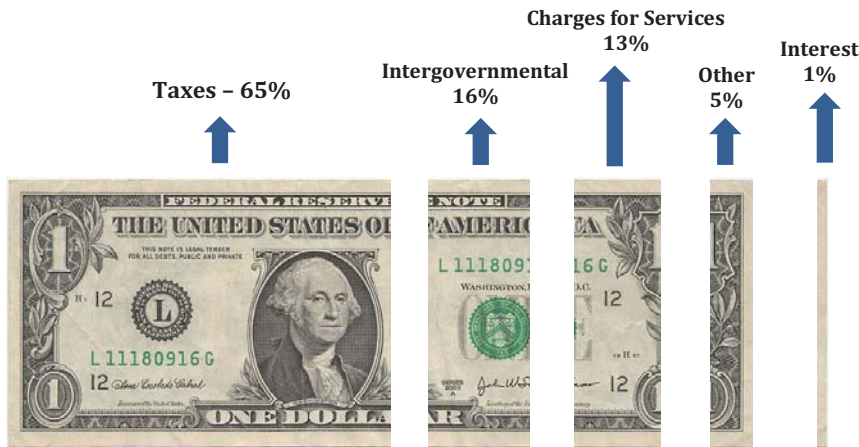
Fund: General Fund

Type: General Fund

Oversight: Various

The General Fund of the City of Cadillac is the main operating fund of the City and records all revenues and expenditures which are not required to be accounted for in another fund. The General Fund is where most of the standard services that are provided to a community are accounted for. This includes police and fire, tax collections, parks and recreation, election services, community development and other core services. This fund is also where the main operating taxes of the City are received.

The average homeowner will pay about \$586.41 in City taxes this year. Property taxes fund about \$0.65 of every \$1 of the cost of municipal services, which is up from \$0.63 last year. The other \$0.35 is derived from other sources, which help to fully fund services to Cadillac residents and businesses as illustrated on the chart below.

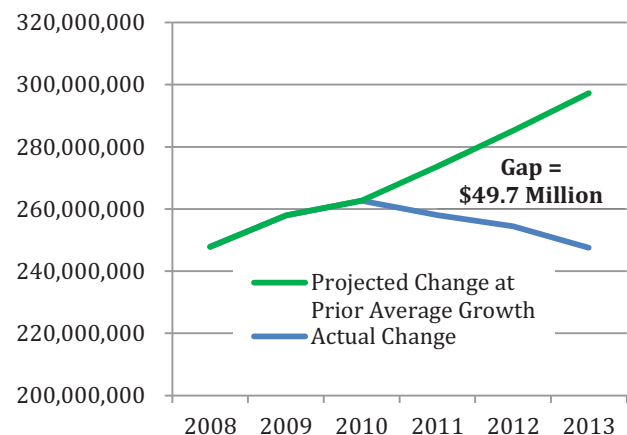


Pages 51-54 of this budget document detail the specific components of each revenue source.

REVENUE SUMMARY AND OUTLOOK

Property Taxes

A lot has been said in this budget document about the impact that declining local property values have had on property tax revenues needed to provide critical services to Cadillac residents and businesses. In the ten years prior to FY2011, taxable value grew each year by an average of 4.2%. Then the impacts of the recession hit and values began to decline. The chart to the right contrasts the taxable value change that would have taken place in over the last three years if the average growth trend had continued, with what has actually happened over the last two years. Had value continue to grow at the average rate, taxes would be levied on an additional \$49.7 million in value, yielding over \$693,000 in additional property taxes for FY2013.

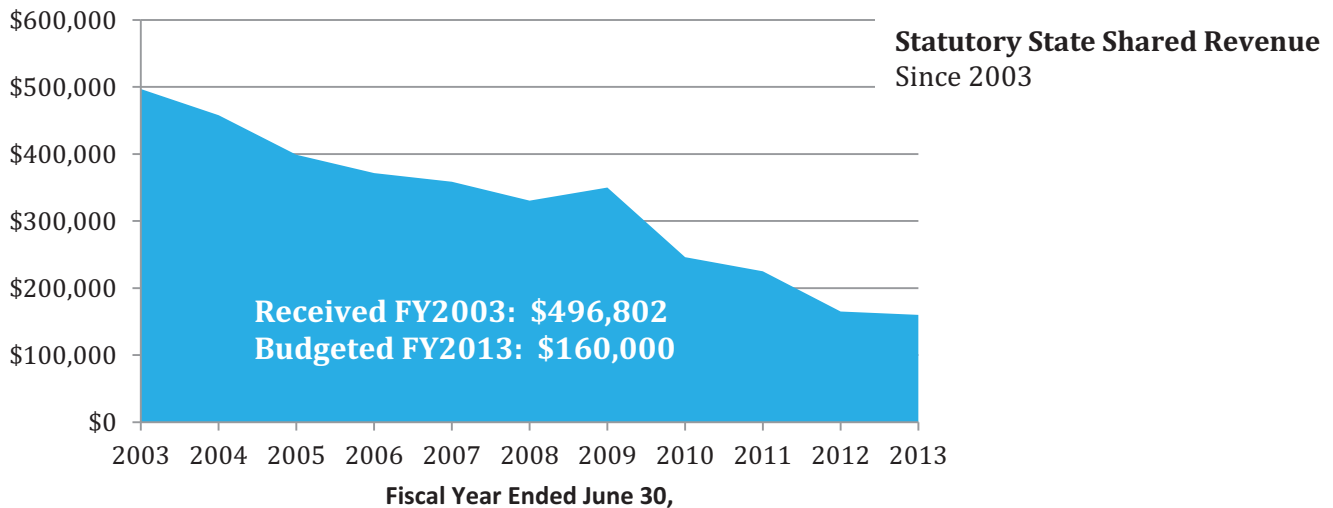


CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

State Shared Revenue

On top of experiencing a loss in property tax revenue, the General Fund's other primary source of revenue – State Shared Revenue – has been on a steady decline for many years. Historically, State Shared Revenues have been distributed by both constitutional and statutory formulas from revenues derived at the State level primarily from the state sales tax. This revenue source continues to deteriorate because of reductions by the State of Michigan. Not only has the economy impacted total sales tax revenues, but the State continues to balance their budget on the backs of local governments by reducing statutory portions of this revenue. As previously discussed, Michigan's new governor eliminated this entire source of revenue and replaced it with what he has termed the Economic Vitality Incentive Program, requiring Cadillac to "compete" with over 500 other municipalities for a total of just \$200 million available state wide. In the past, State-wide appropriations for statutory revenue sharing were over \$900 million, which had already shrunk to \$300 million in the State's prior fiscal year.

At the end of the day, what this meant for Cadillac was a loss of nearly \$200,000 over the last four years. Initial budget proposals at the State level included a slight increase in this appropriation, but at just 2% or so will not provide a substantial amount of additional revenue to the City. The chart below shows the statutory portion of state revenue sharing for the last eleven years. It highlights what has become a significant problem throughout the state of Michigan, and shows that the State has broken their revenue-sharing promise made many years ago with local units of government.



COPS Grant

The City continues to receive federal money to fund one full-time position in the Police Department. A grant was received in late 2009 that provided revenue through the 2009 American Recovery and Reinvestment Act (the Stimulus) to fund a school liaison officer. Officer Jason Straight was assigned to this duty. His position was then backfilled, and the wages and benefits of the new officer will be reimbursed for three years through this grant. Because the City is required to fund a fourth year of the position as a condition of the grant, a portion of the anticipated \$90,000 in annual revenue will be reserved in each of the three years of the grant to prepare for the funding requirement of the fourth year. This revenue is accounted for in the Intergovernmental Revenues category under Federal Grants.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

EXPENDITURE SUMMARY AND OUTLOOK

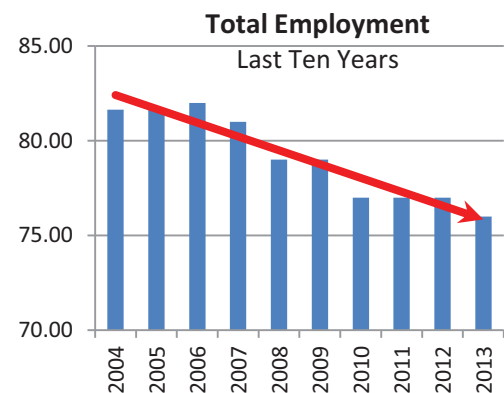
PERSONNEL COSTS

As a service organization, a significant amount of spending in the General Fund is for wages and benefits. For the current year, the General Fund proposes appropriations across all activities of \$2.6 million in wages and an additional \$1.5 million in benefits. Benefits are 58% of total salaries. A comparison of total salaries and benefits in the General Fund for the last five (5) years is presented in the chart below. The amounts for FY2013 and FY2012 represent budgeted amounts, while FY2009-2011 are actual amounts.

	FY2013	FY2012	FY2011	FY2010	FY2009
Wages	\$2,640,700	\$2,596,800	\$2,514,524	\$2,539,627	\$2,432,794
Benefits	1,520,800	1,546,500	1,459,398	1,405,411	1,513,741
Total	\$4,161,500	\$4,143,300	\$3,973,922	\$3,945,038	\$3,946,535
% of G.F. Expenditures	61.1%	57.9%	52.8%	53.7%	53.4%

Total employee compensation has remained relatively flat for the last several years but dropped an additional position during the course of FY2012. This is due to a combination of both cost-saving measures taken regarding current employees and organizational restructuring that has achieved cost savings as well. The chart to the right details the overall City full-time employment since 2000. There has been a decrease of six full-time employees in that time. Only a portion of this reduction yielded savings in the General Fund.

It is the position of City administration that employment levels across the organization are now at the lowest possible level that is necessary to maintain current service levels. Any further reductions in staffing would necessarily result in a reduction of services to the community. Additionally, many staff members have not had a cost-of-living pay increase for several years.



FY2013 Wage Adjustments and Required Pension Contributions

Wage adjustments and pension costs anticipated for various employee groups/bargaining units within the City for FY2013 are as follows:

Employee Group	Members	FY2012 Wage Adjustment	Required Pension Contribution
Non-Union Administrative Employees	29	0%	6.83%
Command Officers Association of Michigan	6	1.5%	35.18%
Police Officers Association of Michigan	9	1.5%	35.18%
International Association of Fire Fighters Local 704*	11	(Expires 6/30/12)	25.03%
United Steelworker's of America Local 14317	20	0%	10.25%

All City employees have shared in the sacrifices that have been necessary to achieve long-term fiscal stability over the last several years. Without the dedicated efforts of the incredible staff across the whole organization, core services to City residents and businesses would not be possible.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

CAPITAL OUTLAY

Capital expenditures have been analyzed closely and reduced where possible. The following capital expenditures are proposed for FY2013:

Project	Department	Amount
Floor Covering	Complex	\$10,500
Office Furniture	Complex	\$9,000
Police Patrol Vehicle	Police	\$30,000
Mobile Video Camera Update	Police	\$22,800
Interview Room Renovation	Police	\$9,500
Rescue Tools	Fire	\$12,000
Shoreline Stabilization	Parks	\$7,500
Playground Equipment *	Parks	\$35,000
Total		\$136,300

** The playground equipment project is contingent upon the receipt of a Recreation Grant that has been applied for.*

GENERAL FUND SUMMARY

Difficult decisions have been made over the last two years, necessitated by the loss in both property taxes and state shared revenue. These decisions have included the elimination of positions, consolidation of duties, and the restructuring of positions as well. Cumulatively, these decisions have resulted in about \$368,000 in savings over the last three years. Additional opportunities to achieve structural savings are constantly evaluated in an effort to assure city residents and taxpayers that tax dollars are being utilized in the most efficient and effective manner possible.

Fiscal Year – Restructuring Action	FY2011 Savings	FY2012 Savings	FY2012 Savings	Cumulative Savings
2011 - Eliminate Engineering Technician position	\$55,000	\$55,000	\$55,000	\$165,000
2011 - Eliminate Building Department (General Fund portion)	\$16,000	\$16,000	\$16,000	\$48,000
2011 - Restructure Clerk/Treasurer responsibilities	\$20,000	\$20,000	\$20,000	\$60,000
2012 – Restructure Assistant City Manager position	\$15,000	\$15,000	\$15,000	\$45,000
2012 – Restructure Director of Public Works position		\$25,000	\$25,000	\$50,000
Total Annual Savings from restructuring	\$106,000	\$131,000	\$131,000	\$368,000

Fund Balance

The City of Cadillac has an established policy that an amount equal to 15% of the General Fund's expenditures will be set aside in a reserve entitled Working Capital. The City has been in compliance with this policy for many years and it is expected that the proposed FY2013 budget will maintain this reserve. This reserve helps the City with cash flow and is a safety net that prevents the City from having to borrow for short-term operating funds during times of lower revenue collections. The City has additional undesignated fund balance on hand beyond what has been designated for working capital, bringing total unreserved fund balance up to about 29% of total General Fund expenditures.

The FY2013 budget proposes to use about \$265,300 of the undesignated fund balance to balance the budget. This appropriation of fund balance on hand will provide the organization time to make additional decisions regarding overall costs and to identify potential new sources of revenue in order to achieve structural balance moving forward.

Additionally, the City has an amount set aside to fund accrued sick and vacation leave. This reserve has helped mitigate the impacts of the significant staff turnover and related termination costs experienced over the last several years.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FY2012 Revenue Summary

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed	% Change
REVENUES AND OTHER SOURCES:					
Taxes	\$4,682,372	\$4,493,000	\$4,525,200	\$4,389,000	-3.01%
Licenses	765	1,200	1,200	1,200	0.00%
Intergovernmental	1,283,978	1,113,800	1,038,000	1,103,000	6.26%
Charges For Services	961,767	940,600	1,012,100	904,500	-10.63%
Fines and Forfeits	37,966	28,000	30,000	30,000	0.00%
Miscellaneous	314,353	271,500	272,500	52,500	-80.73%
Interest and Rents	59,346	56,000	71,500	61,500	-13.99%
Other Financing Sources	0	50,700	196,700	265,300	
Total Revenues	\$7,340,547	\$6,954,800	\$7,147,200	\$6,807,000	-4.76%

General Fund Revenue Sources

	Percentage of General Fund Revenues from 1972-2012				
	FY2012	FY2002	FY1992	FY1982	FY1972
Taxes	63.32%	53.94%	54.84%	55.78%	59.75%
Intergovernmental	14.52%	24.39%	25.16%	17.98%	29.76%
Charges for Services	14.16%	12.70%	6.43%	6.80%	2.85%
Other	8.00%	8.98%	13.57%	19.44%	7.64%
	100.00%	100.00%	100.00%	100.00%	100.00%

The chart above illustrates the fact that the City is relying more and more on local sources of revenue (Taxes, Charges for Services) to fund municipal services as less and less revenue is available from the State of Michigan.

Property Tax Levy

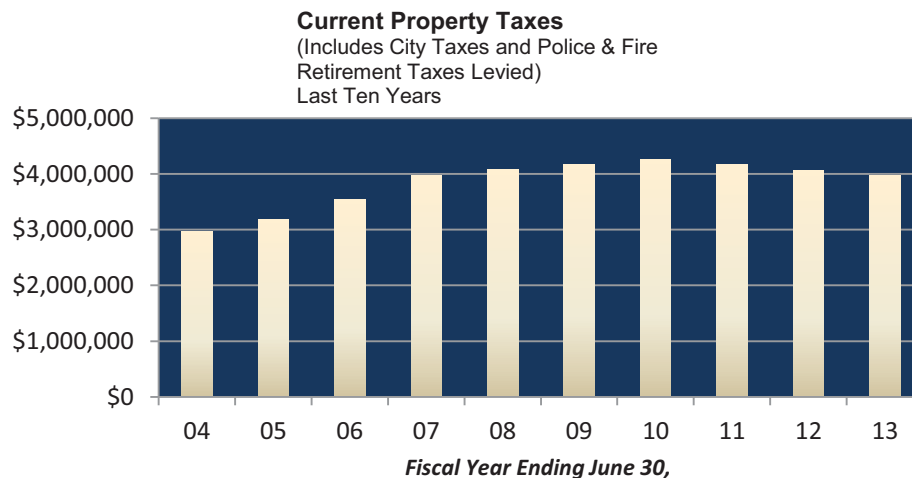
As mentioned, the City levies 13.9473 mills for general operating purposes, 2.6 mills for the Act 345 Police and Fire Retirement System, and 0.5 mills for Lake Treatment (accounted for in separate fund). Several tax increment financing authorities capture a portion of these taxes for use in the specific district for applicable purposes. Details of the tax levy and various captures are as follows:

Total Anticipated Taxable Value: \$247,500,000

Total Levy	Total Tax Levy	DDA Capture	LDFA Capture	Brownfield Capture	General Fund Taxes	Taxes Captured
General Operating	\$3,451,957	55,158	26,346	4,653	\$3,365,800	\$86,157
P&F Retirement	\$643,500	10,282	11,775	867	\$620,576	\$22,924
Lake Treatment	\$123,750	1,997	944	167	\$120,642	\$3,108

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Taxes				
Current Tax	\$3,493,766	\$3,415,000	\$3,405,000	\$3,340,000
Industrial Facilities Tax	104,574	100,000	100,000	117,000
Current Property Tax - Police and Fire	672,593	655,000	650,000	625,000
Administration Fees	136,556	135,000	130,000	125,000
Trailer Park Fees	2,185	2,000	2,200	2,000
Penalties and Interest	58,343	50,000	45,000	45,000
Payment in Lieu of Taxes				
Housing	106,403	35,000	95,000	35,000
Cable Franchise Fees	107,952	101,000	98,000	100,000
Total Taxes	\$4,682,372	\$4,493,000	\$4,525,200	\$4,389,000
Licenses and Permits				
Business Licenses	\$765	\$1,200	\$1,200	\$1,200
Total Licenses and Permits	\$765	\$1,200	\$1,200	\$1,200
Intergovernmental Revenues				
State Shared Revenues:				
Sales & Use Tax - Constitutional	\$678,235	\$670,000	\$635,000	\$675,000
Sales & Use Tax - Statutory	217,374	160,000	120,000	160,000
Liquor Licenses	8,364	8,300	8,000	8,000
Telecommunications Right of Way	30,971	32,000	32,000	32,000
Grants from Local Units:				
Fire Protection	171,891	170,000	170,000	155,000
Michigan Justice Training Grant	3,104	3,500	3,000	3,000
Federal Grants	111,133	70,000	70,000	70,000
State of Michigan Grants	62,906	0	0	0
Total Intergovernmental Revenues	\$1,283,978	\$1,113,800	\$1,038,000	\$1,103,000



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

Revenue Highlights

Industrial Facilities Tax

This tax abatement program has grown consistently as the City Council has established a policy of granting an abatement to any qualified industrial facility. This program allows Council to abate half of the City taxes for up to 12 years. Exemptions have been granted with a total value of \$22,491,922. This results in a levy of about \$157,000. Various tax increment financing units in the City capture about 25% of this amount. This is virtually unchanged from last year. This represents over 150 abatements varying in value granted by the City of Cadillac.

Fire Protection

Clam Lake Township and the City of Cadillac have a fire protection agreement whereby the City provides fire protection to the township and in return the township pays the City a fee of 1.9 mills on its real and personal property taxes. The township's estimated taxable value is \$79.8 million. The fire contract is in effect until June 30, 2013.

Solid Waste Collection

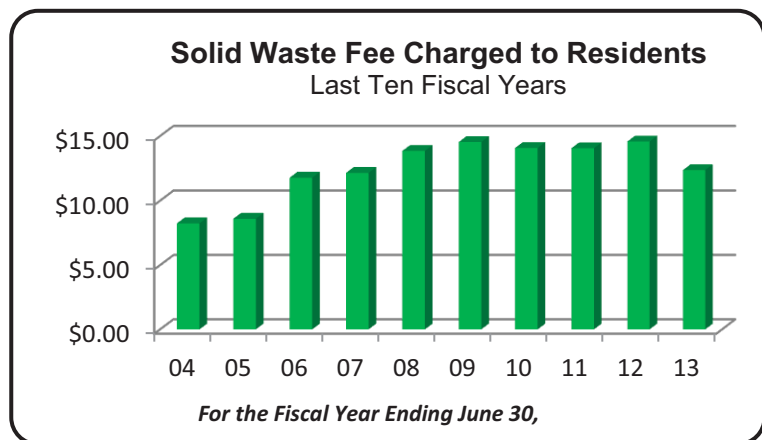
Solid waste collection is a contracted service with a private contractor. The cost is passed on to residents with only a slight markup to cover costs associated with administering the waste removal program. The new rate reflects annual contractual adjustments which are based on inflationary indexes. The decrease is the result of the sale of the Wexford County Landfill which came with a reduction in the tipping fee rate and a resulting reduction in the rate charged to the City by the removal contractor. The rate for the rental of tidy totes is recommended to remain at \$2.20 per month.

Refuse Collection

3,250 average units x \$12.37
recommended monthly fee x 12 =
\$485,000 annual solid waste collection fee

Tidy Tote Garbage Cans

2,000 average customers x \$2.20 per
month fee x 12 = \$53,000 annual collection
(\$1.75 of the monthly collection fee is paid
back to the waste collector.)



Of total monthly charges, \$0.65 per unit for refuse collection and \$0.45 per tidy tote stays with the City to cover the costs of administering the program, including billing and collections services. This administrative charge offsets approximately \$35,000 in costs to manage the delivery of this service to City residents.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Charges For Services				
Zoning Fees	\$1,915	\$2,000	\$2,000	\$2,000
Exemption Certificate Fees	2,400	2,000	1,500	1,500
Northflight	57,290	57,500	56,000	58,000
Police Charges	2,031	3,000	3,000	3,000
Engineering Fees	790	10,000	10,000	10,000
Solid Waste Collection	579,432	555,000	622,000	540,000
Sale of Maps and Ordinances	81	1,000	1,000	1,000
Rental Housing Ordinance Fee	7,115	6,000	7,000	7,000
Administrative Charges				
Water and Sewer Fund	\$201,900	\$201,900	\$201,900	\$220,000
Major Street Fund	10,000	10,000	10,000	0
Local Street Fund	17,900	10,000	10,000	0
Stores & Garage Fund	30,100	30,100	30,100	20,000
Community Development Fund	19,100	19,100	19,100	12,000
Data Processing Fund	28,600	30,000	30,000	30,000
Cemetery Operating Fund	2,700	2,500	8,500	0
Miscellaneous	413	500	0	0
Total Charges For Services	\$961,767	\$940,600	\$1,012,100	\$904,500
Fines and Forfeits				
Violations Bureau	\$37,966	\$28,000	\$30,000	\$30,000
Total Fines and Forfeits	\$37,966	\$28,000	\$30,000	\$30,000
Interest and Rents				
Interest Income	\$57,606	\$55,000	\$70,000	\$60,000
Land and Building Rental	1,740	1,000	1,500	1,500
Total Interest and Rents	59,346	56,000	71,500	61,500
Miscellaneous				
Sale of Property	421	500	1,500	1,500
Cadillac Community Television (CCTV)				
Sales	908	1,000	1,000	1,000
Sponsorships	6,218	5,000	10,000	5,000
Reimbursements - Housing Commission	229,939	250,000	250,000	0
Contributions - Private Sources	72,299	0	0	35,000
Miscellaneous - Refunds and Rebates	4,568	15,000	10,000	10,000
Total Miscellaneous	\$314,353	\$271,500	\$272,500	\$52,500
Other Financing Sources				
Other Transfers In	0	0	0	0
Surplus - Reserved from Prior Contributions	0	0	0	0
Surplus - Undesignated Fund Balance	0	50,700	196,700	265,300
Total Other Financing Sources	\$0	\$50,700	\$196,700	\$265,300
TOTAL REVENUES	\$7,340,547	\$6,954,800	\$7,147,200	\$6,807,000

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed	Change
<u>EXPENDITURES</u>					
General Government					
Legislative	\$46,570	\$41,600	\$41,700	\$42,800	2.64%
Office of the City Manager	243,435	226,500	229,300	232,800	1.53%
Financial Services	214,246	219,100	224,100	223,000	-0.49%
Clerk/Treasurer Department	275,009	292,500	265,700	271,300	2.11%
Election Services	14,313	16,500	16,500	20,000	21.21%
Assessing	128,369	138,300	143,000	143,000	0.00%
Legal Services	139,923	139,000	141,500	141,500	0.00%
Engineering Services	177,186	171,100	182,000	184,500	1.37%
City Hall	256,892	265,500	306,600	285,000	-7.05%
Total General Government	\$1,495,943	\$1,510,100	\$1,550,400	\$1,543,900	-0.42%
Public Safety					
Police Department	\$1,915,811	\$1,915,400	\$1,939,000	\$1,990,900	2.68%
Code Enforcement	33,761	29,800	28,200	30,200	7.09%
Fire Department	1,324,444	1,257,800	1,333,800	1,309,400	-1.83%
Total Public Safety	\$3,274,016	\$3,203,000	\$3,301,000	\$3,330,500	0.89%
Public Works	\$849,227	\$869,700	\$982,200	\$873,600	-11.06%
Culture and Recreation	378,232	246,600	228,900	291,500	27.35%
Economic Development and Assistance	176,257	188,900	148,200	146,000	-1.48%
Intergovernmental Expenses	324,964	351,500	351,500	101,500	-71.12%
Other Financing	1,023,370	585,000	585,000	520,000	-11.11%
TOTAL EXPENDITURES	\$7,522,009	\$6,954,800	\$7,147,200	\$6,807,000	-4.76%
FUND BALANCE AT YEAR END					
Net Change in Fund Balance	(\$181,462)	(\$50,700)	(\$196,700)	(\$265,300)	
Fund Balance - Beginning of Year	2,616,505	2,435,043	2,435,043	2,384,343	
FUND BALANCE AT YEAR END					
Nonspendable	91,453	-	-	-	
Restricted	58,273	37,667	37,667	37,667	
Committed	1,574,414	1,489,333	1,518,193	1,467,163	
Assigned	201,647	270,247	270,247	4,947	
Unassigned	509,256	587,096	412,236	609,266	
TOTAL FUND BALANCE	\$2,435,043	\$2,384,343	\$2,238,343	\$2,119,043	

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

Reserved and Designated Fund Balance

All fund balance remaining at the end of the fiscal year is either restricted or designated for a certain purpose. Specific classifications of fund balance at the end of FY2011 and estimates for FY2012 and FY2013 are as follows:

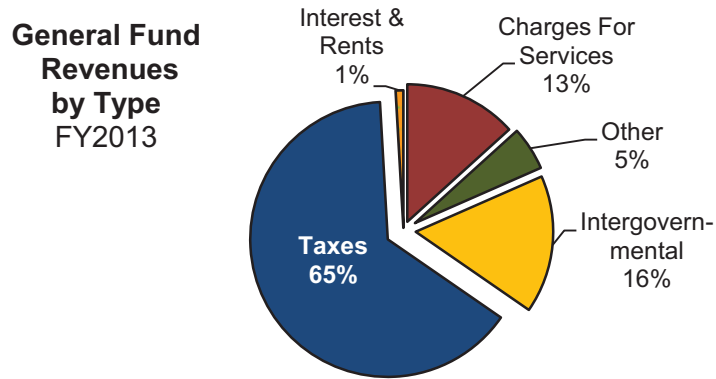
FUND BALANCE INFORMATION	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Nonspendable				
Prepaid Expenditures	91,453	0	0	0
Restricted For:				
Veterans Memorial	1,855	1,859	1,859	1,859
Youth Services	844	844	844	844
Drug Forfeiture	3,802	3,802	3,802	3,802
Fire Safety House	1,859	1,859	1,859	1,859
Blackburn Skate Park	1,409	1,409	1,409	1,409
White Pine Trail	2,394	2,394	2,394	2,394
Diggins Hill Park	500	500	500	500
CAMA Lighthouse	25,000	25,000	25,000	25,000
Leadership Pride Project	20,610	0	0	0
Total Restricted	58,273	37,667	37,667	37,667
Committed For:				
Sick and Vacation Funding	446,113	446,113	446,113	446,113
Working Capital	1,128,301	1,043,220	1,072,080	1,021,050
Total Committed	1,574,414	1,489,333	1,518,193	1,467,163
Assigned For:				
Mayor Wedding Fees	300	300	300	300
Pistol Range	2,127	2,127	2,127	2,127
CASA Field Use	2,520	2,520	2,520	2,520
Appropriated to Budget	196,700	265,300	265,300	-
Total Assigned	201,647	270,247	270,247	4,947
Unassigned	509,256	587,096	412,236	609,266
TOTAL FUND BALANCE	\$2,435,043	\$2,384,343	\$2,238,343	\$2,119,043

CITY OF CADILLAC, MICHIGAN

2012-2013 ANNUAL OPERATING BUDGET

General Fund

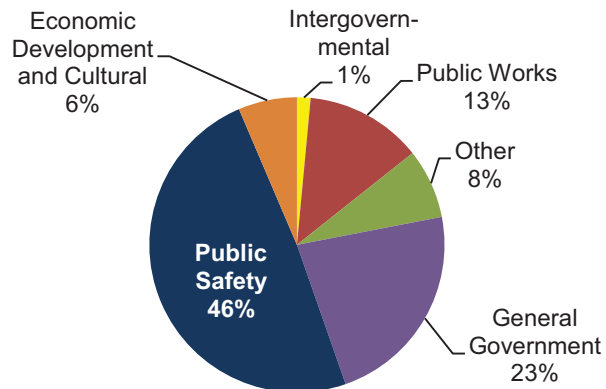
Revenues by Type



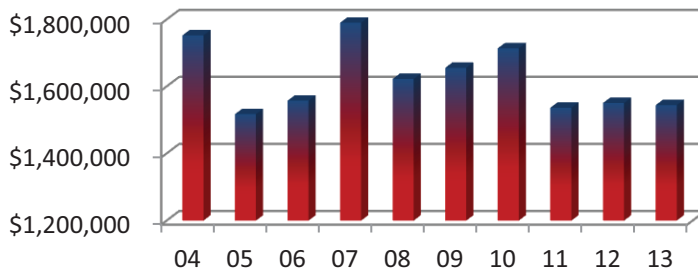
Expenditure Analysis Charts

Expenditures by Activity

The chart at the right shows the split of General Fund expenditures by activity. These percentages have remained relatively constant.



General Government Expenditures Last Ten Fiscal Years



General Government Expenditures

This chart shows the level of General Government spending over the last 10 years. General Government expenditures include all administrative departments, the legal department, assessing and elections, and the annual expenditures to maintain the City's municipal complex.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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GENERAL GOVERNMENT

Legislative

Salaries	\$15,300	\$15,300	\$15,300	\$15,800
Fringes	1,197	1,400	1,300	1,400
Office Supplies	1,075	1,600	1,600	1,600
Contractual Services	3,810	1,800	1,500	2,000
Data Processing	9,300	5,000	5,000	5,000
Dues & Publications	6,756	6,500	7,000	7,000
Travel and Education	4,800	5,000	5,000	5,000
Ordinances and Proceedings	4,332	5,000	5,000	5,000
Total Legislative	\$46,570	\$41,600	\$41,700	\$42,800

City Council Measures

Full-Time Positions	0	0	0	0
Part-Time Positions	5	5	5	5
Cost Per Resident	\$4.50	\$4.02	\$4.03	\$4.13

Legislative

The City Council is the policy making body for the City of Cadillac. Its salaries are set by an independent advisory committee which meets every two years. Education is encouraged for the part-time council members so that they will be on the cutting edge of information and issues involving municipal government. Contractual Services reflects the codification of the city code and increased the per capita costs the last couple years. The re-codification of the ordinances has been completed and current budgeted costs represent ongoing supplemental updates to the code.

Elected Officials

The structure of the Cadillac City Council is set by City Charter. The Council consists of four (4) members with one each from the City's four districts. Council members are elected to staggered four-year terms, with two council members up for election every two years. The mayor is elected at large by voters of the City and serves a two-year term. Details of the current City Council as well as a map of the City wards can be found in the Budget Reader's Guide on pages iii-vi of the budget document.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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GENERAL GOVERNMENT (Cont.)

Office of the City Manager

Salaries	\$155,268	\$155,000	\$155,000	\$159,000
Fringes	64,884	45,000	43,500	43,600
Office Supplies	500	2,500	2,500	2,500
Postage	1	500	1,200	1,200
Data Processing	7,000	7,000	7,000	7,000
Dues & Publications	2,181	3,000	4,800	4,800
Telephone	1,400	1,800	1,600	2,000
Travel & Education	7,251	7,000	8,500	8,500
Vehicle Allowance	4,550	4,200	4,200	4,200
Suggestion Award	400	500	1,000	0
Capital Outlay	0	0	0	0
Total Office of the City Manager	\$243,435	\$226,500	\$229,300	\$232,800

City Manager Measures				
Full-Time Positions	1.5	2.73	2.73	2.20
Part-Time Positions	0	0.5	0.5	0.5
Cost Per Resident	\$23.51	\$21.87	\$22.14	\$22.48

City Manager

The chief administrative officer of the City of Cadillac is the City Manager. The City Manager is responsible for the administration of all City departments and also for making reports and recommendations to the City Council. Marcus Peccia was appointed the chief administrative officer of the City in November 2009. He came to the city after being the Assistant City Manager in Lake Forest, Illinois.

All human resource activities are overseen within the Office of the City Manager. Human Resources Coordinator Linda Kent is responsible for these activities.

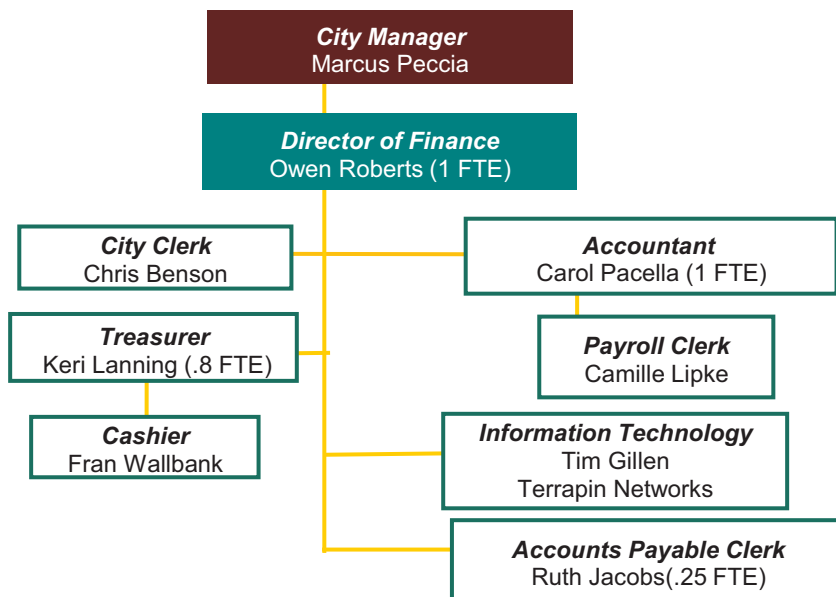
The City Manager discusses the issues facing the City of Cadillac in the transmittal letter found at the beginning of this budget document.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

Financial Services

The financial services department has the overall responsibility of all accounting and finance related functions. This responsibility is discharged in accordance with Federal and State regulations, the City Charter, Ordinances enacted by the City Council and directives from the City Manager, and is consistent with Governmental Accounting and Financial Standards established by the Governmental Accounting Standards Board. The Director of Finance oversees the clerk-treasurer, accounting, and information technology functions. In addition to the management activities, budgeting and investing of the City's money are critical functions of this department.

The clerk, treasurer, cashier and payroll clerk are under the supervision of the Director of Finance. The costs of these positions are accounted for in the Clerk/Treasurer department of the General Fund.



PERFORMANCE MEASURES - FINANCIAL SERVICES

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2010	2011	2012	2013	
Received GFOA Budget/CAFR Awards		Yes	Yes	Yes	Yes	↔
General Fund Unreserved Fund Balance *		\$2,032,507	\$2,083,670	\$2,076,429	\$2,076,429	↔
Unreserved Fund Balance as % of General Fund Expenditures		27.66%	27.70%	29.86%	30.50%	↔
Fund Balance Policy Level (15%)		\$1,102,189	\$1,128,301	\$1,043,220	\$1,021,050	↓
Total Above (Below) Policy Benchmark		\$930,318	\$955,369	\$1,033,209	\$1,055,379	↔
Unqualified Audit Opinion		Yes	Yes	Yes	Yes	↔
Audit Adjustments		90	81	75	75	↓

* A portion of unreserved fund balance is designated to cover accrued sick and vacation liabilities

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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GENERAL GOVERNMENT (Cont.)

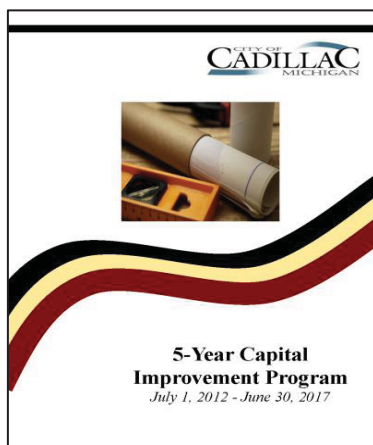
Financial Services

Salaries	\$120,925	\$124,000	\$122,500	\$123,000
Fringes	39,359	43,000	45,700	46,700
Office Supplies	5,837	6,000	7,500	7,000
Postage	1	1,000	2,500	2,500
Audit	11,126	9,500	9,500	9,500
Data Processing	28,000	28,000	28,000	25,000
Dues & Publications	1,739	2,000	3,000	3,000
Telephone	900	1,100	900	1,300
Travel & Education	6,359	4,500	4,500	5,000
Capital Outlay	0	0	0	0
Total Financial Services	\$214,246	\$219,100	\$224,100	\$223,000

Financial Services Department Measures

Full-Time Positions	1.94	2.25	2.25	2.25
Part-Time Positions	0	0	0	0
Cost Per Resident	\$20.69	\$21.16	\$21.64	\$21.54

Note: No additional staff was added in FY2010. An allocation analysis resulted in some changes which are reflected throughout the budget.



Capital Improvement Planning

One of the important responsibilities of the Financial Services Department is developing the annual 5 Year Capital Improvement Program for all City activities. This program is completed prior to the budget process each year. As funds are available, the projects included in the program are scheduled into the Annual Operating Budget. For FY2013, 86% of planned project costs are included in the budget proposal. The picture to the left is the cover of the most recent program document. The program is summarized in the 'Capital Improvement' section of this budget document, and is available for review on the City's website.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

Departmental Highlights

City Clerk/Treasurer

This department is divided into two major sections. The first is the City Treasurer's Office, which has all custody of the revenues of the City and is established under the City Charter. Tax rolls are prepared and collected by this department and mailed to citizens. The second major area is the Clerk's Office, which is the Clerk to the City Council, signs all ordinances, keeps a permanent journal of all Council proceedings, and handles the City-wide elections.

The Clerk and Treasurer and under the oversight of the Director of Finance.

PERFORMANCE MEASURES - CITY TREASURER/CLERK

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2010	2011	2012	2013	
Total City-wide Assessed Value		\$326,788,572	\$303,615,300	\$290,424,100	\$283,133,200	↓
Total City-wide Taxable Value		\$282,865,972	\$276,602,443	\$273,713,541	\$269,988,902	↓
Taxable Value as % of Assessed Value		86.6%	91.1%	94.2%	95.4%	↑
Tax Bills Issued		11,610	11,628	11,625	11,625	↔
Total Number of Annual Receipts		43,418	44,088	43,500	43,500	↔
Dollar Value of Annual Receipts		\$23,565,707	\$23,047,885	\$23,000,000	\$23,000,000	↔
Accounts Payable Checks Issued		3,216	2,967	3,200	3,200	↔
Payroll Checks Issued		1,167	1,235	1,125	1,125	↓
Payroll Direct Deposits		3,852	3,926	3,925	3,925	↑
Miscellaneous Billing Invoices Issued		575	611	600	600	↔
Total Registered Voters		7,552	7,285	7,300	7,300	↔
Number of Elections		2	3	3	2	↔
Total Cost of Elections		\$5,319	\$14,313	\$16,500	\$20,000	↑
Cost per Election		2,660	4,771	5,500	10,000	↑

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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GENERAL GOVERNMENT (Cont.)

Clerk/Treasurer Department

Salaries	\$127,649	\$129,000	\$129,000	\$130,000
Fringes	72,163	74,000	74,600	79,200
Office Supplies	2,256	3,000	3,000	3,000
Postage	13,527	9,500	9,500	9,500
Data Processing	40,000	30,000	30,000	30,000
Dues & Publications	537	500	600	600
Travel & Education	4,792	3,500	4,000	4,000
Bad Debt Expense (1)	14,085	43,000	15,000	15,000
Total Clerk/Treasurer Department	\$275,009	\$292,500	\$265,700	\$271,300

(1) Bad Debt Expense represents delinquent taxes that Wexford County paid to the City of Cadillac but were subsequently unable to collect, therefore requiring the City to repay the amounts received from the County.

Clerk/Treasurer Measures

Full-Time Positions	4.000	3.800	3.800	3.800
Part-Time Positions	0.000	0.000	0.000	0.000
Cost Per Resident	\$26.56	\$28.25	\$25.66	\$26.20

Note: A staff reorganization took place upon the retirement of longtime Clerk/Treasurer Jan Nelson. This resulted in the reduction of .125 FTE from overall departmental staff.

Election Services

Salaries	\$8,539	\$7,500	7,500	\$7,500
Office Supplies	5,774	6,000	4,000	7,500
Contractual Services	0	3,000	5,000	5,000
Capital Outlay	0	0	0	0
Total Election Services	\$14,313	\$16,500	\$16,500	\$20,000

Elections Measures

Full-Time Positions	0.000	0.000	0.000	0.000
Part-Time Positions	15.000	15.000	15.000	15.000
Cost Per Resident	\$1.38	\$1.59	\$1.59	\$1.93
Registered Voters	7,522	7,522	7,522	7,522
Cost per registered voter	\$1.90	\$2.19	\$2.19	\$2.66

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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GENERAL GOVERNMENT (Cont.)

Assessor

Office Supplies	\$0	\$0	\$0	\$0
Postage	2,257	3,000	3,000	3,000
Contractual Services	9,647	7,500	10,000	10,000
Wexford County Contract	97,104	108,000	110,000	110,000
Data Processing	18,000	18,000	18,000	18,000
Board of Review	1,361	1,800	2,000	2,000
Total Assessor	\$128,369	\$138,300	\$143,000	\$143,000

Assessing Measures				
Full-Time Positions	0	0	0	0
Part-Time Positions	0	0	0	0
Cost Per Resident	\$12.40	\$13.36	\$13.81	\$13.81

Assessor

The function of the City Assessor has been contracted with the Wexford County Equalization Department. This is a five-year contract expiring March 31, 2017. Payments to the County are made quarterly. The contractual arrangement has been beneficial for the City and provides very good service to our citizens. The City is still responsible for the board of review that is held periodically. There are no City employees in this area. Contractual Services activity anticipates legal costs associated with defending the property values assessed as well as any related appraisal costs. Mr. Joe Porterfield was appointed the County's Equalization Director in 2009.

Annual costs of the assessing contract are as follows:

	Charge	# of Parcels	Annual Cost
Service			
Per Parcel assessing charge	\$15.99	6,350	\$101,537
Per Parcel assessment roll maintenance	\$1.30	6,350	\$8,255
Total Charges			\$109,792

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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GENERAL GOVERNMENT (Cont.)

Legal Services

Office Supplies	\$1,065	\$1,500	1,500	\$1,500
Legal Services - General Counsel	71,879	55,000	55,000	55,000
Legal Services - Prosecution	30,702	32,500	35,000	35,000
Legal Services - Special	36,277	50,000	50,000	50,000
Total Legal Services	\$139,923	\$139,000	\$141,500	\$141,500

Cost Per Resident	\$13.51	\$13.42	\$13.66	\$13.66
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General Counsel Services

Mr. Michael Homier of Foster, Swift, Collins & Smith, PC's Grand Rapids office has been the chief counsel for the City of Cadillac since 2010. Several other attorneys from the firm provide counsel in specific areas of expertise.



City Prosecution Services

Since April 2010, prosecution of City cases have been handled by Wexford County Prosecutor Mark Smathers. Prosecution and legal services provided under this arrangement include all eligible traffic misdemeanors, all other eligible misdemeanors (including MIP), all traffic civil infractions, parking infractions, and other civil infractions of a traditional criminal-type nature such as disorderly conduct and others. Prosecution for cases involving ordinance violations are handled on a per-hour basis at the rate of \$110 per hour.

Costs for Legal Services

General counsel services provided by Foster, Swift, Collins & Smith, PC will be billed at an hourly rate of \$175 per hour. There is no annual maximum included in the agreement. The Wexford County Prosecutor's Office will handle all general prosecution-related cases for an annual cost of \$30,240. Special legal services include environmental, labor, property tax, and other special kinds of legal work. These are typically billed between \$175 and \$250 per hour, depending on the specific work being done. The majority of these special services are performed by the City Attorney.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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GENERAL GOVERNMENT (Cont.)

Engineering Services

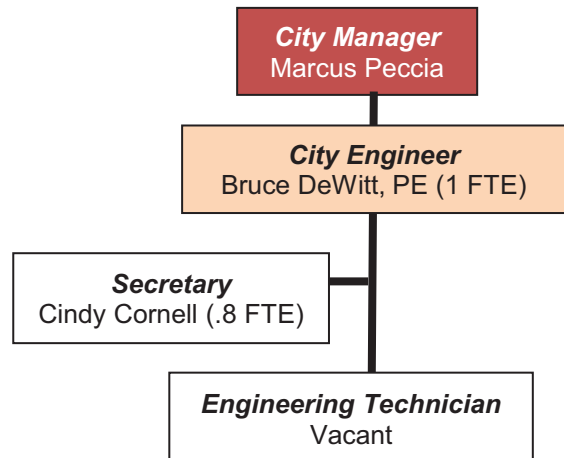
Salaries	\$96,031	\$96,000	\$97,500	\$99,000
Fringes	45,571	40,000	50,300	51,300
Office Supplies	1,395	3,000	2,900	2,900
Postage	0	0	200	200
Contractual Services	11,614	9,100	8,000	8,000
Data Processing	20,000	20,000	20,000	20,000
Dues & Publications	63	500	600	600
Telephone	480	500	500	500
Travel & Education	508	800	800	800
Equipment Rental	1,524	1,200	1,200	1,200
Capital Outlay	0	0	0	0
Total Engineering Services	\$177,186	\$171,100	\$182,000	\$184,500

Engineering Services Department Measures

Full-Time Positions	2.40	1.80	1.80	1.80
Part-Time Positions	0	0	0	0
Cost per Resident	\$17.11	\$16.52	\$17.58	\$17.82

Engineering Services

The engineering department, which operates under the direction of the City Manager, is responsible for the planning, design, inspection and testing of the City street construction projects and any other related construction jobs. A professional engineer licensed by the State of Michigan must oversee the department. The engineer plays a major role in providing the infrastructure needs of the City. Contractual Services were included to reflect the use of a contractual employee to develop and build out the City's Geographic Information System (GIS). For twenty-eight years, Bruce DeWitt has been the City Engineer. The secretary has 80% of her salary applied to this department. For FY2011, necessary budget reductions led to the elimination of the Engineering Technician position.



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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GENERAL GOVERNMENT (Cont.)

City Hall

Salaries	\$38,422	\$38,500	\$39,000	\$39,000
Fringes	14,838	16,500	34,700	15,400
Operating Supplies	12,094	12,000	13,600	13,500
Contractual Services	7,730	10,500	6,400	6,400
Service/Lease Contracts	6,307	6,500	11,600	6,500
Data Processing	5,500	5,500	5,500	5,500
Liability Insurance	59,288	56,000	65,000	60,000
Travel and Education	5,166	4,000	4,500	4,000
Utilities	81,849	82,000	87,000	85,000
Repair and Maintenance	14,481	17,500	20,800	21,000
Equipment Rental	7,570	7,500	7,200	7,200
Parking Contract	0	0	2,300	2,000
Capital Outlay	3,647	9,000	9,000	19,500
Total City Hall	\$256,892	\$265,500	\$306,600	\$285,000

City Hall Measures

Full-Time Positions	1.275	1.275	1.275	1.325
Part-Time Positions	2.0	0.5	0.5	0.5
Cost per Resident	\$24.81	\$25.64	\$29.61	\$27.52

TOTAL GENERAL GOVERNMENT

\$1,495,943	\$1,510,100	\$1,550,400	\$1,543,900
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Total General Government Measures

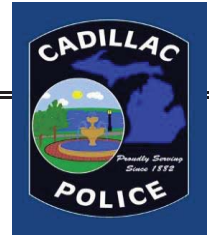
Full-Time Positions	11.115	11.855	11.855	11.375
Part-Time Positions	22.000	21.000	21.000	21.000
Cost per Resident	\$144.47	\$145.83	\$149.72	\$149.10
% of General Fund Budget	19.89%	21.71%	21.69%	22.68%



City Hall

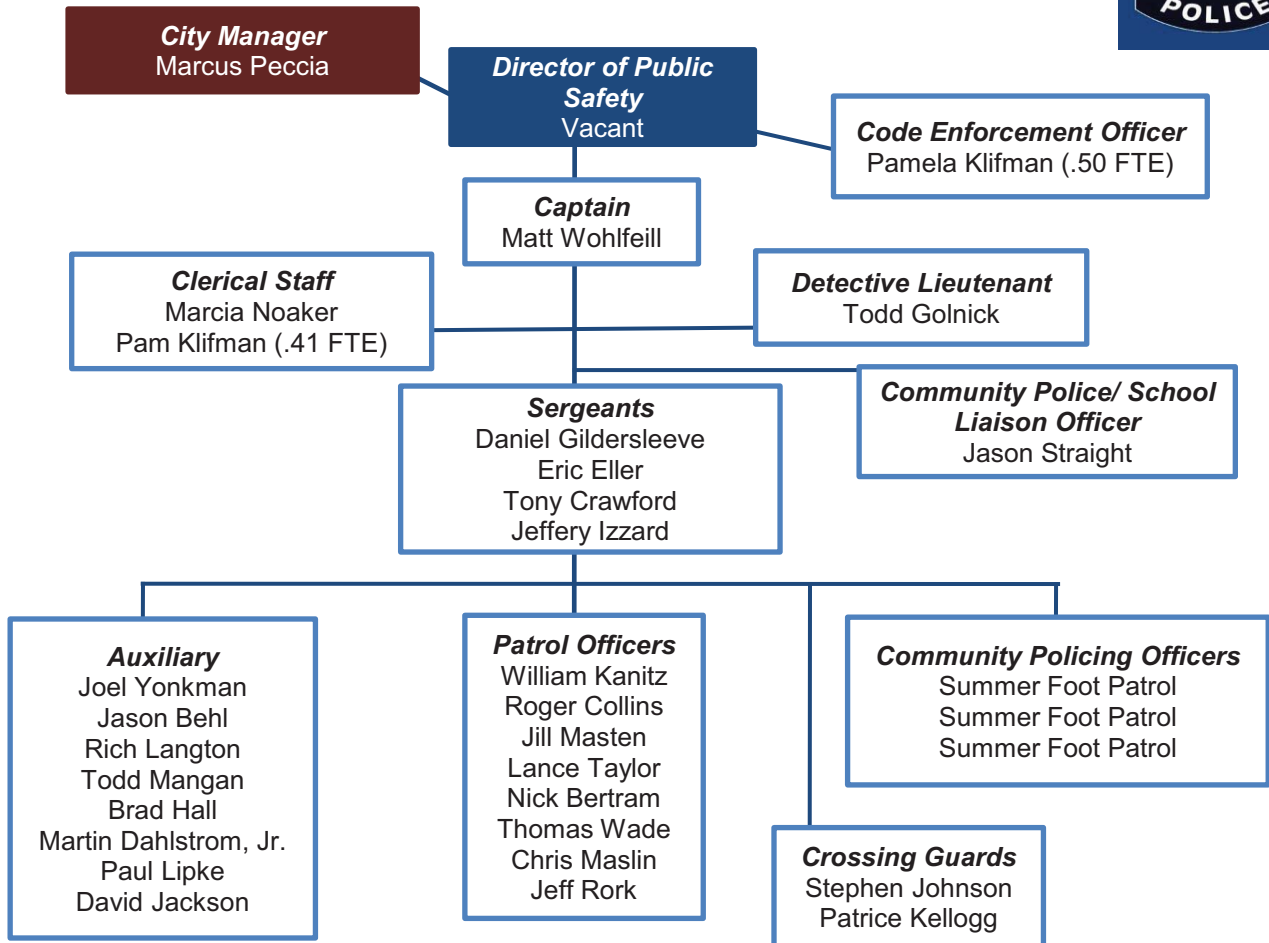
The maintenance of the physical plant, which is occupied 24 hours per day, is anticipated to increase as the facility ages. Major replacements over the past few years have been the roof, the HVAC system, and the upgrade of the Council chambers. Salaries for FY2012 reflect 15% of the receptionist, 17.5% of an administrative assistant, and the full-time custodian. Several proposed capital improvements to the municipal complex have been delayed as a result of funding constraints.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund



POLICE DEPARTMENT

CHART OF ORGANIZATION



Values Statement

The members of the Cadillac Police Department realize that we are stewards of the public's trust. The badge that each member wears is a symbol of this trust. Therefore, we embrace the values of **honesty, integrity, and loyalty**, while serving our community with **respect, pride, and commitment**.

Mission Statement:

It is the mission of the Cadillac Police Department to:

- * **Enforce** the laws of the State of Michigan and ordinances of the City of Cadillac, protect the community from harm, and uphold the Constitution of the United States.
- * **Enhance** the quality of life and feeling of safety in the community through exceptional service, crime prevention, intervention, and problem solving.
- * **Exhibit** professionalism, integrity, and courtesy while respecting the rights and dignity of all persons.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

Police Department Information and Performance Measures

Cadillac Mounted Patrol/Community Policing Officers

The summer of 1999 saw the appearance of the **Cadillac Police Mounted Patrol**. Jim Ray and Gwen Johnson are on patrol during festivals and parades, on horseback. The patrol has been a great hit with area children.



Community Policing Officers, formally known as the summer foot patrol, are graduates of the police academy and work from May to September. There are three part-time officers assigned to the downtown area and lakefront. The officers are on foot or bicycle enforcing ordinance violations as well as State law. The program was conceived in 1989. A steady decline in violations has been noted over the past 18 years, confirming the effectiveness of the program. CPO's focus on contacts with downtown business owners to identify and solve problems.

Cadillac Police Department Fleet Details			
#	Vehicle	Assignment	Miles
1	2001 Ford Ambulance	Command Post	226,507
2	2002 Impala	Captain	78,668
3	2006 Dodge Durango	Patrol/K-9	57,103
4	2008 Impala	Patrol	84,625
5	2007 Impala	School/Travel	95,855
6	2003 Impala	Detective	94,939
7	2009 Impala	Patrol	61,487
8	2011 Impala	Patrol	11,886
9	2006 Impala	Patrol/School Liaison	82,256
10	2004 Impala	Director	86,127
11	2005 Tahoe	Patrol Back-Up	99,142



The Cadillac Police Department prides itself in a safe, clean, and well-maintained fleet of patrol and emergency vehicles.

Residential Speed Reduction

As part of helping enhance the livability of Cadillac neighborhoods and residential areas, it was determined by the police department through contact with residents that speeding in neighborhoods represents a quality of life concern. Officers have been assigned regularly to specific problem areas. The areas, or "targeted traffic zones", focus on thoroughfares in and out of the city passing through residential areas. The traffic zones were first identified by citizen complaints and speed surveys conducted by DPW. Officers focus primarily on educating motorists and requesting voluntary compliance. Verbal warnings are given to most drivers, with an approximate ratio of 3 verbal warnings to every 1 traffic citation. A new speed trailer purchased in June 2011 is assisting in reducing speeds in target enforcement zones.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

PERFORMANCE MEASURES - POLICE DEPARTMENT

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2010	2011	2012	2013	
Sworn Officers		15	15	16	16	↔
Police Reports Completed		4,836	4,429	5,000	5,000	↔
Police Reports per Sworn Officer		322	295	313	313	↔
Traffic Citations Issued		815	640	750	750	↑
Traffic Verbal Warnings Issued		2,855	2,702	2,800	2,800	↔
NSF Check Complaints Processed		14	23	20	20	↔
Freedom of Information Requests Fulfilled		161	151	165	165	↔
Handgun Registrations		158	230	175	175	↔
K-9 Unit Tracking Calls		7	10	15	15	↑
K-9 Unit Demonstrations		9	15	15	15	↑
K-9 Unit Searches		36	29	35	35	↑
Neighborhood Watch Meetings Held		4	2	8	12	↑
Total Calls for Service		6,754	6,175	6,500	6,500	↑
Total Arrests		1,088	1,097	1,075	1,075	↔
Average Mileage of Fleet		92,453	88,963	87,500	90,000	↑
Average Mileage of Patrol Vehicles		64,368	62,848	60,000	60,000	↑
Operating Cost per Sworn Officer		\$113,615	\$124,860	\$119,013	\$120,663	↔



K-9 Unit

K-9 Officers Lance Taylor and Bo pose for a photo in the downtown City park. Bo serves the Cadillac PD by performing drug searches and suspect tracking, and is a great public relations tool that performs a variety of demonstrations in the community each year. Officers Taylor and Bo have teamed together since 2007.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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PUBLIC SAFETY

Police Department

Salaries - Supervisory	\$78,438	\$80,000	\$100,500	\$105,000
Salaries - Patrolmen	801,507	785,000	770,000	785,000
Salaries - Overtime	73,423	60,000	65,000	66,000
Salaries - Clerks	24,702	44,000	45,000	58,500
Salaries - Crossing Guards	6,223	7,000	7,500	7,500
Salaries - Auxiliary	2,129	3,000	5,000	5,000
Salaries - Summer Patrol	20,152	18,000	18,000	18,000
Fringes	683,484	700,000	710,700	711,600
Office Supplies	7,206	7,500	7,500	7,500
Operating Supplies	42,515	36,000	37,000	37,000
Operating Supplies - Community Service	415	1,000	1,000	1,000
Uniform Cleaning	9,000	9,500	9,500	9,500
Data Processing	58,000	55,000	55,000	50,000
Dues & Publications	1,763	1,800	2,000	2,000
Radio & Equipment Maintenance	3,394	4,500	4,500	4,500
Telephone	2,398	3,500	3,000	3,000
Travel & Education	21,497	22,000	20,000	20,000
Vehicle Repair and Maintenance	19,561	20,000	23,500	23,500
Uniforms and Maintenance	10,145	10,000	10,000	10,000
Equipment Rental	3,990	10,000	6,500	3,000
Copier Lease	2,962	2,600	3,000	3,000
Capital Outlay	42,907	35,000	34,800	60,300
Total Police Department	\$1,915,811	\$1,915,400	\$1,939,000	\$1,990,900

Police Department Measures

Full-Time Positions	18.500	18.500	17.100	17.360
Part-Time Positions	16.000	16.000	16.000	14.000
Cost per Resident	\$185.01	\$184.97	\$187.25	\$192.26

Note: An officer was hired using stimulus funds from the American Recovery and Reinvestment Act of 2009.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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PUBLIC SAFETY

Code Enforcement

Salaries	\$23,016	\$18,000	\$17,000	\$18,500
Fringes	10,566	11,000	10,200	10,700
Office Supplies	179	800	1,000	1,000
Total Code Enforcement	\$33,761	\$29,800	\$28,200	\$30,200

Code Enforcement Measures

Full-Time Positions	0.000	0.400	0.500	0.500
Part-Time Positions	0.000	0.000	0.000	0.000
Cost per Resident	\$3.26	\$2.88	\$2.72	\$2.92

Code Enforcement Department

In order to show the true costs of code enforcement activities, they were split into a separate department beginning in April 2009. Code enforcement activities are principally handled by code enforcement officer Pam Klifman, with oversight duties provided by the City's Director of Public Safety.

The code enforcement division investigates city ordinance violations such as blight, junk vehicles, noxious weeds, and snow removal violations. Activities also include the enforcement of downtown time zone parking areas.

PERFORMANCE MEASURES - CODE ENFORCEMENT

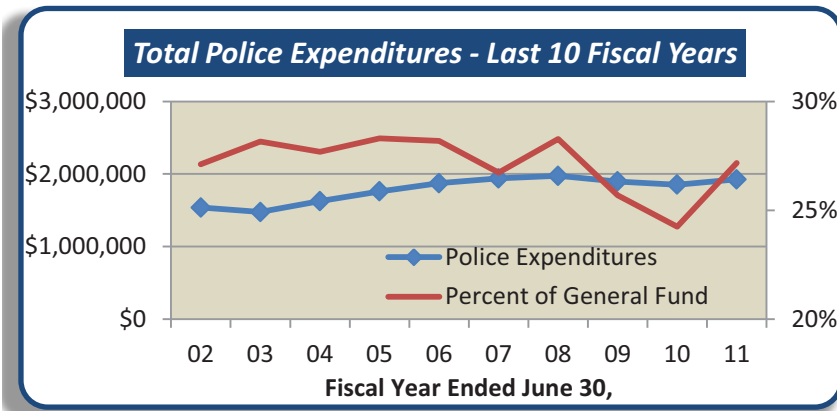
MEASURE	Fiscal Year:	<i>Actual</i>		<i>Projected</i>	<i>Budgeted</i>	Trend
		2010	2011	2012	2013	
Yards cleaned up (Blight Ordinance)		112	137	115	115	↔
Junk Vehicles Removed/Repaired		48	37	50	50	↔
Lawn Complaints (Noxious Weed Ordinance)		192	142	200	200	↔
Total Complaint Numbers Pulled		283	284	300	300	↔



These pictures are examples of the blight that the code enforcement activities help eliminate within the City.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

Police Expenditures



The chart at the left shows total police expenditures for the last ten fiscal years and the related percentage of total General Fund expenditures for each year. Much of the gradual increase is due to the rising cost of funding the Act 345 retirement system, as well as the City's implementation of GASB 45, which has led to a commitment to advanced funding of other post-employment benefits (OPEB).

Public Safety Benchmarking

<i>Police Department</i>						
<i>Cities</i>	<i>2010 Census</i>	<i>FY2012 Police Budget</i>	<i>Number of Sworn Officers</i>	<i>Citizens Served Per Officer</i>	<i>Per Capita Costs</i>	<i>% of General Fund</i>
Manistee	6,226	\$956,991	12	518.83	\$153.71	18.48%
Big Rapids	10,601	\$2,051,000	18	588.94	\$193.47	27.27%
Alpena	10,483	\$1,802,821	17	616.65	\$171.98	20.67%
Traverse City	14,674	\$3,327,900	28	524.07	\$226.79	23.95%
Sault Ste. Marie	14,144	\$2,451,700	23	614.96	\$173.34	19.79%
Coldwater	10,945	\$1,799,000	17	643.82	\$164.37	22.64%
Sturgis	10,994	\$2,648,941	19	578.63	\$240.94	35.70%
City of Cadillac	10,355	\$1,939,000	14	739.64	\$187.25	27.13%

<i>Fire Department</i>						
<i>Cities</i>	<i>2010 Census</i>	<i>FY2012 Fire Department Budget</i>	<i>Number of Full-Time Officers</i>	<i>Citizens Served Per Full-Time Officer</i>	<i>Per Capita Costs</i>	<i>% of General Fund</i>
Manistee	6,226	\$695,432	7	889.43	\$111.70	13.43%
Big Rapids	10,601	\$842,000	9	1,177.89	\$79.43	11.19%
Alpena	10,483	\$1,494,493	23	455.78	\$142.56	17.14%
Traverse City	14,674	\$2,481,600	23	638.00	\$169.12	17.86%
Sault Ste. Marie	14,144	\$1,310,600	18	785.78	\$92.66	10.58%
Coldwater	10,945	\$1,732,500	14	781.79	\$158.29	21.80%
Sturgis	10,994	\$1,517,024	11	999.45	\$137.99	20.45%
City of Cadillac	10,355	\$1,333,800	11	941.36	\$128.81	18.66%

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

Fire Department Information

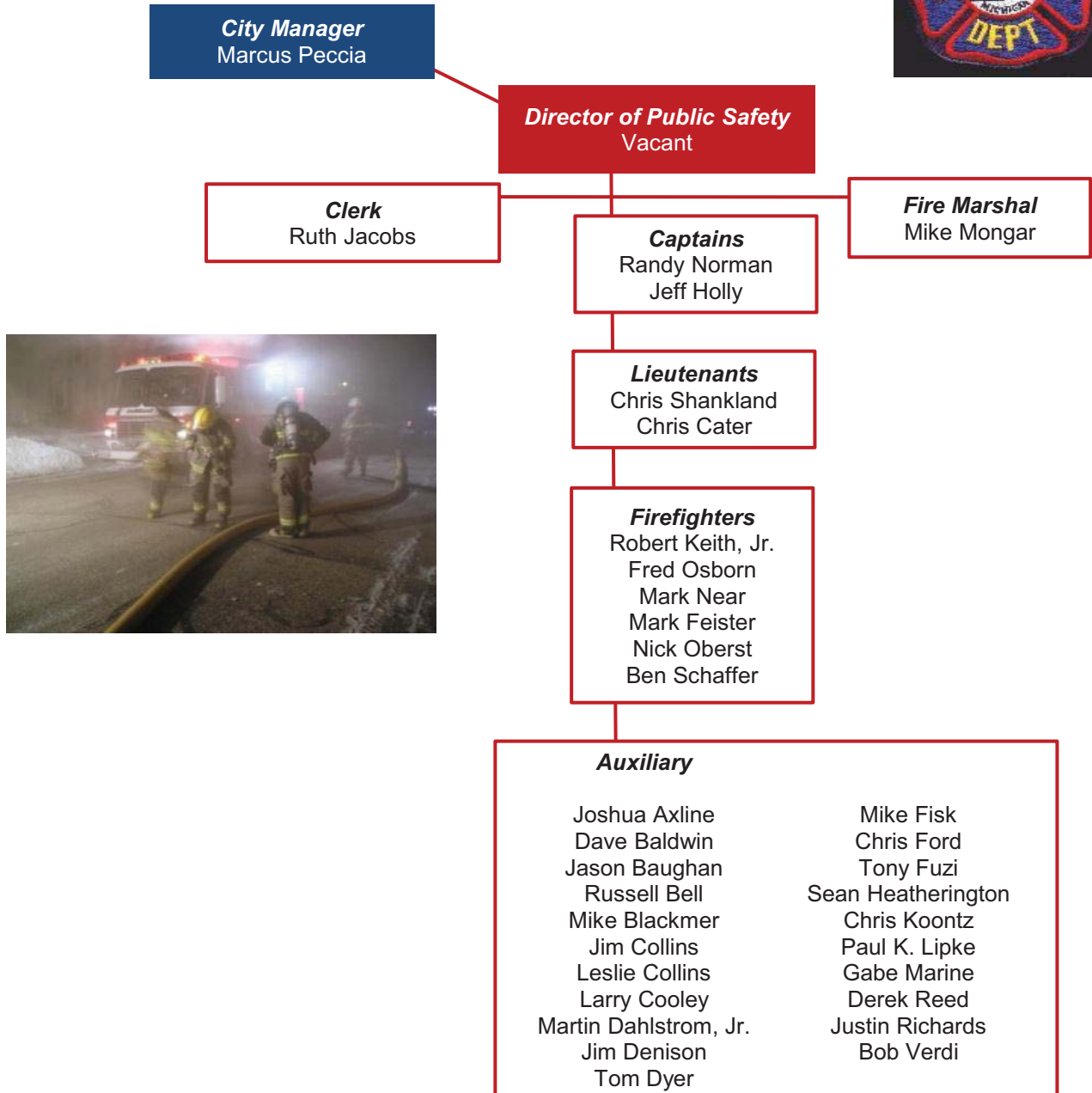
The Cadillac Fire Department uses a capable and well-trained staff of 11 full-time firefighters and 14 part-time firefighters to provide 24-hour fire protection to the City of Cadillac and Clam Lake Township. In addition to their fire fighting duties and in conjunction with the City's rental housing ordinance, the firefighters conduct periodic rental housing inspections designed to help prevent fires. The rental program requires that all rental property be inspected for building, electrical, mechanical, and housekeeping deficiencies and must have their rental certificate renewed every three years through a passing inspection.

PERFORMANCE MEASURES - FIRE DEPARTMENT

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2010	2011	2012	2013	
Total Runs		1,679	1,638	1,700	1,700	↑
Number of Medical Emergencies Responses		1,353	1,358	1,350	1,350	↔
Hours Spent Fighting Fires		130	175	130	130	↔
Hours Spent on Site Inspections		2,835	2,000	3,000	3,000	↑
Hours Spent on Rental Inspection		750	800	800	800	↑
Number of Fires Reported		38	51	40	40	↔
Hours Spent Maintaining Vehicles		780	800	800	800	↑
Total Hours Spent in Training		4,000	4,000	4,000	4,000	↔
Hours Spent in Water Rescue Training		80	80	80	80	↔
Number of Educational Programs Offered		12	10	15	15	↑
Citizens Attending Education Programs		3,300	3,000	3,500	3,500	↑
Number of Fire Investigations		72	102	65	65	↓
Hours Spent on Public Relations		710	710	730	730	↑
Operating Cost per Fire Fighter		\$118,373	\$112,527	\$119,027	\$117,945	↑

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FIRE DEPARTMENT CHART OF ORGANIZATION



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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PUBLIC SAFETY (Cont.)

Fire Department

Salaries - Supervisory	\$285	\$500	\$37,500	\$40,000
Salaries - Firefighters	543,377	500,000	520,000	520,000
Salaries - Clerks	0	0	10,000	0
Salaries - FLSA Overtime	33,348	35,000	35,000	36,000
Salaries - Overtime	115,378	105,000	90,000	90,000
Salaries - Volunteer	35,300	25,000	30,000	30,000
Fringes	466,391	455,000	467,300	460,600
Office Supplies	975	1,800	2,000	2,000
Operating Supplies	22,650	21,000	22,500	22,500
Operating Supplies-Community Service	153	1,000	1,500	1,500
Uniform Cleaning	2,500	2,800	2,800	2,800
Subsistence Allowance	15,895	14,000	14,600	14,600
Data Processing	11,845	11,000	11,000	11,000
Dues & Publications	2,612	2,500	2,500	2,500
Radio & Equipment Maintenance	5,245	6,000	7,500	7,500
Telephone	574	1,200	1,200	1,200
Travel & Education	4,707	10,000	11,000	11,000
Vehicle Repair & Maintenance	25,713	25,000	22,500	25,000
Uniforms & Maintenance	12,444	12,500	14,000	14,000
Vehicle Lease	2,711	3,300	1,200	0
Employee Safety	0	5,200	5,200	5,200
Capital Outlay	22,341	20,000	24,500	12,000
Total Fire Department	\$1,324,444	\$1,257,800	\$1,333,800	\$1,309,400

Fire Department Measures

Full-Time Positions	11.900	11.900	11.850	11.500
Part-Time Positions	17.000	17.000	14.000	21.000
Cost per Resident	\$127.90	\$121.47	\$128.81	\$126.45

TOTAL PUBLIC SAFETY

\$3,274,016	\$3,203,000	\$3,301,000	\$3,330,500
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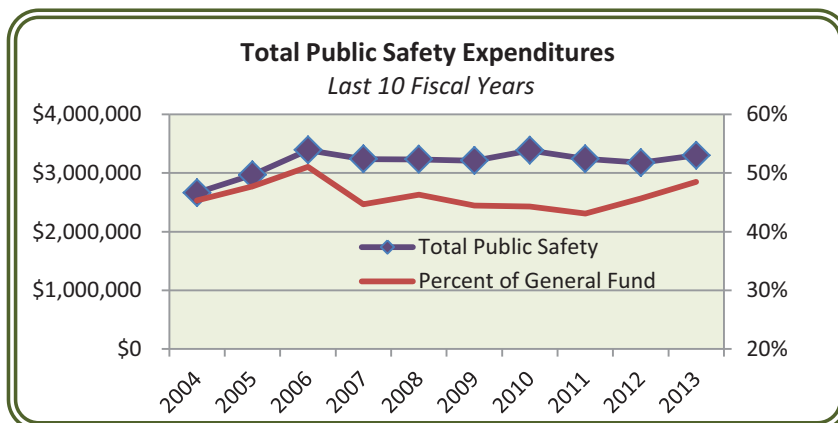
Total Public Safety Measures

Full-Time Positions	30.400	30.800	29.450	29.360
Part-Time Positions	33.000	33.000	30.000	35.000
Cost per Resident	\$316.18	\$309.32	\$318.78	\$321.63
% of General Fund Budget	43.53%	46.05%	46.19%	48.93%

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

Public Safety Expenditures
as a Percentage of Total General Fund Expenditures
Last Twenty Years

Fiscal Year	Expenditures		Total Public Safety	General Fund Total Expenditures and other financing uses	Percent of total expenditures of General Fund		Total Public Safety (% of General Fund)
	Police	Fire			Police	Fire	
2013	\$1,990,900	\$1,309,400	\$3,300,300	\$6,807,000	29.25%	19.24%	48.48%
2012	\$1,915,400	\$1,257,800	\$3,173,200	\$6,954,800	27.54%	18.09%	45.63%
2011	\$1,915,811	\$1,324,444	\$3,240,255	\$7,522,009	25.47%	17.61%	43.08%
2010	\$1,842,464	\$1,494,544	\$3,337,008	\$7,347,924	25.07%	20.34%	47.85%
2009	\$1,936,600	\$1,272,500	\$3,209,100	\$7,221,900	26.82%	17.62%	44.44%
2008	\$1,973,100	\$1,258,000	\$3,231,100	\$6,977,100	28.28%	18.03%	46.31%
2007	\$1,937,927	\$1,298,359	\$3,236,286	\$7,247,727	26.74%	17.91%	44.65%
2006	\$1,872,203	\$1,517,368	\$3,389,571	\$6,642,264	28.19%	22.84%	51.03%
2005	\$1,760,171	\$1,207,111	\$2,967,282	\$6,217,441	28.31%	19.41%	47.73%
2004	\$1,626,181	\$1,035,891	\$2,662,072	\$5,872,347	27.69%	17.64%	45.33%
2003	\$1,475,406	\$1,034,873	\$2,510,279	\$5,239,720	28.16%	19.75%	47.91%
2002	\$1,537,630	\$916,998	\$2,454,628	\$5,671,563	27.11%	16.17%	43.28%
2001	\$1,575,551	\$988,632	\$2,564,183	\$5,613,156	28.07%	17.61%	45.68%
2000	\$1,465,293	\$1,144,998	\$2,610,291	\$5,366,921	27.30%	21.33%	48.64%
1999	\$1,433,047	\$991,645	\$2,424,692	\$5,234,493	27.38%	18.94%	46.32%
1998	\$1,447,101	\$873,240	\$2,320,341	\$4,948,684	29.24%	17.65%	46.89%
1997	\$1,369,058	\$908,804	\$2,277,862	\$4,687,638	29.21%	19.39%	48.59%
1996	\$1,236,945	\$824,857	\$2,061,802	\$4,532,936	27.29%	18.20%	45.48%
1995	\$1,214,244	\$835,244	\$2,049,488	\$4,553,093	26.67%	18.34%	45.01%
1994	\$1,271,421	\$1,149,142	\$2,420,563	\$4,832,474	26.31%	23.78%	50.09%
1993	\$1,148,090	\$680,831	\$1,828,921	\$4,199,778	27.34%	16.21%	43.55%



Total Public Safety Expenditures

This chart highlights the fact that although Public Safety expenditures have been increasing, the increase is comparable with the General Fund as a whole. The percentage of General Fund expenditures appropriated to Public Safety has been between 44% and 50% for a number of years.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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PUBLIC WORKS

Public Works - Administration

Salaries	\$10,226	\$62,500	\$75,100	\$67,900
Fringes	4,274	25,000	36,800	22,900
Property Taxes	5,110	3,500	5,000	4,000
Operating Supplies	71	0	0	0
Street Lighting	124,241	120,000	130,000	130,000
Telephone	0	1,000	0	1,600
Maintenance of Dam	2,406	2,300	2,500	2,500
Equipment Rental	24,456	15,000	14,800	14,800
Hydrant Rental	27,792	23,900	24,100	24,500
Total Public Works - Administration	\$198,576	\$253,200	\$288,300	\$268,200

Public Works - Administration Measures

Full-Time Positions *	0.000	1.800	1.800	1.300
Part-Time Positions	0.000	0.000	0.000	0.000
Cost per Resident	\$19.18	\$24.45	\$27.84	\$25.90

* Due to restructuring in the Department of Public Works, a full-time Public Works Analyst, and 30% of the Parks and Cemetery Superintendent are classified to this unit beginning in FY2012.

Public Works - Miscellaneous

Property taxes account for the small pieces of property the City obtains from year to year through the tax sale and an attempt is made to resell the property and put it back on the tax roll. Street Lighting is the cost paid to Consumers Energy for the 578 street lights in the City. Hydrant Rental by ordinance is \$50 per hydrant paid to the Utilities Department for the readiness to serve charge for fire protection. There are currently 482 hydrants within the City.

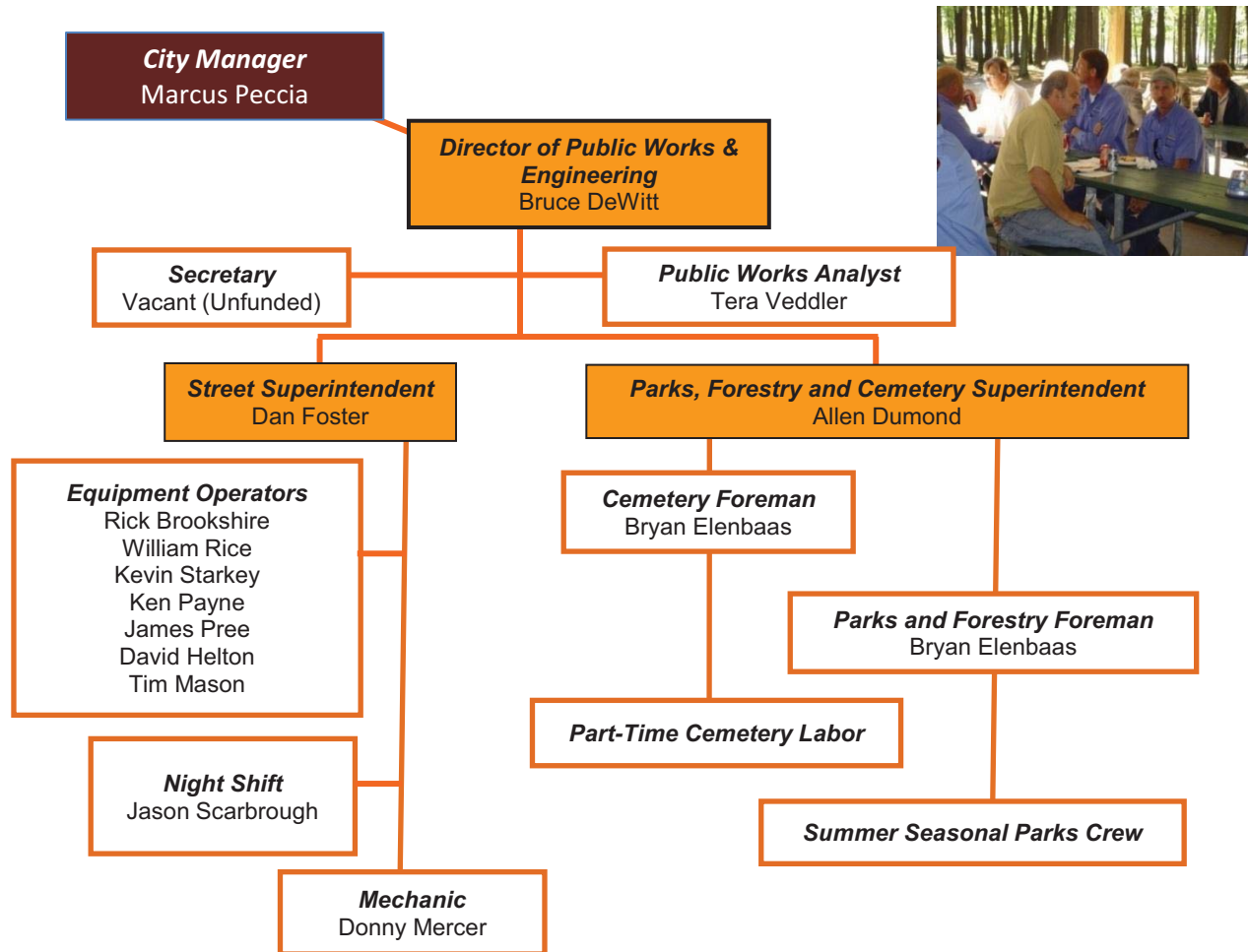


Street Lights

<u>Number of Lights</u>	<u>Lumens</u>	<u>Monthly Rate</u>
10	2,500	\$7.930
3	3,500	\$12.440
96	7,500	\$16.530
182	20,000	\$25.570
285	8,500	\$11.890
1	24,000	\$21.530
1	45,000	\$28.700

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

Public Works Department Structure and Organization



PERFORMANCE MEASURES - PUBLIC WORKS

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2010	2011	2012	2013	
Hours spent in leaf pickup		270	325	290	290	↔
Hours spent plowing sidewalks		265	490	473	473	↔
Miles of sidewalks maintained		132	132	132	132	↔

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
<u>PUBLIC WORKS (Cont.)</u>				
Sidewalks				
Salaries	\$7,583	\$7,000	\$7,500	\$7,500
Salaries - Part Time	0	0	0	0
Fringes	4,132	4,000	4,600	4,500
Operating Supplies	2,411	2,000	2,000	2,500
Contractual Services	0	0	0	0
Equipment Rental	15,274	14,000	16,000	16,000
Total Sidewalks	\$29,400	\$27,000	\$30,100	\$30,500
Leaves				
Salaries	\$5,055	\$6,500	4,600	\$4,600
Fringes	2,828	3,500	2,800	2,800
Equipment Rental	27,437	28,000	24,700	25,000
Total Leaves	\$35,320	\$38,000	\$32,100	\$32,400
Grass & Weed Control				
Salaries	\$6,709	\$6,500	7,200	\$6,800
Fringes	3,839	3,500	4,400	4,100
Equipment Rental	18,379	17,500	20,100	21,000
Total Grass and Weed Control	\$28,927	\$27,500	\$31,700	\$31,900
Composting				
Salaries	\$111	\$1,200	\$1,500	\$800
Fringes	129	600	1,000	500
Contractual Services	0	0	0	5,000
Equipment Rental	344	2,800	1,000	1,000
Total Composting	\$584	\$4,600	\$3,500	\$7,300

Sidewalks

This account reflects the maintenance costs for the City-owned sidewalks and the plowing of alleys. In 1998, the city began a special assessment sidewalk replacement project to upgrade severely deteriorated sidewalks throughout the city. This program was last undertaken in FY2009 and will have to be evaluated again over the next couple of years. The City's portion of the assessment is included in Contractual Services.

Leaves

Many tree-lined streets adorn the City adding to the beauty but also requiring a large cleanup effort during the fall. Burning of leaves is prohibited and residents are required to purchase special bags to provide an economical way to remove the leaves from private property. The State of Michigan has legislated that no leaves or grass clippings can be deposited in any Michigan landfills.

The City has an ordinance prohibiting noxious weeds. Periodically throughout the summer, crews will mow areas that are in violation of this ordinance. Grass and Weed Control is for maintaining city right of way and city owned lots as well as privately owned lots which are in violation of ordinance.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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PUBLIC WORKS (Cont.)

Waste Removal

Salaries	\$168	\$100	\$100	\$100
Fringes	42	100	100	100
Operating Supplies	0	100	100	0
Removal Contract	553,174	515,000	592,000	500,000
City Debris Removal Fees	3,001	4,000	4,100	3,000
Equipment Rental	35	100	100	100
Total Waste Removal	\$556,420	\$519,400	\$596,500	\$503,300

TOTAL PUBLIC WORKS	\$849,227	\$869,700	\$982,200	\$873,600
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Public Works per Resident Costs	\$82.01	\$83.99	\$94.85	\$84.37
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Waste Removal

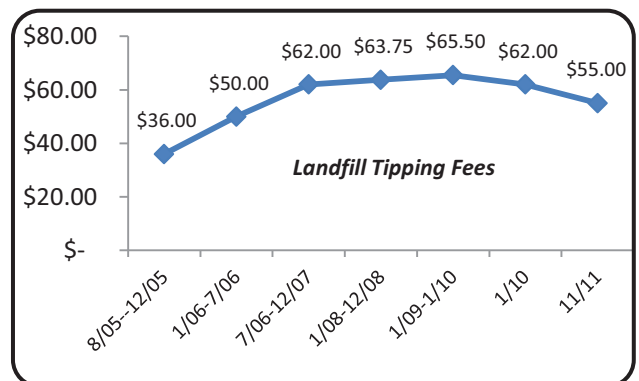
This group of accounts reflects the solid waste contract. The current contract is with Allied Waste. The contractor serves approximately 3,250 customers weekly with curbside pickup. The City does the billing and collects from the customers and reimburses the contractor. In addition the contractor offers a Tidy Tote garbage can for a fee of \$2.20 per month of which the City gets \$0.45 for a collection fee. About 1,900 customers take advantage of this on a monthly basis. The cost of the contract decreased this year due primarily to tipping fee decreases subsequent to the sale of the Wexford County Landfill. Rate adjustments are made in April based on inflationary indexes.

MONTHLY CONTRACT FEES		
Fiscal Year	Cost	Increase
2006	\$11.27	37.78%
2007	\$11.53	2.31%
2008	\$12.77	10.75%
2009	\$13.89	8.77%
2010	\$13.19	-5.04%
2011	\$13.41	1.67%
2012	\$11.72	-12.60%
2013	\$11.72	0.00%

Note: Increase in cost since 2004 has been 47%.

Wexford County Landfill Tipping Fees

The chart to the right highlights the changes over the last 5 years in the tipping fees at the landfill. This change is the major driver behind the fluctuation in costs to the residents in the City for weekly trash pickup.



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
<u>CULTURE AND RECREATION</u>				
Arts Council	\$10,500	\$10,500	\$10,500	\$10,500
Cadillac Community Television (CCTV)				
Salaries	\$17,009	\$18,000	\$22,500	\$22,500
Fringes	1,301	1,800	2,200	2,500
Office Supplies	406	2,500	1,000	1,000
Contractual Services	925	3,500	5,000	5,000
Total CCTV	\$19,641	\$25,800	\$30,700	\$31,000

Arts Council

The City contributes funds to the local Arts Council to assist in programming. They support 12 different organizations and expend over \$19,000 annually. Revenues from the various events as well as donations produce enough to offset most of the costs and the City is asked to contribute a portion (55%) of the remaining balance.

Cadillac Community Television (CCTV)

Beginning July 1, 2010 the City assumed responsibility for the operation of the local PEG channels. These operations were formerly overseen by Cadillac Area Public Schools (CAPS). The schools remain an important part of the partnership as they host all of the facilities required to operate the stations. Also, the Wexford-Missaukee Intermediate School District has played an important role as well by partnering with CAPS in providing educational classes in production and other TV-related fields. This enables CAPS to continue to house the operations.

The operations of the station are overseen by Mr. Jeff Smith, under the supervision of the City Manager. Mr. Smith is a part-time City of Cadillac employee. The station also uses some contract labor to assist with operations and to provide technical staff for various events.

All Cadillac City Council meetings are shown live on the station. Other meetings, like the Cadillac Planning Commission, are also carried live. This is an important component in public access to City operations.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Parks				
Salaries	\$28,104	\$41,000	\$29,000	\$43,000
Salaries - Part Time	60,463	52,800	52,800	55,000
Fringes	17,997	27,500	19,500	25,500
Operating Supplies	19,023	19,000	20,300	21,000
Contractual Services	3,324	2,200	2,200	0
Data Processing	1,000	1,000	1,000	0
Telephone	660	500	500	700
Travel and Education	59	200	200	200
Utilities	25,729	24,000	21,400	25,000
Repair and Maintenance	16,505	22,000	21,400	25,000
Equipment Rental	10,066	11,000	9,800	11,000
Rental Building	0	1,100	1,100	1,100
Capital Outlay	165,161	8,000	8,500	42,500
Total Parks	\$348,091	\$210,300	\$187,700	\$250,000
TOTAL CULTURE AND RECREATION	\$378,232	\$246,600	\$228,900	\$291,500
Cost per Resident	\$36.53	\$23.81	\$22.11	\$28.15

Parks

The Parks Division is responsible for maintaining four City Parks, totaling 117 acres. This work is performed by approximately nine summer students, prison laborers, and Street Department personnel. The work is primarily overseen by Parks Superintendent Allen Dumond with part-time assistance from Cemetery personnel. The scope of the work includes spring cleanup, summer lawn maintenance, inspection and repair of playground equipment, cleaning of all bathrooms, landscape work, fall leaf collection, and winter storage of tables and equipment.

PERFORMANCE MEASURES - PARKS AND RECREATION

MEASURE	Fiscal Year:	<i>Actual</i>		<i>Projected</i>	<i>Budgeted</i>	Trend
		2010	2011	2012	2013	
Total Park Acres		117	117	117	117	↔
Total Parks Maintenance Costs		\$187,890	\$182,930	\$202,300	\$207,500	↑
Parks Maintenance Cost per Acre		\$1,606	\$1,564	\$1,729	\$1,774	↑
Parks Maintenance Cost per Resident		\$18	\$18	\$20	\$20	↑
Park Acres per 1,000 Population		11	11	11	11	↔
Seasonal Parks Maintenance Employees		9	9	9	9	↔

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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ECONOMIC DEVELOPMENT AND ASSISTANCE

Community Development

Salaries	\$51,322	\$71,000	\$73,000	\$72,500
Fringes	22,784	31,000	32,400	33,100
Office Supplies	1,781	2,000	2,000	2,000
Postage	0	500	500	500
Contractual Services	470	1,100	0	0
Data Processing	2,500	2,500	2,500	2,500
Dues & Publications	746	800	400	400
Telephone	480	500	500	500
Travel & Education	1,163	1,300	1,500	1,500
Publisher's Costs	832	800	1,000	1,000
Capital Outlay	169	0	0	0
Total Community Development	\$82,247	\$111,500	\$113,800	\$114,000

Community Development Measures				
Full-Time Positions	1.210	1.550	1.550	1.550
Part-Time Positions	0.500	0.000	0.000	0.000
Cost Per Resident	\$7.94	\$10.77	\$10.99	\$11.01

Community Development

Jerry Adams has over thirty years of professional planning and community development experience. He has eight years in the public sector and twenty three years in the private sector. His extensive experience in city master planning, zoning, economic development, housing, and health care facilities planning brings to the City of Cadillac a wealth of background. Jerry is the recipient of planning awards from the Michigan Municipal League and Michigan Society of Planning. He is often a guest lecturer for the Michigan Municipal League, Michigan Society of Planning, and Michigan Township Associations. He has authored over forty-five articles and professional publications dealing with planning and community development. Jerry has a bachelor of science degree in urban/regional planning from Eastern Michigan University.

The Community Development department is responsible for the preparation and maintenance of the City Master Plan and for the administration and enforcement of the City's zoning and land division ordinances. Jerry serves as the secretary of the Zoning Board of Appeals and the Planning Board and is currently serving as staff liaison to the Historic District Committee. The salary of the Community Development Coordinator is accounted for in this account as well as 21% of the salary of a secretary.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

Community Development Information

<i>WORKLOAD PERFORMANCE MEASURES - Community Development</i>					
Activity	2007	2008	2009	2010	2011
Number of Zoning Board of Appeals Meetings	5	5	7	1	3
Number of Planning Commission Meetings	7	7	4	6	8
Number of Site Plans Reviewed	109	79	96	49	47
Number of Historic District Commission Mtgs.	5	5	4	8	10
Number of Diggins Hill Committee Meetings	4	9	15	14	12
Milfoil Management Committee Meetings	2	2	2	3	3
Cadillac West Resort District Meetings	N/A	4	6	6	10
Cadillac Area Manufacturer's Assn. Meetings	N/A	N/A	2	4	6

Highlight of various Community Development Roles

- > **Commission/Committee Staff Assignments** – serve as primary staff to the City Planning Commission, Zoning Board of Appeals, Courthouse Hill Historic District Commission, Diggins Hill Fundraising Committee, Lake Cadillac Milfoil Management Committee, and the Cadillac Resort District Association. Provide staff support to the Downtown Development Authority.
- > **City Master Plan** – ongoing preparation of the City Master Plan including completion of neighborhood workshops.
- > **Zoning Administration** – administer the City Zoning Ordinance.
- > **Land Division Approvals** – administer the city Land Division Ordinance governing subdivisions, lot splits, land assembly, and lot reconfigurations.
- > **Lake Cadillac Milfoil Management Program** – administer the Lake Cadillac Milfoil Management Program (fourth year).
- > **Diggins Hill Community Park** – assist the Diggins Hill Fundraising Committee in coordinating the fundraising effort for the new Diggins Hill Tennis Courts and other park projects.
- > **Newsletters** – assist the Courthouse Hill Historic District Committee, DDA and the Cadillac West Resort District in preparing newsletters for public distribution.
- > **Industrial Buildings and Sites Inventory** – prepare an electronic inventory of the city's industrial buildings and sites. Prepare a marketing brochure for the city's industrial parks.
- > **Marketing** - Prepare informational and marketing brochures for the core downtown, Historic District, the city's primary market area, the Mitchell Street Improvement Project, and the Diggins Hill Community Park Development Project.
- > **Industrial Park Land Transactions** – assist in the coordination of the sale of the city's industrial park sites.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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ECONOMIC DEVELOPMENT AND ASSISTANCE (Continued)

Community Promotions

Salaries	\$7,344	\$7,500	\$7,200	\$7,200
Fringes	3,362	3,700	4,400	4,300
Operating Supplies	1,240	1,500	2,000	5,000
Newsletter	0	1,500	2,500	0
Contractual Services	5,202	7,500	7,800	4,000
Utilities	1,724	2,000	1,600	1,800
Equipment Rental	5,827	6,000	6,900	7,000
Special Projects	701	700	0	700
Chamber of Commerce	2,000	2,000	2,000	2,000
Community Development	66,610	45,000	0	0

Total Community Promotions	\$94,010	\$77,400	\$34,400	\$32,000
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TOTAL ECONOMIC DEVELOPMENT	\$176,257	\$188,900	\$148,200	\$146,000
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INTERGOVERNMENTAL EXPENDITURES

Housing Commission	\$229,312	\$250,000	\$250,000	\$0
Clam Lake Township	1,564	2,300	2,300	2,300
Airport	33,000	33,000	33,000	33,000
Recreation	61,088	66,200	66,200	66,200

Total Intergovernmental Expenditures	\$324,964	\$351,500	\$351,500	\$101,500
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Community Promotions

Special projects were eliminated due to lack of funding. Chamber of Commerce is a contribution to help offset their tax burden. The Community Development line item accounts for small grants received for a variety of purposes. This has included projects like assisting with the redevelopment of the Cobbs-Mitchell building in downtown Cadillac through the administration of a State of Michigan Cool Cities grant, which was passed through to the developer that acquired the facility to help offset construction costs.

Intergovernmental Expenditures

Funds are transferred to the Wexford County Airport, which is a joint effort with Wexford County. The County funds 60% and the City funds the remaining 40% of costs after the operational revenues are considered. The net operating need of the airport for 2012 is \$82,700. The County is responsible for 60% - or \$49,700 - of the net operating need and the City is responsible for the remaining 40% - or \$33,000. Recreation is a joint program with the Cadillac Community School system and the total program is over \$300,000 per year, which provides many opportunities for all age groups.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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OTHER FINANCING

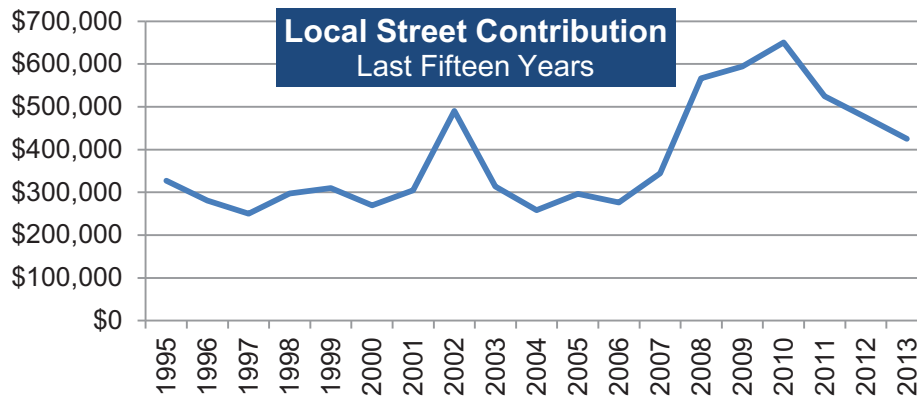
Transfers to Other Funds:				
Local Street	525,000	475,000	475,000	425,000
Police & Fire Retirement Fund	425,970	35,000	35,000	20,000
Cemetery Operating Fund	72,400	75,000	75,000	75,000
Total Other Financing	\$1,023,370	\$585,000	\$585,000	\$520,000

TOTAL EXPENDITURES	\$7,522,009	\$6,954,800	\$7,147,200	\$6,807,000
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Police and Fire Retirement Contribution

The extra voted millage is raising tax dollars in excess of what is needed to fully fund the annual required contribution (ARC) to the system as determined by an actuary. This line item accounts for the transfer of the portion that is beyond the ARC. The contributions up to the amount of the ARC are accounted for in the Police and Fire Departments.

Local Street Contribution



The transfer that the General Fund must make to the Local Street Fund for street maintenance has skyrocketed in the last several years due to the decline in local street revenues from the State of Michigan.

<u>Cities</u>	<u>Population</u>	<u>2012 General Fund Budget</u>	<u>Per Capita Expenditures</u>
Manistee	6,226	\$5,178,711	\$831.79
Big Rapids	10,601	\$7,521,800	\$709.54
Alpena	10,483	\$8,720,022	\$831.83
Traverse City	14,674	\$13,893,600	\$946.82
Sault St. Marie	14,144	\$12,391,433	\$876.09
Coldwater	10,945	\$7,947,423	\$726.12
Sturgis	10,994	\$7,419,407	\$674.86
Cadillac	10,355	\$7,147,200	\$690.22

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
General Fund

General Fund Capital Outlay

FY2013

City Hall (1)

Floor Covering	\$10,500	
Office Furniture	9,000	
		\$19,500

Police Department (2)

Patrol Vehicle	\$30,000	
Mobile Video Camera Update	22,800	
Interview Room Renovation	9,500	
		\$62,300

Fire Department (3)

Rescue Tools	\$12,000	
		\$12,000

Parks and Recreation (4)

Shoreline Stabilization	\$7,500	
Playground Equipment	35,000	
		\$42,500

Total		<u><u>\$136,300</u></u>
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Source of Funds (5)

State Shared Revenue - Statutory Funds	\$101,300	
Recreation Grant Funds	35,000	
		<u><u>\$136,300</u></u>

Footnotes:

1. Municipal Complex: The carpet in the Police Department is very worn and has been in need of replacement for several years. The office furniture purchase will replace furniture in several offices that is 30 years old.

2. Police Department: The patrol vehicle replacement program is recommended to again fund the replacement of a patrol vehicle. The department has already experienced additional maintenance costs due to an aging fleet, and replacing a vehicle will help reduce annual maintenance costs. Updating the mobile video cameras mounted in each patrol vehicle will keep these important tools working efficiently, while renovating the interview room will enhance the interview process.

3. Fire Department: General replacement of important safety equipment will help the fire department provide the highest level of safety services possible.

4. Parks and Recreation: Protecting one of the City's signature assets - Lake Cadillac is an important function of the parks department. The playground equipment project is contingent upon receiving a grant.

5. Source of Funds: Due to the volatility of Statutory state shared revenue, as much as possible of these funds are earmarked to fund capital projects. Because of this, should these state funds be eliminated or cut even further, the City could quickly respond by cancelling capital purchases instead of having to reduce staff or make other drastic cost elimination decisions.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Major Street Fund

Fund: Major Street Fund

Type: Special Revenue Fund

Oversight: Director of Public Works and Engineering

Nature and Purpose:

Each Michigan city is required to establish a major street fund in compliance with Act 51 of the Public Acts of 1951. The Major Street Fund is designed to support the operation and maintenance of the 21.53 miles of roadway as well as the 5.19 miles of State Trunklines that flow through the City of Cadillac. The State highways are Old M-55 and US-131. These highways are maintained for the State of Michigan by the City under a contract with the Michigan Department of Transportation.

The purpose of this fund is to:

1. Receive all major street funds paid to the City by the State of Michigan.
2. Account for construction, maintenance and other authorized operations pertaining to all streets classified as major.
3. Receive money reimbursed to the City by the State for trunkline maintenance.

This fund technically has no employees but contracts with the Stores and Garage Fund, the Utilities Fund and the General Fund to furnish manpower, supplies and equipment. The hours worked on each project are supported with time sheets.

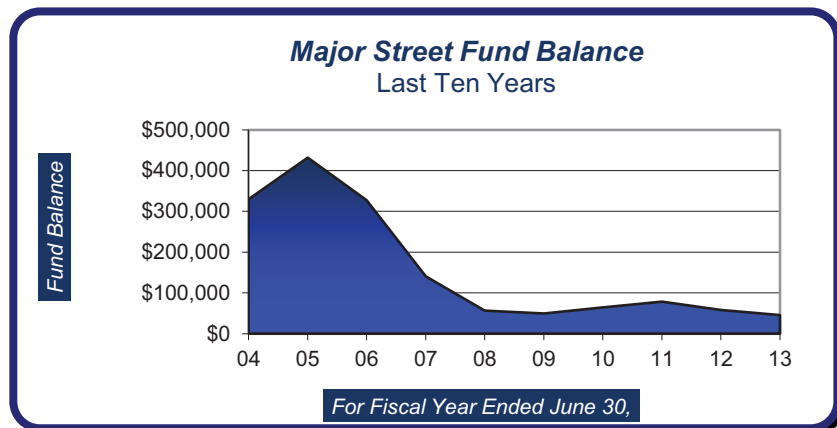
PERFORMANCE MEASURES - MAJOR STREET SYSTEM

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2010	2011	2012	2013	
Miles of Major Streets		21.53	21.53	21.53	21.53	↔
Miles of State Trunk Line		5.19	5.19	5.19	5.19	↔
Operating Expenditures per Road Mile		\$16,397	\$17,593	\$16,962	\$18,007	↑
Operating Expenditures per Resident		\$34	\$37	\$35	\$37	↑
Hours Spent in Major Street Maintenance		5,095	5,095	5,300	5,800	↑
Cost per Hour of Major Street Maintenance		\$69	\$69	\$69	\$67	↔
Total Winter Maintenance Expenditures		\$122,125	\$145,588	\$142,000	\$144,000	↑
Hours Spent in Winter Maintenance		1,249	1,575	1,595	1,675	↑
Cost per Hour of Winter Maintenance		\$98	\$92	\$89	\$86	↓
Winter Maintenance Expenditures per Mile		\$5,672	\$6,762	\$6,595	\$6,688	↑
Winter Maintenance Expenditures per Resident		\$12	\$14	\$14	\$14	↔
State Trunk Line Maintenance Expenditures		\$92,548	\$144,499	\$126,000	\$123,000	↓
State Trunk Line Maintenance Exp. Per Mile		\$17,832	\$27,842	\$24,277	\$23,699	↓
Total Hours of State Trunk Line Maintenance		1,140	2,202	1,600	1,500	↓

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Major Street Fund

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Motor Vehicle Highway Fund	\$496,647	\$500,000	\$495,000	\$510,000
State Trunkline Maintenance	142,460	112,000	126,000	123,000
State of Michigan	0	210,000	210,000	0
Federal Grants	3,430	0	0	0
Contribution - Capital Projects Fund	20,000	25,000	25,000	0
Interest Income	31	0	0	0
Surplus	0	20,800	20,800	12,000
Total	\$662,568	\$867,800	\$876,800	\$645,000
Expenditures				
Construction	\$58,088	\$297,500	\$297,500	\$60,000
Surface Maintenance	52,084	47,500	49,400	56,800
Sweeping and Flushing	26,598	22,400	24,100	25,100
Forestry	50,940	44,600	45,900	48,200
Catch Basin	23,004	26,000	27,400	24,100
Drainage	15,953	15,500	13,000	15,400
Traffic Services	64,606	58,000	63,400	74,100
Winter Maintenance	145,588	115,500	142,000	144,000
Administration	67,407	71,500	88,100	74,300
State Trunkline	144,499	112,000	126,000	123,000
Total	\$648,767	\$810,500	\$876,800	\$645,000
Fund Balance				
Net Change in Fund Balance	\$13,801	\$36,500	(\$20,800)	(\$12,000)
Fund Balance - Beginning of Year	64,555	78,356	78,356	114,856
FUND BALANCE AT YEAR END	\$78,356	\$114,856	\$57,556	\$102,856

Major Street Fund Balance



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Major Street Fund

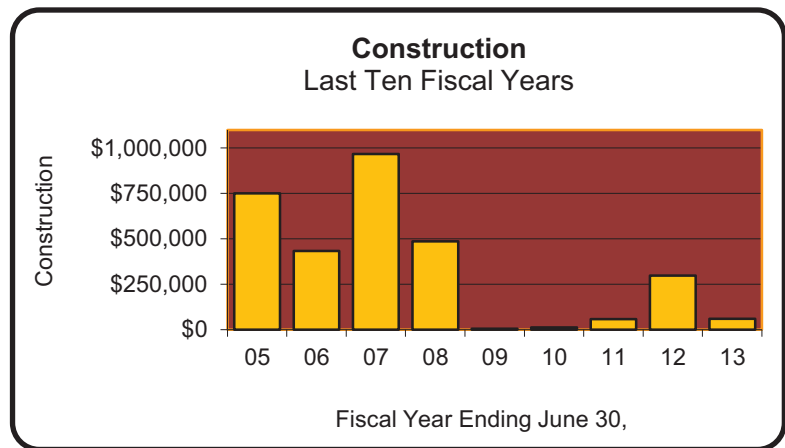
Revenue Details

The major source of revenue is the gas and weight taxes collected by the State of Michigan and shared with local units of government. The formula received by cities is based on miles of streets, population and a factor placed by the State. For FY2013, the revenue is based on the projection of funding anticipated for the current fiscal year. The second major source of revenue is for the state trunkline contract. This revenue item should equal the amount of expenditures for trunkline maintenance.

Cost and Expenditure Details

Construction

Construction levels vary from year to year depending on the 5-year capital improvement program, availability of funds, and grants secured. The City has been very successful in securing grants for infrastructure projects and will need to continue this trend to be able to sustain a high level of capital investment. Beginning in FY2009, funds for construction have virtually dried up, resulting in essentially no construction activity. Chestnut Street was resurfaced in FY2011



FY2013 Proposed Construction

Plett Road/13th Street Intersection

Cost

\$60,000

\$60,000

Other Expenditure Details

Administrative Salaries represents 60% of Street Superintendent Dan Foster.

Transfers Out reflect the transfer to a debt service fund to cover principal and interest payments on debt obligations of the system. Current transfer is for debt service related to the 2004 GO Capital Improvement Bonds.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Major Street Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenditures				
Construction				
Contractual Services	\$58,088	\$297,500	\$297,500	\$60,000
Surface Maintenance				
Salaries and Wages	\$19,902	\$15,000	\$14,600	\$17,000
Fringes	5,662	8,000	8,500	9,500
Operating Supplies	11,495	10,500	11,500	13,500
Equipment Rental	15,025	14,000	14,800	16,800
Total Surface Maintenance	\$52,084	\$47,500	\$49,400	\$56,800
Sweeping and Flushing				
Salaries and Wages	\$4,601	\$3,300	\$3,300	\$3,800
Fringes	1,922	1,600	2,000	2,300
Equipment Rental	20,075	17,500	18,800	19,000
Total Sweeping and Flushing	\$26,598	\$22,400	\$24,100	\$25,100
Forestry				
Salaries and Wages	\$17,089	12,000	\$11,100	\$11,100
Fringes	6,317	7,000	6,800	6,600
Operating Supplies	4,920	4,000	4,400	4,500
Contractual Services	4,000	3,000	4,000	3,000
Travel	150	600	800	500
Repair and Maintenance	122	500	300	4,500
Equipment Rental	18,342	17,500	18,500	18,000
Total Forestry	\$50,940	\$44,600	\$45,900	\$48,200
Catch Basin				
Salaries & Wages	\$10,873	\$9,500	\$9,300	\$9,500
Fringes	2,882	5,500	5,700	4,700
Operating Supplies	693	500	600	600
Contractual Services	0	2,000	2,500	0
Equipment Rental	8,556	8,500	9,300	9,300
Total Catch Basin	\$23,004	\$26,000	\$27,400	\$24,100
Drainage				
Salaries and Wages	\$9,233	\$6,000	\$6,000	\$7,000
Fringes	2,926	3,500	3,700	4,200
Operating Supplies	400	500	200	200
Equipment Rental	3,394	5,500	3,100	4,000
Total Drainage	\$15,953	\$15,500	\$13,000	\$15,400

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Major Street Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenditures (Continued)				
Traffic Services				
Salaries and Wages	\$25,214	\$16,000	\$15,800	\$17,800
Wages - Part Time	0	500	1,000	1,000
Fringes	8,705	8,500	9,800	11,000
Operating Supplies	13,845	12,500	13,000	13,000
Contractual	6,808	12,500	15,000	22,500
Equipment Rental	10,034	8,000	8,800	8,800
Total Traffic Services	\$64,606	\$58,000	\$63,400	\$74,100
Winter Maintenance				
Salaries and Wages	\$36,826	\$23,000	\$25,700	\$27,000
Fringes	11,745	11,500	15,900	16,000
Operating Supplies	23,985	21,000	22,400	23,000
Equipment Rental	73,032	60,000	78,000	78,000
Total Winter Maintenance	\$145,588	\$115,500	\$142,000	\$144,000
Administration				
Salaries and Wages	\$5,226	\$22,000	\$22,000	\$22,000
Fringes	18,228	11,500	28,800	9,700
Office Supplies	59	100	100	0
Audit	0	2,000	2,000	1,500
Data Processing	8,000	0	0	0
Travel and Education	145	800	800	0
Equipment Rental	7,449	7,000	6,300	7,500
Other Administrative Charges	10,000	10,000	10,000	0
Contribution - Local Street	0	0	0	15,000
Transfers Out	18,300	18,100	18,100	18,600
Total Administration	\$67,407	\$71,500	\$88,100	\$74,300
State Trunkline				
Surface Maintenance				
Salaries and Wages	\$2,860	\$500	\$500	\$300
Fringes	976	300	300	200
Operating Supplies	1,316	300	500	500
Equipment Rental	1,261	500	500	500
Total Surface Maintenance	\$6,413	\$1,600	\$1,800	\$1,500
Sweeping & Flushing				
Salaries and Wages	\$1,046	\$800	\$800	\$800
Fringes	454	400	500	500
Equipment Rental	4,030	4,000	5,100	4,500
Total Sweeping & Flushing	\$5,530	\$5,200	\$6,400	\$5,800

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Major Street Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenditures (Cont.)				
State Trunkline (Cont.)				
Traffic Signs				
Utilities	\$7,722	\$6,000	\$6,900	\$6,800
Total Traffic Signs	\$7,722	\$6,000	\$6,900	\$6,800
Trees and Shrubs				
Salaries and Wages	\$459	\$500	\$600	\$500
Fringes	206	200	400	300
Equipment Rental	467	300	300	300
Total Trees and Shrubs	\$1,132	\$1,000	\$1,300	\$1,100
Drainage				
Salaries and Wages	\$728	\$2,500	\$4,300	\$1,000
Fringes	218	1,200	2,700	600
Operating Supplies	169	0	0	0
Contractual Services	0	0	0	0
Repairs & Maintenance	0	0	0	0
Equipment Rental	76	1,000	1,400	500
Total Drainage	\$1,191	\$4,700	\$8,400	\$2,100
Winter Maintenance				
Salaries and Wages	\$21,845	\$14,000	\$15,800	\$16,000
Fringes	7,297	7,500	9,700	10,000
Operating Supplies	33,702	27,500	23,000	25,000
Equipment Rental	36,119	30,000	38,100	38,100
Total Winter Maintenance	\$98,963	\$79,000	\$86,600	\$89,100
Snow Hauling				
Salaries and Wages	\$8,003	\$4,500	\$3,700	\$5,000
Fringes	2,451	2,500	2,300	3,000
Equipment Rental	13,094	8,500	8,600	8,600
Total Snow Hauling	\$23,548	\$15,500	\$14,600	\$16,600
Total State Trunkline	\$144,499	\$112,000	\$126,000	\$123,000
Total Expenditures	\$648,767	\$810,500	\$876,800	\$645,000

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Major Street Fund

Other Fund Information

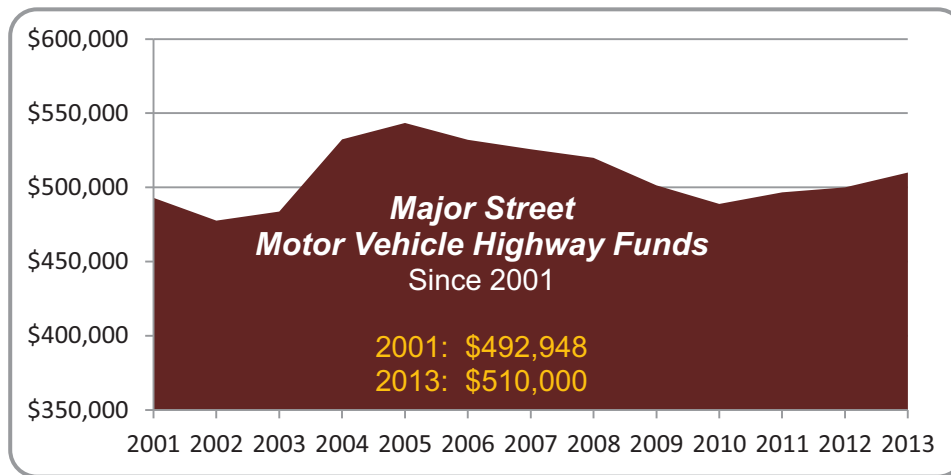
Streets in the Major Street System			
Street Name	From	To	Length (Feet)
Haynes Street	Linden Street	N. Lake Street	3,011
N. Lake Street	Pollard Street	Wright Street	4,561
E. North Street	N. Lake Street	Holbrook Street	3,656
E. Harris Street	N. Mitchell Street	Division Street	1,458
W. Harris Street	N. Mitchell Street	N. Lake Street	643
E. Division Street	Park Street	Delmar Street	1,574
Farrar Street	Wright Street	Gunn Street	1,839
Fifth Street	Farrar Street	Eighth Avenue	2,141
Seventh Street	Farrar Street	Fifth Avenue	1,949
Tenth Street	N. Mitchell Street	Second Avenue Ext.	950
Gunn Street	Farrar Street	N. Mitchell Street	496
Chestnut Street	Huston Street	N. Lake Street	7,766
Linden Street	W. Wright Street	Chestnut Street	2,737
Wright Street	Farrar & Lake Streets	Leeson Avenue	5,101
W. Division Street	Linden Street	W. City Limits-Seneca Street	5,277
North Boulevard	Leeson Avenue	M-115	9,109
E. Chapin Street	S. Mitchell Street	Oak Street	1,031
Oak Street	Chapin Street	Hobart Street	1,703
Mosser Street	S. Mitchell Street	Federal Surplus Warehouse	718
W. Cass Street	S. Mitchell Street	S. Lake Street	642
E. Cass Street	Mitchell Street	Crosby Road-East City Limits	5,800
Pine Street	Park Street	N. Lake Street	1,707
Cobbs Street	Mitchell Street	Carmel Street	4,886
Carmel Street	Cobbs Street	Cass Street	675
Park Street	E. River Street	E. Chapin Street	3,441
Whaley Street	Railroad Tracks	S. City Limits	1,084
River Street	Farrar & Lake Streets	N. Park Street	1,763
Bond Street	Haynes Street	Wright Street	1,111
Third Avenue	Wright Street	Fifth Street	967
Shelby Street	E. River Street	E. Chapin Street	3,404
Hobart Street	Cobbs Street	Oak Street	1,141
W. Mason Street	N. Lake Street	N. Mitchell Street	648
W. Chapin Street	S. Mitchell Street	S. Lake Street	691
Leeson Avenue	Chestnut Street	Thirteenth Street	6,588
Paluster Street	N. Mitchell Street	Whaley Street	3,667
Wilcox Street	Paluster Street	S. City Limits	1,654
Laurel Street	Pollard Street	M-55 Granite Street	1,497
South Street	S. Lake Street	S. Mitchell Street	708

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Major Street Fund

<i>Streets in the Major Street System (Continued)</i>			
W. Bremer Street	<i>N. Mitchell Street</i>	<i>N. Lake Street</i>	653
Spruce Street	<i>N. Mitchell Street</i>	<i>N. Shelby Street</i>	498
Holbrook Street	<i>North Street</i>	<i>E. Division Street</i>	1,798
Sixth Avenue	<i>W. Thirteenth Street</i>	<i>Sixth Street</i>	2,621
E. Thirteenth Street	<i>Mitchell Street</i>	<i>Plett Road</i>	2,620
Beech Street	<i>N. Mitchell Street</i>	<i>N. Shelby Street</i>	414
Huston Street	<i>Chestnut Street</i>	<i>W. Division Street</i>	1,271
Sixth Street	<i>Leeson Avenue</i>	<i>Fifth Avenue</i>	2,970
Fifth Avenue	<i>Sixth Street</i>	<i>Fifth Street</i>	366
Fourth Avenue	<i>Seventh Street</i>	<i>Thirteenth Street</i>	2,200
Total Feet:			113,205 (21.53 Miles)

State of Michigan Act 51 Funds Declining

The graphic below presents the harsh funding reality that has plagued the street system for the last several years. Revenue from the State of Michigan in the form of Act 51 funds has dropped about 6% from its peak in FY2005. This represents a loss of about \$35,000 in revenue. As costs of street maintenance continue to escalate, this loss in revenue becomes significantly more difficult to make up for. Increased spending pressures in the form of salaries, operating supplies (salt, patching materials, etc.) and fuel when compared against declining revenues present a difficult challenge to simply continue maintaining these important streets and result in virtually non-existent funding for infrastructure replacement and upgrade projects.



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Local Street Fund

Fund: Local Street Fund

Type: Special Revenue Fund

Oversight: Director of Public Works and Engineering

Nature and Purpose:

Each Michigan city is required to establish this fund to comply with Act 51 of the Public Acts of 1951. The Local Street system has 41.81 miles of roadway, and 1.83 miles, or 4.38% of the streets are unpaved. The Cadillac City Council has as one of its goals to pave all of the remaining unpaved streets within city limits. In 1997, 25% of the streets were unpaved, so significant progress has been made towards achieving this goal. The local streets represent 66% of all the roads within the City. The purpose of this fund is to:

1. Receive all local street funds paid to the City by the State of Michigan.
2. Account for construction, maintenance, traffic services and winter maintenance on all streets classified as local streets within the City of Cadillac.
3. Account for money received from General Fund contributions for local street maintenance.

This fund technically has no employees but contracts with the Stores and Garage Fund, the Utilities Fund and the General Fund to furnish manpower, supplies and equipment. The hours worked on each project are supported with time sheets.

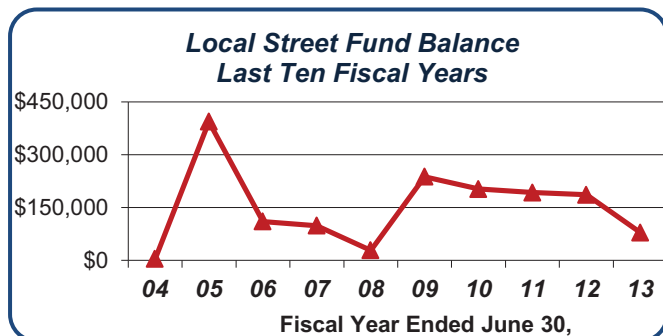
PERFORMANCE MEASURES - LOCAL STREET SYSTEM

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2010	2011	2012	2013	
Miles of Local Streets		41.81	41.81	41.81	41.81	↔
Operating Expenditures per Road Mile		\$9,678	\$7,960	\$9,323	\$9,684	↑
Operating Expenditures per Resident		\$39	\$32	\$38	\$39	↑
Hours Spent in Local Street Maintenance		6,215	5,743	6,679	6,617	↑
Cost per Hour of Local Street Maintenance		\$65	\$58	\$58	\$61	↑
Total Winter Maintenance Expenditures		\$90,074	\$89,039	\$96,800	\$99,100	↑
Hours Spent in Winter Maintenance		920	1,001	1,100	1,100	↑
Cost per Hour of Winter Maintenance		\$98	\$89	\$88	\$90	↔
Winter Maintenance Expenditures per Mile		\$2,154	\$2,130	\$2,315	\$2,370	↑
Winter Maintenance Expenditures per Resident		\$9	\$9	\$9	\$10	↑
% of Local Streets remaining Unpaved		4.38%	4.38%	4.38%	4.38%	↔
Number of Trees Planted		82	61	75	75	↑
Number of Trees Removed		39	48	45	45	↔

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Local Street Fund

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Motor Vehicle Highway Fund	\$186,096	\$190,000	\$183,500	\$190,000
Interest Income	1,442	500	500	500
Grants	3,430	0	0	0
General Fund	525,000	475,000	475,000	425,000
Major Street Fund	0	0	0	15,000
Surplus	0	0	68,100	107,100
Total	\$715,968	\$665,500	\$727,100	\$737,600
Expenditures				
Construction	\$142,733	\$120,000	\$120,000	\$140,000
Surface Maintenance	56,962	65,000	64,800	70,000
Sweeping and Flushing	44,587	49,200	51,300	51,200
Forestry	80,043	74,000	77,400	76,400
Catch Basin	27,492	34,200	54,100	54,100
Drainage	16,491	15,900	16,100	17,300
Traffic Services	18,179	30,000	29,300	36,800
Winter Maintenance	89,039	83,500	96,800	99,100
Administration	250,254	200,300	217,300	192,700
TOTAL EXPENDITURES	\$725,780	\$672,100	\$727,100	\$737,600
Fund Balance				
Net Change in Fund Balance	(\$9,812)	(\$6,600)	(\$68,100)	(\$107,100)
Fund Balance - Beginning of Year	202,542	192,730	192,730	186,130
Ending Fund Balance	\$192,730	\$186,130	\$124,630	\$79,030

Fund Balance Analysis



Fund Balance

The Local Street Fund does not typically have a significant fund balance. The spike in 2005 was due to the receipt of bond proceeds, which were subsequently spent down over the next three fiscal years. In FY2009, proceeds from a sale of a property owned by the City were transferred to this fund to be allocated to street construction projects. This amount will be spent down over the next couple of fiscal years on construction projects.

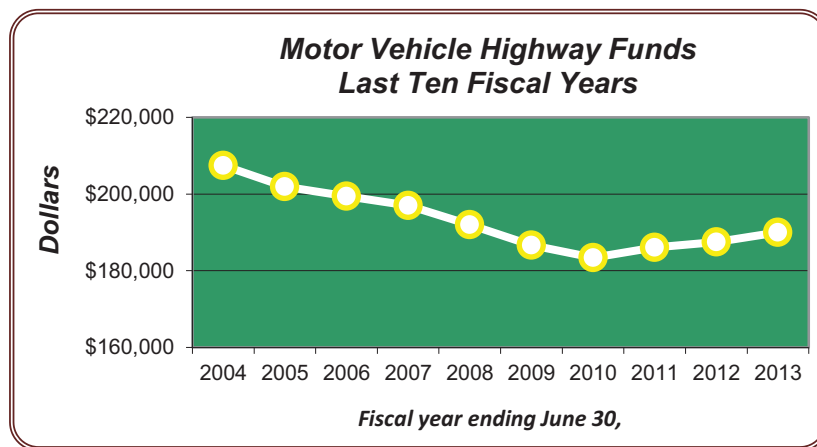
CITY OF CADILLAC, MICHIGAN

2012-2013 ANNUAL OPERATING BUDGET

Local Street Fund

Revenue Details

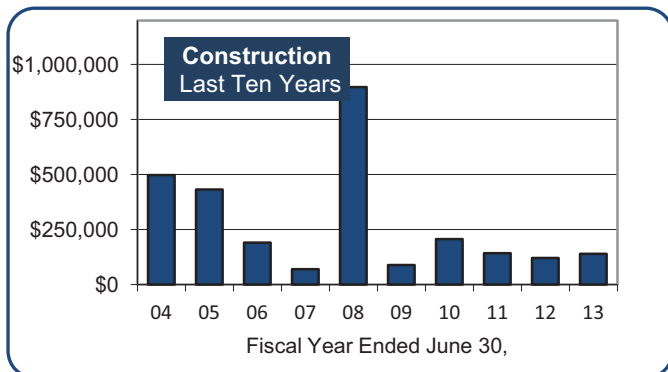
The first major source of revenue is the State of Michigan Motor Vehicle Highway Funds which are generated from the gas and weight taxes collected state wide and distributed to local governments based on miles of streets, a flat rate established by the State, and the population of the City. The second major source of revenue is a contribution from the General Fund which is needed to help balance the fund. Local taxpayers contribute to this fund since State tax collections are not returned in sufficient amounts to maintain and improve the local roadway system. This is typical for local governments with local street funds.



Cost and Expenditure Details

Construction

Based on the city engineer's estimates, the total construction costs for FY2013 will be \$140,000 for the Local Street Fund. Over the last 10 years, construction has totaled nearly \$2.8 million. Much of this construction has been paid for through the use of grant funding. Securing grants to assist in funding capital projects is a critical function within the City and will be even more important as revenues continue to decline. Depending on the amount of grant funding received each year as well as various special assessments approved, construction can vary significantly from year to year.



The following construction projects are proposed for FY2013:

Lynn Street	\$132,500
Street Signs	7,500
Total	\$140,000

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Local Street Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenditures				
Construction				
Contractual Services	\$142,733	\$120,000	\$120,000	\$140,000
Surface Maintenance				
Salaries and Wages	\$17,235	\$18,500	\$18,900	\$18,900
Fringes	7,620	9,500	11,000	10,600
Operating Supplies	12,300	15,000	13,900	16,000
Equipment Rental	19,807	22,000	21,000	24,500
Total Surface Maintenance	\$56,962	\$65,000	\$64,800	\$70,000
Sweeping and Flushing				
Salaries and Wages	\$6,430	\$7,000	\$7,000	\$7,000
Fringes	3,533	4,200	4,300	4,200
Equipment Rental	34,624	38,000	40,000	40,000
Total Sweeping and Flushing	\$44,587	\$49,200	\$51,300	\$51,200
Forestry				
Salaries and Wages	\$25,585	\$22,000	\$21,000	\$21,000
Fringes	12,242	13,000	13,000	12,400
Operating Supplies	3,115	3,000	5,700	8,000
Contractual Services	1,990	2,000	2,700	0
Equipment Rental	37,111	34,000	35,000	35,000
Total Forestry	\$80,043	\$74,000	\$77,400	\$76,400
Catch Basin				
Salaries and Wages	\$9,657	\$11,000	\$19,500	\$18,500
Fringes	3,305	5,500	9,200	9,500
Operating Supplies	433	500	700	700
Utilities	1,369	2,200	700	1,400
Equipment Rental	12,728	15,000	24,000	24,000
Total Catch Basin	\$27,492	\$34,200	\$54,100	\$54,100

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Local Street Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenditures (Cont'd)				
Drainage				
Salaries and Wages	\$8,199	\$8,000	\$8,000	\$8,000
Fringes	3,480	4,200	4,300	4,800
Operating Supplies	120	100	100	0
Equipment Rental	4,692	3,600	3,700	4,500
Total Drainage	\$16,491	\$15,900	\$16,100	\$17,300
Traffic Services				
Salaries and Wages	\$9,274	\$14,000	\$14,300	\$14,300
Wages - Part Time	0	500	1,000	1,000
Fringes	4,084	8,500	9,400	8,500
Operating Supplies	472	2,000	1,500	1,500
Contractual Services	0	0	0	7,500
Equipment Rental	4,349	5,000	3,100	4,000
Total Traffic Services	\$18,179	\$30,000	\$29,300	\$36,800
Winter Maintenance				
Salaries and Wages	\$16,132	\$16,000	\$17,900	\$17,900
Fringes	6,989	8,500	10,700	10,600
Operating Supplies	17,444	14,000	11,600	14,000
Equipment Rental	48,474	45,000	56,600	56,600
Total Winter Maintenance	\$89,039	\$83,500	\$96,800	\$99,100
Administration				
Salaries and Wages	\$43,021	\$32,500	\$32,500	\$33,000
Fringes	16,056	15,500	31,500	16,200
Office Supplies	0	0	300	0
Audit	2,000	1,700	1,700	1,500
Data Processing	8,000	0	0	0
Equipment Rental	7,449	6,500	6,400	7,500
Administrative Charges	17,900	10,000	10,000	0
Principal Payment	26,111	26,200	26,200	26,200
Interest Expense	3,917	3,200	4,000	2,400
Transfers Out	125,800	104,700	104,700	105,900
Total Administration	\$250,254	\$200,300	\$217,300	\$192,700
TOTAL EXPENDITURES	\$725,780	\$672,100	\$727,100	\$737,600

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Local Street Fund

Transfer Out

Transfers out of the Local Street Fund represent amounts that are transferred to various Debt Service Funds to cover principal and interest payments on debt obligations of the system. Details of debt service payments due are as follows:

<i>Bond Issue</i>	<i>Principal</i>	<i>Interest</i>	<i>Total</i>
2004 GO Capital Improvement Bonds	51,500	17,700	69,200
2000 MTF Bonds	30,000	4,900	34,900
		Total:	\$104,100
			\$900 Audit Fees
			\$900 Paying agent fees
			Debt Service Reserves
			\$105,900

Administrative Charges

Administrative Salaries represents 60% of Street Superintendent Dan Foster.

<u>Unpaved Local Streets</u>	<u>Length (Miles)</u>	<u>Unpaved Local Streets</u>	<u>Length (miles)</u>
Francis	0.13	Pennsylvania Ave.	0.10
Huston	0.33	Pollard	0.23
Illinois Ave.	0.10	Skate Rd.	0.06
Indiana Ave.	0.06	Waldo	0.25
Marathon Dr.	0.25	Wall	0.07
Martina	0.15	Wilcox	0.08
W. Nelson	0.02		
		Total Unpaved Miles of Local Streets	1.83

Total miles of local streets 41.81

Unpaved represents 4.38%

1998 total unpaved local streets were 7.03 miles - a reduction of 73.97%

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

Fund: Water and Sewer Fund

Type: Enterprise Fund

Oversight: Director of Utilities

Nature and Purpose:

The City Council in 1988 elected to combine the Water System and the Wastewater System into one activity simply called the Water and Sewer Fund. With this combination, the assets of \$21.9 million assisted in the financial ability of the utility system to leverage funds. The integrity of each system is to be maintained so water and wastewater activity can be identified.

The purpose of the fund is to record the operations of combined Water and Sewer Systems. The nature of the fund is self-supporting, meaning it does business with individuals and firms outside the local unit departments and is therefore classified as an enterprise fund. A distinguishing feature of this fund is that fixed assets are recorded within the fund and depreciation is charged.

The Cadillac City Charter dictates that user rates within the water and sewer systems must be set at a level that will meet all costs of the utilities. **Section 16.4 of the City Charter states,**

"The Council shall have the power to fix from time to time, such just and reasonable rates and other charges as may be deemed advisable for supplying the inhabitants of the city and others with such public utility services as the city may provide.

The rates and charges of any municipal public utility for the furnishing of public utility services shall be so fixed as to at least meet all the costs of such utilities. There shall be no discrimination in such rates within any classification of users thereof, nor shall free service be permitted, but higher rates may be charged for service outside the city limits."

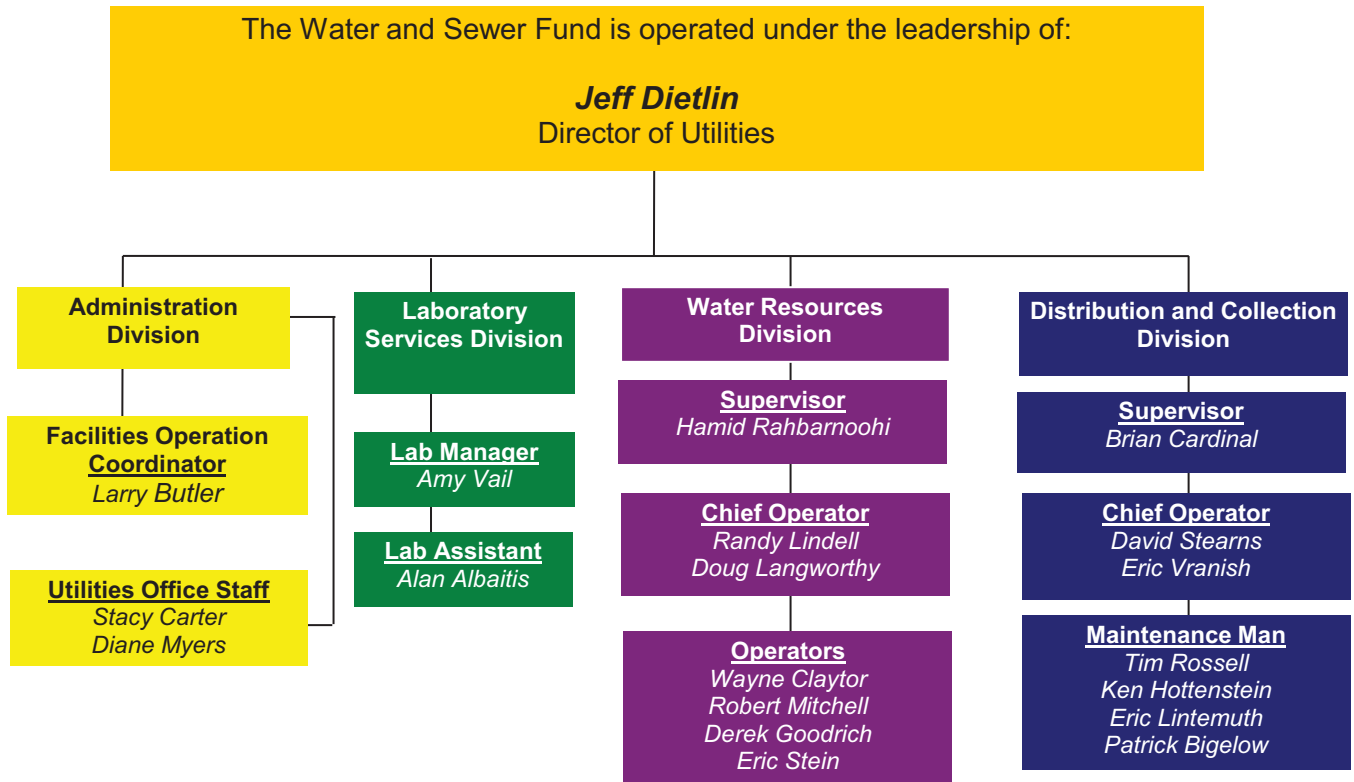
FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Water Sales	\$1,186,073	\$1,215,000	\$1,210,000	\$1,225,000
Sewer Sales - Flat Rate	40,585	47,500	47,500	45,000
Sewer Sales - Metered	2,020,378	2,055,000	2,040,000	2,060,000
Fire Protection	116,952	95,000	95,000	95,000
Hydrant Rental	0	23,000	24,000	24,000
Charges for Services	11,703	12,000	10,000	10,000
Services & Materials	19,172	20,000	20,000	20,000
Interest Income	63,657	75,000	70,000	60,000
Sale of Surplus Material	150	5,000	7,500	5,000
Wexford County DPW	73,443	75,000	75,000	75,000
Leachate	262,970	245,000	200,000	175,000
Laboratory Fees	69,096	67,000	55,000	70,000
Other Income	22,672	210,000	2,000	2,000
Total Revenues	\$3,886,850	\$4,144,500	\$3,856,000	\$3,866,000

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

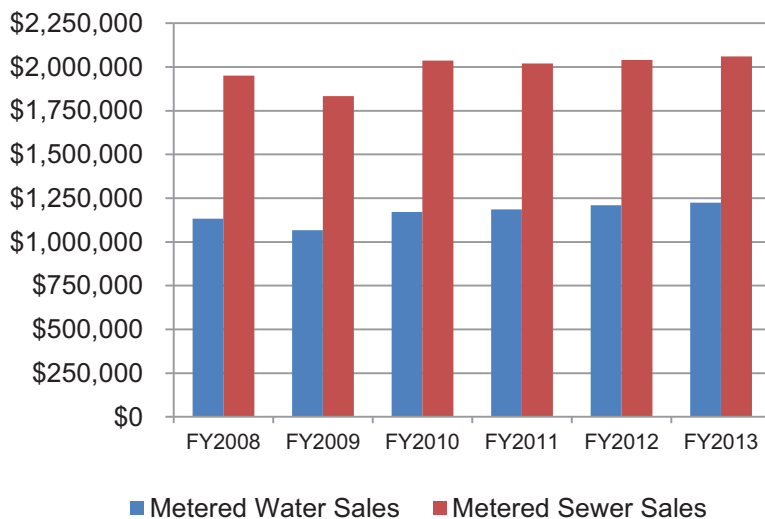
FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenses				
Total Administration	\$1,016,077	\$979,800	\$980,500	\$996,500
Water Resources				
Preliminary Treatment	\$21,462	\$19,200	\$20,200	\$19,800
Primary Treatment	20,423	23,000	20,000	18,500
Secondary Treatment	93,355	85,500	77,600	79,600
Tertiary Treatment	73,145	76,000	70,500	70,600
Sludge Removal	107,045	108,900	116,900	114,600
Nutrient Removal	60,049	61,400	60,700	60,000
Effluent Disposal	51,040	57,800	55,500	54,000
Building & Grounds	227,275	217,500	197,000	203,200
Industrial Surveillance	18,951	21,200	20,900	20,400
Lift Station-Sanitary	85,049	86,300	88,700	87,900
Vehicles	16,424	20,000	12,500	14,200
Total Water Resources	\$774,218	\$776,800	\$740,500	\$742,800
Distribution and Collection				
Building & Water Tank	\$25,253	\$22,900	\$26,200	\$25,500
Pumping Station	197,896	194,400	189,600	197,400
Wells & Well Field	40,340	41,600	50,700	49,200
General Street Expense	16,198	20,200	24,600	22,200
Meter Reading & Delinquent Accounts	18,454	35,300	22,100	21,500
Meter Operations & Maintenance	209,959	187,500	155,700	166,900
Customer Service	23,551	26,000	39,500	36,600
Maintenance-Mains & Hydrants	68,154	65,500	93,500	88,600
New Water Service	14,114	20,000	21,500	19,900
Water Service Maintenance	7,969	7,000	9,700	9,600
Sanitary Sewer	41,578	49,500	72,700	65,800
Vehicles	34,969	37,200	34,900	35,700
Total Distribution and Collection	\$698,435	\$707,100	\$740,700	\$738,900
Laboratory Division				
General Laboratory	\$53,326	\$53,500	\$52,300	\$51,100
Contract Laboratory	27,825	37,500	42,000	42,300
Total Laboratory Division	\$81,151	\$91,000	\$94,300	\$93,400
Total Non-Operating	\$1,233,857	\$1,242,500	\$1,245,000	\$1,245,000
Total Expenses	\$3,803,738	\$3,797,200	\$3,801,000	\$3,816,600
NET ASSETS AT YEAR END				
Change in Net Assets	\$83,112	\$347,300	\$55,000	\$49,400
Total Net Assets - Beginning of Year	14,926,137	15,009,249	15,009,249	15,356,549
Total Net Assets at Year End	\$15,009,249	\$15,356,549	\$15,064,249	\$15,405,949

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

Fund Staffing and Organizational Structure



Water and Sewer Metered Usage - Last Six Years



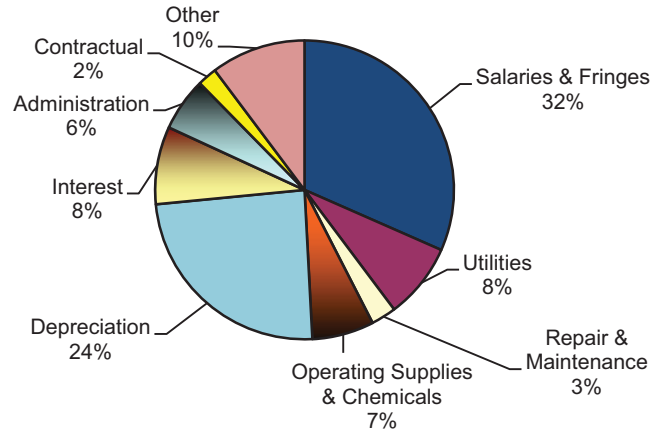
Metered Usage

The chart to the left shows that there has been virtually no increase in metered usage of water and sewer over the last six fiscal years. The operations of the system have taken advantage of several efficiency-enhancing measures, including replacing old meters with radio read meters, that has enabled the system to operate within the revenue parameters.

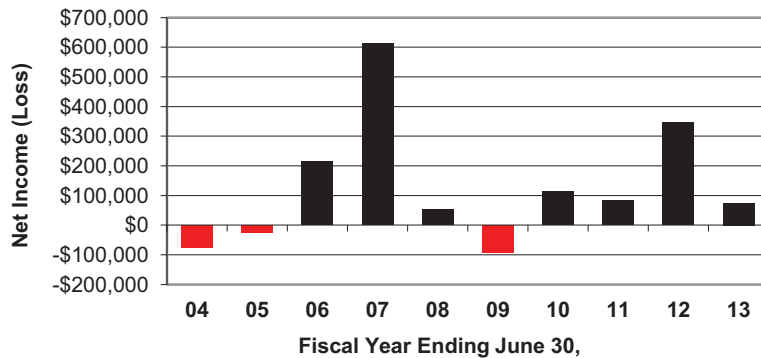
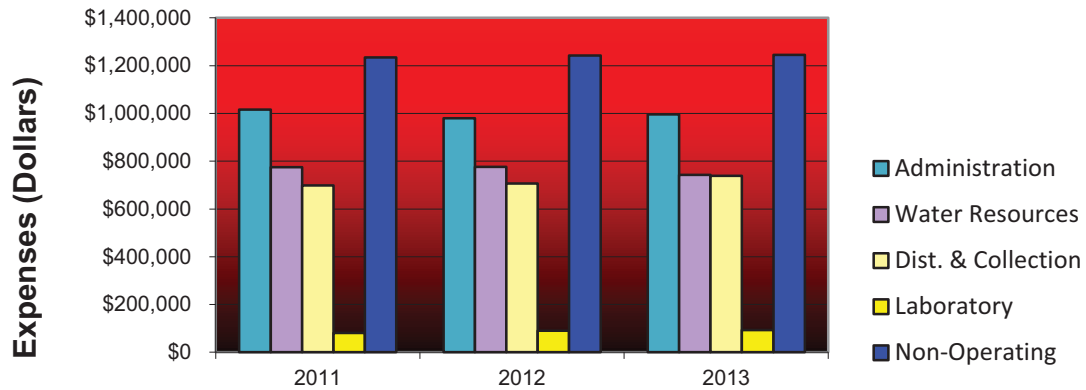
CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

Fund Highlights

Water & Sewer Fund - Expenses by Type



Water and Sewer Fund - Expenses by Type - Last 3 Fiscal Years



Water and Sewer Fund
Change in Net Assets
 Last Ten Fiscal Years

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenses				
Administration				
Salaries and Wages	\$338,747	\$343,000	\$342,500	\$342,500
Salaries - Part Time	6,938	600	0	0
Fringes	148,429	165,000	158,000	158,800
Office Supplies	7,388	9,000	9,000	8,800
Postage	23,155	22,000	19,500	21,000
Safety Supplies	2,007	3,000	4,800	4,800
Contractual Services	17,739	18,000	25,000	20,000
Engineering Fees	16,094	15,000	18,000	18,000
Audit	4,000	4,000	4,000	4,000
G.I.S. Contractual Services	31,158	35,000	36,000	36,000
Legal Fees	86,820	25,000	15,000	15,000
State Mandated Fees	15,981	17,500	22,500	20,000
Data Processing	55,000	55,000	55,000	55,000
Liability Insurance	25,215	28,000	30,000	30,000
Dues & Publications	3,179	2,000	2,000	2,500
Telephone	7,455	7,500	7,800	7,800
Alarm Systems	5,224	4,700	4,400	4,700
Travel & Education - Salary	3,849	4,500	4,500	7,000
Travel & Education - Hourly	5,255	5,500	5,500	5,500
Vehicle Repair & Maintenance	460	500	500	500
Employee Safety	211	3,500	3,500	3,500
Bad Debt Expense	0	0	1,000	1,000
Property Taxes	7,553	7,600	7,600	7,600
Administration - City	201,900	201,900	201,900	220,000
Public Relations	2,320	2,000	2,500	2,500
Total Administration	\$1,016,077	\$979,800	\$980,500	\$996,500

Cost and Expense Analysis

Administration

This account addresses the assistance given to this fund by other administrative and management personnel of the City. This includes the cashier, accountant, city manager, and other portions of employees' time that is directly related to work with the utilities system.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

PERFORMANCE MEASURES - WATER RESOURCES DIVISION

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2010	2011	2012	2013	
Number of Customers - Sewer		3,527	3,542	3,540	3,540	↔
Miles of Sewer Main		51	51	51	51	↔
Number of Water Resources FTE		6	7	7	7	↔
Water Resources service connections per FTE		588	506	506	506	↔
Millions of Gallons Treated per Day		2.108	2.140	2.200	2.300	↑
Industrial Monitoring and Pretreatment Discharge permits		18	18	19	19	↑
Rate Increase - Sewer		4.50%	4.50%	4.50%	0.00%	↓
Number of NPDES Permit Violations		0	0	0	0	↔

Water Resources Division Responsibilities:

- * Lift station operation and maintenance
- * Industrial pretreatment program
- * Biosolids management program
- * Floor drain inspection program
- * Groundwater treatment plant operation
- * Operation and maintenance of the City of Cadillac's wastewater treatment plant. The plant reclaims the used water of City residents, businesses and industries before discharge to the Clam River. The treatment plant is regulated by the Michigan Department of Natural Resources and staffed by state licensed operators.

Objective:

To treat and reclaim over two million gallons of water used by our city and sewer service areas each day.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenses (Cont.)				
Water Resources Division:				
Preliminary Treatment				
Salaries and Wages	\$12,205	\$9,500	\$10,000	\$10,000
Fringes	6,253	5,000	5,000	4,700
Operating Supplies	207	800	800	800
Utilities	2,707	2,400	2,400	2,500
Repair & Maintenance	90	1,500	2,000	1,800
Total	\$21,462	\$19,200	\$20,200	\$19,800
Primary Treatment				
Salaries and Wages	\$12,955	\$12,000	\$10,000	\$10,000
Fringes	6,549	6,000	5,000	4,700
Operating Supplies	416	3,000	3,000	2,000
Repair & Maintenance	503	2,000	2,000	1,800
Total	\$20,423	\$23,000	\$20,000	\$18,500
Secondary Treatment				
Salaries and Wages	\$11,367	\$12,000	\$12,000	\$12,000
Fringes	5,911	6,000	6,000	5,600
Operating Supplies	983	1,400	1,400	1,200
Utilities	67,681	62,000	54,000	57,000
Repair & Maintenance	7,413	4,100	4,200	3,800
Total	\$93,355	\$85,500	\$77,600	\$79,600

Cost and Expense Analysis

Preliminary Treatment

Preliminary treatment includes the flow equalization tank, detritor and grit removal. Flow equalization averages the normal 24 hour variances in wastewater flow. By reducing the peak flow, the plant can treat a higher daily average flow.

Primary Treatment

Primary treatment covers the operation of the primary treatment tanks and related sludge pumping. The primary process removes 30 to 40% of the pollutants in the wastewater.

Secondary Treatment

Secondary treatment includes aeration tanks with fine bubble diffusers that have air supplied by centrifugal blowers, secondary clarifiers, and a return sludge system. Primary effluent flows in the aeration tanks where it is mixed with return sludge that provides the bacteria for treatment. After eight hours of aeration, the mixed liquor is settled in the secondary clarifiers, then returned to the aeration tanks to continue the cycle. The secondary treatment process provides 85 to 90% removal of pollutants.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenses (Cont.)				
Water Resources Division (Cont.)				
Tertiary Treatment				
Salaries and Wages	\$10,428	\$12,000	\$13,000	\$13,000
Fringes	5,311	6,000	6,600	6,100
Operating Supplies	5,121	7,500	7,400	7,000
Utilities	44,306	42,000	35,000	36,000
Repair & Maintenance	7,979	8,500	8,500	8,500
Total	\$73,145	\$76,000	\$70,500	\$70,600
Sludge Treatment				
Salaries and Wages	\$20,576	\$21,000	\$24,000	\$24,000
Fringes	10,045	11,000	12,000	11,100
Operating Supplies	1,623	3,400	3,400	3,000
Laboratory	5,467	5,000	5,500	5,500
Injection Contract Cost	50,007	45,000	45,000	45,000
Utilities	16,003	17,000	20,000	20,000
Repair & Maintenance	3,324	6,500	7,000	6,000
Total	\$107,045	\$108,900	\$116,900	\$114,600
Nutrient Removal				
Salaries and Wages	\$9,178	\$9,000	\$9,100	\$9,100
Fringes	4,664	4,500	4,500	4,300
Operating Supplies	207	1,500	700	700
Chemicals	42,263	41,000	41,000	41,000
Repair & Maintenance	3,737	5,400	5,400	4,900
Total	\$60,049	\$61,400	\$60,700	\$60,000

Cost and Expense Analysis

Tertiary Treatment

Tertiary treatment includes screw pumps and sand filters. The secondary effluent is lifted by the pumps about 18 feet into the Rotating Biological Contractors (RBC) system. The average pollutant removal after tertiary treatment is greater than 97%.

Sludge Treatment and Disposal

The sludge treatment process includes sludge pumps, a 325,000 gallon primary digester, a 325,000 gallon secondary digester, a 550,000 gallon sludge storage tank, and 675,000 gallon storage tank. Sludge, or bio-solids, is the residual solid produced during the wastewater treatment process. The solids are first pumped into the primary digester which is heated to 95 degrees F where most organic matter is reduced in an anaerobic environment. A useable methane gas is produced (8,500,000 cf per year) along with about two million gallons of treated bio-solids for application to agricultural farm land as fertilizer. The fertilizer injections are done under contract and are estimated at \$45,000 for FY2012.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

Cost and Expense Analysis

Nutrient Removal

Nutrient removal consists of phosphorus and ammonia removal from the wastewater. Both compounds are fertilizers that would promote weed growth and eutrophication of the receiving stream if discharged in excessive amounts. Phosphorus is removed by the addition of ferric chloride. The majority of ammonia is converted in the secondary treatment process. Any remaining ammonia is converted to nitrate by microbes that oxidize the ammonia as the water passes through the RBC's.

Buildings and Grounds

Buildings and Grounds includes the maintenance and operations of the buildings and grounds at the wastewater treatment plant. The operation and maintenance of the Lift Station buildings and grounds are also included. Water usage in the past few years has not been constant, with significant increases and decreases despite a relatively constant number of users. Much of this can be attributed to factors such as changes in industrial processes which would affect water consumption, or even the weather. Actual water usage per person in Cadillac is approximately 70 gallons per day.



Wastewater Treatment Facility

Water and Sewer System - 15 Largest Users

	2010 Usage and Billing				
	Cubic Feet		Gallons		Total Billing
	Water	Sewer	Water	Sewer	
Customer					
Cadillac Castings, Inc.	25,335,700	11,640,400	189,511,036	87,070,192	\$686,933
Avon Rubber & Plastics, Inc.	11,335,700	10,371,200	84,791,036	77,576,576	\$341,959
AAR Cadillac Manufacturing	14,838,800	7,072,100	110,994,224	52,899,308	\$272,450
Paulstra CRC	3,196,000	3,196,000	23,906,080	23,906,080	\$95,864
Mercy Hospital	1,586,500	1,586,500	11,867,020	11,867,020	\$64,361
Cadillac Renewable Energy *	815,800	2,039,700	6,102,184	15,256,956	\$54,403
Borg-Warner	1,339,600	1,339,600	10,020,208	10,020,208	\$43,580
Piranha Hose	1,162,200	1,162,200	8,693,256	8,693,256	\$36,552
Michigan Rubber Products	1,060,500	1,060,500	7,932,540	7,932,540	\$34,985
Pheasant Ridge	1,230,500	1,230,500	9,204,140	9,204,140	\$34,148
Country Acres	916,600	916,600	6,856,168	6,856,168	\$29,666
Four Winns	313,100	313,100	2,341,988	2,341,988	\$19,005
Leisure Park	483,500	483,500	3,616,580	3,616,580	\$15,551
Rexair, Inc.	156,800	156,800	1,172,864	1,172,864	\$10,130
Kolarevic Car Wash	<u>247,300</u>	<u>247,300</u>	<u>1,849,804</u>	<u>1,849,804</u>	<u>\$8,981</u>
	64,018,600	42,816,000	478,859,128	320,263,680	\$1,748,568

* CRE has their own well, which is furnished by the LDFA Utilities Fund.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenses (Cont.)				
Water Resources Division (Cont.)				
Effluent Disposal				
Salaries and Wages	\$12,388	\$13,000	\$12,000	\$12,000
Salaries - Part Time	0	1,000	0	0
Fringes	6,367	6,800	6,000	5,600
Operating Supplies	1,935	3,000	2,500	2,400
Plant Lab Supplies	4,351	7,000	8,000	7,500
Chemicals	0	500	500	500
Contracted Laboratory	9,500	10,500	11,000	11,000
Utilities	13,536	12,500	11,500	11,500
Repair & Maintenance	2,963	3,500	4,000	3,500
Total	\$51,040	\$57,800	\$55,500	\$54,000
Building & Grounds				
Salaries and Wages	\$110,145	\$105,000	\$85,500	\$95,500
Salaries - Part Time	10,338	8,000	9,000	9,000
Fringes	51,814	51,000	43,000	44,200
Operating Supplies	33,655	30,000	24,500	24,500
Utilities	15,657	15,000	20,000	15,000
Repair & Maintenance	5,666	8,500	15,000	15,000
Total	\$227,275	\$217,500	\$197,000	\$203,200
Industrial Surveillance				
Salaries and Wages	\$11,011	\$11,000	\$10,400	\$10,400
Fringes	4,831	5,500	5,200	4,900
Operating Supplies	711	1,200	1,200	1,000
Laboratory	2,398	3,500	4,000	4,000
Repair & Maintenance	0	0	100	100
Total	\$18,951	\$21,200	\$20,900	\$20,400

Cost and Expense Analysis

Effluent Disposal

Effluent Disposal includes disinfection equipment and tanks. Tertiary effluent flows into a new ultraviolet (UV) process where submerged UV bulbs disinfect the wastewater with ultraviolet energy. This system, constructed in 2003, eliminates the use of chlorine disinfection and sulfur dioxide dechlorination process, but requires increased electrical usage to operate. The treated water is then discharged into the Clam River. The Clam River is monitored at six locations up-stream and down-stream by the Water Resources personnel on a weekly basis.



Industrial Surveillance

The Cadillac Utilities Department administers an Industrial Monitoring and Pretreatment (IMP) program. Sample flows are collected from several industrial plants at varying intervals and analyzed for toxic and hazardous substances.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenses (Cont.)				
Water Resources Division (Cont.)				
Lift Station - Sanitary				
Salaries and Wages	\$16,723	\$18,000	\$18,100	\$18,100
Fringes	8,037	9,000	9,100	8,400
Operating Supplies	7,786	8,500	9,500	9,500
Disposal Fees	1,660	1,800	1,800	1,700
Utilities	37,882	37,000	38,200	38,200
Repair & Maintenance	12,961	12,000	12,000	12,000
Total	\$85,049	\$86,300	\$88,700	\$87,900
Vehicles				
Salaries and Wages	\$695	\$1,000	\$1,000	\$800
Fringes	339	500	500	400
Operating Supplies	1,768	500	500	500
Fuel Costs	11,285	11,500	6,200	8,200
Repair & Maintenance	2,337	6,500	4,300	4,300
Total	\$16,424	\$20,000	\$12,500	\$14,200
Total Water Resources Division	774,218	776,800	740,500	742,800

Cost and Expense Analysis

Lift Stations

Lift stations includes operation and maintenance of the plant lift station, plus five major and six minor lift stations. These facilities are used to lift up sewage by pump from deep sewers to higher points in the gravity system so that it can flow to the wastewater treatment plant for treatment.



Vehicles

Several vehicles and over-the-road pieces of equipment are used in plant operations, lift station operation and maintenance, and building and grounds maintenance. Costs of maintenance and fuel are included in this department.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

PERFORMANCE MEASURES - WATER DISTRIBUTION AND COLLECTION DIVISION

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2010	2011	2012	2013	
Number of Customers - Water		3,474	3,497	3,495	3,495	↔
Miles of Water Main		73	73	73	73	↔
Number of Distribution and Collection FTE		7	7	7	7	↔
Water Service Connections per FTE		496	500	499	499	↔
Millions of Gallons Pumped per Day		2.170	2.000	2.250	2.300	↑
Total Calls for Service		1,000	1,094	1,000	1,000	↔
Total Calls for Service Per FTE		143	156	143	143	↔
MISS-DIG Responses		505	676	750	750	↑
Meter Repairs		135	211	135	135	↔
New Meter Installations		12	7	10	10	↔
Feet of Sanitary Sewers Cleaned		67,884	31,951	65,000	65,000	↔

Distribution and Collection Division Purpose:

This division is responsible for the operation of the public water system, sanitary sewer system and storm sewer system. The public water system supplies water to nearly 3,500 accounts. These accounts range from domestic users to industrial customers using up to 500,000 gallons of water per day. The water system personnel must be licensed by the Michigan Department of Environmental Quality. The sanitary sewer system collects the wastewater from the users and transports it to the wastewater treatment plant. The storm sewer system collects storm water and transports it to the lakes, rivers, and seepage ponds.

Objective: To supply the water used by our city each day and to maintain the water distribution system, sanitary collection system, and storm water collection system.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenses (Cont.)				
Distribution & Collection Division				
Building & Water Tank				
Salaries and Wages	\$4,559	\$3,400	\$3,400	\$3,400
Salaries - Part Time	7,791	4,000	4,000	4,500
Fringes	1,816	2,500	2,300	1,600
Operating Supplies	10,648	11,000	14,500	14,500
Repair & Maintenance	439	2,000	2,000	1,500
Total	\$25,253	\$22,900	\$26,200	\$25,500
Pumping Station				
Salaries and Wages	\$4,463	\$4,500	\$4,700	\$4,700
Fringes	1,472	2,400	2,400	2,200
Operating Supplies	10,846	10,000	8,500	8,500
Chemicals	20,680	30,000	28,500	28,500
Laboratory Control	10,550	15,000	22,000	20,000
Utilities	147,513	130,000	121,000	131,000
Repair & Maintenance	2,372	2,500	2,500	2,500
Total	\$197,896	\$194,400	\$189,600	\$197,400
Wells & Well Field				
Salaries and Wages	\$4,722	\$4,500	\$4,700	\$4,700
Fringes	2,735	2,400	2,500	2,200
Operating Supplies	1,956	3,200	3,200	2,500
Wellhead Protection	6	2,000	2,500	2,000
Contractual Services	15,348	17,500	25,000	25,000
Repair & Maintenance	5,573	12,000	12,800	12,800
Special Projects	10,000	0	0	0
Total	\$40,340	\$41,600	\$50,700	\$49,200

Cost and Expense Analysis

Buildings and Water Tank

Buildings consist of six well houses that enclose the active wells, one pump station that meters and treats the water, and one supplies garage building. Water storage is provided in a one million gallon elevated storage tank located on the North Street Hill.

Pumping Station

The City's pumping station metered and chlorinated in excess of 746 million gallons of water in 2010. This was up slightly from 2009, but still about 10% below the levels of several years ago. Much of this decrease was attributed to the impact of the economy on local usage patterns. Vacant homes and idle businesses use little or no water, thereby decreasing total flow in the City's system. The costs of chemicals and utilities are the pumping stations' major costs.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
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Expenses (Cont.)

Distribution & Collection Division (Cont.)

General Street Expense

Salaries and Wages	\$246	\$800	\$800	\$800
Fringes	122	400	400	400
Operating Supplies	2,169	4,000	4,000	4,000
Contractual Services	13,661	15,000	19,400	17,000
Total	\$16,198	\$20,200	\$24,600	\$22,200

Meter Reading & Delinquent Accounts

Salaries and Wages	\$13,517	\$25,000	\$14,500	\$14,500
Fringes	4,937	10,000	7,300	6,700
Operating Supplies	0	300	300	300
Total	\$18,454	\$35,300	\$22,100	\$21,500

Meter Operations & Maintenance

Salaries and Wages	\$128,226	\$115,000	\$90,000	\$100,000
Fringes	54,574	55,000	45,000	46,200
Operating Supplies	27,159	17,500	20,700	20,700
Total	\$209,959	\$187,500	\$155,700	\$166,900

Customer Service

Salaries and Wages	\$17,505	\$17,500	\$26,500	\$25,000
Fringes	6,046	8,500	13,000	11,600
Total	\$23,551	\$26,000	\$39,500	\$36,600

Maintenance - Mains & Hydrants

Salaries and Wages	\$37,024	\$27,500	\$44,000	\$42,000
Fringes	10,635	13,000	20,500	17,600
Operating Supplies	20,103	20,000	21,500	21,500
Contractual Services	392	5,000	7,500	7,500
Total	\$68,154	\$65,500	\$93,500	\$88,600

Cost and Expense Analysis

General Street Expense

When the Utilities Department needs to perform repairs or maintenance under the City streets, they contract with the City Street Department or other local contractors to replace the street surfaces.

Meter Reading & Delinquent Accounts

The utility system bills its customers monthly and the meters of the entire city can be read within one day. The remainder of these employees' time is spent on maintenance of meters. The City has upgraded water meters with a new meter remote that allows for automatic meter reading.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

Customer Services

Many types of service calls are responded to in the course of a year. MISS-DIG is also a call this department responds to for construction needs when a user needs to know the location of water and sewer mains, or any other infrastructure located beneath the ground. Responses to water quality complaints and various other customer service issues are accounted for under this heading.

Maintenance - Mains and Hydrants

The City maintains 482 fire hydrants. All fire hydrant records and histories are computerized. The General Fund contributes \$50 per fire hydrant as a ready-to-serve charge. The City replaces water mains annually as streets are torn up to be resurfaced.

Water Supply Statistics				
	Gallons Pumped	Gallons Sold	% Lost (1)	Customers
2002	787,700,000	754,100,000	4.00	3,407
2003	804,800,000	746,300,000	7.28	3,456
2004	773,400,000	736,300,000	4.70	3,487
2005	843,200,000	773,900,000	8.22	3,511
2006	792,900,000	714,000,000	10.00	3,524
2007	925,900,000	786,500,000	14.00	3,517
2008	840,240,000	731,961,000	12.90	3,544
2009	737,164,500	634,869,338	13.90	3,497
2010	743,793,507	667,112,042	10.31	3,474
2011	731,875,000	665,734,212	9.04	3,504

(1) Percentage of Water Lost: Water loss is the term applied to the difference between water pumped into the system and water sold through water meters. Cadillac's water loss for 2010 was 10.31%, within the acceptable range of 10-15% for public water supplies. Water loss occurs from meter variances, worn meters, water used for fire purposes, water lost through system flushing, and water lost during run water situations in the winter.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenses (Cont.)				
Distribution & Collection Division (Cont.)				
New Water Service				
Salaries and Wages	\$5,794	\$5,000	\$1,500	\$2,500
Salaries - Part Time	48	0	0	0
Fringes	2,438	2,500	800	1,200
Operating Supplies	5,834	10,000	18,000	15,000
Contractual Services	0	2,500	1,200	1,200
Total	\$14,114	\$20,000	\$21,500	\$19,900
Water Service Maintenance				
Salaries and Wages	\$1,721	\$2,500	\$3,300	\$3,300
Fringes	749	1,200	1,700	1,600
Operating Supplies	4,478	2,500	3,900	3,900
Repair & Maintenance	1,021	800	800	800
Total	\$7,969	\$7,000	\$9,700	\$9,600
Sanitary Sewer				
Salaries and Wages	\$24,915	\$20,000	\$33,500	\$30,000
Fringes	6,335	11,000	16,600	13,900
Operating Supplies	9,032	9,000	10,500	10,000
Contractual	750	7,000	9,500	9,500
Damage Contractual Services	0	1,500	1,600	1,400
Repair & Maintenance	546	1,000	1,000	1,000
Total	\$41,578	\$49,500	\$72,700	\$65,800
Vehicles				
Salaries and Wages	\$226	\$800	\$800	\$800
Fringes	33	400	400	400
Operating Supplies	2,976	3,500	1,200	2,000
Fuel & Oil	13,951	17,500	17,500	17,500
Repair & Maintenance	17,783	15,000	15,000	15,000
Total	\$34,969	\$37,200	\$34,900	\$35,700
Total Distribution and Collection	\$698,435	\$707,100	\$740,700	\$738,900

Cost and Expense Analysis

Sanitary Sewer

This section includes equipment used to clean sanitary sewer, along with the related costs of labor, repairs and maintenance. It also includes costs for outside contractors to do TV inspections. This important maintenance activity has decreased over the last couple of years due to the limited availability of maintenance labor.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenses (Cont.)				
Laboratory Division				
General Laboratory				
Salaries and Wages	\$24,668	\$23,000	\$22,200	\$22,200
Fringes	12,387	11,500	11,500	10,300
Operating Supplies	13,242	15,000	14,500	14,500
Repair & Maintenance	2,226	2,000	2,100	2,100
Equipment Rental	453	500	500	500
Research & Development	350	1,500	1,500	1,500
Total	\$53,326	\$53,500	\$52,300	\$51,100
Contract Laboratory				
Salaries and Wages	\$8,317	\$12,000	\$14,000	\$14,000
Fringes	4,167	6,500	7,500	6,500
Operating Supplies	11,803	12,000	12,400	14,700
Repair & Maintenance	3,213	5,500	6,600	5,600
Equipment Rental	0	500	500	500
Research & Development	325	1,000	1,000	1,000
Total	\$27,825	\$37,500	\$42,000	\$42,300
Total Laboratory Division	81,151	91,000	94,300	93,400
Non-Operating				
Interest Expense	\$327,020	\$317,500	\$320,000	\$320,000
Depreciation	906,837	925,000	925,000	925,000
Total	\$1,233,857	\$1,242,500	\$1,245,000	\$1,245,000
TOTAL EXPENSES	\$3,803,738	\$3,797,200	\$3,801,000	\$3,816,600

Non-Operating

Three revenue bond issues comprise the interest activity:

1999 Revenue Refunding Bond: Interest payments September 1, 2012 and March 1, 2013 total \$50,858.

2001 Revenue and Revenue Refunding Bond: Interest payments September 1, 2012 and March 1, 2013 total \$173,852.

2007 State of Michigan SRF Loan: Interest payments October 1, 2012 and April 1, 2013 total \$53,182.

2011 State of Michigan DWRF Loan: Interest payments October 1, 2012 and April 1, 2013 total \$40,000.

Depreciation increased substantially beginning in FY2009. The \$4 million upgrade project at the Wastewater Treatment facility came online and is being depreciated. It is calculated based on annual depreciation schedules using the straight-line method of depreciation.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

PERFORMANCE MEASURES - LABORATORY DIVISION

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2010	2011	2012	2013	
Number of Laboratory Analyses Performed		35,257	35,899	36,000	36,000	↔
Charges for Services - Laboratory		\$49,643	\$69,096	\$65,000	\$65,000	↔
Number of Laboratory FTE		3	3	3	3	↔
Analyses Performed per FTE		11,752	11,966	12,000	12,000	↔

Cost and Expense Analysis

Laboratory Services Division

This division consists of two distinct areas: general use for internal functions and contract for external purposes. Laboratory Services has now received certification from the State of Michigan in the areas of bacteriological analysis and metals analysis. Volatile organic testing is completed by a contract laboratory.

Analyses Performed:	2006	2007	2008	2009	2010	2011
Lead and Copper	64	37	32	30	31	45
Metals	7,776	9,210	7,749	8,122	8,202	8,345
Volatile Organic	148	152	72	72	72	72
Bacterial Testing	2,452	2,836	2,084	1,506	1,952	1,937
Wet Chemistry	22,976	26,200	25,640	24,550	25,000	25,500

Purpose:

This division provides analytical laboratory support to the water and wastewater operations. Laboratory services also provides contract analytical support to other communities and industries.

Objective:

To provide analytical laboratory results required by state and federal regulatory services.



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

Source and Use of Funds For Capital Improvements

FY2013

Source of Funds

State of Michigan Drinking Water Revolving Fund	500,000	
Investments - Unrestricted	658,500	
		<u>\$1,158,500</u>

Total Source of Funds

Use of Funds

Infrastructure/System Costs

Lynn Street	40,000	
Evert Street	50,000	
Hersey Street	35,000	
Mitchell Alley	45,000	
Service Truck	25,000	
UV Disinfection Equipment	35,500	
WWTP Electrical Backup	78,000	
Boersma Property Utilities Extension	350,000	
Water Supply Improvements	500,000	
		<u>\$1,158,500</u>

Total Use of Funds

\$1,158,500

Capital Improvements and Purchases

Through the use of strong financial planning and sound cash management, the City has been able to use a "pay-as-you-go" financing approach to fund many capital improvements and purchases. This has given the City the flexibility to take advantage of low-interest loans similar to the one received in October of 2007 from the State of Michigan's State Revolving Fund (SRF), which was a \$3.9 million loan that is being used to fund a substantial Wastewater Treatment Plant renovation.



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

Cash Flow Analysis

FY2013

Additions

Net Income from Operations	\$49,400	
DWRF Loan Funds	500,000	
Depreciation	925,000	
Total Additions		1,474,400

Deductions

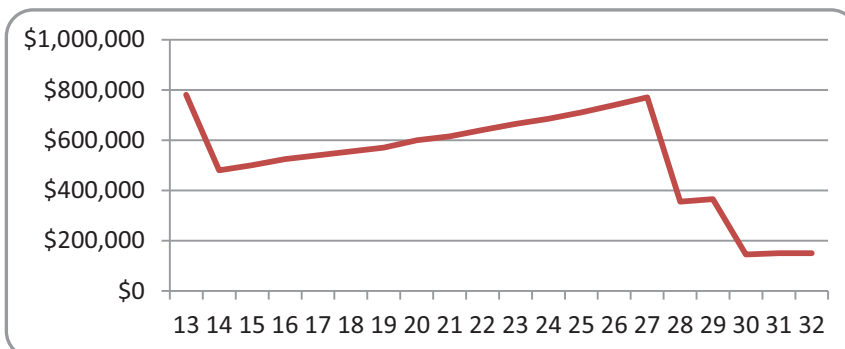
Principal Payments (1)	\$781,050	
Capital Improvements	1,158,500	
Total Deductions		1,939,550

Net Increase (Decrease) of Available Cash (\$465,150)

Footnotes:

(1) Principal payments include:

	<i>Principal</i>	<i>Interest</i>	
<u>1999 Revenue Refunding Bond</u>			
September 1, 2012	5,000		
September 1, 2012 (4.70%)		25,488	
March 1, 2013 (4.70%)		25,370	
<u>2001 Revenue Refunding Bond</u>			
September 1, 2012	505,000		
September 1, 2012 (4.75%)		92,923	
March 1, 2013 (4.60%)		80,929	
<u>2007 State of Michigan SRF Loan</u>			
October 1, 2012	175,000		
October 1, 2012 (1.625%)		27,302	
April 1, 2013 (1.625%)		25,880	
<u>2011 State of Michigan DWRF Loan</u>			
October 1, 2012	96,050		
October 1, 2012 (1.625%)		20,500	
April 1, 2013 (1.625%)		19,500	
Total Debt Payments	\$781,050	\$317,892	\$1,098,942



Water and Sewer System
Future Debt Payments

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

Water and Sewer Rates

Rates and Charges proposed as of July 1, 2012

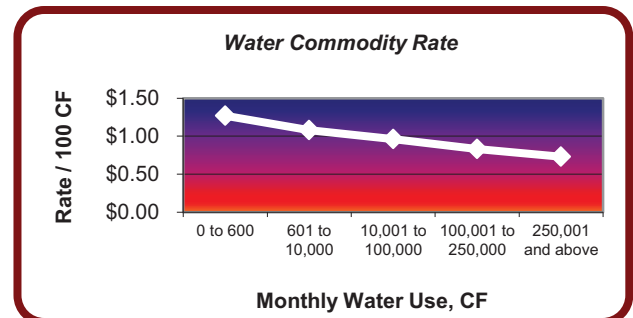
Ready to serve charge

<u>Meter Size</u>	<u>Water</u>	<u>Wastewater</u>
5/8"	\$6.05	\$9.76
3/4"	\$8.90	\$14.66
1"	\$14.84	\$24.42
1-1/2"	\$29.73	\$48.84
2"	\$47.42	\$78.17
3"	\$103.85	\$171.12
4"	\$178.02	\$293.17
6"	\$370.94	\$610.87
8"	\$534.12	\$879.61

Commodity Charge

Volume (Cubic Feet - CF)

0 to 600	\$1.27	
601 to 10,000	\$1.08	
10,001 to 100,000	\$0.96	
100,001 to 250,000	\$0.83	
250,001 and above	\$0.73	
Per 100 cubic feet per month		\$2.26



Unmetered Users (Flat Rate)

1. Monthly room charge (Living, Dining, Bedroom and Kitchens)	
1 to 3 rooms	\$8.44
4 to 6 rooms	\$9.47
7 to 8 rooms	\$11.17
Each additional room	\$1.54
2. Additional for each bathtub and shower	
	\$4.04
3. Additional for each toilet	
	\$4.46

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

Continuing Disclosure Information

Revenue as Billed By Meter Classification
Fiscal Year Ended June 30, 2011

<u>Meter Classification</u>	<u>Water Supply</u>		<u>Wastewater Treatment</u>	
	<u>Revenue</u>	<u>Percent of Total</u>	<u>Revenue</u>	<u>Percent of Total</u>
Unmetered			\$50,067	2.41
5/8"	\$493,290	41.62	765,288	36.81
3/4"	1,805	0.15	1,724	0.08
1"	64,657	5.46	84,690	4.07
1-1/2"	73,252	6.18	102,017	4.91
2"	159,155	13.43	414,000	19.91
3"	27,884	2.35	54,772	2.63
4"	171,963	14.51	286,481	13.78
6"	176,671	14.91	303,058	14.58
8"	16,448	1.39	17,125	0.82
	<u>\$1,185,125</u>	<u>100.00</u>	<u>\$2,079,222</u>	<u>100.00</u>

Monthly Wastewater Treatment Ready-To-Serve Charge by Meter Classification
Last Ten Fiscal Years

<u>Fiscal Year</u>	<u>Meter Classification</u>								
	<u>5/8"</u>	<u>3/4"</u>	<u>1"</u>	<u>1-1/2"</u>	<u>2"</u>	<u>3"</u>	<u>4"</u>	<u>6"</u>	<u>8"</u>
2003	7.00	10.50	17.50	35.00	56.00	122.55	210.05	437.60	630.20
2004	7.20	10.80	18.05	36.05	57.70	126.25	216.35	450.35	649.10
2005	7.50	11.25	18.75	37.50	60.00	131.30	225.00	468.80	675.05
2006	7.80	11.70	19.50	39.00	62.40	136.55	234.00	487.55	702.05
2007	8.05	12.05	20.10	40.15	64.30	140.65	241.00	502.15	723.10
2008	8.35	12.55	20.90	41.75	66.85	146.30	250.65	522.25	752.00
2009	8.55	12.85	21.40	42.80	68.50	149.95	256.90	535.30	770.80
2010	8.93	13.43	22.36	44.73	71.58	156.70	268.46	559.39	805.49
2011	9.34	14.03	23.37	46.74	74.80	163.75	280.54	584.56	841.73
2012	9.76	14.66	24.42	48.84	78.17	171.12	293.17	610.87	879.61

Data furnished in compliance with Securities and Exchange Commission rule 15c2-12 which requires the City to annually provide updated information filed for revenue bond issues. *Source: Cadillac Utilities Department*

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

Continuing Disclosure Information

Monthly Ready-To-Serve Charge For Fire Protection
Fiscal Year Ended June 30, 2012

<u>Line Size</u>	<u>Monthly Ready-To-Serve Charge</u>
3/4"	\$2.16
1"	\$3.71
1-1/2"	\$7.36
2"	\$11.87
3"	\$25.79
4"	\$44.34
6"	\$92.55
8"	\$133.34
10"	\$214.77
12"	\$318.33

Monthly Water Supply Ready-To-Serve Charge By Meter Classification
Last Ten Fiscal Years

<u>Fiscal Year</u>	<u>Meter Classification</u>								
	<u>5/8"</u>	<u>3/4"</u>	<u>1"</u>	<u>1-1/2"</u>	<u>2"</u>	<u>3"</u>	<u>4"</u>	<u>6"</u>	<u>8"</u>
2003	4.25	6.40	10.65	21.25	34.00	74.40	127.55	265.70	382.65
2004	4.40	6.60	10.95	21.90	35.00	76.65	131.40	273.65	394.15
2005	4.60	6.85	11.40	22.80	36.40	79.70	136.65	284.60	409.90
2006	4.80	7.10	11.85	23.70	37.85	82.90	142.10	296.00	426.30
2007	4.95	7.30	12.20	24.40	39.00	85.40	146.35	304.90	439.10
2008	5.15	7.60	12.70	25.40	40.55	88.80	152.20	317.10	456.65
2009	5.30	7.80	13.00	26.05	41.55	91.00	156.00	325.05	468.05
2010	5.54	8.15	13.59	27.22	43.42	95.10	163.02	339.68	489.11
2011	5.79	8.52	14.20	28.45	45.37	99.37	170.36	354.96	511.12
2012	6.05	8.90	14.84	29.73	47.42	103.85	178.02	370.94	534.12

Data furnished in compliance with Securities and Exchange Commission rule 15c2-12 which requires the City to annually provide updated information filed for revenue bond issues. *Source: Cadillac Utilities Department*

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Water and Sewer Fund

Continuing Disclosure Information

Number of Water Supply and Wastewater Treatment Customers
Last Ten Fiscal Years

<u>Fiscal Year</u>	Water Supply Customers		Wastewater Treatment Customers	
	<u>Number</u>	<u>Percent of</u>	<u>Number</u>	<u>Percent of</u>
		<u>Change</u>		<u>Change</u>
2002	3,407	(0.21)	3,493	(0.31)
2003	3,456	1.44	3,526	0.94
2004	3,487	0.90	3,544	0.51
2005	3,520	0.95	3,569	0.71
2006	3,524	0.11	3,573	0.11
2007	3,517	(0.20)	3,564	(0.25)
2008	3,544	0.77	3,592	0.79
2009	3,496	(1.35)	3,541	(1.42)
2010	3,474	(0.63)	3,527	(0.40)
2011	3,497	0.66	3,542	0.43

Average Number of Water Supply and Wastewater Treatment Customers By Meter Classification
Fiscal Year Ended June 30, 2011

<u>Meter Classification</u>	Average Customers	
	<u>Water Supply</u>	<u>Wastewater Treatment</u>
Unmetered	0	169
5/8"	3,152	3,088
3/4"	7	7
1"	135	111
1-1/2"	90	75
2"	85	68
3"	9	9
4"	13	11
6"	5	3
8"	1	1
	<u>3,497</u>	<u>3,542</u>

Data furnished in compliance with Securities and Exchange Commission rule 15c2-12 which requires the City to annually provide updated information filed for revenue bond issues. *Source: Cadillac Utilities Department*

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Building Authority Operating Fund

Fund: Building Authority Operating Fund

Type: Enterprise Fund

Oversight: Director of Public Works and Engineering

Nature and Purpose:

The Cadillac Building Authority was reestablished by the City Council in accordance with P.A. 31 of 1948. The purpose of the building authority is to facilitate the sale of bonds to fund construction of municipal structures. A building authority was previously used by the City of Cadillac in 1977 to issue bonds for the construction of the Municipal Complex and then in 1994 for the construction of the State of Michigan Department of Environmental Quality (DEQ) building pictured at right.



The most recent use of the building authority was to sell bonds for parking lot renovations. The parking lots were reconstructed in the summer of 1998.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Rental Income	\$195,870	\$195,900	\$195,900	\$195,900
Interest Income	37	1,200	1,500	1,500
Total	\$195,907	\$197,100	\$197,400	\$197,400
Expenditures				
Building Maintenance	8,328	9,000	9,000	9,000
Contractual Services	19,152	30,000	30,000	30,000
Audit	700	700	800	900
Liability Insurance	453	500	700	700
Utilities	3,274	3,200	3,500	3,500
Administration	5,000	5,000	5,000	5,000
Depreciation	38,840	39,900	39,900	39,900
Debt Service				
Interest Payment	31,221	28,000	28,000	22,500
Total	\$106,968	\$116,300	\$116,900	\$111,500
Net Assets				
Change in Net Assets	\$88,939	\$80,800	\$80,500	\$85,900
Total Net Assets - Beginning of Year	676,987	765,926	846,726	846,726
TOTAL NET ASSETS AT YEAR END	\$765,926	\$846,726	\$927,226	\$932,626

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Building Authority Operating Fund

Fund Highlights

Revenues

The City of Cadillac rents the building to the State of Michigan and the rent is based on the operating expenses as well as the debt payments on the bond. Interest Income is earned by investing cash reserves and idle funds in accordance with the City's investment policy.

Expenditures

Building Maintenance costs cover the air conditioning, elevator, heating, electrical and other related items that are contracted for to maintain the facility. The contractual services reflect the contracts for landscaping, fire suppression system, and snow removal. Administration is the fee paid to the DDA fund for their management oversight of the facility. The Building Authority issued debt to fund the construction of this facility. In 1999 the debt was refinanced in order to take advantage of lower interest rates, resulting in \$33,000 in net present value savings.

The Building Authority members are appointed by the City Council. Those appointed members are:

Chairperson:

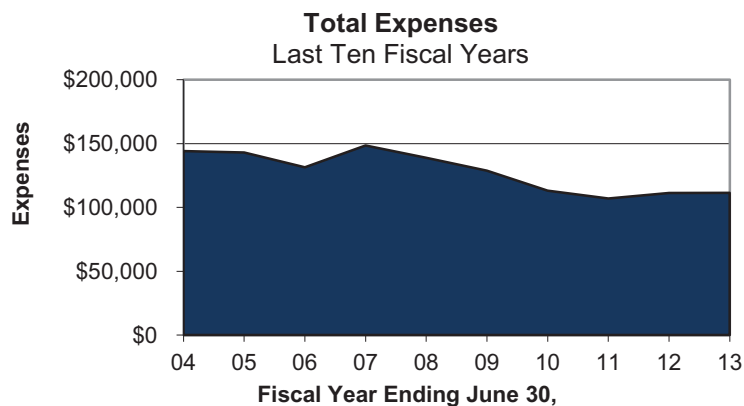
Marcus A. Peccia
City Manager
City of Cadillac

Vice-Chairperson:

Michael Homier
Foster, Swift, Collins & Smith
City Attorney
City of Cadillac

Secretary - Treasurer:

Owen E. Roberts
Director of Finance
City of Cadillac



Net Assets

Net assets are reserved for debt service and any unanticipated maintenance issues as the building ages.

Expenses have remained relatively flat. Interest Expense continues to decline as the outstanding debt decreases.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Building Authority Operating Fund

Source and Use of Funds For Capital Improvements

FY2013

Source of Funds

Operational funds	45,000	
Total Source of Funds		<u><u>\$45,000</u></u>

Use of Funds

Carpet Replacement	45,000	
Total Use of Funds		<u><u>\$45,000</u></u>

Note:

The Building Authority is responsible for maintaining the facility, including capital upgrades as necessary. The carpet replacement was originally scheduled for FY2009 but has been delayed until FY2013 due to several other maintenance issues that took precedent over the project.

Cash Flow Analysis

FY2013

Additions:

Net Gain from Operations	85,900	
Depreciation	39,900	
Total Additions		\$125,800

Deductions:

Principal Payment	125,000	
Capital Improvements	45,000	
Total Deductions		\$170,000

Net Increase (Decrease) in Cash		<u><u>(\$44,200)</u></u>
--	--	--------------------------

Note:

There are sufficient reserves on hand to cover the use of cash anticipated for FY2013.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Building Authority Operating Fund

Outstanding Debt Issue

Title of Issue: 1999 Building Authority Fund Refunding Bonds

Date of Issue: February 2, 1999

Purpose: For the purpose of advance refunding the 1994 Building Authority Bonds dated December 1, 1994 maturing in the years 2006 through and including 2015 on October 1, 1995.

DEBT SERVICE DETAILS

		Amount Redeemed		
		Prior	Current	Balance
Amount of Issue:	\$1,265,000	\$620,000	\$115,000	\$530,000

DEBT SERVICE REQUIREMENTS				
DUE DATES	RATE	PRINCIPAL	INTEREST	TOTAL
October 1, 2012	4.60%	\$125,000	\$12,190	\$137,190
April 1, 2013			\$9,315	\$9,315
October 1, 2013	4.60%	\$130,000	\$9,315	\$139,315
April 1, 2014			\$6,325	\$6,325
October 1, 2014	4.60%	\$135,000	\$6,325	\$141,325
April 1, 2015			\$3,220	\$3,220
October 1, 2015	4.60%	\$140,000	\$3,220	\$143,220
		\$530,000	\$49,910	\$579,910

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Special Revenue Funds Summary

Special Revenue Funds Summary

Special Revenue Funds

Special Revenue Funds are used to account for the proceeds of specific revenue sources (other than special assessments, expendable trusts, or major capital projects) that are legally restricted to expenditures for specific purposes. The budgeting and accounting for this group of funds is done on the modified accrual basis.

Special Revenue Funds in the City of Cadillac include:

Major Special Revenue Funds (Included in Major Fund Section):

Major Street Fund – Used to account for the financial activity of the streets designated by the State of Michigan as major thoroughfares and the maintenance contract of the state trunklines.

Local Street Fund – Receives all local street money paid to cities by the State, accounts for all construction, maintenance, traffic services, and winter maintenance on all streets classified as local.

Nonmajor Special Revenue Funds (Included in this section):

Cemetery Operating Fund – This fund records the financial activities of running the cemetery. Revenues from endowment funds supplement charges for services to finance these activities.

Naval Reserve Center Fund – This fund was established to account for the rental of the Naval Reserve Center.

Cadillac Development Fund – This fund was established with grant monies from an Urban Development Action Grant to assist in economic development and Housing and Urban Development funds to assist low and moderate income families to bring their homes up to the city building codes.

Lake Treatment Fund - The fund is established for collection of an added voted millage dedicated for the eradication of Eurasian water milfoil and other invasive aquatic species in Lake Cadillac.

H. L. Green Operating Fund – This fund was established to account for the rental and sale of the H. L. Green building in downtown Cadillac.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Special Revenue Funds Summary

FY2013						Total
REVENUES						
Interest Income	\$0	\$100	\$15,000	\$500	\$600	\$16,200
Interest Income-Loan			17,000			17,000
Principal Repayment-Loan					17,300	17,300
Rental		7,000				7,000
Charges for Services	51,200					51,200
Local Funds	10,000					10,000
General Fund	75,000					75,000
Property Taxes				119,000		119,000
Surplus		17,100	19,900			37,000
TOTAL REVENUES	\$136,200	\$24,200	\$51,900	\$119,500	\$17,900	\$349,700
EXPENDITURES						
Operating Expenditures	133,400	24,200	15,500	119,500	500	293,100
Community Development			36,400			36,400
Capital Outlay						0
Debt Service						0
Transfer Out						0
TOTAL EXPENDITURES	\$133,400	\$24,200	\$51,900	\$119,500	\$500	\$329,500
Change in Fund Balance	\$2,800	(\$17,100)	(\$19,900)	\$0	\$17,400	(\$16,800)
Fund Balance - Beginning of Year	4,634	17,369	1,407,064	25,192	101,514	1,555,773
Fund Balance - End of Year	\$7,434	\$269	\$1,387,164	\$25,192	\$118,914	\$1,538,973

Footnotes:

(1) Excludes "Surplus". Surplus indicates the appropriation of prior fund balance to fund current expenditures. The budget staff has determined that sufficient prior year fund balance is available to offset current year deficiencies.

(2) Surplus is excluded from total revenues for the purposes of the Budget Summaries section of budget document.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Cemetery Operating Fund

Fund: Cemetery Operating Fund

Type: Special Revenue Fund

Oversight: Director of Public Works and Engineering

Nature and Purpose:

The Cemetery Operating Fund is in existence for the operation of the City-owned cemetery located on the southern boundaries of Cadillac. It is a well-manicured facility and is viewed by many people as they travel on U.S. 131, which runs parallel to the facility.

The General Fund of the City funds approximately 56% of Cemetery operations. This is below the average of other cemeteries in Northern Michigan. This contribution was shown for the first time in FY2009. Historically the General Fund has provided administrative support services at no cost to the Cemetery, but in an effort to more accurately reflect the true operating cost of the cemetery, these amounts are now shown in this fund.

Advisory Board & Cemetery Management

Article 18, Section 18.1 of the City Charter reflects that an advisory board shall be established to handle policy related cemetery rules and ordinances relating to the cemetery. The City Manager, for all practical purposes, has delegated this responsibility to the Director of Public Works and Engineering. A cemetery superintendent is responsible for the daily activity of cemetery personnel, which consists of the cemetery supervisor and two part-time maintenance workers. These part-time workers do not work during the winter months, but begin working when the snow melts to maintain the Cemetery.

Advisory Board

Roy Wohlford, Jr., *Chairperson*

Del Packard, *Member*

Nick Nelson, *Member*

Chris Benson, *Secretary*

Bruce DeWitt, *Ex-Officio, Director of Public Works and Engineering*

PERFORMANCE MEASURES - MAPLE HILL CEMETERY

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2010	2011	2012	2013	
Number of Lots Sold		18	38	30	30	↔
Number of Burials		43	40	40	40	↔
Number of Cremains		32	33	30	30	↔
Total Revenue		\$44,952	\$50,855	\$51,200	\$51,200	↑
General Fund Contribution		\$72,400	\$72,400	\$75,000	\$75,000	↑
G.F. Contribution as % of Expenditures		58%	59%	56%	56%	↔

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Cemetery Operating Fund

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenue				
Charges For Services:				
Sale of Lots & Burial Rites	\$8,312	\$9,000	\$9,800	\$9,800
Grave Openings & Storage	33,000	34,000	33,000	33,000
Foundations & Miscellaneous	9,543	8,000	8,400	8,400
Miscellaneous:				
Transfer In - Perpetual Care	0	7,500	7,500	10,000
Contribution from General Fund	72,400	75,000	75,000	75,000
Surplus	0		0	0
Total	\$123,255	\$133,500	\$133,700	\$136,200
Expenditures				
Salaries - Regular	\$38,489	\$38,500	\$37,500	\$39,000
Salaries - Part Time	24,900	22,000	23,300	25,000
Fringes	20,560	23,500	24,000	24,000
Liability Insurance	65	100	100	0
Operating Supplies	14,951	12,000	10,400	12,000
Audit	450	0	500	500
Utilities	10,026	9,500	9,700	11,500
Telephone	299	400	400	400
Equipment Rental	4,414	4,000	3,800	4,300
Administration	2,700	2,500	8,500	0
Data Processing	2,500	1,000	1,000	0
Travel & Education	253	400	400	400
Repair and Maintenance	3,637	6,000	5,300	5,300
Capital Outlay	0	11,000	8,500	11,000
Total	\$123,244	\$130,900	\$133,400	\$133,400
Fund Balance				
Net Change in Fund Balance	11	2,600	300	2,800
Fund Balance - Beginning of Year	2,023	2,034	2,034	4,634
Ending Fund Balance	\$2,034	\$4,634	\$2,334	\$7,434

Cemetery Staffing

A portion of administrative salaries are allocated to this fund according to the estimated time spent on Cemetery activities, as follows:

Allen Dumond	Parks & Cemetery Superintendent	5.0%
Bryan Elenbaas	Cemetery Supervisory	85.0%

Part-Time Labor

Due to the elimination of prison labor availability from the State of Michigan, the Cemetery will need to hire 2 part-time workers to keep up with the daily maintenance of the Cemetery. This has added significant costs to the Cemetery and will create long-term challenges that need to be addressed to insure the long-term stability of the Cemetery operation.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Naval Reserve Center Fund

Fund: Naval Reserve Center Fund

Type: Special Revenue Fund
Oversight: Director of Finance

Nature and Purpose:

In 1947 the City of Cadillac began leasing the Naval Reserve Center to the Department of Navy. The lease was for \$1 per year. During this time the Navy was responsible for all operational costs of the Naval Reserve Center including all utilities and property and building maintenance. This resulted in no cost to the City of Cadillac. Due to military downsizing by the federal government, the Department of Navy vacated the Naval Reserve Center on June 1, 1996. Since then, the City has rented the building to various non-profit organizations for office, classroom, storage, and recreational space.



FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Interest Income	\$38	\$100	\$100	\$100
Rental Income:				
City of Cadillac Parks Division	0	1,500	1,500	1,500
Senior Citizens Center	3,266	4,900	4,900	4,900
Wexford Genealogical Society	691	700	600	600
CWTA	1,672	0	0	0
Surplus	0	19,400	19,600	17,100
Total	\$5,667	\$26,600	\$26,700	\$24,200
Expenditures				
Building Maintenance	\$2,362	\$7,500	\$8,000	\$5,500
Audit	450	\$500	500	500
Liability Insurance	453	600	700	700
Utilities	16,869	18,000	17,500	17,500
Total	\$20,134	\$26,600	\$26,700	\$24,200
Fund Balance				
Net Change in Fund Balance	(\$14,467)	(\$19,400)	(\$19,600)	(\$17,100)
Fund Balance - Beginning of Year	51,236	36,769	36,769	17,369
Ending Fund Balance	\$36,769	\$17,369	\$17,169	\$269

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Naval Reserve Center Fund

Other Facility Information

The City of Cadillac converted the former Naval Reserve Center into a Community Center. The Center has been mostly vacant for several years. Significant upgrades will be required in order for the available space to be leased out in the future. The Senior Citizens Center, Cadillac Genealogy Society, and the City of Cadillac Parks Division currently rent space at the building. Funding for the Senior Center is provided through the Cadillac Community Schools Recreation Program, to which the City contributes about \$66,000 annually.

The City is the landlord and is responsible for lawn care and snow removal in the parking lot, structural maintenance and upkeep, and assuring that the building is capable of housing tenants in accordance with applicable building and zoning ordinances. Rental rates are kept low in order to reflect the City's desire to provide affordable space to these non-profit agencies.

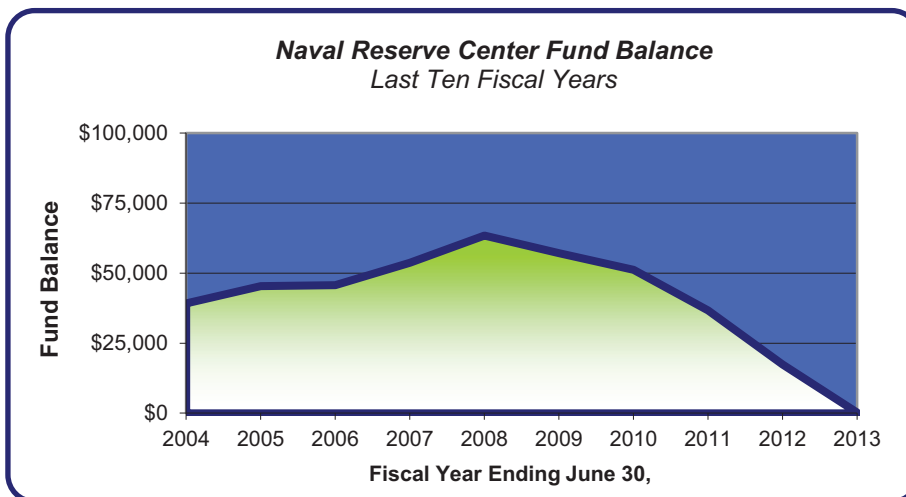
The City was able to improve and expand the parking lot in 2002. The flat section of the roof was previously scheduled for replacement, but the project has been postponed until a later date when funds are available. Funds are currently being set aside to accomplish the roofing project.

Property Management

Director of Finance Owen Roberts functions as the property manager for the City, providing management oversight. Municipal Complex Custodian Jim Givens assists with maintenance issues at the facility.

Fund Balance

Management has determined that the roof will need to be replaced at the Naval Reserve facility in the next few years. As such, annual increases in fund balance are being designated to this project to build up the reserves to fund the project. Early estimates are that the project will cost approximately \$100,000.



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Cadillac Development Fund

Fund: Cadillac Development Fund

Type: Special Revenue Fund
Oversight: Community Development Director

Nature and Purpose:

This fund was established as the result of an \$800,000 UDAG grant to to the City, which in turn was loaned to assist construction of the Hampton Inn. The Inn was constructed on schedule and the loan was paid in full in fiscal year 2000.

It is the City Council's desire to reuse these funds as low interest loans to enhance commercial development in the future. In cooperation with the Cadillac Downtown Development Authority, a Low-Interest Façade Improvement Program was created in 1999. All commercial properties in the DDA district are eligible to apply for a maximum \$30,000 loan to undertake approved facade improvements. A design review committee of the Downtown Development Authority helps to administer the program. A total of eleven loans at ten different locations have been made to date. Additional commercial redevelopment programs and opportunities are currently under exploration.

The Community Development Director is a full-time position funded 40% by this fund, 30% by the General Fund and 30% by the Downtown Development Authority. This position works primarily with the downtown merchants and the related promotions and recruitment.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Interest Income	\$16,421	\$18,000	\$14,000	\$15,000
Interest Income - Loans	24,814	21,000	21,000	17,000
Loan Principal Collection	1,571	0	0	0
Contributions from Private Sources	0	0	0	0
Surplus	0	17,900	27,400	19,900
Total	\$42,806	\$56,900	\$62,400	\$51,900
Expenditures				
Urban Redevelopment and				
Housing Administration	\$33,626	\$24,400	\$24,600	\$15,500
Community Development Director	33,707	36,000	37,800	36,400
	\$67,333	\$60,400	\$62,400	\$51,900
Fund Balance				
Net Change in Fund Balance	(\$24,527)	(\$21,400)	(\$27,400)	(\$19,900)
Fund Balance - Beginning of Year	1,452,991	1,428,464	1,428,464	1,407,064
Ending Fund Balance	\$1,428,464	\$1,407,064	\$1,401,064	\$1,387,164

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Cadillac Development Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenditures				
Urban Redevelopment and Housing Administration				
Office Supplies	\$0	\$100	\$100	\$100
Postage	0	0	200	200
Data Processing	4,500	2,000	2,000	0
Audit	650	700	700	700
Contractual Services	0	2,500	2,500	2,500
Administration	19,100	19,100	19,100	12,000
Transfer to Building Inspection Fund	9,376	0	0	0
Total Administration	\$33,626	\$24,400	\$24,600	\$15,500
Community Development Director				
Salaries	\$24,088	\$24,500	\$25,500	\$25,000
Fringes	9,073	10,500	10,100	9,700
Office Supplies	221	100	300	300
Postage	0	100	300	300
Dues and Publications	325	300	600	600
Travel & Education	0	500	1,000	500
Total Community Development Director	\$33,707	\$36,000	\$37,800	\$36,400
Total Expenditures	\$67,333	\$60,400	\$62,400	\$51,900

Cadillac Development Fund Goals:

1. Continue to make funds available to the DDA's low interest loan facade improvement program at 0% interest.
2. Partner efforts with the Cadillac DDA to encourage redevelopment of key commercial sites.
3. Maintain the principal and use the interest for grants as much as possible.

Community Development Director

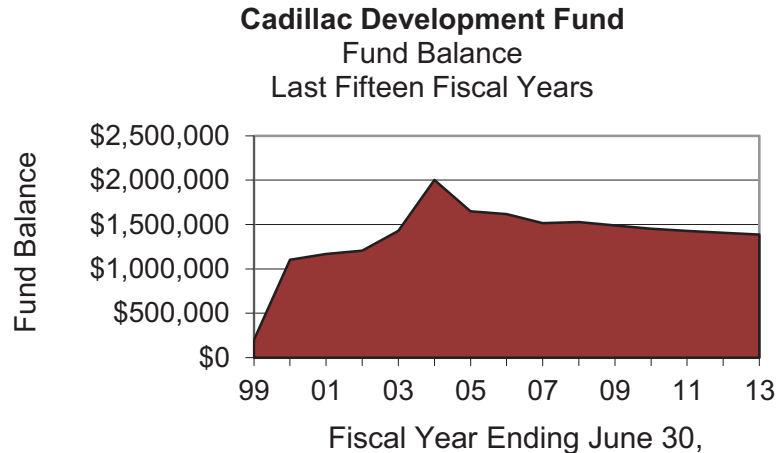
Jerry Adams functions as the Director of Community Development for the City of Cadillac. This is in addition to his roles in planning and zoning and as the Downtown Development Authority Director. Adams brings a wealth of experience to the City from his background as a planning consultant with many years of experience.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Cadillac Development Fund

Fund Financial Highlights

Fund Balance

The fund balance in this fund has experienced very positive results since the Hampton Inn loan was repaid in 2000. The resources in this fund continue to provide funds for development purposes, including the funds committed to sustaining city building inspection activities. A portion of the fund balance has been used over the last several years, as interest earnings have dropped and increased contributions have been made to various development activities.



Interest Income - Loans

This line item accounts for the interest received on various loans made to other internal City functions.

Transfer Out - Building Inspection Fund

Transfers were made to the Building Inspection Fund to help sustain this activity through difficult economic times. This activity has now been eliminated.

Project Highlights

Façade Improvement Loans Granted

Address	Business
108 Beech Street	Commercial Rental Facility
102 South Mitchell Street (2 granted) *	Lakeside Title/Manpower
106 South Mitchell Street *	Shay Station
112 South Mitchell Street	Brink's Custom Framing
114 South Mitchell Street	Steve Fowler's Hairstyling Salon
118 South Mitchell Street	Quadrant Northwest Appraisal Service
134 West Harris Street *	Baird, Cotter & Bishop, CPA, PC
408 North Mitchell Street	Comfort Center
823 North Mitchell Street	Muffler Man
117 North Mitchell Street *	Commercial/Retail Rental Building

* See additional highlights of project below

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Cadillac Development Fund

Project Highlights (Continued)



102 South Mitchell Street

The City participated with the City Park Professional group and Citizens Bank to help assist the redevelopment of the façade of a prominent downtown building. This provided a very significant enhancement to the downtown area and also helped enable re-use of an older downtown structure. This project was completed in 2006.

106 South Mitchell Street

This project was a participation between Rich and Beth Boscher, owners of the Shay Station restaurant, and Firstbank. The project significantly enhanced the appearance of a downtown building. The project was completed in 2006.



134 West Harris Street

Citizens Bank and the City of Cadillac partnered to provide the partners in the accounting firm of Baird, Cotter & Bishop, CPAs, with a low-interest loan to give their office building a facelift in 2005. This project is near the lakefront and provided the opportunity to improve the appearance of the professional office facility.

117 North Mitchell Street

The commercial rental facility known as the Kramer building suffered substantial damage from a fire in 2006. The City worked with the owners to partner with 5/3 Bank in providing funds to assist with the renovation of the building façade which was completed in 2007.



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Lake Treatment Fund

Fund: Lake Treatment Fund

Type: Special Revenue Fund
Oversight: Community Development Director

Nature and Purpose:

The Lake Treatment Fund was formed to segregate revenues received exclusively for the treatment of milfoil and other invasive aquatic plant and animal species that found their way to Lake Cadillac. The voters of Cadillac approved a millage in February 2011 to provide resources for this treatment.

Lake Cadillac represents a 1,150 acre freshwater inland lake located within the city's boundaries. The lake is considered the city's greatest natural asset and one of its most important recreational resources. Unfortunately, like many of Michigan's inland lakes, Lake Cadillac experiences the presence of several invasive aquatic species including Eurasian watermilfoil and Zebra mussels.

The millage is dedicated to the implementation of measures oriented to the control of these undesirable plants and animals. Funds generated by the millage will be used to retain a qualified freshwater aquatic consultant to assist on matters of invasive species management and for lake treatment programs, public education, and related activities.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Special Assessment Payments	\$0	\$120,000	\$120,000	\$119,000
Interest Income	4	0	500	500
Surplus	0	0	0	0
Total	\$4	\$120,000	\$120,500	\$119,500
Expenditures				
Contractual Services	\$5,250	\$100,000	\$118,500	\$117,500
Supplies	50	800	1,500	1,500
Audit	450	450	500	500
Total	\$5,750	\$101,250	\$120,500	\$119,500
Fund Balance				
Net Change in Fund Balance	(\$5,746)	\$18,750	\$0	\$0
Fund Balance - Beginning of Year	12,188	6,442	6,442	25,192
Ending Fund Balance	\$6,442	\$25,192	\$6,442	\$25,192

Contractual Service

The principal use of funding provided by the millage is for engineering and treatment services provided contractually by outside vendors. These services are expected to be about \$90,000 - \$100,000 per year. The remainder of the costs are for permits and educational activities.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
H.L. Green Operating Fund

Fund: H.L. Green Operating Fund

Type: Special Revenue Fund

Oversight: Director of Finance

Nature and Purpose:

In 1994 the City Council agreed to purchase a vacant building located in downtown Cadillac at 105-109 South Mitchell Street, commonly known as the H.L. Green building. This structure, originally built in the 1800's, had been vacant for three years since its last tenant, the H.L. Green Dime Store, went out of business. With the aid and vision of the Cadillac Downtown Development Authority and the Cadillac Downtown Fund, the building was purchased and renovated. A low-interest loan from the Michigan Jobs Commission and the Urban Land Assembly Fund (ULAF) for \$200,000 was secured to fund the renovation of the structure into three separate storefronts. With all of the storefronts renovated, the City of Cadillac sold the building to Rick and Tammy Grant in 1997 on a land contract.

The purpose of this fund is to track revenues and expenses associated with the operation of the building, to assure receipt of land contract payments, and to ensure repayments of funding sources utilized in the initial development.

Revenues

The major source of revenue in this fund is from the land contract, which will be paid in full in January 2013. The current monthly payment is \$2,500. Outstanding balance of the land contract at July 1, 2012 will be about \$17,300.

Expenditures

In FY2011, the balance owed from the original contribution from the Cadillac Downtown Fund was paid in full. There are no planned expenditures for FY2013.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Land Contract - Grant	\$28,055	\$28,903	\$26,500	\$17,300
Interest Income	1,980	1,100	1,200	600
Total	\$30,035	\$30,003	\$27,700	\$17,900
Expenditures				
Audit	\$450	\$500	\$500	\$500
Principal Payment	18,897	0	0	0
Total	\$19,347	\$500	\$500	\$500
Fund Balance				
Net Change in Fund Balance	\$10,688	\$29,503	\$27,200	\$17,400
Fund Balance - Beginning of Year	61,323	72,011	72,011	101,514
Ending Fund Balance	\$72,011	\$101,514	\$99,211	\$118,914

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Debt Service Funds Summary

Debt Management Policy

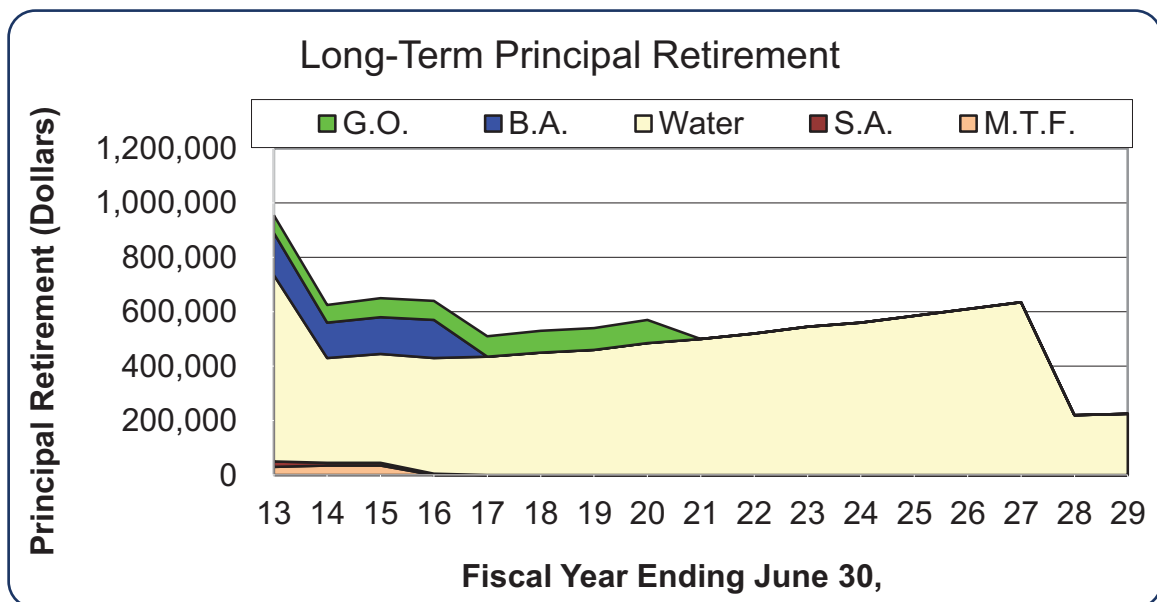
All of the City's Debt Service funds qualify as nonmajor funds. These funds are accounted and budgeted for on a modified accrual basis. Due to its conservative basis of accounting for tax revenues, the City of Cadillac is not required to borrow money for operations.

When incurred, the City's long-term general obligation and special assessment debt is handled through a debt service fund. The revenue bond requirements are handled through the Enterprise Fund. When appropriate for the type of debt incurred, a forty-five day referendum is held before the debt may officially be sold. By virtue of the State of Michigan, local government can not issue debt in excess of 10% of the assessed valuation of the taxable property.

The following objectives for debt management are the result of the goal to be fiscally responsible with the taxpayers' money in a conservative and prudent manner:

1. Long-term debt will be confined to capital improvements that can not be financed from current revenues.
2. The payback period of the debt will not exceed the expected useful life of the project.
3. The general obligation debt will not exceed ten percent of the assessed valuation of the taxable property.
4. Long-term debt will not be used for operations.
5. The City of Cadillac will maintain good communications with the bond rating agencies about its financial condition and will follow a policy of full disclosure on every financial report and bond prospectus.

The City's debt policy can be found in the Supplemental Section of this budget document.



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Debt Service Funds Summary

Debt Limit and Overlapping Debt Information

LEGAL DEBT MARGIN - JUNE 30, 2011

(All numbers in thousands)

Taxable Valuation					<u>\$256,982</u>
Statutory Debt Limit - 10% of Assessed Valuation					\$25,698
Amount of Debt Applicable to Limit:					
Gross Bonded Debt			\$10,562		
Less					
Assets Available for Debt Service		3			
Bond Debt Not Subject To Limit:					
Special Assessment Bonds		100			
Revenue Bonds		9,420			
Other Debt		202	9,725		
Total Amount of Debt Applicable to Debt Limit					<u>837</u>
LEGAL DEBT MARGIN					<u><u>\$24,861</u></u>

DIRECT AND OVERLAPPING DEBT - JUNE 30, 2011

		GROSS BONDED DEBT	(1) EXCLUSIONS	NET BONDED DEBT
<u>DIRECT DEBT:</u>				
Outstanding Bonds				
General Obligation		\$840	\$3	\$837
Special Assessment		100	100	0
Revenue Bonds				
Water and Sewer		8,775	8,775	0
Primary Government		645	645	0
Other		852	852	0
Total Direct Debt		<u>\$11,212</u>	<u>\$10,375</u>	<u>\$837</u>
	(2)			
<u>GROSS OVERLAPPING DEBT</u>	<u>% APPLICABLE</u>			
Cadillac Area Public Schools	37.33%	\$7,610	\$0	\$7,610
Wexford County	26.95%	1,742	0	1,742
Total Gross Overlapping Debt		<u>\$9,352</u>	<u>\$0</u>	<u>\$9,352</u>
NET DIRECT AND OVERLAPPING DEBT		<u><u>\$20,564</u></u>	<u><u>\$10,375</u></u>	<u><u>\$10,189</u></u>

NOTES:

(1) Exclusions represent all bonds which are not general obligation bonds of the City of Cadillac, and general obligation bonds which are self-supporting.

(2) Percentage applicable to the City of Cadillac calculated using state taxable valuation of City divided by state taxable valuation of taxing district.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Debt Service Funds Summary

Debt Summary

<i>Fiscal Year Ending June 30, 2013</i>				
<u>Description of Debt</u>	<u>Fund Servicing Debt</u>	<u>Debt Outstanding June 30, 2012</u>	July 1, 2012 - June 30, 2013 Debt Service Payments	
			<u>Principal</u>	<u>Interest</u>
Bonds and Installment Notes				
2000	Special Assessment	20,000	10,000	830
2002	Special Assessment	25,000	10,000	964
1997	Building Authority	30,000	30,000	788
1999	Building Authority	530,000	125,000	21,505
Revenue Bonds				
1999	Water and Wastewater	1,065,000	5,000	50,858
2001	Water and Wastewater	3,695,000	505,000	173,852
2007	State of Michigan SRF	3,360,205	175,000	53,182
2012	State of Michigan DWRF	2,500,000	96,050	60,402
Michigan Transportation Bonds				
2000	Local Street	100,000	30,000	4,711
General Obligation Bonds				
2004	Major/Local Streets	590,000	65,000	21,965
Total Debt		<u>\$11,915,205</u>	<u>\$1,051,050</u>	<u>\$389,057</u>

Fiscal Year Ending	Total Debt Per Capita	Rate of
	(inclusive of all funds)	Principal
	2010 Census - 10,355	
	2000 Census - 10,000	Retirement
<u>June 30,</u>		
2004	1,366.00	9.96%
2005	1,295.50	14.67%
2006	1,165.50	6.18%
2007	1,062.00	6.92%
2008	988.50	7.49%
2009	1,301.00	5.89%
2010	1,182.52	7.59%
2011	1,092.71	8.40%
2012	1,000.50	9.12%
2013	1,150.67	8.82%

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Debt Service Funds Summary

Debt Service Funds Summary

Fiscal Year Ending June 30, 2013

	1997 Building Authority	2000 S.A.	2000 M.T.F.	2002 S.A.	2004 G.O. Capital Improvement
Revenues:					
Local Contribution - Local Street			\$35,800		\$70,100
Local Contribution - Major Street					18,600
Special Assessments	\$30,700	\$2,200		\$3,100	
Interest Income - Assessments		300		600	
Interest Income		2,000			
Transfer in					
Surplus	1,100	7,800		8,400	
Total Revenues	\$31,800	\$12,300	\$35,800	\$12,100	\$88,700
Expenditures					
Audit	\$500	\$600	\$500	\$600	\$500
Bond Principal Payment	30,000	10,000	30,000	10,000	65,000
Interest Expense	1,300	1,700	5,300	1,500	23,200
Transfer out					
Total Expenditures	\$31,800	\$12,300	\$35,800	\$12,100	\$88,700
Revenue Over (Under) Expenditures (1)	(\$1,100)	(\$7,800)	\$0	(\$8,400)	\$0

	Total
Revenues:	
Local Contribution - Local Street	\$105,900
Local Contribution - Major Street	18,600
Special Assessments	36,000
Interest Income - Assessments	900
Interest Income	2,000
Transfer In	0
Surplus	17,300
Total Revenues	\$180,700
Expenditures	
Audit	\$2,700
Bond Principal Payment	145,000
Interest Expense	33,000
Transfer Out	0
Total Expenditures	\$180,700
Revenue Over (Under) Expenditures	(\$17,300)

- (1) Excludes "Surplus." Surplus indicates the use of prior year's earnings to balance current budget. The budget staff has determined that sufficient prior year's earnings are available to offset current year deficiencies.
- (2) Surplus is excluded from total revenues for the purposes of the Budget Summaries section of this document.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
1997 Building Authority Debt Retirement Fund

1997 Building Authority Debt Retirement Fund

Type: Debt Service Fund

Oversight: Director of Finance

TITLE OF ISSUE: 1997 Building Authority Fund Bonds

DATE OF ISSUE: December 1, 1997

PURPOSE: For the purpose of paying all or part of the cost of public parking lot improvements in the City of Cadillac. Tax increment financing (TIF) funds are transferred from the DDA Capital Projects fund to cover the debt service on the bond issue.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Tax Increment Financing Revenues	\$35,100	\$33,700	\$33,700	\$30,700
Surplus	0	\$0	0	1,100
Total	\$35,100	\$33,700	\$33,700	\$31,800
Expenditures				
Audit	\$450	\$450	\$500	\$500
Bond Principal Paid	30,000	30,000	30,000	30,000
Interest Expense	4,207	3,200	3,200	1,300
Total	\$34,657	\$33,650	\$33,700	\$31,800
Fund Balance				
Net Change in Fund Balance	\$443	\$50	\$0	(\$1,100)
Fund Balance - Beginning of Year	641	1,084	1,134	1,134
Ending Fund Balance	\$1,084	\$1,134	\$1,134	\$34

Bond Issue Payoff

FY2013 represents the final year of budgeting for this fund, as the bond issue will be paid in full on October 1, 2012.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
1997 Building Authority Debt Retirement Fund

DEBT SERVICE DETAILS

		AMOUNT REDEEMED		<u>Balance</u>
		<u>Prior</u>	<u>Current</u>	
AMOUNT OF ISSUE	\$310,000	\$250,000	\$30,000	\$30,000

DEBT SERVICE REQUIREMENTS				
DUE DATES	RATE	PRINCIPAL	INTEREST	TOTAL
October 1, 2012	5.25%	\$30,000	\$788	\$30,788
		\$30,000	\$788	\$30,788

Five Year Projections

	Fiscal Year Ending June 30,				
	2014	2015	2016	2017	2018

<u>Revenues</u>					
Tax Increment Financing Revenues	\$0	\$0	\$0	\$0	\$0
Interest Income - TIF	0	0	0	0	0
Total Revenues	\$0	\$0	\$0	\$0	\$0

<u>Expenditures</u>					
Audit	\$0	\$0	\$0	\$0	\$0
Principal Payment	0	0	0	0	0
Interest Expense	0	0	0	0	0
Total Expenditures	\$0	\$0	\$0	\$0	\$0

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
2000 Special Assessment Debt Retirement Fund

2000 Special Assessment Debt Retirement Fund

Type: Debt Service Fund

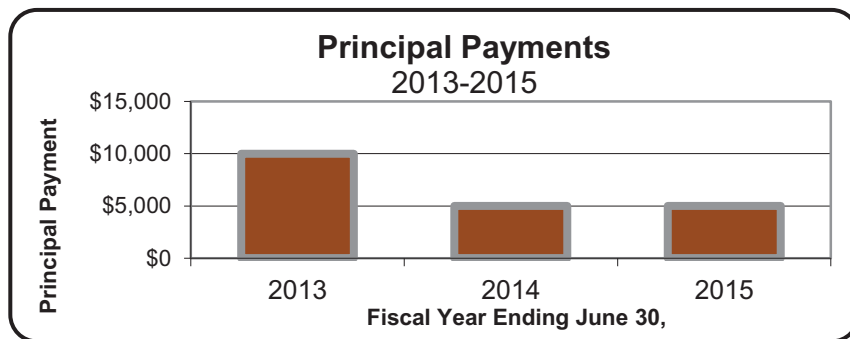
Oversight: Director of Finance

TITLE OF ISSUE: 2000 Special Assessment Limited Tax Bonds

DATE OF ISSUE: June 1, 2000

PURPOSE: Paying all or part of the cost of public improvements in certain Special Assessment Districts in the City of Cadillac.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Special Assessments	\$2,726	\$2,700	\$2,700	\$2,200
Interest Income - Assessments	710	700	500	300
Interest Income	3,847	3,000	3,000	2,000
Surplus	0	1,400	1,400	7,800
Total	\$7,283	\$7,800	\$7,600	\$12,300
Expenditures				
Audit	\$600	\$600	\$600	\$600
Bond Principal Paid	5,000	5,000	5,000	10,000
Interest Expense	1,793	2,000	2,000	1,700
Transfer Out	0	0	0	0
Total	\$7,393	\$7,600	\$7,600	\$12,300
Fund Balance				
Net Change in Fund Balance	(\$110)	(\$1,200)	(\$1,400)	(\$7,800)
Fund Balance - Beginning of Year	99,322	99,212	99,212	98,012
Ending Fund Balance	\$99,212	\$98,012	\$97,812	\$90,212



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
2000 Special Assessment Debt Retirement Fund

DEBT SERVICE DETAILS

AMOUNT OF ISSUE		AMOUNT REDEEMED		<u>Balance</u>
		<u>Prior</u>	<u>Current</u>	
	\$210,000	\$185,000	\$5,000	\$20,000

DUE DATES	DEBT SERVICE REQUIREMENTS			
	RATE	PRINCIPAL	INTEREST	TOTAL
October 1, 2012	5.50%	\$10,000	\$553	\$10,553
April 1, 2013			\$277	\$277
October 1, 2013	5.55%	\$5,000	\$277	\$5,277
April 1, 2014			\$139	\$139
October 1, 2014	5.55%	\$5,000	\$139	\$5,139
		\$20,000	\$1,385	\$21,385

Five Year Projections

	Fiscal Year Ending June 30,				
	2014	2015	2016	2017	2018

Revenues					
Special Assessments	\$7,000	\$5,300	\$0	\$0	\$0
Interest Income - Assessments	1,500	1,000	0	0	0
Surplus	0	0	0	0	0
Total Revenues	\$8,500	\$6,300	\$0	\$0	\$0

Expenditures					
Audit	\$700	\$700	\$0	\$0	\$0
Principal Payment	5,000	5,000	0	0	0
Interest Expense	900	600	0	0	0
Total Expenditures	\$6,600	\$6,300	\$0	\$0	\$0

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
2000 Michigan Transportation Fund Debt Retirement Fund

2000 Michigan Transportation Fund (MTF) Debt Retirement Fund

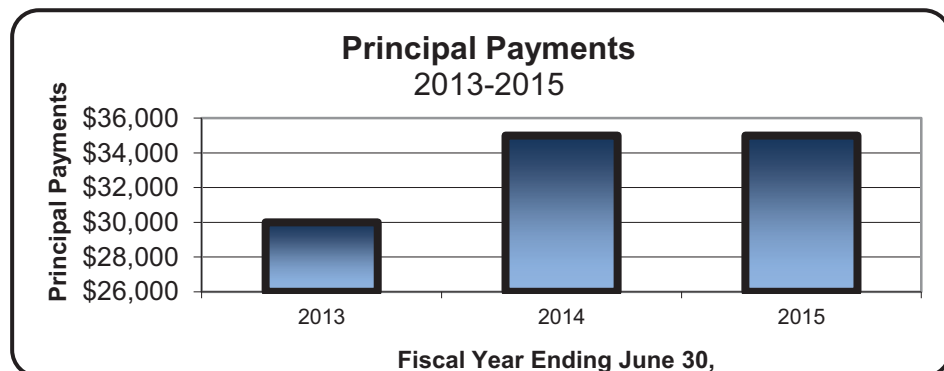
Type: Debt Service Fund
Oversight: Director of Finance

TITLE OF ISSUE: 2000 Michigan Transportation Fund Bonds
DATE OF ISSUE: June 1, 2000

PURPOSE: To defray part of the cost of constructing street improvements in the City of Cadillac pursuant to the provisions of Act 175, Public Acts of Michigan, 1952.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Transfer from Local Street Fund	\$34,000	\$32,300	\$32,300	\$35,800
Total	\$34,000	\$32,300	\$32,300	\$35,800
Expenditures				
Audit	\$450	\$450	\$500	\$500
Bond Principal Paid	25,000	25,000	25,000	30,000
Interest Expense	7,872	6,800	6,800	5,300
Total	\$33,322	\$32,250	\$32,300	\$35,800
Fund Balance				
Net Change in Fund Balance	\$678	\$50	\$0	\$0
Fund Balance - Beginning of Year	1,809	2,487	2,537	2,537
Ending Fund Balance	\$2,487	\$2,537	\$2,537	\$2,537

Bond principal payment will be paid in full on October 1, 2014



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
2000 Michigan Transportation Fund Debt Retirement Fund

DEBT SERVICE DETAILS

AMOUNT OF ISSUE		AMOUNT REDEEMED		Balance
		Prior	Current	
	\$300,000	\$175,000	\$25,000	\$100,000

DUE DATES	DEBT SERVICE REQUIREMENTS			
	RATE	PRINCIPAL	INTEREST	TOTAL
October 1, 2012	5.50%	\$30,000	\$2,768	\$32,768
April 1, 2013			\$1,943	\$1,943
October 1, 2013	5.55%	\$35,000	\$1,943	\$36,943
April 1, 2014			\$971	\$971
October 1, 2014	5.55%	\$35,000	\$971	\$35,971
		\$100,000	\$8,596	\$108,596

Five Year Projections

	Fiscal Year Ending June 30,				
	2014	2015	2016	2017	2018

Revenues					
Local Contribution - Local Street	\$38,900	\$36,800	\$0	\$0	\$0
Total Revenues	\$38,900	\$36,800	\$0	\$0	\$0

Expenditures					
Audit	\$400	\$400	\$0	\$0	\$0
Principal Payment	35,000	35,000	0	0	0
Interest Expense	3,500	1,400	0	0	0
Total Expenditures	\$38,900	\$36,800	\$0	\$0	\$0

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
2002 Special Assessment Debt Retirement Fund

2002 Special Assessment Debt Retirement Fund

Type: Debt Service Fund
Oversight: Director of Finance

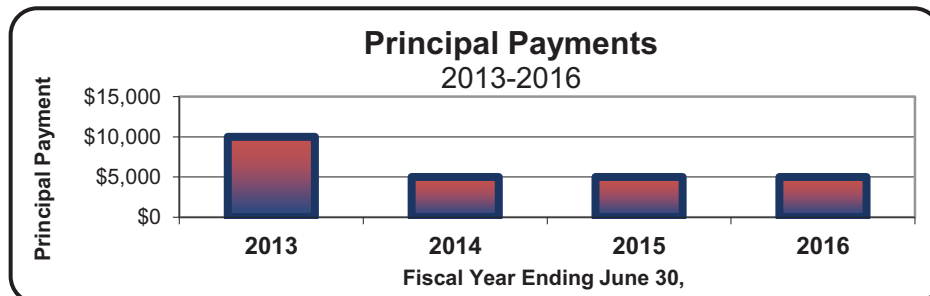
TITLE OF ISSUE: 2002 Special Assessment Limited Tax Bonds
DATE OF ISSUE: June 1, 2002

PURPOSE: Paying all or part of the cost of public improvements in certain Special Assessment Districts in the City of Cadillac.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Special Assessments	\$9,932	\$3,100	\$3,100	\$3,100
Interest Income - Assessments	1,452	800	800	600
Transfer In	69,046	115,000	115,000	0
Surplus	0	0	0	8,400
Total	\$80,430	\$118,900	\$118,900	\$12,100
Expenditures				
Audit	\$600	\$600	\$600	\$600
Bond Principal Paid	30,000	30,000	30,000	10,000
Interest Expense	3,453	2,500	2,500	1,500
Transfer Out - 1992 S.A. Debt	0	0	0	0
Total	\$34,053	\$33,100	\$33,100	\$12,100
Fund Balance				
Net Change in Fund Balance	\$46,377	\$85,800	\$85,800	(\$8,400)
Fund Balance - Beginning of Year	4,989	51,366	51,366	137,166
Ending Fund Balance	\$51,366	\$137,166	\$137,166	\$128,766

Transfer In

Other debt retirement funds have fund balance exceeding the debt outstanding. These excess available funds are transferred to the next outstanding debt retirement fund.



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
2002 Special Assessment Debt Retirement Fund

DEBT SERVICE DETAILS

AMOUNT OF ISSUE		AMOUNT REDEEMED		Balance
		Prior	Current	
	\$325,000	\$270,000	\$30,000	\$25,000

DEBT SERVICE REQUIREMENTS				
DUE DATES	RATE	PRINCIPAL	INTEREST	TOTAL
October 1, 2012	4.60%	\$10,000	\$597	\$10,597
April 1, 2013			\$367	\$367
October 1, 2013	4.75%	\$5,000	\$367	\$5,367
April 1, 2014			\$248	\$248
October 1, 2014	4.90%	\$5,000	\$248	\$5,248
April 1, 2015			\$125	\$125
October 1, 2015	5.00%	\$5,000	\$125	\$5,125
		\$25,000	\$2,077	\$27,077

Five Year Projections

	Fiscal Year Ending June 30,				
	2014	2015	2016	2017	2018

Revenues					
Special Assessments	\$4,300	\$4,700	\$4,700	\$0	\$0
Interest Income - Assessments	2,500	2,000	2,000	0	0
Surplus	0	0	0	0	0
Total Revenues	\$6,800	\$6,700	\$6,700	\$0	\$0

Expenditures					
Audit	\$700	\$700	\$700	\$0	\$0
Principal Payment	5,000	5,000	5,000	0	0
Interest Expense	1,100	1,000	1,000	0	0
Total Expenditures	\$6,800	\$6,700	\$6,700	\$0	\$0

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
2004 General Obligation Capital Improvement Debt Retirement Fund

2004 G.O. Capital Improvement Bonds Debt Retirement Fund

Type: Debt Service Fund
Oversight: Director of Finance

TITLE OF ISSUE: 2004 General Obligation Capital Improvement Bonds
DATE OF ISSUE: November 1, 2004

PURPOSE: For the purpose of paying all or part of acquiring and constructing various street improvements in the City, including all appurtenances and attachments pursuant to Act 34, Public Acts of Michigan 2001.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Transfer from Local Street Fund	\$69,100	\$72,400	\$72,400	\$70,100
Transfer from Major Street Fund	18,300	18,100	\$18,100	18,600
Total	\$87,400	\$90,500	\$90,500	\$88,700
Expenditures				
Audit	450	450	500	500
Bond Principal Paid	60,000	65,000	65,000	65,000
Interest Expense	26,450	25,000	25,000	23,200
Total	\$86,900	\$90,450	\$90,500	\$88,700
Fund Balance				
Net Change in Fund Balance	\$500	\$50	\$0	\$0
Fund Balance - Beginning of Year	1,430	1,930	1,980	1,980
Ending Fund Balance	\$1,930	\$1,980	\$1,980	\$1,980

DEBT SERVICE REQUIREMENTS						
Fiscal Year	Major Street Fund		Local Street Fund		Total Debt Service	
	Principal	Interest	Principal	Interest	Principal	Interest
2013	13,650	4,613	51,350	17,352	\$65,000	\$21,965
2014	13,650	4,125	51,350	15,517	\$65,000	\$19,642
2015	14,700	3,600	55,300	13,543	\$70,000	\$17,143
2016	14,700	3,041	55,300	11,442	\$70,000	\$14,483
2017	15,750	2,447	59,250	9,207	\$75,000	\$11,654
2018	16,800	1,796	63,200	6,756	\$80,000	\$8,552
2020	17,850	379	67,150	1,427	\$85,000	\$1,806
	123,900	21,109	466,100	79,408	590,000	100,517

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
2004 General Obligation Capital Improvement Debt Retirement Fund

DEBT SERVICE DETAILS

AMOUNT OF ISSUE		AMOUNT REDEEMED		Balance
		Prior	Current	
	\$995,000	\$340,000	\$65,000	\$590,000

DUE DATES	DEBT SERVICE REQUIREMENTS			
	RATE	PRINCIPAL	INTEREST	TOTAL
September 1, 2012	3.50%	\$65,000	\$11,551	\$76,551
March 1, 2013			\$10,414	\$10,414
September 1, 2013	3.65%	\$65,000	\$10,414	\$75,414
March 1, 2014			\$9,228	\$9,228
September 1, 2014	3.75%	\$70,000	\$9,228	\$79,228
March 1, 2015			\$7,915	\$7,915
September 1, 2015	3.85%	\$70,000	\$7,915	\$77,915
March 1, 2016			\$6,568	\$6,568
September 1, 2016	3.95%	\$75,000	\$6,568	\$81,568
March 1, 2017			\$5,086	\$5,086
September 1, 2017	4.05%	\$80,000	\$5,086	\$85,086
March 1, 2018			\$3,466	\$3,466
September 1, 2018	4.15%	\$80,000	\$3,466	\$83,466
March 1, 2019			\$1,806	\$1,806
September 1, 2019	4.25%	\$85,000	\$1,806	\$86,806
		\$590,000	\$100,517	\$690,517

Five Year Projections

	Fiscal Year Ending June 30,				
	2014	2015	2016	2017	2018

Revenues					
Local Contribution - Local Street Fund	\$68,600	\$70,800	\$68,800	\$66,400	\$72,400
Local Contribution - Major Street Fund	17,100	17,700	17,200	16,600	18,100
Total Revenues	\$85,700	\$88,500	\$86,000	\$83,000	\$90,500

Expenditures					
Audit	\$500	\$500	\$500	\$500	\$500
Principal Payment	65,000	70,000	70,000	70,000	80,000
Interest Expense	20,200	18,000	15,500	12,500	10,000
Total Expenditures	\$85,700	\$88,500	\$86,000	\$83,000	\$90,500

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Capital Projects Funds Summary

Capital Projects Funds Summary

Capital Projects Funds

Capital Projects Funds account for financial resources to be used for the acquisition or construction of major capital facilities (other than those financed by proprietary funds and trust funds). The accounting for this group of accounts is on the modified accrual basis.

Industrial Park Fund - The purpose is acquisition and development of a 300 acre tract of land into an industrial park for manufacturing companies. Part of the development costs of the project have been through a small cities grant from the State of Michigan and the Department of Commerce.

Special Assessment Capital Projects Fund - Accounts for preliminary and construction work on projects that are subsequently paid from special assessments.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Capital Projects Funds Summary

Capital Projects Funds Summary

FY2013

	Industrial Park Fund	Special Assessments Capital Projects	Total
Revenues			
Sale of Property	\$35,000		\$35,000
Interest Income	4,000	\$500	4,500
Interest Income - Assessments		5,500	5,500
Special Assessment Principal		21,000	21,000
Bond Proceeds			0
Grants - State of Michigan			0
Local Funds			0
Surplus		264,500	264,500
Total Revenue (2)	\$39,000	\$291,500	\$330,500
Expenditures			
Fees and Commissions	3,500		3,500
Administration	2,800	1,500	4,300
Construction		290,000	290,000
Office Supplies			0
Principal Payment	17,800		17,800
Interest Payment			0
Total Expenditures	\$24,100	\$291,500	\$315,600
Fund Balance			
Net Change in Fund Balance (1)	\$14,900	(\$264,500)	(\$249,600)
Fund Balance - Beginning	\$439,482	\$278,543	\$718,025
Fund Balance - End of Year	\$454,382	\$14,043	\$468,425

Footnotes:

(1) Excludes "Surplus". Surplus indicates the appropriation of prior fund balance to fund current expenditures. The budget staff has determined that sufficient prior year fund balance is available to offset current year deficiencies.

(2) Surplus is excluded from total revenues for the purposes of the Budget Summaries section of budget document.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Industrial Park Fund

Fund: Industrial Park Fund

Type: Capital Project Fund

Oversight: Community Development Director

Nature and Purpose:

This fund was created to account for capital expansion and development within the City of Cadillac's three industrial parks which include:

Cadillac Industrial Park

Developed in 1981, this 48-acre parcel of land established the Cadillac Industrial Park.

Harry VanderJagt Industrial Park

Industrial growth in the 80's and 90's was a reflection of the City's ability to purchase and develop enough land to encourage an industrial explosion. Demands were great for a second park so the 200-acre Harry VanderJagt Industrial Park was established. The streets and utilities were put in place with a Federal Economic Development Administration Grant.

James E. Potvin Industrial Park

The VanderJagt park is nearly full at this time. Additional inquiries were routinely received by the City and accordingly a third park was constructed as a result of the demand for industrial space. This newest park, the James E. Potvin Industrial Park, has been broken into two phases, with phase one being complete. All public utilities are in place for this phase, which encompasses 14 lots over a 65 acre area. Piranha Hose is the only current tenant in this park. A speculative building was constructed by the Cadillac Industrial Fund which has been leased to Piranha Hose to provide them with additional space beyond their main plant.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Sale of Property	\$0	\$0	\$35,000	\$35,000
Interest Income	4,124	3,500	4,000	4,000
Total	\$4,124	\$3,500	\$39,000	\$39,000
Expenditures				
Property Taxes	\$1,665	\$1,700	\$2,000	\$2,000
Audit	600	600	800	800
Contractual Services	250	0	0	0
Capital Outlay	0	0	0	0
Principal Payment	17,721	17,800	17,800	17,800
Fees and Commissions	0	0	3,500	3,500
Total	\$20,236	\$20,100	\$24,100	\$24,100
Fund Balance				
Net Change in Fund Balance	(\$16,112)	(\$16,600)	\$14,900	\$14,900
Fund Balance - Beginning of Year	472,194	456,082	439,482	439,482
Ending Fund Balance	\$456,082	\$439,482	\$454,382	\$454,382

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Industrial Park Fund

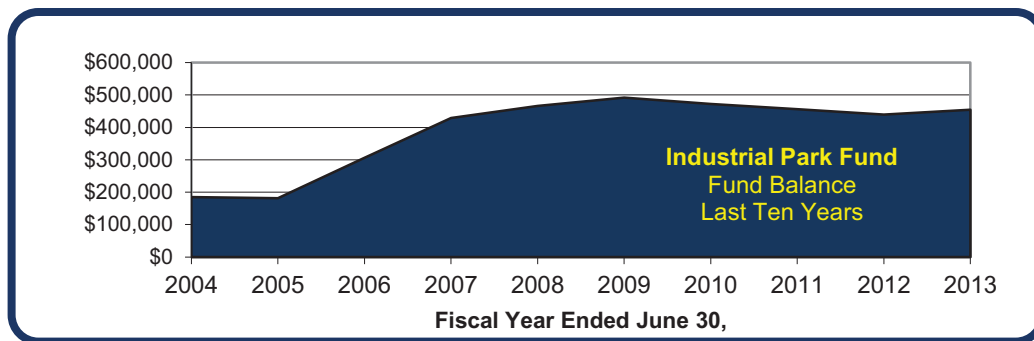
Fund Financial Highlights

Principal Repayment

A portion of the money received from the State of Michigan to develop the James E. Potvin Industrial Park was in the form of an interest-free loan. Quarterly payments are made to the state, and the loan will be paid in full December 1, 2016. The outstanding balance of the loan as of March 31, 2012 was \$84,175.

Other Financial Highlights

Management's goal is to sell one three-acre lot each year. The fund balance is increasing and is used to purchase additional land and necessary infrastructure. Fees and commissions are paid to the Cadillac Industrial Fund which in turn markets the industrial park. The commission paid on land sales is 10% of the sale price.



Current Park Occupants

Cadillac Industrial Park - "Certified Industrial Park"

Kendall Electric	Four Winns Engineering Facility
Michigan Rubber Products	FIAMM Technologies
Avon Automotive World Headquarters	NOC Northern Opportunities
Four Winns Main Plant	Metal Punch, Inc.

Harry Vanderjagt Industrial Park - "Certified Industrial Park"

Arvco Corporation	Big Foot Manufacturing
United Parcel Services	7-UP Distributing
Four Winns Trailer Company	Fiber-Tech Industries
Delta Power Services	Fed-Ex Ground
Cadillac Fabrication	Four Winns Small Parts Plant
Northwest MI Community Action Agency	DTE Energy

James Potvin Industrial Park

Piranha Hose
Cadillac Industrial Fund Spec Building (Currently leased to Piranha Hose)

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Special Assessment Capital Projects Fund

Fund: Special Assessment Capital Projects Fund

Type: Capital Project Fund

Oversight: Director of Finance

Nature and Purpose:

This fund is a Capital Projects Fund and was established to account for construction projects that are paid for through special assessments on the benefited property. This fund only accounts for these projects that are not financed through the use of debt. The fund is budgeted and accounted for on a modified accrual basis.

Excess funds must be used for capital projects.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Interest Income - Special Assessment	\$10,361	\$7,700	\$7,700	\$5,500
Special Assessment	46,235	41,700	41,700	21,000
Interest Income	115	500	500	500
Surplus	0	0	0	264,500
Total Revenue	\$56,711	\$49,900	\$49,900	\$291,500
Expenditures				
Audit	\$1,300	\$1,300	\$1,400	\$1,500
Construction	0	0	0	290,000
Total Expenditures	\$1,300	\$1,300	\$1,400	\$291,500
Fund Balance				
Net Change in Fund Balance	\$55,411	\$48,600	\$48,500	(\$264,500)
Fund Balance - Beginning of Year	174,532	229,943	229,943	278,543
FUND BALANCE AT YEAR END	\$229,943	\$278,543	\$278,443	\$14,043

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Special Assessment Capital Projects Fund

Fund Financial Highlights

Special Assessments

These payments are received from special assessments approved on abutting property owners for various street construction projects. These assessments have no underlying special assessment debt associated with them.

Construction Project Information

FY2013 Major Construction Projects

<i>Source of Funds:</i>						
Project	Grant	Capital Projects Fund	Local Street Fund	Utilities Fund	Major Street Fund	Total
Plett Road/13th Street					\$60,000	\$60,000
Cedar Street		\$50,000				50,000
Evert Street		100,000		\$50,000		150,000
Hersey Street		140,000		35,000		175,000
Lynn Street			\$132,500	40,000		172,500
Street Sign Replacement			7,500			7,500
Mitchell Alley				45,000		45,000
Well Field Replacement				500,000		500,000
Total Projects	\$0	\$290,000	\$140,000	\$670,000	\$60,000	\$1,160,000

Notes:

> The Special Assessment portions of the construction activity are accounted for in this fund. No special assessment projects are planned for FY2013. Funds on hand, which are restricted for use in capital projects, will be used to fund \$290,000 in street construction this year.

> The Well Field Relocation project will encompass several years and cost over \$7 million in total. The project began in 2011, and final Phase I costs are included in the FY2013 budget. The City received financing assistance from the State of Michigan's Drinking Water Revolving Fund program for Phase I. This program provides low-interest loans - currently 2.5% - for projects such as this. Additional DWRP financing will be pursued to assist with the funding of Phase II, the final phase of the relocation project which is expected to get underway in the next 12-18 months.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Permanent Funds Summary

Permanent Funds Summary

Permanent Funds

Permanent Funds are used to report resources that are legally restricted to the extent that only earnings, not principal, may be used for purposes that support the City's programs. Permanent Funds are accounted for on a modified accrual basis.

The City appropriates resources for the following Permanent Funds:

Cemetery Perpetual Care Fund - Perpetual care of a cemetery lot is part of the purchase price. This principal amount is an endowment and the interest is used to maintain the cemetery operation.

Capital Projects Trust Fund - The gain from the sale of the City's investment in an electric cogeneration plant has been set aside as an endowment for capital projects. Investment earnings from the endowment will be used for capital projects as deemed appropriate by the City Council.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Permanent Funds Summary

Permanent Funds Financial Summary

FY2013			
	Cemetery Perpetual Care	Capital Projects Trust	Total
Revenues			
Interest Income	\$10,000	\$10,000	\$20,000
Realized gains	10,000	10,000	20,000
Perpetual Care of Lots	8,000	0	8,000
Surplus	0	0	0
Total Revenues	28,000	20,000	48,000
Expenditures			
Audit	1,100	500	1,600
Contribution - Cemetery Operating	10,000	0	10,000
Contribution - Public Infrastructure	0	0	0
Total Expenditures	11,100	500	11,600
Fund Balance			
Net Change in Fund Balance	16,900	19,500	36,400
Beginning Fund Balance	541,232	574,182	1,115,414
Ending Fund Balance	558,132	593,682	1,151,814

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Cemetery Perpetual Care Fund

Fund: Cemetery Perpetual Care Fund

Type: Permanent Fund

Oversight: Director of Finance

Nature and Purpose:

The Cemetery Perpetual Care Fund is a permanent fund established to maintain the operation of the cemetery. With assets of over \$400,000, the generation of interest income from the funds is used for the primary purpose of maintaining the cemetery and helps offset normal operating costs. This fund is accounted for on a modified accrual basis. Revenue projections for the investments are based on the estimated investment climate, while the sale of cemetery lots which generate perpetual care income is based on a historical trend. All of the interest income is transferred to the Cemetery Operating Fund to assist in the daily operation of the cemetery.

Perpetual Care of Lots

A portion of each sale of a cemetery lot is designated for perpetual care and is set aside into this trust fund to maintain a well manicured cemetery. A normal burial plot costs \$475 and 50% of the cost is set aside into this fund for endowment. The amount of interest earned is dependent upon the investment market each year.

Due to extremely poor investment conditions in FY2009, investment losses were significant. This eliminates the availability of any earnings to transfer to the Cemetery Operating Fund until the losses begin to be recovered.

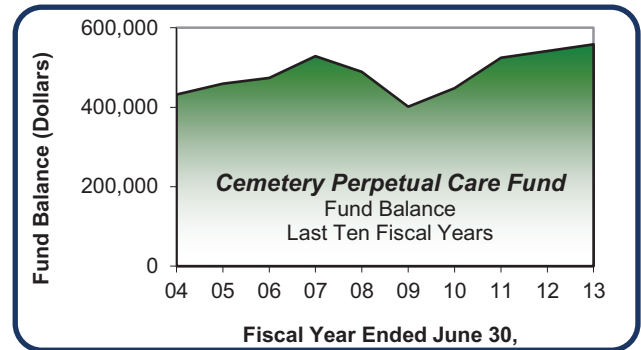
FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Perpetual Care of Lots	\$8,312	\$7,500	\$7,500	\$8,000
Gain (Loss) on Investments	54,003	0	10,000	10,000
Interest Income	15,048	10,000	8,500	10,000
TOTAL REVENUES	\$77,363	\$17,500	\$26,000	\$28,000
Expenditures				
Audit	\$1,000	\$1,000	\$1,100	\$1,100
Transfer out - Cemetery Operating	0	0	7,500	10,000
Total	\$1,000	\$1,000	\$8,600	\$11,100
Fund Balance				
Net Change in Fund Balance	\$76,363	\$16,500	\$17,400	\$16,900
Fund Balance - Beginning of Year	448,369	524,732	524,732	541,232
Ending Fund Balance	\$524,732	\$541,232	\$542,132	\$558,132

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Cemetery Perpetual Care Fund

Fund Financial Highlights

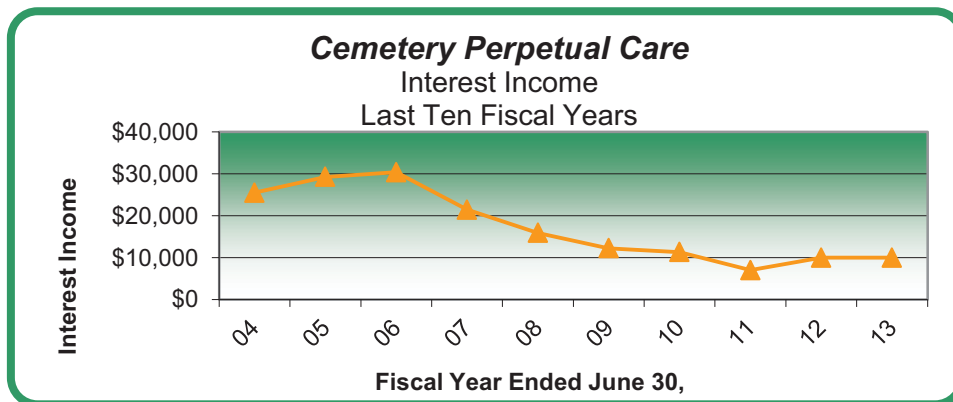
Fund Balance

The accumulated fund balance will grow in direct proportion with the number of cemetery lots sold. The principal will not be used as it preserves the future maintenance of the cemetery. The recent recession impacted this fund, as the fund balance dropped in FY2009. The decline was due to the loss in value of the fund's investment portfolio.



Interest Income

Loss of interest revenue as a result of the economic recession will impact the operations at the Maple Hill Cemetery. The interest earned on the perpetual care funds is transferred to the operating fund to help offset perpetual care maintenance costs. Absence of interest earnings puts increased strain on the maintenance budget which threatens the ongoing stability of the cemetery operation.



Cemetery Facts

The Cemetery rates were last increased in 2011 by the City Council.

No sales staff solicits the sale of lots, so the number of lots sold will vary from year to year.

Only the investment earnings are transferred for the operation of the cemetery.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Capital Projects Trust Fund

Fund: Capital Projects Trust Fund

Type: Permanent Fund

Oversight: Director of Finance

Nature and Purpose:

Established in 1998, this fund is an endowment fund created by the City Council with the intent to be used for capital items such as public infrastructure. The City Council's intent is to use only the earnings generated from the principal of the endowment. The funds came from the sale of the City's partnership interest in the electric cogeneration power plant. Several projects have been accomplished over the past few years as earnings have allowed. The City Council has a goal of paving all of the gravel streets within the City and this fund has helped in achieving that goal.

This fund is a Permanent Fund and is accounted for on a modified accrual basis, similar to all other Governmental Fund types.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Interest Income	\$23,804	\$1,500	\$10,000	\$10,000
Gain on Investments	(16,502)	10,000	0	10,000
Surplus	0	14,000	15,500	0
Total	\$7,302	\$25,500	\$25,500	\$20,000
Expenditures				
Audit	\$450	\$500	\$500	\$500
Contribution - Public Infrastructure	20,000	25,000	25,000	0
Total	\$20,450	\$25,500	\$25,500	\$500
Fund Balance				
Net Change in Fund Balance	(\$13,148)	(\$14,000)	(\$15,500)	\$19,500
Fund Balance - Beginning of Year	601,330	588,182	588,182	574,182
Ending Fund Balance	\$588,182	\$574,182	\$572,682	\$593,682

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Capital Projects Trust Fund

Past Public Infrastructure Projects

<i>Fiscal Year</i>	<i>Projects Assisted with Endowment Earnings</i>	<i>Amount</i>
1999	Cummer Street	\$12,056
2000	Alley behind Milliken's	10,344
2001	No activity	0
2002	Elm Street Triangle (gravel street)	33,900
2003	No activity	0
2004	Balsam Street (gravel street)	10,000
2005	No activity	0
2006	No activity	0
2007	No activity	0
2008	Alley between Henry and Evart Streets (gravel)	10,000
2009	Diggins Hill Tennis Court Restoration Project	25,000
2010	No activity	0
2011	Chestnut Street	20,000
2012	Gunn-Seventh Street	25,000
Total:		\$146,300



Before

Diggins Hill Tennis Court Restoration

In FY2010, City Council identified this project as one that warranted a contribution from the City. As such, \$25,000 was appropriated to assist in the completion of the project. This exciting restoration project was completed in 2010.



After

Current Year Funding

No current contributions are appropriated. However, several grant applications have been submitted for various projects which will require matching local funds. Grant matching funds could be appropriated from this fund as necessary during the year.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Auto Parking Fund

Fund: Auto Parking Fund

Type: Enterprise Fund

Oversight: Community Development Director

Nature and Purpose:

The Auto Parking Fund is an enterprise fund established to collect revenues and pay expenses associated with maintenance, operation, enforcement and improvement to the downtown off-street parking lot system. The accounting as well as the budgeting occurs on an accrual basis.

The Auto Parking Fund has undergone significant change in the last thirty years. For many years and up to 1989, parking was funded by parking meters. From 1990 to 1994 it was funded through a voluntary contract system. Given the difficulties with non-payment and the fact that the contract system expired June 30, 1995, a special assessment was adopted as prescribed in the Shopping Area Redevelopment Act, P.A. 120 of 1961 (as amended) for a five year period, which expired June 30, 2000. Two subsequent five-year assessments have been adopted, expiring most recently in 2010. A one-year reduced assessment was passed to fund the FY2011 budget and to provide time to evaluate additional options for funding the maintenance of the downtown parking system. Current proposed budget is reliant upon the passage of a new assessment in addition to securing a local source of funds to subsidize the maintenance of the parking lots.

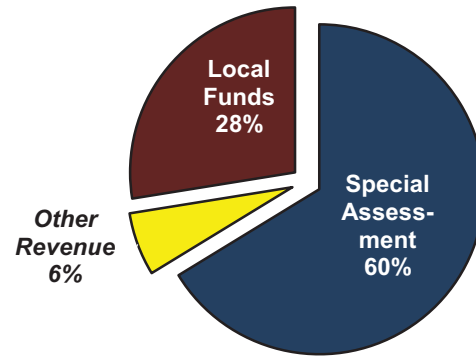
FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Parking Violations	\$1,564	\$1,200	\$1,500	\$1,500
Parking Permit Fees	1,373	1,500	1,500	1,500
Interest Income	1,211	1,000	2,000	1,200
Special Assessment	33,327	0	33,300	45,000
Local Funds	0	0	17,500	18,700
Surplus	0	55,700	0	0
Total	\$37,475	\$59,400	\$55,800	\$67,900
Expenses				
Operation	\$25,275	\$24,500	\$25,000	\$23,500
Lot Repair	107	700	1,100	3,800
Snow Plowing	15,324	13,900	16,500	22,600
Snow Hauling	13,638	13,500	13,200	18,000
Total	\$54,344	\$52,600	\$55,800	\$67,900
Net Assets				
Change in Net Assets	(\$16,869)	(\$48,900)	\$0	\$0
Net Assets - Beginning of Year	763,174	746,305	746,305	697,405
TOTAL NET ASSETS - END OF YEAR				
Invested in Capital Assets	\$576,767	\$559,967	\$559,967	\$543,167
Unrestricted	169,538	137,438	186,338	154,238
TOTAL	\$746,305	\$697,405	\$746,305	\$697,405

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Auto Parking Fund

Fund Highlights

Special Assessment

The special assessment roll was developed by separating the downtown properties into two zones based on location: the Mitchell Street Zone and the Side Street Zone. An assessment for each property was calculated based upon 50% of assessable front footage and 50% of net assessable square footage. A 200 square feet per private parking space parking credit was included in the formula. Given the district over which the assessment is spread, historic assessments of \$45,600 per year have funded ongoing parking lot maintenance. The current assessment represents about 60% of the total revenues in this fund, which are used to cover maintenance and snow removal from the parking lots. Beginning in FY2012, a local source of revenue will be sought to augment or subsidize the assessment.

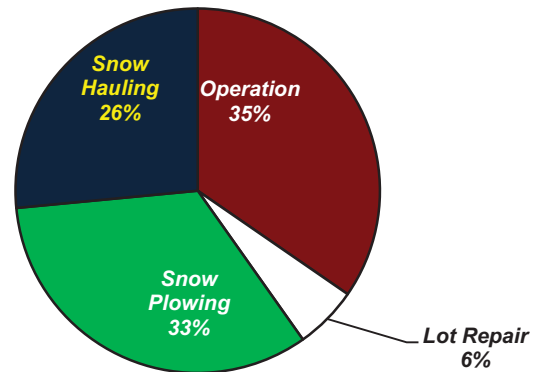


Expenses

Plowing and removal of snow represents over half of each year's annual budget.

Snow Removal and Hauling

The Auto Parking Fund is responsible for clearing snow in all municipal parking lots each year. The costs of these activities vary from year to year depending on the amount of annual snowfall.



Salaries and Equipment Rental

The Street Department provides the labor required to maintain the parking lots, including snow plowing and hauling. The equipment that is used is rented from the City's Stores and Garage Fund. In the Operations section, a portion of the Code Enforcement Officer's salary is classified due to her activities in parking enforcement. Enforcement activities are conducted under the supervision of the Public Safety Director.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Auto Parking Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
<u>EXPENSES</u>				
Operations				
Salaries - Enforcement	\$2,995	\$3,200	\$3,200	\$3,200
Fringes	1,690	2,000	2,400	2,500
Office Supplies	236	400	400	300
Audit	600	600	700	700
Data Processing	3,000	1,500	1,500	0
Depreciation	16,754	16,800	16,800	16,800
Total Operations	\$25,275	\$24,500	\$25,000	\$23,500
Lot Repair				
Salaries	\$48	\$300	\$500	\$1,400
Fringes	21	200	300	900
Operating Supplies	13	100	200	1,000
Equipment Rental	25	100	100	500
Total Lot Repair	\$107	\$700	\$1,100	\$3,800
Snow Plowing				
Salaries	\$3,428	\$3,700	\$4,000	\$6,000
Fringes	1,664	2,100	2,500	3,600
Operating Supplies	60	100	0	1,000
Equipment Rental	10,172	8,000	10,000	12,000
Total Snow Plowing	\$15,324	\$13,900	\$16,500	\$22,600
Snow Hauling				
Salaries	\$3,402	\$3,500	\$3,500	\$5,000
Fringes	1,421	2,000	2,200	3,000
Equipment Rental	8,815	8,000	7,500	10,000
Total Snow Hauling	\$13,638	\$13,500	\$13,200	\$18,000
TOTAL EXPENSES	\$54,344	\$52,600	\$55,800	\$67,900

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Auto Parking Fund

Source and Use of Funds For Capital Improvements

FY2013

Source of Funds

Operational funds	\$0	
Total Source of Funds		<u><u>\$0</u></u>

Use of Funds

No projects planned	0	
Total Use of Funds		<u><u>\$0</u></u>

Cash Flow Analysis

FY2013

Additions:

Change in Net Assets	\$0	
Depreciation	<u>\$16,800</u>	
Total Additions		\$16,800

Deductions:

	<u>0</u>	
Total Deductions		\$0
Net Increase in Cash		<u><u>\$16,800</u></u>



Significant snowfalls will quickly pack municipal parking lots with huge piles of snow that must be hauled away.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Internal Service Funds Summary

Internal Service Funds Summary

Internal Service Funds

Internal Service Funds are established to finance and account for services and/or commodities furnished by a designated program to other programs within the City. Since the services and commodities are supplied exclusively to programs under the City's jurisdiction, they are distinguishable from those services which are rendered to the public in general and which are accounted for in general, special revenue or enterprise funds.

The City of Cadillac Central Stores and Municipal Garage Fund, Information Technology Fund, Self-Insurance Fund and Safety Fund make up the Internal Service Funds category.

Central Stores and Municipal Garage Fund - Operates the motor pool for the City.

Information Technology Fund - Provides computer services to the various internal and external agencies that use the City's computers, computer software programs, and enterprise-wide networking infrastructure.

Self-Insurance Fund - A self-funded account that provides for hospitalization and life insurance for municipal employees at a limited amount of risk to the City.

Safety Fund - This fund was created to educate and encourage safety throughout the City organization.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Internal Service Funds Summary

Internal Service Funds Financial Summary

FY2013

	Stores and Garage Fund	Information Technology Fund	Self- Insurance Fund	Employee Safety Fund	Total
<u>Revenues</u>					
Services and Materials	\$27,500				\$27,500
Equipment Rental	531,000				531,000
Interest Income		\$100	\$30,000	\$300	30,400
Sale of Surplus Material	2,500	1,000			3,500
Intergovernmental Services		239,000		11,500	250,500
Employer Contribution			931,000		931,000
Employee Contribution			100,000		100,000
Surplus			144,500		144,500
Total Revenues	\$561,000	\$240,100	\$1,205,500	\$11,800 (2)	\$2,018,400
<u>Expenditures</u>					
Administration	\$396,300		\$25,500	\$11,800	\$433,600
Outside Work	23,000				23,000
Building & Grounds	6,400				6,400
Operating		\$177,400			177,400
Reinsurance			865,000		865,000
Benefit Payments			315,000		315,000
Interest Expense	15,000				15,000
Depreciation	115,000	60,000			175,000
Total Expenditures	\$555,700	\$237,400	\$1,205,500	\$11,800	\$2,010,400
Change in Net Assets (1)	\$5,300	\$2,700	(\$144,500)	\$0	(\$136,500)
Net Assets - Beginning of Year	425,675	353,769	1,169,534	15	1,948,993
Net Assets - End of Year	\$430,975	\$356,469	\$1,025,034	\$15	\$1,812,493

Footnotes:

(1) Excludes "Surplus". Surplus indicates the appropriation of prior fund balance to fund current expenditures. The budget staff has determined that sufficient prior year fund balance is available to offset current year deficiencies.

(2) Surplus is excluded from total revenues for the purposes of the Budget Summaries section of budget document.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Stores and Garage Fund

Fund: Stores and Garage Fund

Type: Internal Service Fund

Oversight: Director of Public Works and Engineering

Nature and Purpose:

This fund is used to record the operations of the Stores and Garage Department as well as provide equipment and manpower for various street construction and maintenance activities. This fund provides services to the Major Street Fund, Local Street Fund, General Fund, Cemetery Operating Fund, and several other City-operated funds. The major source of revenue for this fund is supplied by equipment rental rates. This fund owns all of its own equipment and rents it to the other funds at a base rate established by the State of Michigan. Services and materials revenue is for work done for City residents such as brush removal, parking lot cleaning, and tree removal.

Equipment Rental is responsible for 94% of the revenues for FY2012. Over 80 pieces of equipment are in this fund ranging from plow trucks to trailers. In addition to equipment, the Stores and Garage Fund is responsible for the City inventory of items such as salt, salt/sand mix and other items used on a regular basis.

PERFORMANCE MEASURES - STORES AND GARAGE FUND

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2010	2011	2012	2013	
Number of Vehicles/Equipment Maintained		83	85	85	85	↔
Total Fuel Costs		\$37,868	\$57,608	\$50,000	\$50,000	↑
Gallons of Diesel Used		12,209	15,433	14,000	14,000	↔
Gallons of Unleaded Fuel Used		6,047	5,440	6,100	6,100	↔
Cost per Gallon - Diesel		\$2.08	\$2.73	\$3.25	\$3.50	↑
Cost per Gallon - Unleaded		\$2.06	\$2.63	\$3.00	\$3.25	↑
Total Annual Cost of Road Salt		\$49,089	\$61,230	\$74,832	\$83,200	↑
Tons of Road Salt Used		846	1,027	1,200	1,300	↑
Cost per Ton - Road Salt		\$58.02	\$59.62	\$62.36	\$64.00	↑

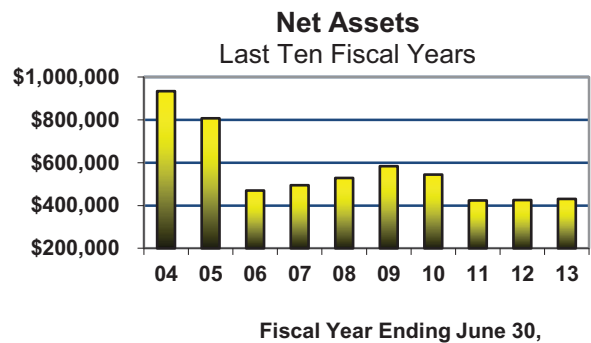
CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Stores and Garage Fund

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Charges for Services:				
Services & Materials	\$27,290	\$30,000	\$30,000	\$27,500
Equipment Rental	519,979	510,000	505,000	531,000
Miscellaneous				
Interest Income	2	100	100	0
Sale of Surplus Material	1,706	4,500	5,000	2,500
Refunds and Rebates	0	0	0	0
Surplus	0	0	0	0
Total	\$548,977	\$544,600	\$540,100	\$561,000
Expenses				
Administration	\$645,309	\$517,100	\$514,300	\$526,300
Outside Work	17,987	19,300	19,900	23,000
Building & Grounds	6,520	6,400	5,400	6,400
Total	\$669,816	\$542,800	\$539,600	\$555,700
Net Assets				
Change in Net Assets	(\$120,839)	\$1,800	\$500	\$5,300
Total Net Assets - Beginning of Year	544,714	423,875	423,875	425,675
Total Net Assets - End of Year	\$423,875	\$425,675	\$424,375	\$430,975

Financial Highlight

Net Assets

The Net Assets of this fund have been fairly consistent for the last several years. Most of the net assets are in the form of capital equipment, net of related depreciation.



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Stores and Garage Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenses				
Administration				
Salaries and Wages	\$202,396	\$100,000	\$83,500	\$82,700
Salaries - Part Time	12	0	0	0
Fringes	76,697	55,000	47,500	48,800
Operating Supplies	63,479	60,000	65,000	68,000
Fuel Costs	57,608	52,000	50,000	53,000
Property Taxes	2,000	2,000	2,000	2,000
Legal	0	0	1,000	0
Audit	2,550	2,600	2,800	2,500
Data Processing	13,500	13,500	13,500	10,000
Travel & Education	1,825	7,000	7,800	7,800
Insurance	13,577	16,200	17,000	16,500
Utilities	20,884	22,000	30,000	28,000
Telephone	1,305	300	1,100	0
Employee Safety	0	2,600	2,600	2,600
General Administrative Charges	30,100	30,100	30,100	20,000
Depreciation	119,745	115,000	120,000	115,000
Equipment Maintenance	20,611	22,000	24,400	54,400
Equipment Rental	404	800	0	0
Interest Expense	18,616	16,000	16,000	15,000
Total Administration	\$645,309	\$517,100	\$514,300	\$526,300
Outside Work				
Salaries	\$6,644	\$6,200	\$6,200	\$6,200
Fringes	3,236	3,500	3,800	3,700
Supplies	1,533	3,600	4,100	4,100
Equipment Rental	6,574	6,000	5,800	9,000
Total Outside Work	\$17,987	\$19,300	\$19,900	\$23,000
Building & Grounds				
Salaries	\$1,636	\$1,500	\$1,200	\$1,500
Fringes	578	900	700	900
Operating Supplies	715	1,000	800	1,000
Contractual Services	252	500	1,000	0
Repair and Maintenance	3,339	2,500	1,300	2,500
Equipment Rental	0	0	400	500
Total Building & Grounds	\$6,520	\$6,400	\$5,400	\$6,400
Total Expenses	\$669,816	\$542,800	\$539,600	\$555,700

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Stores and Garage Fund

Source and Use of Funds For Capital Improvements

FY2013

Source of Funds:

Operating Funds	41,100	
Total Source of Funds		\$41,100

Use of Funds:

Equipment:

V-Plow	\$7,500
Truck	25,000
Underbody Plow	8,600

Total Use of Funds	\$41,100
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Footnote: Replacing aging equipment is a vital part of the ongoing operations in this department. All proposed equipment purchases will replace outdated models, saving the department costs arising from increased maintenance on older equipment. Significant cost pressures resulting from declining revenues preclude any significant capital investment for FY2012.

Cash Flow Analysis

FY2013

ADDITIONS:

Depreciation	\$115,000	
Net Income (Loss)	5,300	
TOTAL ADDITIONS		\$120,300

DEDUCTIONS:

Principal Payment - Internal Loan	\$50,000	
Capital Items	41,100	
TOTAL DEDUCTIONS		\$91,100

NET INCREASE (DECREASE) OF AVAILABLE CASH	\$29,200
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CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Stores and Garage Fund

Equipment Replacement Activities

The Director of Public Works and Engineering reviews the fleet annually and recommends replacements and upgrades that are necessary to maintain a safe and efficient inventory of equipment, both heavy and light duty. By planning the purchase of new equipment this fund can efficiently manage the maintenance and the appearance of the equipment. Listed below are the anticipated capital equipment replacements and upgrades proposed for the next five fiscal years July 1, 2012 through June 30, 2017. Over \$1.4 million in equipment replacements are scheduled in this time period.

2012-2013	
V-Plow	\$7,500
Pickup Truck	25,000
Street Sweeper	198,000
Wheel Loader	125,000
Total	\$355,500

2013-2014	
Underbody Plow	9,000
1-Ton Dump Truck	30,000
Underbody Plow Truck	145,000
One-Way Plow	9,400
Total	\$193,400

2014-2015	
Underbody Plow Truck	145,000
Underbody Plow	9,000
One-Way Plow	9,400
Pickup Truck	19,500
Total	\$182,900

2015-2016	
Underbody Plow Truck	145,000
Riding Lawn Mower	9,000
Regenerative Air Sweeper	175,000
Total	\$329,000



The City owns 6 plow trucks, similar to the one shown above. Each truck costs approximately \$140,000 and has a useful life of about 10 years.

2016-2017	
Underbody Plow Truck	145,000
1-Ton Dump Truck	35,000
Downtown Street Sweeper	25,000
Bucket Truck	150,000
Total	355,000

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Stores and Garage Fund

Outstanding Debt Issue

Title of Issue: 2007 Stores and Garage Cash Flow Note

Date of Issue: December 14, 2006

Purpose: To assist the fund with cash flow to purchase major pieces of heavy equipment. Debt issue represents an internal loan from the Cadillac Development Fund.

DEBT SERVICE DETAILS

		Amount Redeemed		
		Prior	Current	Balance
Amount of Issue:	\$500,000	\$200,000	\$50,000	\$250,000

		Debt Service Requirements		
Due Dates	Rate	Principal	Interest	Total
June 30, 2013	5.25%	\$50,000	\$13,297	\$63,297
June 30, 2014	5.25%	\$50,000	\$10,638	\$60,638
June 30, 2015	5.25%	\$50,000	\$7,978	\$57,978
June 30, 2016	5.25%	\$50,000	\$5,319	\$55,319
June 30, 2017	5.25%	\$50,000	\$2,659	\$52,659
Total		\$250,000	\$39,891	\$289,891

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Information Technology Fund

Fund: Information Technology Fund

Type: Internal Service Fund

Oversight: Director of Finance

Nature and Purpose:

The City of Cadillac has been very successful in leveraging technology to improve productivity. The City's investment in the New World Systems comprehensive public sector software package has paid significant dividends in streamlining City services at every department level. The City IT Department coordinates and supports the infrastructure, hardware, operating systems, and user software for all City departments. This includes file servers, data security and backup, Internet connections and security, remote connectivity, user workstations and software, printers, and other related computer equipment and processes.

As an internal service fund, revenues are received from contributions by other City funds and activities.

Currently the IT Department equipment list includes the following:

- > 68 workstations including desktop and notebook computers;
- > 11 file servers including Email, Application, Storage, and Security servers;
- > Numerous printers, smart phones, scanners, and other related equipment and software.

PERFORMANCE MEASURES - INFORMATION TECHNOLOGY

MEASURE	Fiscal Year:	Actual		Projected	Budgeted	Trend
		2010	2011	2012	2013	
Number of Workstations		68	68	68	68	↔
Operating Cost per Workstation		\$4,218	\$3,928	\$3,774	\$3,491	↓
Number of Workstations Replaced		2	22	15	15	↔
Total Capital Investment		\$21,544	\$32,777	\$25,000	\$150,000	↑
Hours spent on-site by IT provider		New Measure not yet available				
Percent of help desk calls resolved in < 8 hours		New Measure not yet available				
Total applications supported		New Measure not yet available				

IT Performance Measures

The City of Cadillac is currently evaluating a new model of service delivery based on 100% remote support with emergency on-site support only. As part of this evaluation, new measures will be developed and implemented to insure that the model is providing the level of service needed to maintain optimal efficiency.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Information Technology Fund

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Intergovernmental Services				
General Fund				
City Council	\$9,300	\$5,000	\$5,000	\$5,000
City Manager	7,000	7,000	7,000	7,000
Finance	28,000	28,000	28,000	25,000
Assessor	18,000	18,000	18,000	18,000
Treasurer	40,000	30,000	30,000	30,000
Municipal Complex	5,500	5,500	5,500	5,500
Police	55,000	55,000	55,000	50,000
Fire	11,000	11,000	11,000	11,000
Engineering	20,000	20,000	20,000	20,000
Parks and Recreation	1,000	1,000	1,000	0
Community Development	2,500	2,500	2,500	2,500
Water & Sewer	55,000	55,000	55,000	55,000
Stores and Garage	13,500	13,500	13,500	10,000
Major Street	8,000	0	0	0
Auto Parking	3,000	1,500	1,500	0
Local Street	8,000	0	0	0
Cadillac Development	4,500	2,000	2,000	0
Cemetery	2,500	0	1,000	0
Downtown Development Authority	0	1,500	0	0
Total Intergovernmental Services	291,800	256,500	256,000	239,000
Interest Income	10	100	100	100
Sale of Property	0	1,500	1,000	1,000
Total Revenue	\$291,810	\$258,100	\$257,100	\$240,100
Expenses				
Operating				
Salaries	\$8,562	\$8,500	\$8,800	\$8,800
Fringes	5,161	4,500	4,000	3,900
Office Supplies	6,712	5,500	7,500	7,500
Audit	600	700	700	700
Contractual Services	80,656	75,000	75,000	65,000
Software and Programming	68,630	50,000	50,000	50,000
Liability Insurance	194	300	300	300

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Information Technology Fund

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Expenses (Continued)				
Dues & Publications	0	0	200	200
Telephone	340	2,400	600	6,500
Travel and Education	52	1,600	1,500	1,500
Repair and Maintenance	441	2,000	3,000	3,000
Depreciation	67,170	65,000	75,000	60,000
Administration	28,600	30,000	30,000	30,000
Total Expenses	\$267,118	\$245,500	\$256,600	\$237,400
Net Assets				
Change in Net Assets	\$24,692	\$12,600	\$500	\$2,700
Total Net Assets - Beginning of Year	316,477	341,169	341,169	353,769
Total Net Assets - End of Year	\$341,169	\$353,769	\$341,669	\$356,469

Expense Descriptions

Salaries and Fringes

The Information Technology Fund pays an employee (0.3 FTE) to perform functions related to the City's electronic document storage system, including scanning new and existing documentation.

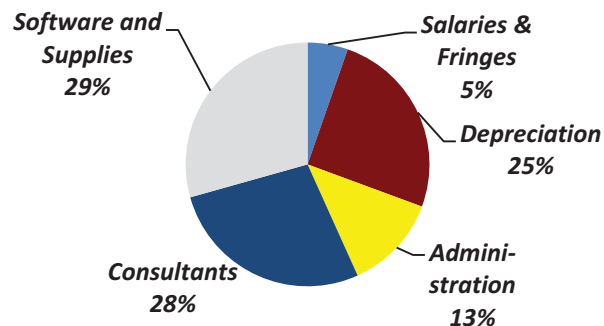
Software and Programming

This line item accounts for the annual maintenance and subscription fees for the many software programs used throughout the City. Included in these fees are the City's financial software (including Utility Billing, Financials, Community Development, and Payroll) and tax billing software (including tax billing and special assessment tracking). The monthly costs of the T-1 line that provides internet access to the municipal complex are allocated to this line item as well, as are other services such as programming and maintenance of the phone system in the municipal complex. In the last couple of years, the costs of using an outside company to provide IT services was accounted for in this line. As detailed below, this cost has been split out into a separate line item moving forward.

Contractual Services

In January, 2007, the City made the decision to contract out the provision of Information Technology services. A four-year contract was signed which will expire in 2011. The annual costs of this contract are classified to this line item. This service will be re-bid in Spring 2012.

Expenses by Type
Current Budget Request



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Information Technology Fund

Other Financial Analysis

Source and Use of Funds For Capital Improvements

FY2013

Source of Funds:

Revenues:		
Operating Revenues	150,000	
Total Source of Funds		\$150,000

Use of Funds

Computer Replacement	\$20,000	
IT Infrastructure	80,000	
Telephone System	50,000	
Total Use of Funds		\$150,000

Footnote: Replacement of equipment is essential within this department. All of the items are replaced due to age and the need to upgrade technology. The computer replacement program utilized by the City schedules replacements once computers have been deployed for 3-4 years. The capital expense for software will upgrade existing desktop software packages to the latest versions, taking advantage of the latest efficiency-enhancing functionality that exists.

Cash Flow Analysis

FY2013

Additions

Depreciation	\$60,000	
Net Income (Loss)	2,700	
Total Additions		\$62,700

Deductions

Capital Items	150,000	
Total Deductions		\$150,000

Net Increase (Decrease) in Available Cash	<u><u>(\$87,300)</u></u>
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Budget staff has confirmed that there will be sufficient cash on hand to fully cover the net decrease in cash projected for FY2013.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Self Insurance Fund

Fund: Self Insurance Fund

Type: Internal Service Fund

Oversight: City Manager

Nature and Purpose:

This fund provides for the health and life insurance of all full-time City employees and their families, as well as eligible retirees. Eligible retirees receive health insurance until age 65, in accordance with the applicable collective bargaining agreement or non-union schedule of benefits. The various funds within the City are charged an employer contribution rate equivalent to the estimated cost of providing the benefits on a per month per employee cost basis.

Basic and Master Medical

The employer contribution rate has held fairly consistent for several years and has provided the fund with solid reserves to help mitigate the risk of higher-than-normal claims years. Because of health care reform, certain benefits had to be offered to City employees. This resulted in a plan change for all City of Cadillac employees. Because of the changes, total costs are expected to increase nearly 20%. Employee contributions are being increased to help offset the rise in costs. An employee wellness program was started in 2007 and has produced immediate cost savings while enhancing the quality of life for City employees. The overall management of the health care plan is vital to containing health care costs and ensuring that the City will be able to provide health care benefits to its employees in the future.

FUNDING DETAILS	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Employer Contributions	\$790,862	\$785,000	\$840,000	\$840,000
Employer Contributions-Dental	57,241	58,000	80,000	75,000
Employer Contributions-Optical	9,275	9,300	12,000	10,000
Employer Contributions-Life	6,094	6,200	6,600	6,000
Employee Contribution	76,410	73,000	95,000	100,000
Interest Income	25,728	30,000	30,000	30,000
Surplus	0	49,000	136,900	144,500
Total	\$965,610	\$1,010,500	\$1,200,500	\$1,205,500
Expenses				
Audit	\$450	\$500	\$500	\$500
Reinsurance Premiums	670,441	795,000	830,000	865,000
Administration	39,170	25,000	25,000	25,000
Benefit Payments				
Health Insurance	281,638	175,000	335,000	305,000
Life Insurance	8,692	15,000	10,000	10,000
Total	\$1,000,391	\$1,010,500	\$1,200,500	\$1,205,500
Net Assets				
Change in Net Assets	(\$34,781)	(\$49,000)	(\$136,900)	(\$144,500)
Total Net Assets - Beginning of Year	1,253,315	1,218,534	1,218,534	1,169,534
Total Net Assets - End of Year	\$1,218,534	\$1,169,534	\$1,081,634	\$1,025,034

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Self Insurance Fund

System Benefits Highlights

Self-Insurance Plan Details

The City purchases insurance with a high deductible of \$5,000 and reimburses costs down to lower levels to reduce the costs that are borne by employees. The former plan had a \$10,000 deductible, so while the premium costs is much higher, the claims reimbursed by the City are expected to decline.

Life Insurance

The City provides life insurance for active employees. The City also provides for a small life insurance policy for qualified retirees. Depending on the applicable bargaining unit or non-union schedule of benefits, the benefit ranges from \$2,500 to about \$7,500. The benefit is paid to the retiree's estate upon their death.

Health Insurance Benefit Payments

A portion of the City's annual required contribution for other post-employment benefits (OPEB) will be taken from this fund for FY2013, in the amount of approximately \$50,000. These funds have been accumulating here and will now be transferred to the City's retiree health care funding vehicle at MERS. Additionally, this fund continues to cover retiree health premiums on a "pay-as-you-go" basis while the funds are building in the trust.

Plan Cost Summaries

	Annual Costs			Total	Employee Co-Pay	Co-Pay as % of Total Costs
	Medical	Dental	Vision			
Non-union						
Single	\$5,397	\$444	\$71	\$5,912	\$720	12.18%
Two-Person	\$13,650	\$820	\$109	\$14,579	\$1,380	9.47%
Family	\$17,062	\$1,447	\$195	\$18,704	\$1,620	8.66%
Police						
Single	\$5,397	\$444	\$71	\$5,912	\$720	12.18%
Two-Person	\$13,650	\$820	\$109	\$14,579	\$1,380	9.47%
Family	\$17,062	\$1,447	\$195	\$18,704	\$1,620	8.66%
Fire						
Single	\$5,397	\$444	\$71	\$5,912	\$540	9.13%
Two-Person	\$13,650	\$810	\$109	\$14,569	\$1,080	7.41%
Family	\$17,062	\$1,342	\$195	\$18,599	\$1,080	5.81%
Steelworkers						
Single	\$5,397	\$444	\$71	\$5,912	\$720	12.18%
Two-Person	\$13,650	\$820	\$109	\$14,579	\$1,380	9.47%
Family	\$17,062	\$1,447	\$195	\$18,704	\$1,620	8.66%

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Safety Fund

Fund: Safety Fund

Type: Internal Service Fund

Oversight: Safety Director (Currently: Laboratory Manager)

Nature and Purpose:

The Safety Fund was created to enable the development of a safety culture that would enhance employee performance by assisting employees in maintaining the highest possible level of health and safety.

The Safety Coordinator is tasked with assisting employees in maintaining a safe and healthy work environment. The Safety Coordinator chairs the City of Cadillac Safety Committee, which is comprised of representatives from each city department and meets frequently to discuss and address safety issues, evaluate training, and review on the job accidents.

The Safety Coordinator also insures that all city departments are in compliance with MIOSHA (Michigan Occupational Safety and Health Administration) regulations. This is accomplished through continuing education, review of MIOSHA material, and preventative inspections coordinated through the Consultation, Education and Training section of MIOSHA.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Interest Income	\$4	\$200	\$300	\$300
General Fund	0	5,200	5,500	5,500
Water and Sewer Fund	0	2,100	3,500	3,500
Stores & Garage Fund	0	1,700	2,500	2,500
Surplus	0	0	0	0
Total	\$4	\$9,200	\$11,800	\$11,800
Expenditures				
Salaries and Wages	\$2,836	\$3,500	\$3,500	\$3,500
Fringes	412	1,500	1,800	1,800
Operating Supplies	1,727	3,000	3,000	3,000
Audit	450	450	500	500
Dues and Publications	433	900	500	500
Travel and Education	680	1,500	2,500	2,500
Total	\$6,538	\$10,850	\$11,800	\$11,800
Net Assets				
Change in Net Assets	(\$6,534)	(\$1,650)	\$0	\$0
Total Net Assets - Beginning of Year	8,199	1,665	1,665	15
Total Net Assets - End of Year	\$1,665	\$15	\$1,665	\$15

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Safety Fund

Safety Program Highlights

Safety Committee

The Safety Committee is comprised of employees from various departments with a total of 7 members.

Laboratory Manager Amy Vail has been the safety coordinator since 2010 and works hard at helping City of Cadillac employees enjoy a safe work environment.

Safety Statistics				
Cases	2008	2009	2010	2011
Deaths	0	0	0	0
Number of cases with days away from work	1	4	0	0
Number of cases with job transfer/restriction	2	1	3	1
Other reported cases	0	0	3	4
Days				
Total days away from work	7	128	0	0
Total days of job transfer/restriction	30	31	125	7
Total hours worked - all employees	184,262	178,479	172,846	170,428

Note:

An extended leave injury to one employee in the Utilities Department accounted for the spike in 2009.

GOALS

FY2013

1. Conduct training on dealing with disgruntled employees and upset citizens; include testing of current system to analyze its level of success.
2. Conduct a minimum of two (2) safety walkthroughs of each department.
3. Analyze prior two (2) years of injuries with the goal of reducing the most common injuries.
4. Continue to maintain proper MSDS and get new ones to Safety Coordinator.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Police and Fire Retirement Fund

Fund: Police and Fire Retirement Fund

Type: Pension Trust Fund

Oversight: Director of Finance

Nature and Purpose:

This fund was established to administer the police and fire retirement system authorized by a vote of the Citizens of Cadillac in 1977 when they agreed to an added millage to cover the costs of the retirement system for the police and fire employees. Michigan Public Act 345 governs the activities of the system. The board of directors have the responsibility of administering the system and maintaining an actuarially sound fund.

The financial objective is to establish and receive contributions, expressed as a percent of active payroll, which will remain approximately level from year to year and will not be increased for future generations. The system is supported by City contributions, investment income from the retirement assets, and an employee contribution of 3% of salary. To fund the system, the City contributes 34.10% of the police member salaries and 30.41% of the fire members' salaries. The system is meeting its annual funding requirements. The system is 69.61% funded, up from 69.61% on the previous valuation. In 2001 the police officers and the fire officers agreed to an employee deduction to cover the actuarial costs of increasing the retirement factor from 2.0 to 2.5. The members agreed to make contributions to cover the additional benefit, which was subsequently capped at 3% of salary, requiring the City to make up any difference.

PERFORMANCE MEASURES - POLICE AND FIRE RETIREMENT SYSTEM

MEASURE	Actuarial Valuation Date: June 30,				Trend
	2008	2009	2010	2011	
Actuarially Accrued Pension Liabilities	\$9,936,669	\$9,985,089	\$10,326,784	\$10,852,937	↑
Funding Value of Accrued Assets	\$7,080,393	\$6,549,608	\$7,188,395	\$7,989,372	↑
Unfunded Actuarially Accrued Liabilities	\$2,856,276	\$3,435,481	\$3,138,389	\$2,863,565	↓
Funded Ratio (Assets/Liabilities)	71.26%	65.59%	69.61%	73.61%	↑
Total Pension Payments	\$585,542	\$585,542	\$585,542	\$631,514	↑
Number of Retirees	32	32	32	33	↑
Average Annual Pension	\$18,298	\$18,298	\$18,298	\$19,137	↑
Contribution Required (% of payroll) - Police	31.41%	39.06%	34.10%	35.18%	↔
Contribution Required (% of payroll) - Fire	27.20%	36.58%	30.41%	25.03%	↓
Total Contribution Required	\$482,450	\$573,385	\$556,203	\$513,543	↓
Number of Active Members	25	24	27	26	↔
Average Annual Salary	\$55,598	\$58,321	\$58,723	\$59,414	↑

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Police and Fire Retirement Fund

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Additions				
Contributions - Employer	1,051,479	\$650,000	\$650,000	\$625,000
Contributions - Employee	46,839	\$45,000	\$45,000	45,000
Interest and Dividend Income	161	2,500	\$2,000	2,000
Net Appreciation (Depreciation) in the Fair Value of Plan Investments	1,283,435	100,000	150,000	150,000
Investment Expenses	(29,712)	(30,000)	(29,000)	(35,000)
Total Additions	\$2,352,202	\$767,500	\$818,000	\$787,000
Deductions				
Benefit Payments				
Retirement	\$631,266	\$632,000	\$632,000	635,000
Administrative Expenses				
Audit	0	1,200	1,300	1,300
Contractual Services	10,575	6,000	7,500	10,000
Total Deductions	\$641,841	\$639,200	\$640,800	\$646,300
Net Increase (Decrease) in Plan Assets	\$1,710,361	\$128,300	\$177,200	\$140,700
Net Assets Held in Trust for Pension Benefits				
Beginning of Year	\$5,990,329	\$7,700,690	\$7,700,690	\$7,828,990
End of Year	\$7,700,690	\$7,828,990	\$7,877,890	\$7,969,690

Plan and Membership Information

In July, 2006 the Police and Fire Retirement System removed their investment managers and contracted with the Municipal Employees Retirement System of Michigan to manage the investments. This has proven to enhance the returns of the system's assets, and will provide long-term cost savings to the City.

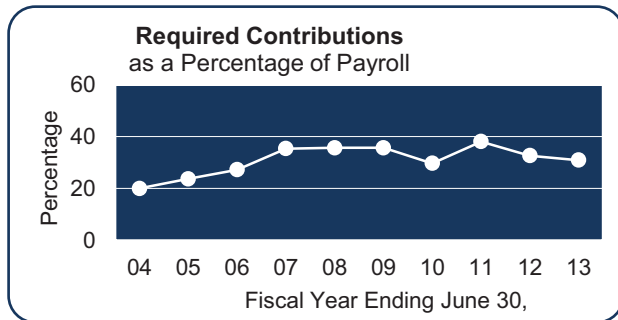
Retirement Board

Jay Thiebaut, *Chairperson* - Citizen Member
Keri Lanning, *Secretary/Treasurer* - City Treasurer
Vacant, Citizen Member
Chris Shankland, Fire Fighter Member
Todd Golnick, Police Member

Note: The board, in conformance with P.A. 345, consists of two citizens approved by the City Council, the City treasurer, a firefighter and a police officer.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Police and Fire Retirement Fund

Plan Financial Details



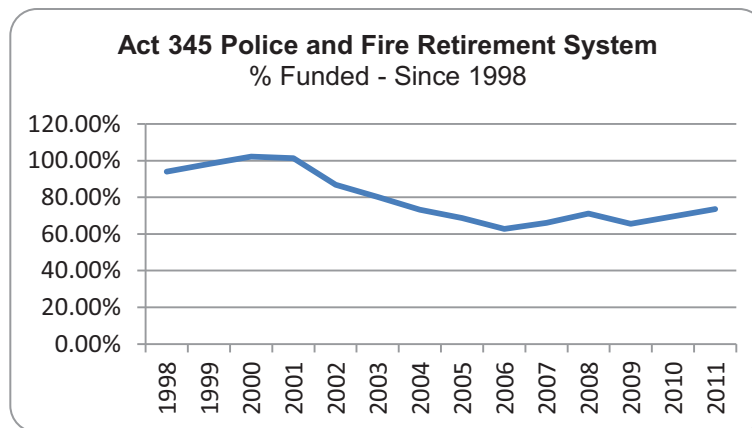
Required Contribution

Contribution rates have trended upward as a result of a declining stock market, low interest rates, and additional benefits. The annual required contribution as a percentage of payroll dipped to 30.93% in FY2013 from 32.63% in FY2012 due primarily to an additional contribution made based on the proceeds of the City's millage.

Contribution Rates

The Retirement System is supported by City contributions and investment income generated by retirement system assets. Contributions which satisfy the funding objective are determined by an annual actuarial valuation and are sufficient to:

1. Cover the actuarial present value of benefits assigned to the current year by the actuarial cost methods; and
2. Amortize over a period of future years the actuarial present value of benefits not covered by valuation assets and anticipated future normal costs (unfunded actuarial accrued liability).



Funded Status

Enhanced retirement benefits in the early 2000's had a detrimental impact on the overall funded status of the plan. Coupled with the devastating impact the economy has had recently on the assets of the system, as of the last valuation dated June 30, 2011 the plan is now 73.6% funded.

Summary of Actuarial Methods and Assumptions

Last Valuation Date	June 30, 2011
Actuarial Cost Method	Entry age normal
Amortization Method	Level percent of payroll
Remaining Amortization Period	10
Remaining Amortization - Benefit Increase	20 Years
Asset Valuation Method	5-year smoothed market

Assumptions:

Investment Rate of Return	7.5%
Projected Salary Increases	4.0%
Assumed Rate of Payroll Growth	4.0%
Assumed Rate of Membership Growth	0.0%

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Police and Fire Retirement Fund

Summary of Act 345 Benefits & Conditions

<i>Eligibility:</i>	<i>Benefit:</i>
Regular Retirement	
Age 50 with 25 or more years of service or age 60 regardless of service.	Straight life pension equals 2.5% of 5 year average final compensation (AFC) times first 25 years of service plus 1% of AFC times years of service in excess of 25 years.
Deferred Retirement	
10 or more years of service.	Computed as service retirement but based upon service, AFC and benefit in effect at termination. Benefit begins at the date the member would have been eligible to retire if employment had continued.
Death After Retirement	
Payable to a surviving spouse, if any, upon the death of a retired member who was receiving a straight life pension which was effective July 1, 1975 or later.	Spouse's pension equals 60% of the straight life pension the deceased retiree was receiving.
Duty Disability Retirement	
Payable upon the total and permanent disability of a member in the line of duty.	To age 55: 50% of AFC. At age 55: same credit as service retirement pension with service credit from date of disability to age 55.
Non-Duty Disability Retirement	
Payable upon the total and permanent disability of a member with 5 or more years of service.	To age 55: 1.5% of AFC times years of service. At age 55: same as service retirement pension.
Duty Death in Service Retirement	
Payable upon the expiration of worker's compensation to the survivors of a member who died in the line of duty.	Same amount that was paid by Worker's Compensation.
Non-Duty Death in Service Retirement	
Payable to a surviving spouse, if any, upon the death of a member with 20 or more years of service.	Accrued straight life pension actuarially reduced in accordance with an Option 1 election.

Member Contribution:

All active members contribute 3% of their salary to the system to pay for an increase in the benefit multiplier.

**Fire responded
to by City Fire
Department**



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Component Unit Funds Summary

Component Unit Funds Summary

Component Units

This section contains the discretely presented component units, which are reported separately to indicate their legal separation from the City, but which are financially accountable to the City as a reporting entity.

MAJOR COMPONENT UNIT FUNDS

Local Development Finance Authority (LDFA) - The LDFA was created by the City Council pursuant to the provisions of Act 251, Public Acts of 1986. The members of the board of the LDFA are appointed by the City Council. The LDFA has a stated purpose to provide for the acquisition, construction and financing of a groundwater treatment facility, which will consist of a complex of wells and pumps installed on property where contaminated groundwater is located, piping sufficient to carry the contaminated groundwater to the cleaning facility, and the cleaning facility itself. The LDFA has also indicated that, if funds are available, they will construct roads, water and sewer lines within the VanderJagt Industrial Park. Money to finance these projects will come from tax increments attributed to increases in the value of real and personal property resulting from new construction, and property value increases within the industrial park.

NONMAJOR COMPONENT UNIT FUNDS

Local Development Finance Authority Capital Projects Fund - This fund was established to account for the receipt of captured taxes after all debt service obligations had been met. These tax increment financing revenues are restricted for capital projects.

Local Development Finance Authority Utilities Fund - This fund was established to provide water utility services to the cogeneration plant located within the boundaries of the LDFA.

Downtown Development Authority (DDA) - The DDA was established through City Ordinance under Act 197 of the Public Acts of Michigan of 1975. The City Council determined that it was necessary and in the best interest of the City to halt property value deterioration, to eliminate the causes and to promote economic growth in the downtown area. The members of the board of the DDA are appointed by the City Council. Its operational and capital budgets and bonded debt must be approved by the City Council. The DDA is authorized to impose an ad valorem tax (2 mill maximum) on all taxable property within the established DDA district. The DDA is a volunteer organization.

Downtown Development Authority Capital Projects Fund - This fund was established to provide a source of revenue for the DDA to undertake various capital and public infrastructure improvements within the DDA Development District.

Brownfield Redevelopment Authority - This fund identifies contaminated sites and remediates them, as well as provides the financing to do so. This fund was established pursuant to Michigan Public Act 381 of 1996.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Component Unit Funds Summary

Component Unit Funds Summary

FY2013	Major Fund	Nonmajor Funds		
	Local Development Finance Authority Operating	Local Development Finance Authority Utilities	Local Development Finance Authority Capital Projects	Brownfield Redevelopment Authority Operating
<u>Revenues</u>				
Tax Revenues	\$219,000		\$120,000	\$30,000
Interest Income	25,000	\$3,000	10,000	\$500
Management Fees				
Water Revenues		19,500		
Grant Funds				
Contributions				
Surplus	89,100			
Total Revenues	\$333,100	\$22,500	\$130,000	\$30,500
<u>Expenditures</u>				
Salaries - Regular	\$18,500	\$3,000		
Salaries - Part Time				
Fringes	9,000	1,500		
Other Operating Expenses	305,600	10,400	500	30,500
Capital Outlay			100,000	
Principal Payment				
Interest Payment				
Depreciation				
Total Expenditures	\$333,100	\$14,900	\$100,500	\$30,500
<u>Fund Balance</u>				
Net Change in Fund Balance (1)	(\$89,100)	\$7,600	\$29,500	\$0
Beginning Fund Balance	1,698,753	406,377	727,895	176,459
Ending Fund Balance	1,609,653	\$413,977	\$757,395	\$176,459

(1) Excludes "Surplus." Surplus indicates the use of prior year's earnings to balance current budget. Budget staff has determined that sufficient prior year's earnings are available to offset current year deficiencies.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Component Unit Funds Summary

Component Unit Funds Summary (Continued)

FY2013	Nonmajor Funds		Total
	Downtown Development Authority	Downtown Development Authority Capital Projects	
<u>Revenues</u>			
Tax Revenues	\$30,000	\$105,000	\$504,000
Interest Income	200	500	39,200
Management Fees	5,000		5,000
Water Revenues			19,500
Grant Funds			0
Contributions	3,000		3,000
Surplus			89,100
Total Revenues	\$38,200	\$105,500	\$659,800
<u>Expenditures</u>			
Salaries - Regular	\$18,500		\$40,000
Salaries - Part Time	2,000		2,000
Fringes	7,000		17,500
Other Operating Expenses	9,400	10,500	366,900
Capital Outlay			100,000
Principal Payment		45,000	45,000
Interest Payment		5,000	5,000
Depreciation			0
Total Expenditures	\$36,900	\$60,500	\$576,400
Fund Balance			
Net Change in Fund Balance (1)	1,300	45,000	(\$5,700)
Beginning Fund Balance	21,406	160,414	\$3,191,304
Ending Fund Balance	22,706	205,414	\$3,185,604

(1) Excludes "Surplus." Surplus indicates the use of prior year's earnings to balance current budget. Budget staff has determined that sufficient prior year's earnings are available to offset current year deficiencies.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Component Unit Funds Summary

GLIMPSES OF CADILLAC



The beautiful Kris Eggle Memorial Fountain in the downtown City park.

Community service and education is a big role played by Cadillac City Firefighters



Each spring, dozens of volunteers help to clean up city parks after a long winter season

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Local Development Finance Authority Operating Fund

Fund: Local Development Finance Authority Operating Fund

Type: Component Unit - Special Revenue Fund

Oversight: Director of Utilities

Nature and Purpose:

The Local Development Finance Authority (LDFA) established an operating fund which reflects the operational costs of the groundwater cleanup process in the industrial park. This fund has a sole source of revenue which is the special assessments paid by the industrial community within the contaminated area. In 2007 the City Council approved the next multi-year assessment. The cleanup process of the groundwater is a benefit to the industrial park area and is not intended to identify any plant or organization as contaminating the groundwater but instead presents a positive solution to an existing challenge. The City Council approves the special assessment roll based on acreage owned by a property owner which establishes a corresponding percentage of the total operational costs to effectively monitor the clean-up. Fiscal year 2013 will be the seventeenth full year the plant has been in operation.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Tax Revenue	\$219,227	\$219,000	\$219,000	\$219,000
Interest Income	17,269	16,000	25,000	25,000
Surplus	0	29,700	36,500	89,100
Total	\$236,496	\$264,700	\$280,500	\$333,100
Expenditures				
Salaries and Wages - Regular	\$16,589	\$17,000	18,500	18,500
Fringes	6,981	8,500	9,200	9,000
Operating Supplies	10,432	11,000	11,500	11,500
Chemicals	99	200	200	200
Contractual Services	5,255	27,000	27,200	75,000
Legal Contractual Services	0	8,500	9,500	9,500
Audit	850	500	900	900
Contracted Lab Costs	51,755	50,000	45,000	45,000
Utilities	142,375	130,000	125,000	130,000
Repair & Maintenance	7,630	12,000	15,500	15,500
Carbon	0	0	3,000	3,000
Engineering Fees	0	0	15,000	15,000
Total	\$241,966	\$264,700	\$280,500	\$333,100
Fund Balance				
Net Change in Fund Balance	(\$5,470)	(\$29,700)	(\$36,500)	(\$89,100)
Fund Balance - Beginning of Year	1,733,923	1,728,453	1,698,753	1,698,753
Ending Fund Balance	\$1,728,453	\$1,698,753	\$1,662,253	\$1,609,653

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Local Development Finance Authority Operating Fund

System Information

The purge and treat system was constructed during 1995 and 1996 with start-up in September of 1996. System design includes a chromium removal process and dual stage air stripping for volatile organic chemical (VOC) removal. Maximum design flow for the treatment system is 3.2 million gallons per day (MGD). During 2009 the daily average was 2.4 MGD. Treated groundwater is discharged to the Clam River near the old Lake Cadillac dam.

Groundwater is pumped from 18 purge wells located in two defined water bearing formations referred to as the upper and intermediate aquifers. In 1996, influent VOC concentrations exceeded 600 parts per billion (ppb). Last year, influent VOC concentrations were just below 200 ppb. (One part per billion is approximately equal to one second in 32 years.) Chromium concentrations have been reduced to clean-up criteria and the Environmental Protection Agency (USEPA) has been petitioned for closure of the chromium treatment process.

<i>Board of Directors:</i>

Marcus A. Peccia - Chairperson	City Manager, City of Cadillac
Jack Benson	Retired Bank President
Paul Liabenow	Superintendent, Cadillac Area Public Schools
Steve Frisbie	Owner, Frisco Management
Bill Tencza	President, Cadillac Area Chamber of Commerce
Jim Petersen	Retired Bank President
Pat Briggs	Assistant Superintendent of Operations and Personnel, Cadillac Area Public Schools
Denny Benson	Local Attorney
<i>Vacant</i>	Wexford County Commissioner

Fund Financial Highlights

Fund Balance

Fund Balance is reserved for capitalized interest and assessment shortfalls. The Special Assessment is calculated at a level that covers all operating costs, which include all of the above except Contractual Services, Legal Contractual Services, Carbon, and Engineering Fees.

Engineering Fees

In FY2012, it is anticipated that the Soil Vapor Extraction site will be closed. The USEPA has granted clearance for this to take place, and the project is anticipated to begin in spring 2012.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Local Development Finance Authority Operating Fund

L.D.F.A. Groundwater Treatment Statistics

Volume of groundwater pumped and treated:

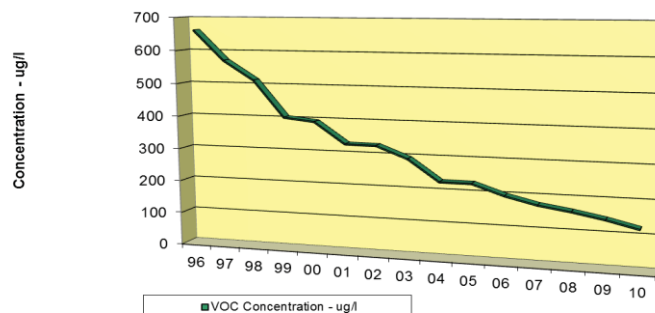
Year	Gallons	
	Per Day	Per Year
2002	2,315,100	845,000,000
2003	2,331,500	851,000,000
2004	2,407,100	878,600,000
2005	2,339,300	853,850,000
2006	2,387,000	871,400,000
2007	2,422,000	884,190,000
2008	2,401,700	857,000,000
2009	2,405,479	878,000,000
2010	2,400,000	876,000,000
2011	2,360,000	861,600,000



LDFA Water Treatment Facility

Year	Estimated pounds of volatile organics stripped from the water (per year):	Hours spent in Operation and Maintenance
2002	2,322	890
2003	2,090	940
2004	1,715	970
2005	1,673	830
2006	1,453	940
2007	1,305	1,140
2008	1,195	1,014
2009	1,067	819
2010	899	800
2011	762	950

LDFA GWTP - Influent VOC Concentration



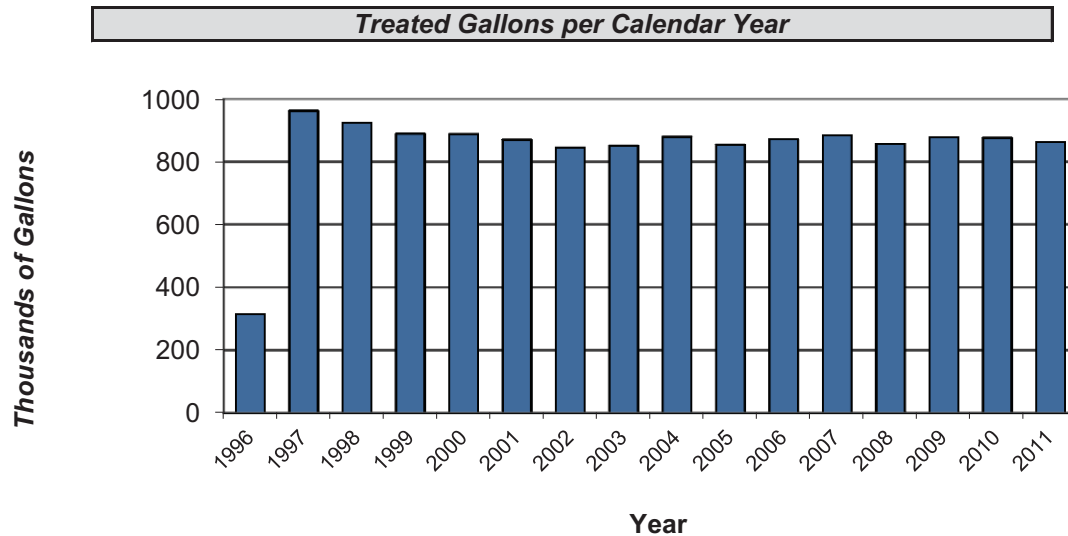
CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Local Development Finance Authority Operating Fund

Other L.D.F.A. Groundwater Treatment Details



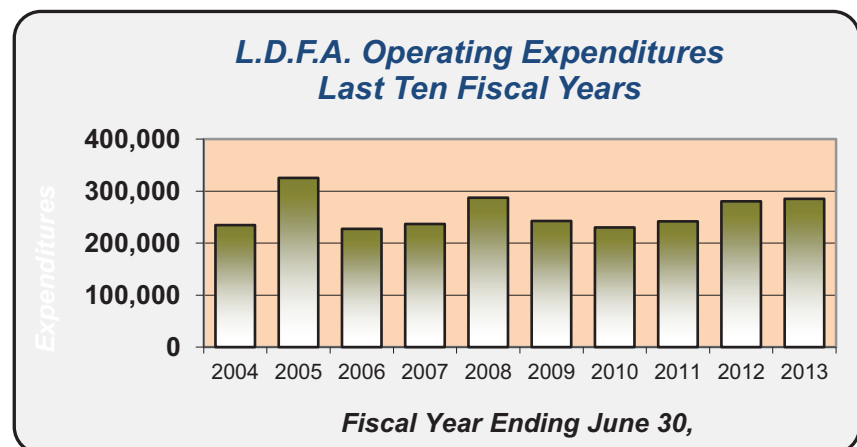
* More than 13.5 billion gallons of water have been treated since the inception of the program.

* VOC distribution in the LDFA discharge has been below detection limit since the beginning of the program in 1996.



Expenditures

The costs of operating the LDFA treatment facility have remained relatively consistent since the beginning of the treatment program.



CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Local Development Finance Authority Utilities Fund

Fund: Local Development Finance Authority Utilities Fund

Type: Component Unit - Enterprise Fund

Oversight: Director of Utilities

Nature and Purpose:

The Local Development Finance Authority (LDFA) developed a deep well to provide cooling water for the Power Plant. This water is untreated and can be used only for industrial purposes. Water is also available from the LDFA Groundwater Treatment Plant for the same purposes.

Revenue from the sale of water is used to pay for the cost of providing the water. The rates are established by the LDFA and are not part of the City's Utilities Ordinance.

The LDFA contracts with the City Utilities Department to provide operational and maintenance expertise.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Water Revenue	\$20,371	\$19,000	\$19,500	\$19,500
Interest Income	2,548	2,500	3,000	3,000
Total	\$22,919	\$21,500	\$22,500	\$22,500
Expenditures				
Salaries and Wages - Regular	\$2,573	\$3,000	\$3,000	\$3,000
Fringes	1,069	1,300	1,500	1,500
Operating Supplies	0	500	500	500
Contractual Services	0	4,500	4,500	4,500
Audit	450	400	400	400
Depreciation	4,535	4,600	5,000	5,000
Total	\$8,627	\$14,300	\$14,900	\$14,900
Net Assets				
Change in Net Assets	\$14,292	\$7,200	\$7,600	\$7,600
Total Net Assets - Beginning of Year	384,885	399,177	399,177	406,377
TOTAL NET ASSETS - END OF YEAR	\$399,177	\$406,377	\$406,777	\$413,977

Fund Highlights

Net Assets

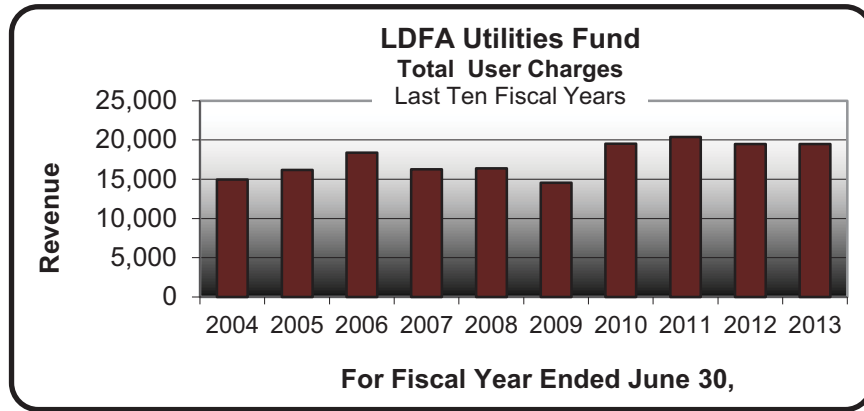
Available net assets will be used to assist in replacement of the well and funding major system repairs.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Local Development Finance Authority Utilities Fund

Fund Highlights

Revenue

The customer water rate is tied to the electrical rate Consumers Energy pays for wholesale power. Only one customer is served, Cadillac Renewable Energy, and they provide the electrical energy for the well operation.



System Statistics & Measures

<i>Volume of Water Pumped</i>	
<i>Year</i>	<i>Gallons</i>
2002	162,571,000
2003	168,144,588
2004	152,780,000
2005	140,912,000
2006	148,930,000
2007	123,957,000
2008	147,034,000
2009	134,265,000
2010	109,877,000
2011	130,352,000



LDFA well house (foreground) with Cadillac Renewable Energy in background



LDFA Well

<i>Hours spent in operation and maintenance</i>	
<i>Year</i>	<i>Hours</i>
2002	122
2003	115
2004	170
2005	134
2006	125
2007	175
2008	151
2009	110
2010	127
2011	126

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Local Development Finance Authority Capital Projects Fund

Fund: Local Development Finance Authority Capital Projects Fund

Type: Component Unit - Capital Project Fund

Oversight: Director of Utilities

Nature and Purpose:

This fund accounts for tax increment finance revenues (TIF) collected on behalf of the LDFA after debt service requirements have been met. The TIF revenues are restricted for capital investments, and this fund will help ensure that the restricted funds are used only for allowable purposes.

The debt service for the groundwater treatment infrastructure in the LDFA district was paid in full in FY2006. For the next couple of years, the TIF revenues were deposited in the operating fund of the Local Development Finance Authority. Because of the restrictions on the use of the funds, it was determined that establishing this fund would be the best way to account for them.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Tax Increment Financing Revenue	\$103,616	\$105,000	\$95,000	\$120,000
Interest Income	12,568	10,000	7,500	10,000
Surplus	0	0	0	0
Total	\$116,184	\$115,000	\$102,500	\$130,000
Expenditures				
Audit	\$450	\$500	\$500	\$500
Construction	0	0	100,000	100,000
Total	\$450	\$500	\$100,500	\$100,500
Fund Balance				
Net Change in Fund Balance	\$115,734	\$114,500	\$2,000	\$29,500
Fund Balance - Beginning of Year	497,661	613,395	613,395	727,895
Ending Fund Balance	\$613,395	\$727,895	\$615,395	\$757,395

Tax Increment Finance Revenues

Tax increment finance (TIF) revenues collected by Cadillac's LDFA are restricted for capital projects. There is ongoing tax capture after the debt service requirements have been fulfilled which is accounted for in this fund. Accounting for them in a separate fund segregates them for capital purposes in compliance with the TIF plan. Details of the TIF capture are presented on the next page.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Local Development Finance Authority Capital Projects Fund

LDFA Groundwater Treatment System

Anticipated Capital Needs

The LDFA telemetry system may be replaced in FY2013. The project will be funded using TIF funds and is expected to cost approximately \$100,000.



LDFA Treatment Facility

Constructed in 1995 and 1996, the groundwater treatment system started up in September 1996, and has since treated over 9 billion gallons of groundwater.

LDFA Operating Fund

All operations of the treatment facility are covered by a special assessment. This activity is accounted for in the LDFA Operating Fund.

Source of Tax Increment Financing Revenue

The Local Development Finance Authority captures taxes in the LDFA District as follows:

	<u>Ad Valorem</u>	<u>IFT</u>	<u>Total</u>
Total LDFA District Taxable Value	\$2,440,332	\$5,279,725	7,720,057
Base Value	(551,400)	0	(551,400)
Captured Value	\$1,888,932	\$5,279,725	\$7,168,657

		<u>Capture</u>		
Taxes Captured:	<u>Millage</u>	<u>Ad Valorem</u>	<u>IFT</u>	<u>Total</u>
City Operating	13.94730	\$26,346	\$36,819	\$63,164
Police and Fire Retirement (City)	2.60000	4,911	6,864	11,775
Lake Cadillac Treatment (City)	0.50000	944	1,320	2,264
Wexford County Allocated	6.77970	12,806	17,897	30,704
Wexford County - Recreation	0.25000	472	660	1,132
Wexford County - Animal Control	0.25000	472	660	1,132
Wexford County - Road Patrol	0.95000	1,794	2,508	4,302
CWTA	0.60000	1,133	1,584	2,717
Cadillac-Wexford Public Library	0.75000	1,417	1,980	3,397
Council on Aging	0.99760	1,884	2,634	4,518
Total Taxes Captured	27.62460	\$52,181	\$72,925	\$125,106

Note: Captured taxes are calculated by multiplying the millage rate by the captured value. The millage rate must first be divided by 1000, as one mill is equal to \$1 in taxes per \$1,000 in taxable value. IFT parcels receive exemptions of 50% of taxes. Total City-wide taxable value is \$243,000,000. The LDFA captures about 0.8% of the ad valorem tax roll, and an additional 23% of the IFT tax levy.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Downtown Development Authority Operating Fund

Fund: Downtown Development Authority Operating Fund

Type: Component Unit - Special Revenue Fund

Oversight: DDA Director

Nature and Purpose:

The volunteer board members of the Cadillac Downtown Development Authority (DDA) are charged with the responsibility of encouraging economic development and halting declining property values in the Downtown Development District, for the benefit of the Downtown District's businesses and the community at large, as prescribed according to the provisions of Public Act 197 of 1975 (as amended).

The DDA's purpose is to use its various resources to invest in the Downtown Development District and fund public improvements that will spur additional private investment and development in the downtown area. This economic development purpose requires the DDA to recognize the infrastructure and marketing needs of the downtown, and then to prioritize and act upon those needs so that the downtown will incur economic growth as a result. DDA activities must meet public purposes and be financially supported by legally ascribed funding methods.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Interest Income	\$95	\$200	\$200	\$200
Tax Revenue	29,889	29,800	30,000	30,000
DEQ Management Fee	5,000	5,000	5,000	5,000
Contributions From Private Sources	1,125	3,000	3,000	3,000
Surplus	0	0	0	0
Total	\$36,109	\$38,000	\$38,200	\$38,200
Expenditures				
Salaries and Wages - Regular	\$17,665	\$18,000	\$18,500	\$18,500
Salaries and Wages - Part Time	930	2,500	2,000	2,000
Fringes	6,670	7,000	7,000	7,000
Office Supplies	234	200	200	200
Postage	18	100	100	100
Contractual Services	7,702	5,000	5,000	6,500
Audit	850	800	900	900
Travel and Education	0	200	200	200
Publisher's Costs	0	500	500	500
Downtown Marketing	150	800	1,000	1,000
Total	\$34,219	\$35,100	\$35,400	\$36,900
Fund Balance				
Change in Fund Balance	\$1,890	\$2,900	\$2,800	\$1,300
Fund Balance - Beginning of Year	16,616	18,506	18,506	21,406
Ending Fund Balance	\$18,506	\$21,406	\$21,306	\$22,706

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Downtown Development Authority Operating Fund

Fund Structure and Staffing

There are 426 parcels of property within the Downtown Development District (including real and personal property) on which taxes are paid. These parcels are anticipated to generate \$30,000 in property tax revenue from the DDA's two mill levy, which averages \$70 per parcel of property taxes paid per year in the district. The State of Michigan Department of Environmental Quality pays this fund for oversight of the building they rent from the City of Cadillac at 120 W. Chapin Street.

DDA Staff

Community Development Director Jerry Adams is also the director of the DDA. Mr. Adams brings vast community development and planning experience to the position. Approximately 25% of his time will be spent with the DDA program. In addition, during the summer months a part-time summer employee is hired to clean and monitor the downtown area to enhance the image of our community.

Cadillac DDA Board of Directors

<i>Name</i>		<i>Business</i>	<i>Occupation</i>
Chris Huckle	Chairperson	Cadillac News	Owner/Publisher
Robert Levand	Vice-Chairperson	N/A	DDA District Resident
Marcus A. Peccia	Secretary/Treasurer	City of Cadillac	City Manager
Bill Cinco	Member	Trend Designers	Owner
Tim Coffey	Member	Coffey Insurance Agency	Owner
Curtis Schultz	Member	Markur Consulting	Consultant
Stephanie Trombley	Member	Bridal Expressions	Owner
Deb Christie	Member	Firstbank	Branch Officer
Jennifer Rousseau	Member	Fae by Freya	Owner
Lincoln VanDrie	Member	Toy Town	Owner
Vacancy	Member		

Fund Financial Highlights

Tax Revenue

The tax revenues of the DDA are based on a millage levied on properties within the district for operating purposes. Over the last ten years, there has not been significant growth in the district-wide taxable value, which has restricted the growth in revenues available for operating purposes.

Fiscal Year	Taxable Value	Millage	Taxes	Change
2003	\$13,900,153	1.9832	\$27,567	-2.88%
2004	\$15,532,836	1.9548	\$30,364	10.15%
2005	\$16,082,462	1.9548	\$31,438	3.54%
2006	\$15,677,423	1.9548	\$30,646	-2.52%
2007	\$15,871,650	1.9548	\$31,026	1.24%
2008	\$15,348,803	1.9548	\$30,004	-3.29%
2009	\$15,781,546	1.9548	\$30,850	2.82%
2010	\$15,884,335	1.9548	\$31,051	0.65%
2011	\$15,132,051	1.9548	\$29,580	-4.74%
2012	\$15,361,710	1.9548	\$30,029	1.52%
2013	\$15,609,301	1.9548	\$30,513	1.61%

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Downtown Development Authority Capital Projects Fund

Fund: Downtown Development Authority Capital Projects Fund

Type: Component Unit - Capital Project Fund

Oversight: DDA Director

Nature and Purpose:

In November, 1992 the Cadillac Downtown Development Authority (DDA) and the Cadillac City Council approved the DDA's Development and Tax Increment Financing (TIF) plans. The purpose of these plans is to provide a source of revenue for the DDA to undertake various capital and public infrastructure improvements within the DDA Development District. It is anticipated that this public investment will in turn enhance the Development District and initiate spin-off private investment, resulting in an overall increase in downtown economic development and the elimination of declining property taxes.

While the plans were established in 1992, the first TIF capture was not realized until FY1997. In order for a TIF capture to be realized, the base property value for the entire DDA Development District must be exceeded by future years property values. From 1993 to 1995, property values in the DDA Development District continued to show an overall net decline. It was not until 1996 that the district's overall property values exceeded the 1992 base value (\$11,654,550), producing the first DDA TIF revenue capture of \$13,000. Since 1996, property values have increased. However, property values declined substantially in 2009. For FY2013, taxable value within the DDA TIF district increased about 1.6% to \$15,609,301 due to the private development of several properties within the district. The purpose of Cadillac's DDA Capital Projects Fund is to receive these TIF revenues and track their expenditures on Development Plan projects.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Tax Revenue	\$101,779	\$102,000	\$100,500	\$105,000
Interest Income	26	200	500	500
Surplus	0	0	0	0
Total	\$101,805	\$102,200	\$101,000	\$105,500
Expenditures				
Audit	\$450	\$400	\$500	\$500
Contractual Services	0	5,000	10,000	10,000
Construction	0	0	0	0
Debt Service	52,381	52,000	51,200	50,000
Total	\$52,831	\$57,400	\$61,700	\$60,500
Fund Balance				
Net Change in Fund Balance	\$48,974	\$44,800	\$39,300	\$45,000
Fund Balance - Beginning of Year	66,640	115,614	115,614	160,414
Ending Fund Balance	\$115,614	\$160,414	\$154,914	\$205,414

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Downtown Development Authority Capital Projects Fund

Other Fund Information

In accordance with the Michigan Public Act 197 of 1975, as amended (the DDA Act), the Cadillac DDA must spend its TIF revenues only as prescribed by law and only on projects listed in its Development Plan. Typically, these projects are of a public infrastructure nature, but can include overall district marketing efforts and some operational expenditures, as directly related to the DDA office and staff. The Cadillac DDA has detailed a number of such public improvements in its Development Plan, including additional sidewalks and lighting improvements along downtown side streets, parking lot improvements, public water and sewer improvements associated with private developments, and building acquisitions/demolitions, to name a few. In 1998, significant public parking lot improvements were completed. Limited general obligation bonds were issued by the City's Building Authority to finance the improvements. Revenues from TIF captures are now being used in part to repay this fifteen year bond issue. Total outstanding debt on this bond issue as of June 30, 2012 will be \$30,000 with the final principal payment scheduled for October 1, 2012.

Debt Service

Expenses classified under Debt Service represent a transfer to the 1997 Building Authority Debt Retirement Fund. This transfer is to cover the debt service on the bonds sold to finance parking lot improvements in downtown Cadillac. The remainder of the debt service expenditure is to repay an internal loan that was taken out as part of the 2009 Mitchell Street Improvement Project to assist in cash flow.

Source of Tax Increment Financing Revenue

The DDA Capital Projects Fund captures taxes in the DDA District as follows:

Total DDA District Taxable Value		\$15,609,301
1996 Base Value		<u>(11,654,550)</u>
Captured Value		\$3,954,751
Taxes Captured:	<u>Millage</u>	<u>Capture</u>
City Operating	13.94730	\$55,158
Police and Fire Retirement (City)	2.60000	10,282
Lake Cadillac Treatment (City)	0.50000	1,977
Wexford County - Allocated	6.77970	26,812
Wexford County - Recreation	0.25000	989
Wexford County - Animal Control	0.25000	989
Wexford County - Road Patrol	0.95000	3,757
CWTA	0.60000	2,373
Cadillac-Wexford Public Library	0.75000	2,966
Council on Aging	0.99760	3,945
Total Taxes Captured	27.62460	\$109,248

Note: Captured taxes are calculated by multiplying the millage rate by the captured value. The millage rate must first be divided by 1000, as one mill is equal to \$1 in taxes per \$1,000 in taxable value. Total City-wide taxable value is projected to be \$243,000,000. The DDA captures about 1.6% of the ad valorem tax roll.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Brownfield Redevelopment Fund

Fund: Brownfield Redevelopment Fund

Type: Component Unit - Special Revenue Fund

Oversight: Community Development Director

Nature and Purpose:

The Cadillac Brownfield Redevelopment Authority (BRA) was established on December 6, 1996. It was the first Authority established in the State of Michigan under Michigan Public Act 381 of 1996. The BRA is charged with the redevelopment of brownfield sites throughout the City of Cadillac. A "brownfield" is defined as a previously developed property that is either perceived or known to have environmental contamination. Because Cadillac is a "core community," properties that are functionally obsolete may also be considered a brownfield site. Prior to the economic development tools and incentives authorized under P.A. 381, a number of brownfield sites sat idle throughout the Cadillac community and steadily declined in property value due to perceived or confirmed contamination. Due to the increased risks and costs associated with brownfield sites, prior to P.A. 381, many developers consistently opted to invest in "greenfields", or previously undeveloped parcels. The rapid development of greenfields is known statewide to have contributed to the growing problem of urban sprawl and the costly, unwarranted extension of public utilities (i.e., water and sewer).

After creating the Cadillac BRA, efforts were undertaken by this new board to establish a Brownfield Redevelopment Authority Plan. The Plan was first approved on August 4, 1997 which has since been amended and re-approved four times, most recently on May 1, 2006. The Brownfield Redevelopment Plan identifies brownfields throughout the City of Cadillac, and defines "eligible activities" (i.e., environmental assessment, environmental remediation) that will be undertaken by the BRA to reduce or eliminate known contamination, so that it is economically feasible for the private sector to redevelop these properties. Eligible activities are funded through the capture of tax dollars via tax increment financing, which is enabled by the private redevelopment of brownfield sites.

FUNDING SUMMARY	FY2011 Actual	FY2012 Estimated	FY2012 Adopted	FY2013 Proposed
Revenues				
Current Property Taxes	\$33,933	\$34,600	\$37,200	\$30,000
Interest Income	132	500	1,000	500
State of Michigan - Grant	0	0	20,000	0
Surplus	0	0	0	0
Total	\$34,065	\$35,100	\$58,200	\$30,500
Expenditures				
Contractual Services	\$24,940	\$34,000	\$57,200	\$30,000
Audit	800	800	800	500
Total	\$25,740	\$34,800	\$58,000	\$30,500
Fund Balance				
Net Change in Fund Balance	\$8,325	\$300	\$200	\$0
Fund Balance - Beginning of Year	167,834	176,159	176,159	176,459
Ending Fund Balance	\$176,159	\$176,459	\$176,359	\$176,459

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Brownfield Redevelopment Fund

Fund Highlights

At present, the Cadillac Brownfield Redevelopment Plan identifies ten Brownfield sites, which are as follows:

- > 403 W. Seventh Street - the Metal Casters site (former foundry)
- > 1405 Sixth Avenue - the Four Starr site (former manufacturing facility)
- > 301 N. Lake Street - the Kraft site (former manufacturing/storage facility)
- > 1002 Sixth Street - the Northernnaire Plating site (former metal plating site)
- > 117 W. Cass Street - the Sundstrom building site (former real estate office)
- > 115 S. Mitchell Street - the Stage/Milliken building site (former department store)
- > 1033 W. Sixth Street - the Emerald Tree Farm site (former tree farm)
- > 314 S. Mitchell Street - the Brasseur site (former gas station) *
- > 302 South Mitchell Street (former YMCA site) *
- > 111 West Chapin Street (former Harris Milling Site) *
- > 924 S. Mitchell Street (Willow Mercantile facility)
- > 100 E. Chapin Street (Cobbs/Mitchell Building)
- > 940 N. Mitchell (Cad-A-Stran Building)

* Three sites now make up the new Chemical Bank facility

Brownfield Redevelopment Authority	
Board of Directors:	
Mike Figliomeni	Regan O'Neill
Jack Benson	Marcus A. Peccia
Ron Swanson	

Fund Financial Information

Captured Taxes

Currently, there are taxes being captured for three projects. An additional project related to the Cobbs/Mitchell Building (former MDOT location) is expected to be added to the Brownfield TIF capture. Projected tax captures for FY2013 are as follows:

Total Brownfield Taxable Value	\$825,000
Base Value	\$293,969
Captured Value	\$531,031

Captured Taxes

City Operating	\$4,653
Police and Fire Retirement (City)	867
Lake Cadillac Treatment (City)	167
Wexford County	2,746
Other	784
CAPS Operating	9,559
State Education Tax	3,186
Wexford-Missaukee ISD	3,155
Total Taxes Captured	\$25,117

Each project is captured differently, and the specific taxes which each project can capture may vary as well.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Capital Improvement Program Summary

What is the 5-Year Capital Improvement Program?

The information that follows represents the City of Cadillac's 5-Year Capital Improvement Program. In it, projects have been identified that need to be addressed over the next five fiscal years. The program serves as a crucial planning component within the City's overall operational management structure. Since its inception, the majority of projects undertaken within the City have come through this planning document. The program provides important information that aids in maintaining the City's critical infrastructure as well as the equipment needed to carry out the delivery of services to the community.

What is a Capital Project?

For the purposes of the Capital Improvement Program, a capital project has been identified by the city as any project that exceeds the City Council purchasing threshold of \$7,500 and has an estimated useful life of greater than one year. This includes items like police cars, fire trucks, streets and other construction projects, parks maintenance equipment, snow plows, street sweepers, etc. This program identifies those projects that meet the criteria above that will be addressed in the next five years.



Project Types:

- All projects requiring debt or borrowing;
- Any acquisition or leasing of land;
- Purchase of major equipment and vehicles valued in excess of \$7,500 with an estimated useful life of greater than one year;
- Construction of new buildings or facilities including engineering design and pre-construction costs;
- Major building improvements costing in excess of \$7,500 that are not routine expenses and that substantially enhance the value of the structure;
- Major equipment or furnishing valued in excess of \$7,500 and required to furnish new buildings or other projects; and
- Major studies costing in excess of \$7,500 and requiring the use of outside professional consultants.

How is the program developed?

The program is developed in the Financial Services Department using project information submitted by each department within the City. Once all project requests have been received, the requests are reviewed and added to the program where appropriate. Projects identified in previous programs remain in the current program unless a different priority or strategy makes it unnecessary to do so. Once a final proposed document has been completed, the program is distributed to the City Council and is also made available for the public to review. The Council holds work sessions to discuss the program, and citizen input is sought through both the work session and through a public hearing process. Once the public hearing has been completed, the program is finalized and adopted by Council usually in November of each year.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Capital Improvement Program Summary

How are project priorities determined?

A wide range and variety of capital improvements could be included in the Capital Improvement Program. Listed below are several criteria that help determine the selection of projects:

- Relationship to overall community needs;
- Relationship to other projects;
- Distribution of projects throughout the City;
- Required to fulfill any federal or state judicial or administrative requirements;
- Impact on annual operating and maintenance costs;
- Relationship to other community plans;
- Relationship to source and availability of funds;
- Relationship to overall fiscal policy and capabilities; and
- Project's readiness for implementation.

Capital Budget vs. Capital Improvement Program

While the Capital Improvement Program looks out multiple years for capital projects, the first year of the Capital Improvement Program is integrated into the annual Capital Budget. The Capital Budget shows project priorities, cost estimates, financing methods, tax schedules, and estimated annual operating and maintenance costs. This Capital Budget is subsequently incorporated into the annual operating budget for appropriation of funds to carry out the project.

What are the advantages of a Capital Improvement Program?

An effective and ongoing Capital Improvement Program provides significant benefits to elected officials, staff, and the taxpayers within the City of Cadillac. Some of these benefits are:

- Coordination of the community's physical planning with its fiscal planning activities;
- Ensuring that public improvements are undertaken in the most desirable order of priority;
- Assisting in stabilization of the tax rate over a period of years;
- Producing savings in total project costs by promoting a "pay as you go" policy of capital financing, thereby eliminating additional interest and other financing charges;
- Providing adequate time for planning and engineering of proposed projects;
- Ensuring the maximum benefit of the monies expended for public improvements; and
- Permitting municipal construction activities to be coordinated with those of other public agencies within the community.

These are important benefits for the Cadillac community. Capital improvement programming and capital budgeting allow officials and citizens to set priorities for capital investment and accrue maximum physical benefit with a minimum of capital expenditures through an orderly process of project development, selection, scheduling, and implementation.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Capital Improvement Program Summary

Program Summary

On a departmental basis, the 5-Year Capital Improvement Program includes the following request levels, presented by fiscal year:

Department	<i>For the fiscal year ending June 30,</i>					Total
	2013	2014	2015	2016	2017	
Complex/General Gov't.	19,500	41,000	37,500	200,000	0	298,000
Public Safety						
Police	60,300	53,000	38,000	31,000	32,000	214,300
Fire	12,000	0	38,000	385,000	0	435,000
Municipal Parks	42,500	94,000	42,500	109,000	67,500	355,500
Total General Fund	134,300	188,000	156,000	725,000	99,500	1,302,800
Major Streets	67,500	107,500	104,000	40,000	330,000	649,000
Local Streets	310,700	421,500	292,500	212,500	7,500	1,244,700
Cemetery Operating	22,000	19,000	40,000	9,000	50,000	140,000
Industrial Parks	0	0	0	0	525,000	525,000
Water and Wastewater	658,500	4,254,000	416,000	633,800	281,000	6,243,300
Stores and Garage	355,500	193,400	182,900	329,000	355,000	1,415,800
Information Technology	170,000	40,000	20,000	20,000	70,000	320,000
Totals	\$1,718,500	\$5,223,400	\$1,211,400	\$1,969,300	\$1,718,000	\$11,840,600

Source of Funds

It is also important to identify the sources of funding that will be used to fund each year's projects. This helps to determine the viability of each year's requests and serves as a critical planning tool for current and future operating budgets. For the current 5-year program, the following sources of funding have been identified by fiscal year:

Source of Funds	<i>For the fiscal year ending June 30,</i>					Total
	2013	2014	2015	2016	2017	
Current Property Tax Revenues	106,300	163,000	156,000	485,000	99,500	1,009,800
Donations						
Donations Received	0	0	0	0	0	0
Future Donations	0	25,000	0	40,000	50,000	115,000
Operating Revenues	1,206,000	1,006,400	658,900	991,800	864,100	4,727,200
MVHF	378,200	529,000	396,500	252,500	337,500	1,893,700
DWRF	0	3,500,000	0	0	0	3,500,000
Grants	28,000	0	0	0	366,900	394,900
Special Assessments	0	0	0	200,000	0	200,000
Totals	\$1,718,500	\$5,223,400	\$1,211,400	\$1,969,300	\$1,718,000	\$11,840,600

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Projects by Fiscal Year

The following tables identify specific projects that have been requested in each of the five fiscal years included in the current program. The summary lists the department that is making the request, the name of the project, the estimated cost, and the impact on the Annual Operating Budget. The first year of the program will be used in the development of the Annual Operating Budget, a process which will begin shortly after final approval and adoption of the program.

Plan Fiscal Year: 2012-2013			
Department	Project	Funded?	Cost
Gen'l Government	FLOOR COVERING	Yes	10,500
Gen'l Government	OFFICE FURNITURE REPLACEMENT	Yes	9,000
Public Safety	POLICE PATROL VEHICLE	Yes	30,000
Public Safety	INTERVIEW ROOM RENOVATION	Yes	7,500
Public Safety	MOBILE VIDEO CAMERA UPDATE	Yes	22,800
Public Safety	RESCUE TOOLS	Yes	12,000
Parks	PLAYGROUND EQUIPMENT	Yes	35,000
Parks	SHORELINE STABILIZATION	Yes	7,500
Major Street	13 STREET ROUNDABOUT	Yes	60,000
Major Street	STREET SIGN REPLACEMENT	Yes	7,500
Local Street	LYNN STREET (HERSEY TO COBB)	Yes	120,000
Local Street	CEDAR STREET (EVART TO COBBS)	Yes	13,200
Local Street	EVART STREET (OAK TO LESTER)	Yes	70,000
Local Street	HERSEY STREET	Yes	100,000
Local Street	STREET SIGN REPLACEMENT	Yes	7,500
Cemetery	SERVICE TRUCK	No	22,000
Water/Wastewater	LYNN STREET	Yes	40,000
Water/Wastewater	EVART STREET	Yes	50,000
Water/Wastewater	HERSEY STREET	Yes	35,000
Water/Wastewater	MITCHELL ALLEY	Yes	45,000
Water/Wastewater	SERVICE TRUCK	Yes	25,000
Water/Wastewater	ULTRAVIOLET DISINFECTION EQUIPMENT	Yes	35,500
Water/Wastewater	WASTEWATER TREATMENT PLANT ELECTRICAL BACKUP	Yes	78000
Water/Wastewater	BOERSMA PROPERTY UTILITIES EXTENSION	Yes	350,000
Stores & Garage	V-PLOW	Yes	7,500
Stores & Garage	PICKUP TRUCK	Yes	25,000
Stores & Garage	VACUUM STREET SWEEPER	No	198,000
Stores & Garage	WHEEL LOADER	No	125,000
IT	IT INFRASTRUCTURE	Yes	100,000
IT	COMPUTER REPLACEMENT	Yes	20,000
IT	PHONE SYSTEM	Yes	50,000
Total for FY 2012-2013			\$1,718,500

Summary

Total Funded Projects	\$1,486,000 (86%)
Total Un-Funded Projects	\$232,500 (14%)

This fiscal year promises to be a challenging year in terms of financing capital projects. The funded projects above represent the FY2013 capital budget totaling \$1,486,000 and the projects have been included in the budget of the appropriate fund. A total of \$232,500 in projects were eliminated due to lack of funding. The operating budget impact for respective departments is addressed below.

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Capital Improvement Program Summary

General Government

General government projects are funded by general property tax revenues. Because of the recent economic environment, only minimal investment has been made in capital projects for the last several years. For FY2013, the current budget requests funds to replace old office furniture and replace a portion of the flooring at the Municipal Complex. This is expected to have no impact on the operating budget.

Public Safety

The annual patrol vehicle replacement program is funded for the FY2013 budget. Regular replacement of these important vehicles both enhances the safety and productivity of officers on the street and helps minimize annual maintenance costs and is expected to save \$500 to \$1,000 annually in operating costs. Additionally updating the interview room in the Police Department will assist the department in following best industry practices and will enhance the integrity of the interview process. Updating the mobile cameras installed in patrol vehicles also ensures that these important monitoring devices will remain in service during calls for service.

Parks

The parks system has included a project to install playground equipment along the Lake Cadillac shoreline. This will enhance the experience of park users with young children including those with special needs. This project would add about \$500 per year in increased maintenance costs to the system. Additionally, \$7,500 will be invested in shoreline stabilization to help maintain the integrity of the shoreline.

Major and Local Streets

Funding for public infrastructure projects, like street reconstruction, is very difficult to secure. However, through the sale of a city-owned property in FY2009, the City was able to earmark the proceeds for infrastructure projects which has helped fund infrastructure projects for the last several years. Completing infrastructure projects typically has a positive impact on the operating budgets of the Major and Local Street Funds by reducing the amount of regular maintenance required on aged infrastructure.

These reserve funds will be used to fund the Lynn Street this year. In addition, the City has funds available in the Capital Projects Fund to complete an additional \$290,000 in street projects.

Cemetery

The scheduled replacement of the maintenance vehicle used in cemetery operations was once again delayed in this fiscal year. This vehicle is beyond its useful life and in desperate need of replacement which will have to be undertaken as soon as funds are available. The operating budget will be negatively impacted by increased equipment maintenance costs until this replacement can be funded. A new utility vehicle has been proposed in the budget, which should reduce repair expenses on the old unit by about \$300-\$500.

Water and Wastewater

Several streets will be replaced in FY2013, and the Water and Sewer Fund plans to replace the utilities infrastructure below these streets when they are torn up. Many of the underground pipes in these sections of streets are decades old and are in increasing need of repair. Repair and maintenance costs related to aging underground infrastructure place significant strain on the annual operating budget, so funding these projects helps maintain the integrity of the system. In addition, the City plans to complete Phase I of a two-phase project to replace the system of wells that provide all the water for Cadillac utility customers. This project is expected to cost up to \$6 million and should be completed over the next 3-4 years.

The purchase and upgrade of equipment remains scheduled in the FY2013 operating budget. Regular replacement of important maintenance equipment helps keep the department operating at maximum efficiency, which is critical given the reduction in staffing that has been experienced in the last couple of years. The upgrades also positively impact the operating budget by reducing maintenance expenditures required by aging equipment.

Stores and Garage

Replacement of several pieces of equipment was been delayed in the FY2013 budget. A street sweeper (\$198,000) and a wheel loader (\$125,000) were eliminated in the budget process due to funding constraints. This

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does not eliminate the need for these replacements, and will in fact place additional costs pressures on the equipment maintenance budget. In fact, the budget for repairs and maintenance of equipment was increased to reflect additional repair needs related to aging equipment.

Information Technology

Investment in technology has been critical in enabling City staff to continue to provide services at a high level with reduced staff. To help staff continue to operate with a high level of efficiency and productivity, this investment will continue in FY2013. The City continues to explore new ways to leverage technology to enhance productivity in the delivery of important municipal services. Operating budget savings are primarily achieved by reducing ongoing maintenance costs related to the utilization of aged equipment.

Summary of Years 2-5 of Five Year Capital Improvement Program

Plan Fiscal Year: 2013-2014		
Department	Project	Cost
Gen'l Government	CONCRETE APRON REPLACEMENTS	22,000
Gen'l Government	STAFF VEHICLE	19,000
Public Safety	POLICE PATROL VEHICLE	28,000
Public Safety	INCIDENT MANAGEMENT SOFTWARE	25,000
Parks	RIDING LAWN MOWER	9,000
Parks	KENWOOD BATHROOM	60,000
Parks	WALKWAY GAZEBO BRIDGE	25,000
Major Street	NORTH LAKE STREET (SOUTH TO CHAPIN)	100,000
Major Street	STREET SIGN REPLACEMENT	7,500
Local Street	WHEELER STREET (POWERS TO AYER)	90,000
Local Street	CRIPPEN STREET (MITCHELL TO PARK)	105,000
Local Street	HOLLY ROAD (BARBARA TO WREN)	99,000
Local Street	EAST GARFIELD STREET (HOLBROOK TO HIGGINS)	120,000
Local Street	STREET SIGN REPLACEMENT	7,500
Cemetery	RIDING LAWN MOWER	9,000
Cemetery	MAINTENANCE UTILITY VEHICLE	10,000
Water/Wastewater	WHEELER STREET	65,000
Water/Wastewater	CRIPPEN STREET	58,000
Water/Wastewater	EAST GARFIELD STREET	35,000
Water/Wastewater	GLOBAL POSITION SYSTEM (GPS) EQUIPMENT	8,000
Water/Wastewater	SEWER CAMERA	60,000
Water/Wastewater	SEWER JETTER	100,000
Water/Wastewater	TWO (2) SERVICE TRUCKS	50,000
Water/Wastewater	TRACTOR BACKHOE	60,000
Water/Wastewater	SEWER VACUUM/JET TRUCK	310,000
Water/Wastewater	EQUALIZATION BASIN IMPROVEMENTS	8,000
Water/Wastewater	WATER SUPPLY IMPROVEMENTS	3,500,000
Stores & Garage	UNDERBODY PLOW	9,000
Stores & Garage	1-TON DUMP TRUCK	30,000
Stores & Garage	UNDERBODY PLOW TRUCK	145,000
Stores & Garage	ONE-WAY PLOW	9,400
IT	COMPUTER REPLACEMENT	20,000
IT	IT INFRASTRUCTURE	20,000
Total for FY 2013-2014		\$5,223,400

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Plan Fiscal Year: 2014-2015

Department	Project	Cost
Gen'l Government	AUTOMATED EXTERNAL DEFIBRILLATORS	7,500
Gen'l Government	UPGRADE MUNICIPAL COMPLEX RESTROOMS	30,000
Public Safety	POLICE PATROL VEHICLE	30,000
Public Safety	PORTABLE RADIOS	8,000
Public Safety	FIRE RESCUE VEHICLE	38,000
Parks	SHORELINE STABILIZATION	7,500
Parks	CHESTNUT STREET PARKING LOT	35,000
Major Street	WEST DIVISION STREET (LEESON TO SENECA)	104,000
Local Street	SELMA STREET (W. DIVISION TO WRIGHT)	100,000
Local Street	SOUTH STREET (LAKE TO FOUR WINNS TEST CENTER)	50,000
Local Street	ALDRICH STREET (BOND TO LINDEN)	60,000
Local Street	MARBLE STREET (MITCHELL TO SUNNYSIDE)	75,000
Local Street	STREET SIGN REPLACEMENT	7,500
Cemetery	PAVING	40,000
Water/Wastewater	SELMA STREET	91,000
Water/Wastewater	SOUTH STREET	35,000
Water/Wastewater	ALDRICH STREET	40,000
Water/Wastewater	R&D PUMP	10,000
Water/Wastewater	SERVICE TRUCK (HEAVY DUTY)	30,000
Water/Wastewater	SERVICE TRUCK (REGULAR DUTY)	20,000
Water/Wastewater	MANHOLE REHABILITATION	25,000
Water/Wastewater	LIFT STATION INFLUENT GATE VALVES	75,000
Water/Wastewater	LABORATORY STILL	30,000
Water/Wastewater	VEHICLE TRANSCEIVER UNIT (VXU) REPLACEMENT	50,000
Water/Wastewater	13TH STREET STORM POND TRANSFORMER	10,000
Stores & Garage	UNDERBODY PLOW TRUCK	145,000
Stores & Garage	UNDERBODY PLOW	9,000
Stores & Garage	ONE-WAY PLOW	9,400
Stores & Garage	PICKUP TRUCK	19,500
IT	COMPUTER REPLACEMENT	20,000

Total for FY 2014-2015 \$1,211,400

Plan Fiscal Year: 2015-2016

Department	Project	Cost
Gen'l Government	COBB STREET SIDEWALK	100,000
Gen'l Government	PEARL STREET SIDEWALK	100,000
Public Safety	POLICE PATROL VEHICLE	31,000
Public Safety	FIRE PUMPER	385,000
Parks	SKATE PARK EQUIPMENT	40,000
Parks	KENWOOD PARKING LOT PAVING	60,000
Parks	RIDING LAWN MOWER	9,000
Major Street	WEST BREMER STREET (LAKE TO MITCHELL)	40,000
Local Street	EAST BREMER STREET (MITCHELL TO PARK)	100,000
Local Street	SMITH STREET (WHEELER TO BURLINGAME)	40,000
Local Street	BLODGETT STREET (LINCOLN TO E. DIVISION)	65,000
Local Street	STREET SIGN REPLACEMENT	7,500
Cemetery	RIDING LAWN MOWER	9,000
Water/Wastewater	WEST BREMER STREET	38,000
Water/Wastewater	EAST BREMER STREET	85,000

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Water/Wastewater	BLODGETT STREET	23,800
Water/Wastewater	MANHOLE REHABILITATION	25,000
Water/Wastewater	RAW/PRIMARY SAMPLER REPLACEMENT	10,000
Water/Wastewater	WATER TOWER PAINTING	230,000
Water/Wastewater	WASTEWATER FUME HOOD	10,000
Water/Wastewater	WASTEWATER PARKING LOT IMPROVEMENTS	12,000
Water/Wastewater	COBB STREET	200,000
Stores & Garage	UNDERBODY PLOW TRUCK	145,000
Stores & Garage	RIDING LAWN MOWER	9,000
Stores & Garage	REGENERATIVE AIR SWEEPER	175,000
IT	COMPUTER REPLACEMENT	20,000
Total for FY 2015-2016		\$1,969,300

Plan Fiscal Year: 2016-2017

Department	Project	Cost
Public Safety	POLICE PATROL VEHICLE	32,000
Parks	SPRINKLER SYSTEM REPLACEMENT	60,000
Parks	SHORELINE STABILIZATION	7,500
Major Street	LEESON STREET (CHESTNUT TO WEST DIVISION)	130,000
Major Street	NORTH LAKE STREET (CHAPIN TO POLLARD)	200,000
Local Street	STREET SIGN REPLACEMENT	7,500
Cemetery	ENTRANCE PILLS	50,000
Industrial Parks	JAMES E. POTVIN INDUSTRIAL PARK	525,000
Water/Wastewater	STAFF CAR	18,000
Water/Wastewater	DUMP TRUCK	75,000
Water/Wastewater	MUFFLE FURNACE/DRYING OVEN REPLACEMENT	8,000
Water/Wastewater	MANHOLE REHABILITATION	25,000
Water/Wastewater	WASTEWATER TREATMENT PLANT EMPLOYEE ROOM	40,000
Water/Wastewater	FEW PUMP REPLACEMENT	20,000
Water/Wastewater	WATER WELL INSPECTION	25,000
Water/Wastewater	ATOMIC ABSORPTION SPECTROSCOPY MACHINE	70,000
Stores & Garage	UNDERBODY PLOW TRUCK	145,000
Stores & Garage	1-TON DUMP TRUCK	35,000
Stores & Garage	DOWNTOWN STREET SWEEPER	25,000
Stores & Garage	BUCKET TRUCK	150,000
IT	IT INFRASTRUCTURE	50,000
IT	COMPUTER REPLACEMENT	20,000
Total for FY 2016-2017		\$1,718,000
5-Year Total Capital Improvement Program		\$11,840,600

2012-2017 Five Year Capital Improvement Program

The 5-Year Capital Improvement Program has been published as a separate document. The document can be viewed in its entirety on the City of Cadillac's website at www.cadillac-mi.net, or can be obtained from the Financial Services Department.

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2012-2013 Annual Budget Calendar

2011

December City Manager, Director of Finance have preliminary discussions regarding budget objectives and priorities.



2012

January 6 Staff meeting held to discuss the general guidelines for the 2012-2013 Annual Operating Budget preparation. Departments given access to Budget Maintenance in financial software as well as given a copy of 2012-2013 Personnel Summary.

January 21 Additional personnel requests, if any, are submitted to Human Resources.

February 3 Budget input completed by Department Heads and any related documentation submitted to Finance Department for review. Budget advanced to Director of Finance level for review.

February 28 Finance review completed. Information on balanced budget submitted to the City Manager for review and approval.

March 25 City Manager concludes review and preliminary budget is prepared.

April 1 Administrative budget is completed and in accordance with the City Charter is submitted to the City Council for their review.

April 9 City Council holds budget work session.

April 4 City Clerk makes public notice of public hearing on the budget.

April 16 Public hearing held on the preliminary budget.

May 21 Budget adoption and tax levy authorization.

June 20 City Clerk completes 2012 tax roll.

June 29 Tax bills mailed.

July 1 2012-2013 Annual Operating Budget takes effect.

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Financial Policies

BUDGETARY POLICIES

1. The annual operating budget including proposed expenditures and the means of financing them, must be presented by the City Manager to the City Council on March 31st of each year.
2. Public hearings are conducted to obtain taxpayer comments.
3. Prior to May 31st, the budget is legally enacted through the passage of a budget ordinance. Budgets are submitted on a line item basis but adopted by the City Council on a major function basis.
4. All transfers of budget amounts between functions within the General Fund and any revisions that alter the total expenditures of any fund must be approved by City Council. General Fund expenditures may not legally exceed budgeted appropriations at the major function level. Expenditures in all other governmental type funds may not exceed appropriations at the total fund level.
5. Formal budgetary integration is employed as a management control device during the year for all governmental fund types.
6. Budgets are reviewed, monthly, and amended, if needed, quarterly. The budget is amended on a fund basis for all funds other than the general fund, which is amended on a departmental basis.

ACCOUNTING POLICIES

1. The accounts of the City of Cadillac are organized on the basis of funds and account groups. A fund is an independent fiscal and accounting entity with a self-balancing set of accounts. Fund accounting segregates funds according to their intended purpose and is used to aid management in demonstrating compliance with finance-related legal and contractual provisions. The minimum number of funds is maintained consistent with legal and managerial requirements. Account groups are a reporting device to account for certain assets and liabilities of the governmental funds not recorded directly in those funds.
2. The City of Cadillac has the following fund types:
 - A. **Governmental funds** are used to account for the government's general government activities. Governmental fund types use the flow of current financial resources measurement focus and the modified accrual basis of accounting. Under the modified accrual basis of accounting revenues are recognized when measurable and available. "Measurable" means the amount of the transaction can be determined and "available" means collectible within the current period or soon thereafter to pay liabilities of the current period. The City considers all revenues available if they are collected within 60 days after year end. Expenditures are recorded when the related fund liability is incurred, except for unmatured interest on general long-term debt which is recognized when due, and certain compensated absences and claims and judgments which are recognized when the obligations are expected to be liquidated with expendable available financial resources. Property taxes, franchise taxes, license, interest and special assessments are susceptible to accrual. Sales taxes collected and held by the state at year end on behalf of the City are also recognized as revenue. Other receipts and taxes become measurable and available when cash is received by the government and are recognized as revenue at that time. Entitlements and shared revenues are recorded at the time of receipt or earlier if the susceptible to accrual criteria are met. Expenditure-driven grants are recognized as revenue when the qualifying expenditures have been incurred and all other grant requirements have been met.

Governmental funds include the following fund types:

The **General Fund** is the City's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund.

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Special Revenue Funds account for revenue sources that are legally restricted to expenditures for specific purposes.

The **Debt Service Funds** account for the servicing of general long-term debt not being financed by proprietary or non-expendable trust funds.

Permanent Funds account for assets of which the principal may not be spent.

B. **Proprietary Funds** are accounted for on the flow of economic resources measurement focus and use the accrual basis of accounting. Under this method, revenues are recorded when earned and expenses are recorded at the time liabilities are incurred. The City applies all applicable Financial Accounting Standards Board pronouncements in accounting and reporting for the proprietary operations. Proprietary funds include the following fund types:

The **Enterprise Funds** are used to account for those operations that are financed and operated in a manner similar to private business or where the City Council has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

Internal Service Funds account for operations that provide services to other departments or agencies of the government, or to other governments, on a cost-reimbursement basis.

C. **Fiduciary Funds** account for assets held by the government in a trustee capacity or as an agent on behalf of others. Trust funds account for assets held by the government under the terms of a formal trust agreement.

The **Pension Trust Funds** are accounted for in essentially the same manner as the proprietary funds, using the same measurement focus and basis of accounting. The pension trust fund accounts for the assets of the government's public safety employees' pension plan.

Fund Balance Policies

Fund balances will vary by each fund and fund type but as a general rule the State of Michigan has indicated in Public Act 2 the fund balance shall not be negative. In the General Fund, the Cadillac City Council has established a policy of striving to keep the reserve for working capital at 15% of the operating budget. This reserve is for unexpected decreases in revenues or increases in expenditures. A reserve account records a portion of the fund balance which must be segregated for some future use and which is, therefore, not available for further appropriation or expenditure. The City Council has identified several reserved accounts in the General Fund. These funds typically can be turned quickly into liquid assets. Fund balances are shown in all funds with the exception of proprietary funds which involves retained earnings. Retained earnings are not as liquid since often the assets are equipment or water lines or some other form of illiquid asset.

Basis of Budgeting

The City of Cadillac does not distinguish between Basis of Budgeting and Basis of Accounting. The principles set forth as the Basis of Accounting are strictly observed in the budgeting process. A fund's Basis of Budgeting and Basis of Accounting determines when a transaction or event is recognized within a fund's operating statement. The State of Michigan has indicated in Public Act 2 the fund balance shall not be negative.

- | | |
|--------------------------|------------------|
| • Governmental Funds | Modified Accrual |
| • Proprietary Funds | Full Accrual |
| • Internal Service Funds | Full Accrual |
| • Pension Trust Funds | Modified Accrual |

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Policy: General Finance

Administrative Policy A-10

Dated: November 5, 1993

PURPOSE: Many financial policies may already exist in practice by need to be put in written form in a central location. This will allow City Council and management to view the present approach to financial management from an overall, long-range vantage point.

POLICY:

- 1) Generally Accepted Accounting Principles (GAAP) – The City of Cadillac will establish and maintain a high standard of accounting practices. Accounting standards will conform to generally accepted accounting principles as promulgated by the Government Accounting Standards Board.
- 2) Audit
 - a) An annual audit will be conducted by a properly licensed independent public accounting firm.
 - b) All general purpose, combined and individual fund and account group statements and schedules shall be subject to full scope audit.
 - c) Any employee will be prosecuted to the extent of the law in any instance where the employee is proven to have committed any illegal act such as theft.
- 3) Financial Statements
 - a) The finance office will prepare monthly financial reports for internal management purposes. These reports will be combined on or before ten (10) days following the end of the month.
 - b) Annually, the finance office will prepare a comprehensive annual financial report. This report shall be made available to the elected officials, bond rating agencies, creditors and citizens.
 - c) Annually, the City will submit its comprehensive annual financial reports to the GFOA to determine its eligibility to receive the GFOA's Certificate of Achievement for Excellence in Financial Reporting.
- 4) Budgets
 - a) The fund balance in the General Fund shall have a reserve set aside entitled Working Capital. The amount is equivalent to three months of capital needed to operate or 15% of the General Fund expenditures.
 - b) Format and balancing of budgets will be in accordance with the State of Michigan Public Act 2 of 1968.

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Policy: Debt Management

Administrative Policy B-13

Dated: March 29, 1994

Reviewed: January 22, 2004

PURPOSE: Because of its conservative basis of accounting for tax revenues, the City of Cadillac is not required to borrow money for operations. When incurred, the City's long term general obligation and special assessment debt is handled through a debt service fund. The revenue bond requirements are handled through an Enterprise Fund. The following objectives are employed by the City of Cadillac in managing its debt:

POLICY:

- 1) Long term debt will be confined to capital improvements that cannot be financed from current revenues.
- 2) The payback period of the debt will not exceed the expected useful life of the project.
- 3) The total general obligation debt will not exceed ten percent of the assessed valuation to the taxable property.
- 4) Long term debt will not be used for operations.
- 5) The City of Cadillac will maintain good communications with the bond rating agencies about its financial condition and will follow a policy of full disclosure on every financial report and bond prospectus.

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Policy: Bid Procedures

Administrative Policy E-5

Dated: November 3, 1993

PURPOSE: The following shall apply concerning the solicitation of competitive bids for transactions of material and/or services with an estimated unit price of over \$7,500.

POLICY:

- 1) The purchasing agent (Finance Director) has the responsibility for maintaining a uniform set of procedures and forms to serve the bid process.
- 2) The purchasing agent is responsible for obtaining bids on all materials and/or services.
- 3) Consulting engineers who send bids for major projects will inform and coordinate dates, times, costs and other items with purchasing.
- 4) Procedure
 - a. Bid requests should be typed using a standard form whenever possible and given to purchasing agent before bid process takes place. Complete information should be provided including, but not limited to, quantity, description, specifications, date information required, etc. If replies are to conform to a certain format, this should be spelled out. The department requesting the product must be thorough and attempt to remove all known variables.
 - b. A minimum of three suppliers is acceptable. If the department knows that more than one bid is not possible, a memorandum to the purchasing agent should indicate the reason.
 - c. Bids will be solicited only from vendors the department knows are qualified or can be qualified to meet all requirements and have the ability to perform.
 - d. All bids will be mailed and advertised in the local newspaper by the purchasing agent.
 - e. Bidders list will be furnished by the appropriate department.
 - f. Answers to technical questions arising during the bidding process should be provided by the appropriate department. The department must coordinate the reply and ensure all potential suppliers are provided the same information.
 - g. After all bids have been received and examined for completeness, a summary sheet is to be prepared noting all the pertinent data and discrepancies. Determination of the low bidder will be made by the department and/or purchasing agent after review of compliance to the specifications. The information gathered will be kept with the purchase file as backup documentation.
 - h. The bid tabulation will be reviewed by the purchasing committee with their recommendation being forwarded to the City Council for final approval.
 - i. All bidders will be notified by the purchasing agent of the City Council's decision. A purchase order will be sent to the successful bidder.

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- j. Unless a specific exemption has been obtained from the City Manager, bids shall not be solicited from, nor any order placed with, any company that:
 - 1. Is owned, controlled, or actively influenced by any City employee or immediate relative of any employee.
 - 2. Employs in management, consulting or sales capacity any person who is a City employee.
 - 3. Employs in any capacity a City employee who is in a position to influence the selection of, or conduct business with, such supplier.
- k. When circumstances warrant the solicitation of competitive bids inappropriate, the department shall document the facts on a memorandum to the purchasing agent and obtain approval for waiving competitive bids.

Any problems of interpretation should be referred to the purchasing agent.

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Policy: City of Cadillac Investment Policy

Administrative Policy B-5

Dated: March 17, 1980

Revised: January 7, 1985; February 17, 1986; April 6, 1998

Reviewed: January 22, 2004

(Last Approved by City Council October 16, 1998)
To Comply With Act 20 PA 1943, as amended.

PURPOSE - It is the policy of the City of Cadillac to invest its funds in a manner which will provide the highest investment return with the maximum security while meeting the daily cash flow needs of the City and comply with all state statutes governing the investment of public funds.

SCOPE - This investment policy applies to all financial assets of the City of Cadillac. These assets are accounted for in the various funds of the City and include the general fund, special revenue funds, debt service funds and capital project funds (unless bond ordinances and resolutions are more restrictive), enterprise funds, internal service funds, trust and agency funds and any new funds established by the City of Cadillac.

OBJECTIVES - The primary objectives, in priority order, of the City's investment activities shall be:

SAFETY - Safety of principal is the foremost objective of the investment program. Investments shall be undertaken in a manner that seeks to insure the preservation of capital in the overall portfolio.

DIVERSIFICATION - The investments will be diversified by security type and institution in order that potential losses on individual securities do not exceed the income generated from the remainder of the portfolio.

LIQUIDITY - The investment portfolio shall remain sufficiently liquid to meet all operating requirements that may be reasonably anticipated.

RETURN ON INVESTMENT - The investment portfolio shall be designed with the objective of obtaining a rate of return throughout the budgetary and economic cycles, taking into account the investment risk constraints and the cash flow characteristics of the portfolio.

DELEGATION OF AUTHORITY TO MAKE INVESTMENTS - Authority to manage the investment program is derived from the following: The Cadillac City Council's most current resolution designating depositories and Section 7.4 of the Cadillac City Charter designates the City Treasurer to be the custodian of the City's funds. Management responsibility for the investment program is hereby delegated to the Director of Finance who shall establish written procedures and internal controls for the operation of the investment program consistent with this investment policy. Procedures should include references to: safekeeping, cash purchase or delivery vs. payment, investment accounting, repurchase agreements, wire transfer agreements, collateral/depository agreements and banking service contracts. No person may engage in an investment transaction except as provided under the terms of this policy and the procedures established by the Director of Finance. The Director of Finance shall be responsible for all transactions undertaken and shall establish a system of controls to regulate the activities of subordinate officials.

The Director of Finance is limited to investments authorized by Act 20 of 1943, as amended, and may invest in the following:

- (a) Bonds, securities, and other obligations of the United States or an agency or instrumentality of the United States.
- (b) Certificates of deposit, savings accounts, deposit accounts, or depository of a financial institution.
- (c) Commercial paper rated at the time of purchase within the 2 highest classifications established by not less than 2 standard rating services and that matures not more than 270 days after the date of purchase.
- (d) Bankers' acceptance of United States banks.

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- (e) Obligations of this state or any of its political subdivisions that at the time of purchase are rated investment grade by not less than 1 standard rating service.
- (f) Mutual funds registered under the investment company act of 1940, title 1 of chapter 686, 54 Stat. 789, 15 U.S.C. 80a-1 to 80a-3 and 80a-4 to 80a-64, with the authority to purchase only investment vehicles that are legal for direct investment. This authorization is limited to securities whose intention is to maintain a net asset value of \$1.00 per share. The City may also include mutual funds whose net asset value may fluctuate on a periodic basis.
- (g) Investment pools through an inter-local agreement under the urban cooperation act of 1967. 1967 (Ex Sess) PA 7, MCL 124.501 to 124.512.
- (h) Investment pools organized under the surplus funds investment pool act, 1982 PA 367.129.111 to 129.118.
- (i) The City shall not deposit or invest funds in a financial institution that is not eligible to be a depository of funds belonging to the State under a law or rule of this State or the United States.
- (j) Assets acceptable for pledging to secure deposits of public funds are limited to assets authorized for direct investments of paragraphs a - i.

SAFEKEEPING AND CUSTODY - All security transactions, including financial institution deposits, entered into by the Director of Finance shall be on a delivery vs. payment basis. Securities may be held by a third party custodian designated by the Director of Finance and evidenced by safekeeping receipts.

DIVERSIFICATION - The City of Cadillac will diversify its investments by security type and institution. With exception of U.S. Treasury securities and authorized pools, no more than 50% of the City's total investment portfolio will be invested in a single security type or with a single financial institution.

AUTHORIZED FINANCIAL DEALERS AND INSTITUTIONS – The City of Cadillac finance department will maintain a list of financial institutions authorized to provide investment services in Michigan as well as their credit worthiness. No public deposit shall be made except in a qualified public depository as established by the State of Michigan. All financial institutions and broker/dealers who desire to become qualified bidders for investment transactions must supply the City with certification of having read this investment policy.

MAXIMUM MATURITIES - To the extent possible, the City of Cadillac will attempt to match its investments with anticipated cash flow requirements. Unless matched to a specific cash flow, the City will not directly invest in securities maturing more than three years from the date of purchase. Reserve funds may be invested in securities exceeding three years if the maturity of such investments is made to coincide as nearly as practicable with the expected use of the funds.

REPORTING - The Director of Finance shall provide to the City Council quarterly investment reports which provide a clear picture of the status of the current investment portfolio. The management report should include comments of the fixed income markets and economic conditions, discussions regarding restrictions on percentage of investment by categories, possible changes in the portfolio structure going forward and thoughts on investment strategies. Schedules in the quarterly report should include the following:

- A listing of individual securities held at the end of the reporting period by authorized investment category
- Average life and final maturity of all investments listed
- Coupon, discount or earnings rate
- Par value, amortized book value and market value
- Percentage of the portfolio represented by each investment category

PERFORMANCE STANDARDS - The investment portfolio shall be designated with the objective of obtaining a rate of return throughout the budgetary and economic cycles, commensurate with the investment risk constraints and the cash flow needs. The City's investment strategy can be either active or passive depending on the fund and objectives. The basis to determine whether market yields are being achieved shall be the average daily FED fund rates and the six-month U.S. Treasury bill.

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ETHICS AND CONFLICTS OF INTEREST - Officers and employees involved in the investment process shall refrain from personal business activity that could conflict with proper execution of the investment program, or which could impair their ability to make impartial investment decisions. Employees and investment officials shall disclose to the City Manager any material financial interests in financial institutions that conduct business within the City, and shall further disclose any large personal financial/investment positions that could be related to the performance of the City, particularly with regard to the time of purchases and sales.

PRUDENCE - Investments shall be made with judgment and care, under circumstances then prevailing, which persons of prudence, discretion and intelligence exercise in the management of their own affairs, not for speculation, but for investment, considering the probable safety of their capital as well as the probable income to be derived.

INVESTMENT POLICY ADOPTION - This policy supersedes any previously adopted investment policies. The City of Cadillac's investment policy shall be adopted by resolution of the City Council. The policy shall be reviewed annually and any modifications will be approved by the City Council.

INVESTMENT POLICY GLOSSARY

AGENCIES: Federal agency securities.

ASKED: The price at which securities are offered.

BANKERS' ACCEPTANCE (BA): A draft or bill of exchange accepted by a bank or trust company. The accepting institution guarantees payment of the bill, as well as the issuer.

BID: The price offered by a buyer of securities. (When you are selling securities, you ask for a bid.) See Offer.

BROKER: A broker brings buyers and sellers together for a commission.

CERTIFICATE OF DEPOSIT (CD): A time deposit with a specific maturity evidenced by a certificate. Large-denomination CD's are typically negotiable.

COLLATERAL: Securities, evidence of deposit or other property which a borrower pledges to secure repayment of a loan. Also refers to securities pledged by a bank to secure deposits of public monies.

COMPREHENSIVE ANNUAL FINANCIAL REPORT (CAFR): The official annual report for the City of Cadillac. It includes five combined statements for each individual fund and account group prepared in conformity with GAAP. It also includes supporting schedules necessary to demonstrate compliance with finance-related legal and contractual provisions, extensive introductory material, and a detailed Statistical Section.

COUPON: (a) The annual rate of interest that a bond's issuer promises to pay the bondholder on the bond's face value. (b) A certificate attached to a bond evidencing interest due on a payment date.

DEALER: A dealer, as opposed to a broker, acts as a principal in all transactions, buying and selling for his own account.

DEBENTURE: A bond secured only by the general credit of the issuer.

DELIVERY VERSUS PAYMENT: There are two methods of delivery of securities: delivery versus payment and the delivery versus receipt. Delivery versus payment is delivery of securities with an exchange of money for the securities. Delivery versus receipt is delivery of securities with an exchange of a signed receipt for the securities.

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INVESTMENT POLICY GLOSSARY (Continued)

DERIVATIVES: (1) Financial instruments whose return profile is linked to, or derived from, the movement of one or more underlying index or security, and may include a leveraging factor, or (2) financial contracts based upon notional amounts whose value is derived from an underlying index or security (interest rates, foreign exchange rates, equities or commodities).

DISCOUNT: The difference between the cost price of a security and its maturity when quoted at lower than face value. A security selling below original offering price shortly after sale also is considered to be at a discount.

DISCOUNT SECURITIES: Non-interest bearing money market instruments that are issued at a discount and redeemed at maturity for full face value, e.g. U.S. Treasury Bills.

DIVERSIFICATION: Dividing investment funds among a variety of securities offering independent returns.

FEDERAL CREDIT AGENCIES: Agencies of the Federal government set up to supply credit to various classes of institutions and individuals, e.g., S&L's, small business firms, students, farmers, farm cooperatives, and exporters.

FEDERAL DEPOSIT INSURANCE CORPORATION (FDIC): A federal agency that insures bank deposits, currently up to \$100,000.00 per deposit.

FEDERAL FUNDS RATE: The rate of interest at which Fed funds are traded. This rate is currently pegged by the Federal Reserve through open-market operations.

FEDERAL HOME LOAN BANKS (FHLB): Government sponsored wholesale banks (currently 12 regional banks) which lend funds and provide correspondent banking services to member commercial banks, thrift institutions, credit unions and insurance companies. The mission of the FHLBs is to liquefy the housing related assets of its members who must purchase stock in their district Bank.

FEDERAL NATIONAL MORTGAGE ASSOCIATION (FNMA): FNMA, like GNMA was chartered under the Federal National Mortgage Association Act in 1938. FNMA is a federal corporation working under the auspices of the Department of Housing and Urban Development (HUD). It is the largest single provider of residential mortgage funds in the United States. Fannie Mae, as the corporation is called, is a private stockholder-owned corporation. The corporation's purchases include a variety of adjustable mortgages and second loans, in addition to fixed-rate mortgages. FNMA's securities are also highly liquid and are widely accepted. FNMA assumes and guarantees that all security holders will receive timely payment of principal and interest.

FEDERAL OPEN MARKET COMMITTEE (FOMC): Consists of seven members of the Federal Reserve Board and five of the twelve Federal Reserve Bank Presidents. The President of the New York Federal Reserve Bank is a permanent member, while the other Presidents serve on a rotating basis. The Committee periodically meets to set Federal Reserve guidelines regarding purchases and sales of Government Securities in the open market as a means of influencing the volume of bank credit and money.

FEDERAL RESERVE SYSTEM: The central bank of the United States created by Congress and consisting of a seven member Board of Governors in Washington, D.C., 12 regional banks and about 5,700 commercial banks that are members of the system.

GOVERNMENT NATIONAL MORTGAGE ASSOCIATION (GNMA OR GINNIE MAE): Securities influencing the volume of bank credit guaranteed by GNMA and issued by mortgage bankers, commercial banks, savings and loan associations, and other institutions. Security holder is protected by full faith and credit of the U.S. Government. Ginnie Mae securities are backed by the FHA, VA or FMHM mortgages. The term "pass-throughs" is often used to describe Ginnie Maes.

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INVESTMENT POLICY GLOSSARY (Continued)

LIQUIDITY: A liquid asset is one that can be converted easily and rapidly into cash without a substantial loss of value. In the money market, a security is said to be liquid if the spread between bid and asked prices is narrow and reasonable size can be done at those quotes.

LOCAL GOVERNMENT INVESTMENT POOL (LGIP): The aggregate of all funds from political subdivisions that are placed in the custody of the State Treasurer for investment and reinvestment.

MARKET VALUE: The price at which a security is trading and could presumably be purchased or sold.

MASTER REPURCHASE AGREEMENT: A written contract covering all future transactions between the parties to repurchase--reverse repurchase agreements that establishes each party's rights in the transactions. A master agreement will often specify, among other things, the right of buyer-lender to liquidate the underlying securities in the event of default by the seller-borrower.

MATURITY: The date upon which the principal or stated value of an investment becomes due and payable.

MONEY MARKET: The market in which short-term debt instruments (bills, commercial paper, bankers' acceptances, etc.) are issued and traded.

OFFER: The price asked by a seller of securities. (When you are buying securities, you ask for an offer.) See Asked and Bid.

OPEN MARKET OPERATIONS: Purchases and sales of government and certain other securities in the open market by the New York Federal Reserve Bank as directed by the FOMC in order to influence the volume of money and credit in the economy. Purchases inject reserves into the bank system and stimulate growth of money and credit; sales have the opposite effect. Open market operations are the Federal Reserve's most important and most flexible monetary policy tool.

PORTFOLIO: Collection of securities held by an investor.

PRIMARY DEALER: A group of government securities dealers who submit daily reports of market activity and positions and monthly financial statements to the Federal Reserve Bank of New York and are subject to its informal oversight. Primary dealers include Securities and Exchange Commission (SEC)-registered securities broker-dealers, banks, and a few unregulated firms.

PRUDENT PERSON RULE: An investment standard. In some states the law requires that a fiduciary, such as a trustee, may invest money only in a list of securities selected by the custody state--the so-called legal list. In other states the trustee may invest in a security if it is one which would be bought by a prudent person of discretion and intelligence who is seeking a reasonable income and preservation of capital.

QUALIFIED PUBLIC DEPOSITORIES: A financial institution which does not claim exemption from the payment of any sales or compensating use or ad valorem taxes under the laws of this state, which has segregated for the benefit of the commission eligible collateral having a value of not less than its maximum liability and which has been approved by the Public Deposit Protection Commission to hold public deposits.

RATE OF RETURN: The yield obtainable on a security based on its purchase price or its current market price. This may be the amortized yield to maturity on a bond the current income return.

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INVESTMENT POLICY GLOSSARY (Continued)

REPURCHASE AGREEMENT (RE OR REPO): A holder of securities sells these securities to an investor with an agreement to repurchase them at a fixed price on a fixed date. The security "buyer" in effect lends the "seller" money for the period of the agreement, and the terms of the agreement are structured to compensate him for this. Dealers use RP extensively to finance their positions. Exception: When the Fed is said to be doing RP, it is lending money that is, increasing bank reserves.

SAFEKEEPING: A service to customers rendered by banks for a fee whereby securities and valuables of all types and descriptions are held in the bank's vaults for protection.

SECONDARY MARKET: A market made for the purchase and sale of outstanding issues following the initial distribution.

SECURITIES & EXCHANGE COMMISSION: Agency created by Congress to protect investors in securities transactions by administering securities legislation.

SEC RULE 15C3-1: See Uniform Net Capital Rule.

STRUCTURED NOTES: Notes issued by Government Sponsored Enterprises (FHLB, FNMA, SLMA, etc.) and Corporations, which have imbedded options (e.g., call features, step-up coupons, floating rate coupons, derivative-based returns) into their debt structure. Their market performance is impacted by the fluctuation of interest rates, the volatility of the imbedded options and shifts in the shape of the yield curve.

TREASURY BILLS: A non-interest bearing discount security issued by the U.S. Treasury to finance the national debt. Most bills are issued to mature in three months, six months, or one year.

TREASURY BONDS: Long-term coupon-bearing U.S. Treasury securities issued as direct obligations of the U.S. Government and having initial maturities of more than 10 years.

TREASURY NOTES: Medium-term coupon-bearing U.S. Treasury securities issued as direct obligations of the U.S. Government and having initial maturities from two to 10 years.

UNIFORM NET CAPITAL RULE: Securities and Exchange Commission requirement that member firms as well as nonmember broker-dealers in securities maintain a maximum ratio of indebtedness to liquid capital of 15 to 1; also called net capital rule and net capital ratio. Indebtedness covers all money owed to a firm, including margin loans and commitments to purchase securities, one reason new public issues are spread among members of underwriting syndicates. Liquid capital includes cash and assets easily converted into cash.

YIELD: The rate of annual income return on an investment, expressed as a percentage. (a) INCOME YIELD is obtained by dividing the current dollar income by the current market price for the security. (b) NET YIELD or YIELD TO MATURITY is the current income yield minus any premium above par or plus any discount from par in purchase price, with the adjustment spread over the period from the date of purchase to the date of maturity of the bond.

Finance Provisions of the City Charter

ARTICLE 10

GENERAL FINANCE

Section (10.1) **Fiscal Year.** The Fiscal Year of the city shall begin on the first day of July of each year and end on the thirtieth day of June of the following year.

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FINANCE PROVISIONS OF THE CITY CHARTER (Continued)

Section (10.2) **Budget Procedures**. On or before the first day of April in each year, the City Clerk and the City Manager, acting upon recommendations submitted by the various department heads and the City Council, shall draw up the ensuing fiscal year, specifying in detail all proposed expenditures for the support of the various departments, and for every other purpose for which any money will be required to be paid from any of the several general funds of the city during the year; and also the estimated amount of revenue from all sources other than tax levy. The estimate thus made shall be called "The Annual City Budget" and filed with the City Clerk.

Section (10.3) **Budget Hearing**. A public hearing on the proposed budget shall be held before its final adoption, in the second half of the month of April as the City Council shall direct.

Notice of such public hearing, a summary of the proposed budget and notice that the proposed budget is on file in the office of the Clerk shall be published at least ten (10) days in advance of the hearing. The complete proposed budget shall be on file for public inspection during office hours at such office for a period of not less than ten (10) days prior to such public hearing.

Section (10.4) **Adoption of Budget**. Not before the 10th day of May, nor later than the last day in May in each year, the City Council shall by ordinance adopt a budget for the next fiscal year, shall appropriate the money needed for municipal purposes during the next fiscal year of the city and shall provide for a levy of the amount necessary to be raised by taxes upon real and personal property for municipal purposes, subject to the limitations contained in Section 1 (11).

Section (10.5) **Budget Control**. Except for expenditures which are to be financed by the issuance of bonds or by special assessment, or for other expenditures not chargeable to a budget appropriation, no money shall be drawn from the treasury of the city except in accordance with an appropriation thereof for such specific purposes, nor shall any obligation for the expenditure on money be incurred without an appropriation covering all payments which will be due under such obligation in the current fiscal year. The City Council by resolution may transfer any unencumbered appropriation balance or any portion thereof, from one account, department, fund, or agency to another.

The City Council may make additional appropriations during the fiscal year for unanticipated expenditures required of the city, but such additional appropriations shall not exceed the amount by which actual and anticipated revenues of the year are exceeding the revenues as estimated in the budget unless the appropriations are necessary to relieve an emergency endangering the public health, peace or safety. No expenditure may be charged directly to the contingency fund. Instead, the necessary part of the appropriation for the contingency fund or similar other fund shall be transferred to the appropriate account and the expenditure thus charged to such account.

At the beginning of each quarterly period during the fiscal year, and more often if required by the City Council, the City Treasurer shall submit to the City Council data showing the relationship between the estimated and actual revenues and expenditures to date; and if it shall appear that the revenues are less than anticipated, the City Council may reduce appropriations, except amounts required for debt and interest charges, to such a degree as may be necessary to keep expenditures within the revenues. Along with such reports, the City Treasurer shall report operating revenues and disbursements of cemetery funds with a copy furnished the Cemetery Board.

Section (10.6) **Depository**. The City Council shall designate the depository or depositories for the city funds, and shall provide for the regular deposit of all city monies.

Section (10.7) **Independent Audit**: An independent audit shall be made of all accounts including special and trust funds of the city government at least annually. Such audit shall be made as soon after the close of the fiscal year as possible by certified public accountants selected by the City Council.

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COLLECTIVE BARGAINING AGREEMENTS

Command Officers Association of Michigan

Contract Expiration Date: June 30, 2014

Membership: 5

Police Captain
4 Sergeants

Police Officers Association of Michigan

Contract Expiration Date: June 30, 2014

Membership: 9

4 Sergeants
8 Patrol Officers
1 School Liaison Officer

International Association of Firefighters Local 704

Contract Expiration Date: June 30, 2012

Membership: 11

1 Fire Marshal
2 Lieutenants
2 Captains
6 Fire Fighters

United Steelworkers of America Local 14317

Contract Expiration Date: June 30, 2013

Membership: 20

5 Water Division Members
5 Sewer Division Members
1 Laboratory Division Member
9 Street Division Members

* Each union contract is designed as a three-year agreement.

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Cadillac, Michigan

Population:

2010 Census Population: 10,355
Wexford County Population: 31,553
(City represents 32% of county population)

Area within the City:

9 square miles
Large all-sports lake within City limits. Located approximately 100 miles north of Grand Rapids and 50 miles southeast of Traverse City.

Government:

Incorporated in 1877; Council/Manager form of government (one of the first in Michigan);
County Seat for Wexford County.

Major Industries:

Boat Manufacturer
Rubber Products
Medical Care
Vacuum Cleaner Manufacturer
Truck Parts and Commercial Freezers Manufacturer
Automobile Parts Manufacturer
Iron Foundry
Military Hardware
Tourism
Beverage Distributing



Employment Data:

2010 – 19,737 labor force in the Wexford/Missaukee Labor Market Area (LMA)
2010 - 16.6% unemployment rate in LMA

**Source: Michigan Department of Labor and Economic Growth; Retrieved from: www.milmi.org*

Other:

- Class 5 fire department rating.
- Three police agency headquarters, including City, Wexford County Sheriff and State Police.
- Cadillac is the County seat of Wexford County and as such, many legal and financial experts reside and practice here.
- 97 bed hospital.
- Several truck lines serve the area and railroad, bus line and airport further enhance the transportation network.

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What's the Weather?

Local citizens like to say that if you don't like the weather, just wait a few hours.

A true four-seasons climate awaits you in Cadillac. Spring is exciting with its annual renewal of the lush foliage and flowers and the appearance of the much-awaited May mushrooms. Summer is pleasant with moderately warm temperatures and, for the most part, comfortable humidity levels. Fall, with nature's glorious color show, is a very special time of year. Winter provides abundant snow for a full range of winter activities.

CLIMATE as reported by weather station at Cadillac:

January Average Minimum:	10F./-12C.	Average Maximum:	24F./-4C.
July Average Minimum:	54F./ 12C.	Average Maximum:	79F./26C.
Growing Season:	100 days		
Days below 0F. or -18C:	23	Average Annual Rainfall:	31 in./79cm.
Days above 90F. or 32C:	5	Average Annual Snowfall:	71 in./180cm.

Did you Know?

The City was founded based on the lumbering of large tracts of pine timber.

The Shay Locomotive was invented in Cadillac by Ephraim Shay in 1878. The Shay Locomotive was one of the first to have the ability to haul logs on uneven terrain, sharp curves and up steep hills. Shay Locomotives were used throughout the United States between 1880 and 1945.

The canal between Lake Mitchell and Lake Cadillac is one of the man-made wonders of the world. It freezes before either of the lakes, thaws after the lakes have frozen, and does not freeze again for the rest of the winter.

In 1840, Wexford County was called "Kautawaubet" an Indian name supposedly meaning "broken tooth", after a chief of the Potawatami tribe that signed the Great Peace Treaty of 1825. In 1843, it was named Wexford after a county in Ireland.

Cadillac previously was known as the Village of Clam Lake until 1843, when it was renamed in honor of the French explorer, Antoine de la Mothe Cadillac.

Tourism became a major industry after World War II with the expansion of the Caberfae Ski Resort.

Famous "Humpty-Dumpty" folding egg crates were designed in Cadillac.

Cadillac was world renowned for its production process of maple and hardwood flooring.

Cadillac had its beginnings on the eastern shore of Lake Cadillac (then known as the Little Clam Lake). George Mitchell, Cadillac's founding father, is responsible for naming the first streets. Streets were named for the natural surroundings he encountered such as Lake, Pine, Beech and Spruce Streets. Mr. Mitchell named several of the streets after his friends and business associates. On the western boundary of the city, Mr. Mitchell established a park – now known as Mitchell State Park – surrounded by the lakes – now known as Lake Mitchell and Lake Cadillac – and a swamp. Sawdust and soil removed from the east side of Mitchell Street was used to fill in and elevate the park property. Leeson Avenue was named after Cadillac's first doctor, Dr. John Leeson. Cummer Street was named for Jacob Cummer, lumberman and pioneer in the manufacture of hardwood furniture, ladders and novelties. Our streets reflect our area and people who helped build this community we are part of today.

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CITY OF CADILLAC, MICHIGAN

TAXABLE VALUE AND ESTIMATED ACTUAL VALUE OF TAXABLE PROPERTY
LAST TEN FISCAL YEARS

Fiscal Year Ended June 30,	Real Property Valuation	Personal Property Valuation	Total Taxable Valuation	Estimated Actual Value	Ratio of Total Assessed to Total Estimated Actual Value	Total Direct Tax Rate
2002	153,053,692	35,377,232	188,430,924	429,828,200	43.84%	14.9907
2003	165,243,210	31,372,200	196,615,410	470,913,500	41.75%	15.3473
2004	168,351,258	43,240,100	211,591,358	508,916,600	41.58%	15.5473
2005	178,282,339	41,399,800	219,682,139	544,632,400	40.34%	15.7473
2006	184,439,086	44,135,005	228,574,091	572,365,010	39.94%	15.7473
2007	194,615,475	40,780,000	235,395,475	595,311,200	39.54%	16.6473
2008	206,863,302	40,257,800	247,121,102	609,799,600	40.52%	16.7473
2009	215,265,242	41,430,900	256,696,142	616,444,056	41.64%	16.5473
2010	220,244,714	41,262,800	261,507,514	608,556,400	42.97%	16.5473
2011	214,108,421	42,873,550	256,981,971	565,558,400	45.44%	16.5473

Source: *City of Cadillac Treasurer's Office*

Note: Property in the City is reassessed each year. Property is assessed at 50% of estimated actual value. Due to State legislation, however, annual increases in taxable value are limited to 5% or a state-determined rate of inflation, whichever is less. When homes are sold, taxable values are then "uncapped" and brought up to their assessed value. Tax rates are per \$1,000 of taxable value. Valuations based on Ad Valorem Parcels.

CITY OF CADILLAC, MICHIGAN
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CITY OF CADILLAC, MICHIGAN

PRINCIPAL PROPERTY TAX PAYERS
CURRENT YEAR AND NINE YEARS AGO

Taxpayer	<u>2011</u>			<u>2002</u>		
	Taxable Value	Rank	Percentage of Total City Taxable Value ^a	Taxable Value	Rank	Percentage of Total City Taxable Value ^b
Cadillac Renewable Energy ^c	\$ 12,971,767	1	5.05%	\$ 17,607,997	2	7.57%
Cadillac Casting ^d	10,760,600	2	4.19%	18,381,188	1	7.91%
Paulstra CRC Corporation	6,423,506	3	2.50%	3,182,706	10	1.37%
Consumers Energy	6,117,949	4	2.38%			
Rexair, Inc.	5,074,061	5	1.97%	7,111,981	4	3.06%
AAR Cadillac Manufacturing	5,009,448	6	1.95%	4,026,660	7	1.73%
Avon Automotive	4,481,800	7	1.74%			
FIAMM Technologies, Inc.	4,110,884	8	1.60%	6,124,054	5	2.63%
925 Frisbie Street LLC ^e	3,703,662	9	1.44%	3,781,187	8	1.63%
Borgwarner Inc.	3,443,000	10	1.34%			
Avon Rubber & Plastics				9,021,527	3	3.88%
Michigan Rubber				4,898,039	6	2.11%
Transpro Group, Inc.				3,443,851	9	1.48%
Totals	<u>\$ 62,096,677</u>		<u>24.16%</u>	<u>\$ 77,579,190</u>		<u>33.37%</u>

Source: City of Cadillac Treasurer's Office

^a Based on total taxable value of \$256,981,971.

^b Based on total taxable value of \$232,466,710.

^c Formerly Beaver MI Associates LTD Partnership.

^d Formerly CMI Cast Parts.

^e Formerly Four Winns Boats, LLC.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Supplemental Section

CITY OF CADILLAC, MICHIGAN

PROPERTY TAX LEVIES AND COLLECTIONS

LAST TEN FISCAL YEARS

Fiscal Year Ended June 30,	Taxes Levied for the Fiscal Year	Collected within the Fiscal year of Levy		Collections in Subsequent Years	Total Collections to Date ^a	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2002	3,167,040	3,029,463	95.66%	137,577	3,167,040	100.00%
2003	3,265,098	3,136,141	96.05%	128,957	3,265,098	100.00%
2004	3,481,675	3,364,230	96.63%	117,445	3,481,675	100.00%
2005	3,648,449	3,529,267	96.73%	119,182	3,648,449	100.00%
2006	3,803,126	3,691,936	97.08%	111,190	3,803,126	100.00%
2007	4,109,224	3,952,750	96.19%	156,474	4,109,224	100.00%
2008	4,329,051	4,163,604	96.18%	165,447	4,329,051	100.00%
2009	4,426,255	4,233,403	95.64%	192,852	4,426,255	100.00%
2010	4,500,222	4,267,823	94.84%	232,400	4,500,222	100.00%
2011	4,408,769	4,167,763	94.53%	241,006	4,408,769	100.00%

Source: *City of Cadillac Treasurer's Office*

^a In 1977 the Wexford County Treasurer began pooling all delinquent taxes together and financing delinquencies through bond sales. The proceeds from the bond sale are paid to the City giving the effect of 100% tax collection in a given year. The responsibility for the collection of the delinquent tax is shifted to the county treasurer.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Supplemental Section

CITY OF CADILLAC, MICHIGAN
DEMOGRAPHIC AND ECONOMIC STATISTICS
LAST TEN CALENDAR YEARS

Fiscal		Personal	Per		Local	State	Civilian
Year	Population ¹	Income (amounts expressed in thousands)	Capita Personal Income ²	School Enrollment ³	Unemployment Percentage Rate ⁴	Unemployment Percentage Rate ⁴	Labor Force ⁴
2002	10,000	214,410	21,441	3,465	8.3	6.2	21,369
2003	10,000	217,400	21,740	3,639	9.8	7.1	21,298
2004	10,000	231,600	23,160	3,674	8.2	7.0	21,553
2005	10,000	237,690	23,769	3,614	7.3	6.7	21,707
2006	10,000	247,540	24,754	3,479	7.9	7.1	22,088
2007	10,000	246,900	24,690	3,460	8.1	7.7	21,648
2008	10,000	262,170	26,217	3,381	11.2	8.9	21,563
2009	10,000	259,940	25,994	3,376	17.3	15.3	20,138
2010	10,000	N/A	N/A	3,334	15.3	13.0	19,161
2011	10,355	N/A	N/A	3,267	12.0	11.1	18,540

Data Sources:

¹ Bureau of the Census

² Bureau of Economic Analysis

³ School Districts

⁴ Michigan Department of Labor & Economic Growth (Local unemployment and civilian labor force based on Wexford-Missaukee Labor Market Area; Personal and Per Capita income based on Cadillac Micropolitan Statistical Area)

Note: Personal income information is a total for the year. Unemployment rate is a seasonally adjusted yearly average, when available. School enrollment is based on the school census at the start of the school year and includes public and private schools.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Supplemental Section

CITY OF CADILLAC, MICHIGAN

PRINCIPAL EMPLOYERS
CURRENT YEAR AND NINE YEARS AGO

Employer	2011			2002		
	<u>Employees</u>	<u>Rank</u>	<u>Percentage of Total City Employment</u>	<u>Employees</u>	<u>Rank</u>	<u>Percentage of Total City Employment</u>
Mercy Hospital Cadillac	608	1	3.73%	560	3	2.82%
AAR Mobility Systems	453	2	2.78%	281	8	1.41%
Cadillac Area Public Schools	446	3	2.73%	500	4	2.51%
Rec Boat Holdings ¹	409	4	2.51%	625	2	3.14%
Avon Automotive	350	5	2.14%			
Cadillac Castings ²	347	6	2.13%			
Avon Protection Systems	254	7	1.56%			
Rexair, Inc.	223	8	1.37%	324	7	1.63%
Michigan Rubber Products	191	9	1.17%	410	5	2.06%
FIAMM Technologies, LLC	131	10	0.80%	212	10	1.07%
Avon Rubber and Plastics				830	1	4.17%
Hayes Lemmerz International, Inc.				409	6	2.06%
Lakeview Lutheran Manor				220	9	1.11%
	<u>3,412</u>		<u>20.91%</u>	<u>4,371</u>		<u>21.97%</u>

Source: Michigan Department of Labor & Economic Growth; Cadillac Area Chamber of Commerce

¹ Formerly known as Four Winns Boats.

² Formerly known as CMI Cadillac.

Note: Percentage of Total City Employment is based on total employment in the Wexford-Missaukee labor market area.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Supplemental Section

CITY OF CADILLAC, MICHIGAN
OPERATING INDICATORS BY FUNCTION
LAST SEVEN FISCAL YEARS

<u>Function</u>	Fiscal Year						
	<u>2005</u>	<u>2006</u>	<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>	<u>2011</u>
Police							
Traffic Citations	1,468	1,257	1,015	1,479	1,177	815	N/A ¹
Fire							
Number of Fire Inspections	129	370	376	260	262	301	N/A ¹
Number of Fires Reported	64	51	55	41	42	38	N/A ¹
Number of EMT Runs	1,322	1,119	1,171	1,242	1,295	1,353	N/A ¹
Building Inspection							
Number of Permits Issued	466	403	316	274	250	108	N/A ¹
Water							
Total Customers	3,520	3,524	3,517	3,544	3,496	3,474	3,497
Average Daily Consumption (thousands of gallons)	2,252	2,310	2,564	2,302	2,261	2,150	2,102
Wastewater							
Total Customers	3,569	3,573	3,564	3,592	3,541	3,527	3,542
Average Daily Treatment (thousands of gallons)	2,173	2,098	2,467	2,215	2,100	1,860	2,118

¹ Public Safety statistics are kept on a calendar year basis and are therefore not yet available for 2011.

Note: Indicators are not available for the general government function.

Source: Various government departments

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Supplemental Section

CITY OF CADILLAC, MICHIGAN
CAPITAL ASSET STATISTICS BY FUNCTION
LAST SEVEN FISCAL YEARS

<u>Function</u>	<u>2005</u>	<u>2006</u>	<u>2007</u>	<u>2008</u>	<u>2009</u>	<u>2010</u>	<u>2011</u>
Police							
Stations	1	1	1	1	1	1	1
Mobile Units	9	9	9	9	9	10	11
Fire							
Stations	1	1	1	1	1	1	1
Mobile Units	6	6	6	6	6	7	7
Culture and Recreation							
Parks Acreage	117	117	117	117	117	117	117
Parks	4	4	4	4	4	4	4
Streets							
Streets (Miles)	68	68	68	68	68	68	68
Street Lights	574	574	574	587	578	578	578
Water							
Fire Hydrants	454	454	458	477	482	482	482
Miles of Water Mains	63	64	64	74	74	74	74
Water Mains Replaced (Feet)	3,185	200 ⁽¹⁾	2,360	620	1,900	1,070	1,500
Wastewater							
Miles of Sewer Mains	59	59	59	62	62	62	62
Feet of Sanitary Sewers Inspected with Cameras	3,380	1,900	1,350	2,550	810	690	600

(1) Water mains replaced were low in 2006, but the main projects through the year, including North Boulevard, Paluster Street and Kenwood Street were all projects where a total of one mile of new water mains was added.

Note: Capital asset statistics are not available for the general government function.

Source: Various City government departments

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Glossary

The Annual Budget contains specialized and technical terminology unique to public finance and budgeting. To assist the reader of the Annual Budget document in understanding these terms, a budget glossary has been included in the document.

ACCRUAL ACCOUNTING A basis of accounting in which revenues are recognized in the accounting period in which they are earned, and expenses are recognized in the period in which they are incurred.

AGENCY FUND A fund used to account for assets held by the city as an agent for individuals, private organizations, other governments and/or other funds.

ANNEXATION The incorporation of a land area into an existing city or village with a resulting change in the boundaries of that unit of local government.

APPROVED BUDGET The revenue and expenditure plan for the City for the fiscal year as reviewed and given final approval by the City Council.

ASSESSED VALUATION The taxable value placed upon property as a basis for levying taxes, equal to 50% of market value, as required by state law.

AUTOMOBILE PARKING SYSTEM FUND This fund accounts for Operations of the on-street and off-street parking facilities within the City.

AUDIT A comprehensive review of the manner in which the government's resources were actually utilized. The main purpose of an audit is to issue an opinion over the presentation of financial statements and to test the controls over the safekeeping of assets while making any recommendations for improvements where necessary.

BALANCED BUDGET A balanced budget is where the revenues and other financing sources match the expenditures and other financing uses or expenses.

BOND A certificate or instrument certifying the existence of a debt. Local units of government only have those powers to borrow monies expressly granted by law. Municipal obligations are generally classified as either general obligation or special obligation bonds. A special obligation bond is payable from a specially identified source; general obligation bond is payable without reference to a specific source.

BONDED DEBT That portion of indebtedness represented by outstanding bonds.

BUDGET ADJUSTMENT Adjustment made to the budget during the fiscal year by the City Council to properly account for unanticipated changes which occur in revenues and/or expenditures and for programs initially approved during the fiscal year.

BUDGET Under the Michigan Uniform Budgeting and Accounting Act (MCL 141.421 et.seq.), budget means a plan of financial operation for a given period of time, including an estimate of all proposed expenditures from the funds of a local unit and the proposed means of financing the expenditures. It does not include a fund for which the local unit acts as a trustee or agent, an intragovernmental service fund, an enterprise fund, a public improvement or building fund or a special assessment fund.

BUDGET CALENDAR The schedule of key dates or milestones which the City departments follow in the preparation, adoption, and administration of the budget.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Glossary

CAPPED VALUE The capped value will be the previous year's final SEV minus losses increased by the consumer price index or 5%, whichever is less, plus additions. Loss is a component of property which is physically removed, for example the removal of a garage. Addition is a component of property which is physically added such as a family room or finishing a basement.

CALEA Commission on Accreditation for Law Enforcement Agencies.

CAPITAL EXPENDITURES Tangible capital-type items should be capitalized if they have an estimated useful life of at least two years following the date of acquisition. Capitalization thresholds are best applied to individual items rather than to groups of similar items. Threshold is \$5,000 or greater of any individual item. Infrastructure assets are treated separately from other capital assets for purposes of establishing capitalization thresholds. As a general rule, capitalization thresholds for non-infrastructure items should be designed to encompass approximately 80 percent of a government's total non-infrastructure tangible capital-type items.

CAPITAL IMPROVEMENT PROGRAM The first year of the CIP is the Capital Improvements Budget and funding for the improvements identified therein is contained in the proposed annual budget. The remaining four years of the CIP lists the capital projects identified for implementation and its estimated cost. Through placement in a year, the priority is indicated and each year, the list of projects is reviewed for need, cost and priority.

CAPITAL PROJECTS FUND Capital Project Funds are used to account for financial resources to be used for the acquisition or construction of major capital facilities (other than those financed by proprietary funds, special assessment funds and trust funds).

CAPITAL OUTLAY Expenditures relating to the purchase of equipment, facility modifications, land, and other fixed assets.

CEMETERY OPERATING FUND This fund records the financial activities of running the cemetery. Revenues from endowment funds supplement charges for services to finance these activities.

COMMUNITY DEVELOPMENT FUND This is a revolving fund established with grant monies from H.U.D. to assist low and moderate income families to bring their homes up to the City building codes. Assistance is given through low-interest loans to qualifying individuals. As loans are repaid, money is made available for new loans.

COUNCIL A legislative, executive, advisory or administrative governmental body, such as a city council or a citizen's advisory council, whose elected or appointed members are assigned certain duties and responsibilities by law.

CURRENT TAX COLLECTIONS The City functions as the collection agent for the schools and county.

DEBT SERVICE FUNDS Debt Service Funds are used to account for the accumulation of resources for, and the payment of, general long-term debt principal, interest, and related costs. The accounting for this group of funds is the modified accrual method.

DEPRECIATION The process of estimating and recording the expired useful life of a fixed asset which is distributed over its revenue-producing years.

DOWNTOWN DEVELOPMENT AUTHORITY FUND This fund is designed to assist in the economic growth of the central business district from parking plans to mall development. A tax levy of two mills maximum can be levied by the board when needed.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Glossary

ENTERPRISE FUNDS Enterprise funds are used to account for the acquisition, operation and maintenance of governmental facilities and services which are entirely or predominantly self-supported by user charges. The significant characteristic of Enterprise Funds is that the accounting system must make it possible to show whether the activity is operated at a profit or loss, similar to comparable private enterprises. Thus, the reports of enterprise funds are self-contained and creditors, legislators or the general public can evaluate the performance of the municipal enterprise on the same basis as they can the performance of investor-owned enterprises in the same industry.

FIDUCIARY FUND Funds used to report assets held in a trustee or agency capacity for others and which therefore cannot be used to support the government's own programs. The fiduciary fund category includes pension (and other employee benefit) trust funds, investment trust funds, private-purpose trust funds, and agency funds.

FISCAL YEAR The twelve month period designated as the operating year for an entity. The fiscal year for the City of Cadillac is July 1 – June 30.

FUND An independent fiscal and accounting entity with a self-balancing set of accounts recording cash and/or other financial resources, together with all related liabilities, obligations, reserves, and equities which are segregated for the purpose of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

FUND BALANCE The excess of the assets of an expendable fund, or of a nonexpendable trust fund, over its liabilities.

GENERAL FUND The General Fund is the general operating fund of the City. It is used to account for the resources devoted to finance the services traditionally associated with local government, except those activities that are required to be accounted for in another fund. Transactions are recorded on the modified accrual basis.

GENERAL OBLIGATION BONDS Bonds that finance a variety of public improvement projects which pledges the full faith and credit of the City.

HOME RULE The authority of local government to frame, adopt or change their own charter and to manage their own affairs with minimal state interference.

INFRASTRUCTURE The basic physical framework or foundation of the City, referring to its buildings, roads, bridges, sidewalks, water and sewer systems.

INVENTORY A detailed listing of property currently held by the government.

INTERNAL SERVICE FUNDS Internal Service funds are established to finance and account for services and/or commodities furnished by a designated program to other programs within the City. Since the services and commodities are supplied exclusively to programs under the City jurisdiction, they are distinguishable from those services which are rendered to the public in general and which are accounted for in general, special revenue or enterprise funds.

The City of Cadillac Central Stores and Municipal Garage Fund, Data Processing Fund and Self Insurance Fund make up the internal service fund category. The Central Stores and Municipal Garage Fund is the fund that operates the motor pool for the City. The Information Technology Fund provides data processing services in the various internal and external agencies that use the City's computer system. The Self Insurance Fund records hospitalization, dental, optical and similar insurance benefits.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Glossary

LOCAL STREET FUND Receives all local street money paid to the cities by the State, accounts for all construction, maintenance, traffic services, and snow and ice control on all streets classified as local.

LOCAL DEVELOPMENT FINANCE AUTHORITY (LDFA) Financing authority used to capture taxes within a specific district. The board of directors is appointed by the City Council. The LDFA has the ability to bond for construction related projects and oversee the district.

LEGAL LEVEL OF CONTROL The City Manager is authorized to transfer budgeted amounts within departments within any fund; however, any revisions which alter the total expenditures of any fund or the transfer of funds between departments must be approved by the City Council.

MAJOR STREET FUND Used to account for the financial activity of the streets designated by the State of Michigan as major thoroughfares and the maintenance contract of the state trunklines.

MILL A taxation unit equal to one dollar of tax obligation for every \$1,000 of assessed valuation of property.

MILLAGE The total tax obligation per \$1,000 of assessed valuation of property.

MODIFIED ACCRUAL ACCOUNTING A basis of accounting in which expenditures are accrued but revenues are accounted for when they become measurable and available.

NPDES National Pollutant Discharge Elimination System. A permit issued by the State of Michigan for the wastewater treatment plant to discharge treated effluent in the State's waters.

OBJECTIVE Objectives are the methods by which goals are to be obtained. More refined definition to the goal and a focused effort.

OPEB Other Post Employment Benefits.

PERMANENT FUNDS Governmental fund type used to report resources that are legally restricted to the extent that only earnings, and not principal, may be used for purposes that support the reporting government's programs (i.e., for the benefit of the government of its citizenry).

POLICEMAN AND FIREMAN RETIREMENT SYSTEM Maintained under the State of Michigan Act 345. This retirement fund is for police and fire personnel of the City.

PROPOSED BUDGET City's revenue and expenditure plan for the fiscal year as prepared and recommended by the City Manager for the Mayor and the City Council's consideration.

PROPERTY TAX A tax based on the assessed value of property, either real or personal. Tax liability falls on the owner of record as of tax day. Real property includes all lands, buildings and fixtures on the land. Personal property is generally movable and not affixed to land. It includes equipment, furniture, electric and gas transmission and distribution equipment and the like.

RISK MANAGEMENT An organized attempt to protect a government's assets against accidental loss in the most economical method.

RESERVE Funds designated to be allocated in order to meet potential liabilities during the fiscal year.

RESOLUTION Official action of a legislative body, primarily administrative or ministerial in nature.

REVENUE BOND INDEBTEDNESS Bonds of the City which are supported by the revenue generating capacity of the water and wastewater system.

CITY OF CADILLAC, MICHIGAN
2012-2013 ANNUAL OPERATING BUDGET
Glossary

SPECIAL REVENUE FUNDS Special Revenue Funds are used to account for the proceeds of specified revenue sources (other than special assessments, expendable trusts, or major capital projects) that are legally restricted to expenditures for specified purposes.

STATE EQUALIZED VALUATION (SEV) The assessed valuation of property in the City as determined by the local assessor and then reviewed and adjusted, if necessary, by the county and state, to assure that it equals 50% of market value, as required by the State of Michigan.

SURPLUS Prior years' earnings used to balance the current operating budget. An excess of the assets of a fund over its liabilities and reserves.

TAXABLE VALUE Taxable value is simply the lesser of the assessed value or capped value.

TAX BASE The total value of taxable property in the City.

TAX INCREMENT FINANCING A tax incentive designed to attract business investment by the dedication of property tax revenue from the redevelopment of an area (tax increment district) to finance development related costs in that district. Tax increment financing divides tax revenue from the area into two categories: 1. taxes on the predevelopment value of the tax base that are kept by each taxing body; and 2. taxes from increased property values resulting from redevelopment that are deposited by some taxing entities in a tax increment fund and are used to finance public improvements in the redevelopment area. In Michigan, there are four different types of authorities with tax increment financing powers:

1. Tax increment finance authority (no longer an option for a new authority),
2. Downtown development authority,
3. Local development financing authority, and
4. Brownfield redevelopment authority.

TAX RATE An amount levied on assessed property value, real and personal, within the City of Cadillac. The City Council establishes the tax rate each year at budget time in order to finance various funds.

TRANSFER OF FUNDS A procedure established by the city charter used to revise a budgeted amount after the budget has been adopted by the city council.

UDAG Initials for federal grant program issued by the U.S. Department of Housing and Urban Development. The funding of this program no longer exists at the federal level. Urban Development Action Grant (UDAG).

VARIANCE Authorization for the construction of a structure or for the establishment of a use which is prohibited by a zoning ordinance. Generally, a variance may not be granted unless the literal enforcement of the zoning ordinance would cause a property owner "practical difficulties or unnecessary hardship."

WATER AND WASTEWATER DISPOSAL SYSTEM FUND The customers of the City's tertiary treatment plant have the revenues and expenses of the system accounted for in this fund as well as the financial activity of the seven well water systems which provide water to the City.

WWTP Initials for Wastewater Treatment Plant.

ZONING Division of a municipality into districts; the regulation of structures according to their construction, nature, and extent of use and the regulation of land according to nature and use.

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GOVERNMENT FINANCE OFFICERS ASSOCIATION

*Distinguished
Budget Presentation
Award*

PRESENTED TO

**City of Cadillac
Michigan**

For the Fiscal Year Beginning

July 1, 2011

Linda C. Danison Jeffrey R. Enner

President

Executive Director

DISTINGUISHED BUDGET PRESENTATION AWARD

The Government Finance Officers Association of the United States and Canada (GFOA) presented a Distinguished Budget Presentation Award to the City of Cadillac, Michigan for its annual budget for the fiscal year beginning July 1, 2011. In order to receive this award, a governmental unit must publish a budget document as an operations guide, as a financial plan, and as a communications device.

This award is valid for a period of one year only. We believe our current budget continues to conform to program requirements, and we are submitting it to GFOA to determine if it is eligible for another award. The City of Cadillac has received twenty-four consecutive Distinguished Budget Presentation awards.



CITY OF
CADILLAC
MICHIGAN

